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The European Bathroom & Kitchen Product Markets

- 2021 Edition -



Netherlands

BRG
BUILDING SOLUTIONS

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Overview

BRG Building Solutions is a specialised market research consultancy serving the global building technologies industry. Combining unparalleled industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our core expertise lies in our coverage of the bathroom, kitchen, HVAC, and other building products/technologies. Throughout a history spanning over 40 years, we have assisted industry players in identifying and realising growth opportunities through a combination of regular market monitoring and ad-hoc consultancy services.

BRG's unique Enterprise Database is at the centre of our offering. This is a comprehensive tool and very detailed source of historic, current and forecast market trends and market share data (by holding and brand) on a country comparable basis. The database provides an essential tool to our clients as a platform to support their strategic decision making.

BRG Building Solutions is a genuinely global company, staffed with individuals from varied backgrounds and nationalities, working collaboratively from four offices across four countries. Combining a high level of industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our market coverage is also global, reflecting the nature of the industries we serve. Currently, 66 individual markets are covered annually in detail across the following key geographical regions (and number of countries):

- Africa (3)
- Australasia (2)
- East & Southeast Asia (6)
- Central America (4)
- Central Asia (1)
- Europe (31)
- South Asia (1)
- Middle East (7)
- North America (3)
- South America (5)
- Sub-Saharan Africa (3)

BRG has its own in-house dedicated modelling and forecasting unit. In cooperation with clients, we have since extended our offering to include market sizing for countries outside the traditional geographic reach of our main research

programme, via global market models

Product Coverage

Since the 1980s, BRG's Bathroom & Kitchen programme has provided industry players with insightful analysis and evidence-based information. In addition to detailed data on trends, values, end use, technical segmentations, market shares and distribution, our programme also includes perceptive text commentary, enabling our clients to easily identify and understand market characteristics and the latest industry developments.

BRG's programme has evolved steadily in terms of both geographic scope and product coverage and continues to do so each year. Each country report follows a uniform structure, to ensure that the data can be readily compared across regions and countries.

The product coverage has also expanded to cover virtually all bathroom, sanitary and kitchen related products, used in both residential and non-residential buildings, including:

Baths and Shower Trays

- Baths: cast iron, steel and synthetic
- Hydromassage baths
- Shower Trays: ceramic, steel/ cast iron and synthetic
- Shower systems (NAM): shower modules, integrated tub showers

Sanitary Ware

- WCs: wall hung, floor standing 1-piece and squat
- Washbasins: hand washbasins and countertops
- Other CSW: bidets, kitchen sinks, pedestals, shower trays, urinals and cisterns
- Plastic Cisterns: concealed and exposed.

Taps and Mixers ('Faucets'), both sanitary and kitchen:

- By application: basin/sink, bath, bidet, shower, kitchen sinks
- By type: pillar, two head, one head, thermostatic, self-closing, electronic
- By type (Americas): 4in centre set, 8in widespread, electronic, hand spray, pressure, single handle/one-head, self-closing, thermostatic, three handle.

Shower Wall

- Bath screens, conventional shower cubicles, hydrotherapy cubicles, bath & shower surrounds (NAM)

Bathroom Furniture

- Base units, mirror / mirror cabinets and separate cabinets.

Bathroom Accessories

- Soap holders and dispensers
- Towel holders, towel rings and towel bars
- Toilet paper holders and toilet brushes
- Towel and bathrobe hooks
- Toothbrush holders and tumblers
- Shelves, wastepaper bins, shower storage units and tissue holders.

Shower Accessories

- Shower heads, flexible hoses, shower supports, shower panels and shower pipes.

Kitchen Sinks

- Cast Iron, ceramic, enamelled steel, stainless steel and synthetic.

Definitions

Please note that all volumes given in the report refer to the number of units sold, where not indicated otherwise. In-depth product definitions are included in a separate document and available upon request.

All prices, both manufacturer and retail, exclude value-added-tax (VAT) and installation costs.

Methodology

The methodology behind the data remains true to our origins in that the industry participates in the research process, in many cases by providing BRG Building Solutions with annualised volume sales by product category per country and contacts for detailed expert interviews in all countries covered.

Our approach follows a multi-pronged strategy, gathering data inputs and information from many different sources. A further USP of BRG is the fact that we live and breathe the markets in which we specialise (bathroom, kitchen, plumbing & HVAC) and are in constant contact with manufacturers, distributors and other key influencers all of the time during our repeat annual research programme. The markets are built via a bottom-up approach. Extensive primary and secondary research complement the picture and provide all necessary insight for many

additional segmentations shown in the reports, like e.g. price segmentations, technical and end-use segmentations.

The reports are constantly evolving and refined based on industry feedback, and always reflect the latest developments in the industries.

All research is conducted in-house with a team of around 30 individuals who speak 20 different languages between them. As a result, we can transfer that knowledge and experience into services designed to assist stakeholders in understanding the opportunities available to them, at a fraction of that charged by the larger and less nimble global consultancies. BRG operates a policy of direct management of the team required to conduct the regular research work and avoids subcontracting its market studies to outside agencies.

The analysis has grown in complexity as the number of drivers affecting the markets grows, like e.g. economic uncertainty, construction cycles, new technologies, legislation. As a result, BRG Building Solutions considers all drivers through a holistic approach, recognising that products, end use segments and countries are all inter-linked.

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NETHERLANDS

BACKGROUND

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Geography and Demographics

The Netherlands, the largest country within the Kingdom of the Netherlands, is located in Western Europe, bordering Belgium to the south, Germany to the east and the North Sea to the west. The Kingdom of the Netherlands itself consists of 12 provinces across north-west Europe, each subdivided into municipalities, and three islands in the Caribbean. Commonly referred to as 'Holland', the Netherlands covers an area of 41,530 square kilometres (km²), of which 18.4% is waterways, lakes and inland seas.

The Netherlands has a temperate maritime climate with no extreme weather conditions, influenced by the North Sea and the Atlantic Ocean. Like other countries in north-western Europe, such as the UK and Belgium, the differences between the seasons are relatively limited, with temperatures varying between 2°C to 6°C in the winter and 17°C to 20°C in the summer. There is little climate variation between the regions of the country, due to its relatively small size. The Netherlands plays an important role globally, as a European centre for transport and transshipment, with the port of Rotterdam – the largest port in Europe – providing access to the rest of the continent. The country's transportation infrastructure reflects this importance, as it possesses 6,211 kilometres of navigable inland waterways. The Netherlands is also home to Europe's major rivers: the Rhine, the Meuse and the Schelde. The Netherlands is one of the most densely populated countries in the world. The most densely populated area is known as the Randstad, and includes the coastal regions of Amsterdam, Rotterdam and Utrecht.

According to the Dutch Statistical Office, the population of the Netherlands stood at almost 17.4 million on 31 December 2020, showing a moderate increase when compared to 2019, with a high density of 517 persons per square kilometre. Overall, the population of the Netherlands has grown strongly over the last few decades: between 1950 and 2019 the Dutch population increased by more than seven million. The total population of the Netherlands has increased considerably due to the enlargement of the European Union (EU), with many migrants arriving from other (mostly new) member states, such as Bulgaria and Romania. According to the Centraal Bureau Voor de Statistiek (CBS), the number of immigrants registering in the country increased in 2019, with an estimated 269,000 people settling in the country during the year, as compared to 243,000 in 2018. The upward trend has been witnessed since 2005.

Like other European countries, the Dutch population is ageing rather rapidly, with more than 19% of the population being over 65 years of age. Most of the Dutch population is of Dutch ancestry, accounting for around 90% of the total population, with the remainder being mostly of Moroccan, Turkish, or Surinamese ancestry. Dutch is the official language of the Netherlands, although English is also widely spoken. West Frisian, spoken in the northern province of Friesland, is also recognised as an official language, having a formal status in government correspondence in Friesland. The Dutch population has a strong reputation for

being able to speak a range of foreign languages, with around 90% of the total population being able to speak English, 70% German and another 30% French. Most Dutch people learn English from an early age, as English is a mandatory course in all secondary schools.

Macroeconomic Indicators

The Dutch economy is the seventh largest in Europe, with one of the continent's most mature financial markets and only moderate unemployment and inflation. Since 2016, the economy of the Netherlands has grown at a steady consistent rate. In 2020, however, it experienced a GDP decline of 5.4%, which is even stronger than the one they experienced in the previous crisis. The decline in GDP is attributed to the COVID-19 pandemic and the restrictive measures the governments around the world have placed. As the Dutch government is firmly internationally present, the disturbance of international trade and production chains, and the disruption of the international movement have heavily affected their economic activity. The COVID-19 pandemic has also caused the unemployment rate to rise in 2020 to 5.5%, this is an increase from the record low of 3.4% experienced in 2019. Even though the unemployment rate has risen, the Dutch unemployment is still considerably less than the eurozone average. Consumer spending fell in 2020 when compared to 2019, in particular the consumption of services, this was mainly due to the uncertainty around the economic outlook that the COVID-19 pandemic has created.

In stark contrast to this, government consumption has significantly increased due to the pandemic. This is down to the extensive spending the government undertook to reduce the economic effects of the COVID-19 pandemic. The housing market has been affected by the pandemic and the worsening economic situation; however, not as devastating than what was expected earlier in the year. This is because there is a clear discrepancy, as demand for housing outgrew the number of new dwellings built. This has led to an increase in the price of dwellings. The COVID-19 pandemic has been a disruption to the global economy and world trade; as a result, exports of goods and services suffered an exceptional decline as production and consumption are scaled back throughout the globe. The Dutch economy achieved a lesser decline than some of its peers in the eurozone. The non-housing segment experienced a drop in the output of new construction in 2020, mainly due to the COVID-19 pandemic and the economic effects. The construction of healthcare buildings is the only sector that avoided a drop in 2020, mainly due to the greying of the population.

The Dutch government has been taking proactive measures to deal with COVID-19 by implementing measures to protect its businesses and employees. With the ongoing crisis, the extension of several existing credit guarantee schemes has been announced. The number of loans eligible for the business loan guarantee scheme (*Garantie Ondernemingsfinanciering*, GO) has been increased as part of the COVID-19 measures. The GO offers an opportunity for large companies to obtain a 50% government guarantee on financings in the range of €1.5 million up to €150 million.

The government introduced the 'Emergency Fund Bridging Employment' programme called NOW (*Noodfonds Overbrugging Werkgelegenheid*). Employers can submit an application for a substantial contribution towards labour costs and receive an advance from the Insurance Administration Agency (UWV). The UWV will pay an advance payment up to 80% of the compensation requested. The Dutch government has said it will cover up to 90% of the wage bill of companies who see a significant decline in sales. Additionally, certain Dutch companies affected by the COVID-19 crisis can receive a one-time compensation from the Dutch government in the amount of €4,000 per company, to mitigate the direct impact of the measures taken by the Dutch government to prevent the further spread of COVID-19. Individuals or companies that employ staff and expect a turnover loss of at least 20% due to the COVID-19 crisis can claim compensation from the Dutch government for up to 90% of staff wages, for a period of up to three months. Throughout the year the NOW programme has been extended and the latest one, NOW 3 introduced in October 2020, is valid until July 2021.

Residential Construction

Overview

The global financial crisis of 2008/09 hit the Dutch residential construction market hard, with dramatic declines in residential completions being visible after 2010. The troubled housing market between 2010 and 2014 is typically attributed to the eurozone crisis, but this was in fact only partially the case, as the limited financial capabilities of households and companies to commission new construction was also a key contributing factor. In combination with many austerity measures, such as lower purchasing power and cabinet reforms, the situation affected consumers' willingness to buy new houses. Although the construction sector has shown signs of improvement since 2014, residential completions of both houses and apartments, remain well below pre-2009 levels. This low construction activity had led to a significant increase in the need for housing. According to industry sources, the housing need in the Netherlands stands at around 200,000 units and is further growing. According to Maxime Verhagen, the chairman of BOUWEND NEDERLAND, around one million additional dwellings will be required by 2040.

New housing completions for 2020 have, as expected, declined and are expected to do so in 2021 as a result of several factors such as the nitrogen emission problem, PFAS contamination in the soil and the effects of the COVID-19 pandemic. The abolition of the Nitrogen Approach Program by the Supreme Court in 2019 means that the government can no longer compensate for nitrogen emissions caused by new projects at a later date, but first must reduce these emissions before the new project can start. This ruling brought many construction projects to a halt as the government scrambled for measures to reduce emissions. Moreover, from 1 January 2021, the system for determining the energy performance of buildings will change. Both the indicators and the determination method for new and existing buildings are being renewed. All new construction projects will then have to comply with the new 'BENG' regulations (Nearly Energy-

Neutral Buildings), which are in alignment with the European EPBD. Construction of new houses and infrastructure will be particularly affected, as the coming year will be challenging for the construction sector.

Under Dutch law, there is no construction-specific legislation or regulation regarding COVID-19. It is acknowledged that there has been no work restriction for the construction industry. In the period 2022-2024, construction production is believed to increase again, and new home production is expected to grow significantly. Statistics Netherlands also expects the number of households looking for a home will be well above the number of available homes.

New Housing

For the first time since 2014, the Dutch new housing market witnessed a decline in 2020, after five years of constant growth, which was already anticipated because the nitrogen crisis with its effect on new building permits in 2019. In May 2019, the Council of State announced a ruling (*'Programma Aanpak Stikstof' (PAS)*) affecting the Dutch construction market, both residential and non-residential. From the 29 May 2019 until the 10 October 2019, local authorities were not allowed to issue new building permits, and this had a strong impact on building activity during this time but also in the short-term, affecting output in 2020. New residential completions, therefore, were already expected to decline in 2020, as well as 2021, due to a decrease in new building permits issued in 2019, even before nitrogen ruling, as well the effects of the nitrogen ruling over the summer of 2019. Due to the nitrogen ruling, many new building permit applications were not processed for around four months and even today, due to this ruling, new building application will take much longer than before.

In 2020, significant declines in new single-family homes were recorded, whereas more new apartment completions held up slightly better, but showing a drop in new output. New apartment completions grew faster in the larger cities, where demand for living space is most sought after. Another contributing factor to reduced new build demand was due to a lack of immediately available building locations and manpower of development firms. Another contributing factor is the limitation of local governments in allotting suitable locations to developers and preparing locations for construction. The country's economic performance is closely linked to developments in the residential housing market. Scarcity of construction labour and materials, reflected in significantly increased material prices and subcontractor fees, was also a significant factor in the decline of building permits. The developers probably postponed some of the projects until a time when either shortages are resolved to some extent, so that the costs are lower, or there is less possibility of delays to the realisation of the projects.

The COVID-19 pandemic's effect on the new housing market was less than anticipated earlier this year. This was down to a few factors, mainly that the government's financial safety measures have kept unemployment levels low among potential buyers. Furthermore, low interest rates have made home ownership somewhat affordable and attractive. Lastly, demand for new housing is

growing year on year because of the growing population and lesser supply of housing available.

In mid-2020, the Dutch government introduced a new housing incentive scheme for municipalities. From July 2020 municipalities received a financial contribution to accelerate the construction of affordable homes. The scheme is scheduled to run until the end of 2023 and a total budget of €1 billion was assigned to it. This so-called 'Residential Construction Stimulus Programme' (*Woningbouwimpuls*) aims to make new housing for people with a low or middle income in urban regions more accessible. In the first round a total of €290 million was awarded to 27 projects, which will result in 51.000 homes in 21 municipalities. The construction of the first homes will start within the next three years and the construction of the last homes will start within 10 years after allocation. This incentive scheme is likely to contribute to more new completions towards the end of the forecast period.

As mentioned before, the year 2020 showed a decline in new housing completions partly because of the impact of the COVID-19 pandemic, combined with the effects of the nitrogen crisis on the building permits in previous years. Although construction continued during H1 2020, despite the impact of COVID-19, a general slowdown in construction activities were recorded due to social distancing rules. In the second half, demand from project constructions started to catch up slowly and more movement has been observed. This is likely to delay and lower the overall output. In 2021, an even stronger decline is anticipated due to a drop in new building permits in 2019. Also, effects of the COVID-19 pandemic are likely to become more noticeable. New housing prices have been increasing in 2020 since the macroeconomic conditions have worsened. End users might be more cautious to invest in new houses by postponing their intention to see how the job market develops. New housing completions are expected to decline in 2021, but a strong recovery is anticipated from the year 2022 onwards. The expected decline in new build output for this year and next is largely because of the impact of the nitrogen crisis in recent years, combined with the effects of the COVID-19 health crisis. From 2022, the strong recovery is expected to benefit from government incentives such as the 'Residential Construction Stimulus Programme' (as introduced in 2020). Moreover, the effects of the COVID-19 pandemic and nitrogen crisis should have diminished by 2022. Towards the end of the forecast period, the growth rate is likely to stay strong and demand will compensate for the slow growth in previous years.

Housing RMI

Given that the Netherlands is a well-developed Western European country, sales to the existing housing market, including full bathroom renovations but also like-for-like replacement sales, account for the great majority of total bathroom and kitchen equipment sales per annum. Over the last decade, especially between 2009 and 2013, in turn due to impact of the banking crisis of 2008/2009, sales fluctuated, especially because of low investments from housing associations. The market sector has recovered strongly since 2014, in part due to the temporary lower VAT rate on renovation works for a limited period, and growth rates have varied since

2015.

Unlike the new housing sector, which suffered slightly, due to COVID-19 but also because of the nitrogen crisis, sales to the housing RMI segment performed remarkably well in 2020. Lockdown measures, the 'intelligent lockdown', actually helped the overall housing RMI market in the Netherlands, triggering home renovation projects, from small- to large-sized projects. The Netherlands, unlike all neighbouring countries, never went into full lockdown and only entered a so-called 'Intelligent Lockdown'. Whereas countries in the likes of the UK, France and Italy took drastic measures to prevent the spread of coronavirus by implementation of national lockdowns and limiting all non-essential travel, the Dutch government simply urged people to leave their homes as little as possible and work from home, with only bars and cafes, restaurants, gyms, schools and 'contact' professions forced to close. People were not forced to stay at home and could still move around freely as long as they kept 1.5 metres apart. Any offenders were fined €390. Additional measures have been implemented including the ban on all events or meetings with more than 100 people and banning flights from high-risk countries, such as Italy, Korea and China. Certain measures were loosened from June onwards, including the opening of the hospitality sector and 'contact professions' (e.g. hairdressers and beauty salons). Face masks are currently only mandatory on public transport, but people are urged to wear these in other public places, including shops and on the high streets.

Therefore, the health pandemic particularly helped the DIY sector in the Netherlands, with total sales up by +22% for 2020 as a whole, but also other types of retailers specialising in home improvement products, which experienced strong growth rates throughout the year, with growth, compared to the same period in 2019, varying from +14.9% to +36.3%, with the Q2 being the best performer (+30.6%) and Q4 being the poorest performer (+10.3%). These growth rates refer to total DIY sales, including paints, hardware and gardening materials, since sales of bathroom related equipment increased by around 12% in total, including all bathroom products, such as CSW, baths and showers but also (ceramic) tiles.

Smaller bathroom equipment, such as taps and mixers but also furniture and accessories, saw the highest sales increase, particularly benefiting from the uptake in DIY jobs. These products do not depend on full bathroom renovations in the same way as larger bathroom fittings, such as CSW and showers, since this segment of the market relies more on like-for-like replacement sales but also home improvements. Larger equipment, including baths and showers as well as CSW, saw weaker growth in 2020.

The existing housing market continued to slightly improve, with a similar growth rate as in 2019, and housing transactions rose further. Housing prices increased further (especially in the 'Randstad' area). Increased house prices counteracted the high share of negative equity and enabled homeowners to sell their dwellings and invest in new properties. The high number of permits, together with an ongoing high number of transactions of existing dwellings, with the addition of increased propensity of households to spend, and low interest rates have led to more

renovation orders from households. In H1 2020, housing corporations also increased the amount of renovation and maintenance works, following the improvement of their financial positions and a strong reorientation to renovation, but in H2 housing corporations were delaying such work because of the risk of COVID-19 infections.

Prior to the 2009 crisis, the Dutch housing market moved into a real estate bubble, with average dwelling prices skyrocketing, especially in the Randstad area; this was mainly based on an assumed surplus home value. When the housing bubble burst, it caused significant negative equity for many homeowners. This caused the housing market to move into lockdown, as homeowners felt trapped within their dwellings due to negative equity. The Dutch government put financial safety measures in place to maintain movement on the housing market. As dwelling prices have started to increase again, so has homeowners' motivation to move to a new house. Moving to a new house is, in general, an important stimulant for RMI activity in the Netherlands.

Growth in the RMI sector is seen as a positive driver for future developments, and property developers regard the future of the sector as bright. According to EUROCONSTRUCT, consumers have been investing more in renovations than in new build since 2010. Since 2017 the growth rate for RMI spending stabilised and it is expected that larger renovation projects, mostly the ones carried out by housing associations, will decline in 2021, before recovering again in 2022. Consumer confidence plays a vital part in the RMI segment, as poor consumer confidence may lead to reduced activity. Demand from the housing RMI sector in 2020 is stronger than previously expected and showed a minor increase for 2020. Since the start of the pandemic Dutch end users have been spending less on holidays and leisure activities. Instead, they are making use of available money and low interest rates to carry out like-for-like replacements.

Non-Residential Construction

Non-residential construction output, also including refurbishment activities, in the Netherlands has been characterised by large fluctuations, in value but also in surface area in square metres, over the last 15 years because it relies heavily on large scale construction projects, less so on RMI demand. Although output in new non-residential buildings has increased considerably in recent years, total construction output seen over the last few years still remains well below construction output seen before the banking crisis of 2009, with sales from the non-housing sector in 2020 still being some 40% below its 2009 peak. Most sales are aimed at commercial, including retail and hospitality buildings, healthcare, educational and office buildings. The construction of office buildings performed particularly well in the early- to mid-2000s, but this segment has suffered dramatically between 2009 and 2020, with construction output in 2020 only 15% of the 2009 output, whereas the construction of commercial buildings has particularly gained importance, from 11% in 2009 to 27% by 2020.

Total non-residential building activity fell strongly in 2020. This was mainly driven by the economic consequences of the COVID-19 pandemic, combined with the effects of the nitrogen emission ruling. This is a significant decrease of the new non-residential construction market when compared to 2019. According to EUROCONSTRUCT, declining rates can be credited to the strong decrease in industrial buildings, buildings for education, industrial facilities, storage and office buildings which drove the decline in the Netherlands. Unfavourable conditions for financing investments have led to a negative development of industrial construction.

With the changes seen in 2020, the anticipated slowing-down of the national and international economic development due to the COVID-19 crisis is likely to decrease non-housing construction for 2021. Demand from the non-housing sector is expected to see a slowdown since it relies more on the economic performance of the country. The construction of new buildings and infrastructure projects are likely to be affected during the coming year, but in the medium term this could benefit from the fact that a number of businesses and organisations have moved their offices from London to Amsterdam due to 'Brexit'.

The abolition of the Nitrogen Approach Program by the Supreme Court in 2019 means that the government can no longer compensate for nitrogen emissions caused by new projects at a later date, but first has to reduce nitrogen emissions before the new project can start. This ruling brought many construction projects to a halt as the government scrambled for measures to reduce emissions. Moreover, from January 2021 all new non-housing buildings must meet the revised Nearly Zero Energy Building (NZEB) requirements known as BENG. Stricter regulations are likely to contribute to more expensive new buildings, which will hinder a more rapid recovery after the COVID-19 crisis.

II.2 Key Figures

NL - DEMOGRAPHICS AND HOUSEHOLDS

Value	Year
Segmentation	Category
Demographics	Population (% Rural)
	Population (% Urban)
	Population ('000)
Households	Average Size (Persons h/h)
	Total ('000)
Persons per Household (% of Total)	1
	2
	3
	4
	5+

Source: BRG based on Country Statistics.

II.3 Macroeconomic Trends and Forecasts

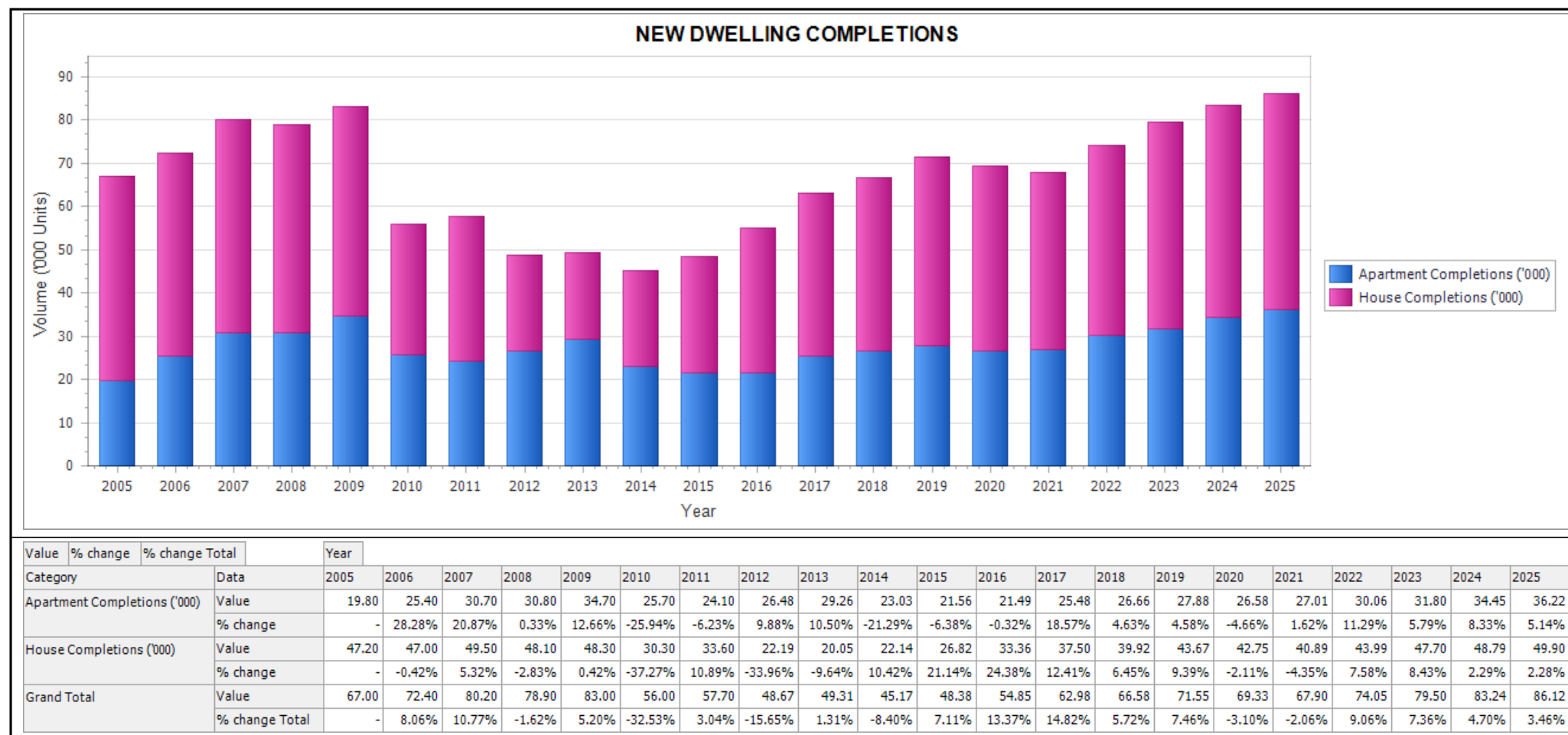
NL - MACROECONOMIC KEY INDICATORS

Value	Year																				
Category	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Consumer Price Index(% change)	1.95	1.71	1.59	1.66	0.69	1.81	2.45	3.31	1.30	- 0.14	0.45	0.75	1.20	1.79	2.71	0.87	1.43	1.54	1.60	1.65	1.75
GDP (% change)	2.05	3.46	3.77	2.17	- 3.67	1.34	1.55	- 1.03	- 0.13	1.42	1.96	2.19	2.91	2.36	1.68	- 3.80	3.50	2.99	1.82	1.59	1.51
Government Balance(% of GDP)	- 0.40	0.10	- 0.09	0.20	- 5.09	- 5.25	- 4.43	- 3.92	- 2.93	- 2.15	- 2.03	0.02	1.26	1.37	2.48	- 5.58	- 4.32	- 2.49	- 1.64	- 0.91	- 0.27
Household Saving Rate (% of Disposable Income)	2.49	1.79	1.75	3.63	7.49	5.74	6.64	8.30	8.55	9.86	9.55	10.25	8.79	9.12	10.01	18.20	16.44	0.00	0.00	0.00	0.00
Private Consumption (% change)	0.90	- 0.16	1.87	0.89	- 1.88	0.10	0.07	- 1.14	- 0.97	0.37	1.98	1.12	2.13	2.16	1.48	- 6.44	0.00	0.00	0.00	0.00	0.00
Unemployment Rate(%)	5.88	5.01	4.16	3.66	4.36	5.00	4.98	5.83	7.26	7.43	6.89	6.02	4.85	3.84	3.39	3.83	4.90	4.70	4.50	4.20	4.10

Source : IMF and OECD. N.B. Household Saving Rate and Private Consumption not Available for all Forecast Years

II.4 New Dwelling Construction

NL - NEW DWELLING COMPLETIONS ('000 UNITS)



Source: BRG based on Country Statistics.

II.5 Dwelling Stock by Type and Tenure
NL - DWELLING STOCK BY TYPE AND TENURE ('000 UNITS)

Value		Year
Segmentation	Category	2020
Dwelling Stock by Type	Apartments (%)	35.98
	Apartments ('000)	2 831.87
	Houses : Rural (%)	51.74
	Houses : Rural ('000)	4 072.08
	Houses : Urban (%)	12.27
	Houses : Urban ('000)	965.87
Dwelling Stock by Tenure	Primary Owned (%)	55.66
	Primary Owned ('000)	4 380.08
	Primary Rented : Private (%)	11.70
	Primary Rented : Private ('000)	920.75
	Primary Rented : Public (%)	28.27
	Primary Rented : Public ('000)	2 224.79

Source: BRG based on Country Statistics.

NETHERLANDS

DISTRIBUTION

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Overview

In the Netherlands, the majority of distribution for both bathroom and kitchen products is dominated by wholesalers but there is a rise in the popularity of specialist stores. Consumers have been found to spend significantly more at specialty stores than traditional brick stores, nearly 50% more on average.

Products such as sanitary ware, plastic cisterns, taps and mixers, baths and shower trays, and all kitchen products are mainly distributed through traditional wholesalers. In the case of bathroom accessories, shower accessories, bathroom furniture and hydrotherapy products, wholesalers tend to be less strong because more direct supply takes place (particularly to DIY stores).

In the Netherlands, baths and shower trays have historically been supplied through traditional structures with a dominant wholesaler. Over the years, the traditional distribution channel has kept its main structure and, taking into account the added value of this link in distribution, it is subject to change in the future. As the bathroom market is not normally susceptible to abrupt changes, the distribution chain is slowly adapting towards a more direct distribution flow. Easier purchasing and a more optimised logistic infrastructure encourage this trend.

Within the market for ceramic sanitary ware products, the wholesaler holds a strong position. However, in the coming years wholesalers are anticipated to decline slightly in share, as manufacturers increasingly sell through a multi-channel mix (often incorporating an online sales strategy) to guarantee robust market reach and growth potential.

Correspondingly, the tap and mixer market is leaning towards a direct distribution model, which is slowly taking over from the traditional (wholesaler) distribution structure. The lightweight, easily transportable and less technical nature of the product lends itself to direct online distribution, taking share from DIY and specialist retailers. The share of wholesalers has remained more stable, as they maintain an important function for manufacturers seeking to enter the Dutch market.

Regarding the distribution of shower wall products, a similarity is shown in the distribution of shower trays. As shower trays, walk-in showers and shower walls are often sold together as part of a package, their markets fluctuate in a similar way. The top six manufacturers for shower trays, including VILLEROY & BOCH and RIHO, are also involved in the shower wall market and largely distribute through wholesalers. Additionally, all conventional shower cubicles are also run through a wholesaler. Since only SEALSKIN, AQUALUX and SAMO distribute to specialists and the DIY market, most bath screens and shower enclosures are still distributed through a wholesaler.

The hydromassage bath and hydrotherapy cubicle markets are mainly distributed through DIY and specialist retailers, depending on the manufacturer involved. In

most cases the manufacturer supplies directly to the specialist and only a marginal share is sold via wholesalers. Most traditional German manufacturers, such as VILLEROY & BOCH, IDEAL STANDARD and GROHE, distribute through wholesalers.

The Dutch market for bathroom accessories is largely divided between domestic and foreign suppliers. Low-set market entry barriers are the main reason for this higher influence of international products, especially when compared to other bathroom categories. In the Netherlands, the traditional distribution flow – with a dominant wholesaler position – is not at all observable for bathroom accessories as it is for other product groups. Since bathroom products are convenient to store and distribute, the wholesaler loses its competitive edge in logistics and stocking within the distribution chain. Therefore, more products are directly supplied from the manufacturer to the retailer level, of which the DIY market is the most important entity. An additional trend is the shift towards online sales, which is noticeable on all levels. The simplicity of bathroom products, in terms of customer use and instalment, increases sales through internet channels. Manufacturers, wholesalers and DIY retailers are competing for a dominant position in the online channel. Also, specialists such as BADERIE have joined with a 'bricks and clicks' strategy. In the upcoming years, the stable demand for full bathroom renovations, through specialists, correlates to the sales of bathroom accessories through this channel.

Domestic players such as TIGER, HACEKA and GEESA take up a substantial percentage of the bathroom accessories market, but the largest market volume is believed to be imported. An important foreign supplier is IKEA, whose production is 59% located in Europe and the rest is manufactured in the Far East. Most bathroom accessories in leading DIY stores are supplied by domestic players such as TIGER and HACEKA, and foreign suppliers such as KEUCO and IKEA. HACEKA no longer produces all of its products, as a part of its range is sourced from OEM suppliers; however, its best-selling product categories are still produced or assembled domestically.

The market for bathroom furniture is saturated, with many market players. A wide range of price ranges are available, including many bottom-shelf products. With many companies offering the convenience of home delivery, bathroom furniture has become more and more available online. The DIY market remains important, and so too are specialist retailers, as customers prefer to test products. The DIY and specialist markets are growing towards one another. As with most DIY-popular products, bathroom furniture is easily distributed and tends to require less technical knowledge for instalments so these products have a high tendency to be sold through online markets. The replacement market, therefore, is very sensitive to new market players, which are usually influenced by international players and imported from Asian players.

In almost every case, kitchen sinks are combined and installed with a countertop. Therefore, most distribution flows from worktop manufacturers to wholesalers and specialists. It is unlikely to be done through the DIY segment. Showrooms are, therefore, essential for distribution and play a most important role. Although the

sales and distribution of taps and mixers and kitchen sinks continue, other market players, such as GROHE and QUOOKER, are more specialised in this segment. GROHE, a major German market player also in the Netherlands, goes through the wholesaler. Therefore, the distribution is very similar to that of taps and mixers.

Wholesale Level

Historically, the wholesaler has worked its way into the distribution and supply structure. The currently-held position is strong, and it plays a vital role as a growth driver of the economy of the Netherlands. In its dominant position, the wholesale trade maintains the relationship between manufacturers and consumers in the Dutch market. The link between the different levels within the distribution system is less transparent to consumers than it is to manufacturers. While the wholesaler is unlikely to lose its favourable position within the Dutch distribution system, a recent difficult economic situation has led the market to look for a more direct distribution system, somewhat loosening its strong position. Direct distribution will gradually be applied more throughout the distribution system, especially for smaller brands seeking access to the Dutch market.

The wholesaler keeps playing a vital role as a partner in logistics and stockholding, especially for larger bathroom items. A shift is gradually taking place – from the manufacturer-to-professional installer relationship towards a more direct channel. Due to this market transition, DIY, specialist retailers and wholesalers are losing out, whereas the internet channel is slowly increasing in importance as a sales channel. This notable increase is apparent throughout all levels in the distribution chain. Over the years, the wholesaler's role has softened but remains vital.

Dutch wholesale associations are represented by the NEDERLANDS VERBOND VAN DE GROOTHANDEL (NVG), the coordinating organisation for around 40 industry associations and 200 individual wholesale companies. The number of Dutch wholesalers involved in the distribution of building products has remained relatively stable.

The Dutch wholesale trade is strong and mainly dominated by TECHNISCHE UNIE, PLIEGER and VEGRO. Other important players in the market are GALVANO and WASCO. Brands that often supply through wholesalers include BRUYNZEEL, DUSCHOLUX, GEBERIT, GROHE, HOESCH, IDEAL STANDARD, KUDI, NOVELLINI, RIHO, VILLEROY & BOCH, WISA and HANSGROHE. Several wholesalers are indirectly supplying the consumer market through franchise retail operations, such as the pure internet DIY retailer INSTALLAND and the specialist BAD & BODY showrooms.

In the Netherlands, TECHNISCHE UNIE is by far the largest technical wholesaler, but is also active in multiple sectors. With more than 280,000 products and over 700 suppliers, it is also active in sanitary, heating and ventilation products. A more specialised wholesaler in sanitary and heating products is PLIEGER, which is active on a national level, has 750 employees and offers over 150,000 products. Part of the PLIEGER GROUP is the technical wholesaler THERMONOORD, which

specialises in HVAC equipment. Another wholesaler with national coverage is VEGRO, which mainly specialises in caretaking products and accessories for bathrooms.

As wholesalers include many other product categories, such as paint, tiles, wood, sanitary ware and more, this report is concerned with general builders' merchants which are united in the HIBIN association, and sanitary/heating wholesalers such as PLIEGER and TECHNISCHE UNIE. KONINKELIJKE HIBIN is an industry association for the building trade and has some 170 members with 420 branches. The overall size of the Dutch wholesale trade has grown rapidly due to the increasing demand for metal products, but also due to the blossoming economies in the Far East and Eastern Europe.

With housing markets recovering, the difficult times seem to have passed for the Dutch wholesale segment and a new change has surfaced, as many smaller manufacturers are looking into establishing a more direct supply. Many large manufacturers are trying out new possibilities and seeing the advantages of a more direct distribution. Therefore, it is expected that direct supply will continue to increase further on the Dutch market. Wholesalers, on the other hand, are also inspecting their possibilities through internet sales – to remain a gateway for international brands to the Dutch market.

Retail Level

Specialists, wholesalers and struggling DIY retailers are looking into a multi-channel product mix with an online strategy. Although the Internet is used by everyone in an informative way to present the company and catalogues, several players are also using it as a new sales channel in the form of a web shop. Nevertheless, the advantage of being able to touch and feel the product continues to be a crucial factor for retailers.

DIY Retailers

The Dutch DIY retail trade is a combination of different store types, including DIY chains, hardware stores, paint and wallpaper shops, and other DIY stores. The overall number of stores is annually decreasing, particularly for smaller-format stores. The larger DIY chains are often located outside built-up areas, such as in industrial areas or along motorways, while traditional stores are often located in shopping areas. The DIY market is normally for customers who are renovating a certain part of their bathroom, as it is particularly relevant for the distribution of shower accessories, bathroom accessories, and taps and mixers. Often, the product itself is installed by an acquaintance or relative.

An observable trend is the convergence of the DIY industry and specialists, with both industries growing towards each other. DIY retailers are giving a more and more complete offer to customers, in terms of price, choice and functionality. To ensure their competitive edge, retailers are forced to reinvent themselves, and are implementing online sales strategies and offer extra convenience services such as

home delivery and installation. As they continue to develop, offering a full product range, they are becoming a direct competitor to specialists, although specialist retailers are less present online with web shops. Many customers use the DIY retailer as a showroom and eventually order online, where DIY competes with other web shops. INSTALLAND and HANDYMAN are examples of pure online DIY stores.

During the fiscal crisis, the Dutch DIY retail trade has been subject to the difficult housing market, characterised by low consumer confidence and a poor economic climate. During the recent past, the flourishing housing market has passed its decade low and is recovering. DIY is also often directly competing with other economy-priced distribution channels, such as online retailers.

Most of the large-scale DIY stores are members of the VWDHZ (the association of stores in the DIY industry). The VWDHZ represents the interests of its members and is the main point of contact for the overall industry, and its members are DGN RETAIL, HORNBACH BOUWMARKT, INKOOPCOOPERATIE BOUWEN EN WONEN (IBW), INTERGAMMA, FORMIDO BOUWMARKTEN, KLUSWIJK, VERENIGING FRANCHISENEMERS INTERGAMMA, PRAXIS AANGESLOTEN BEDRIJVEN (PAB), and STICHTING FORMIDO FRANCHISENEMERS.

Nowadays, around 80% of total DIY sales are carried out via DIY chains. The Dutch DIY industry includes megastore formulas, such as INTERGAMMA (GAMMA and KARWEI), MAXEDA (PRAXIS), BAUHAUS and HORNBACH. INTERGAMMA dominates the market, followed by MAXEDA's PRAXIS brand (with the FORMIDO brand no longer being used) (PRAXIS/FORMIDO), the German HORNBACH, and DGN RETAIL. The small store market is dominated by DGN RETAIL, with its MULTIMATE, HUBO and FIXET branches, ENORM and HANDYMAN. The players in the 'greener' DIY segment include AGRI RETAIL, BOERENBOND and WELKOOP. The Swiss BAUHAUS opened its first store in Groningen and opened its second construction centre in early 2017 with goals of further expansion.

The market is slowly shifting towards a direct distribution channel, where the DIY stores are facing market losses and challenges compared to specialists and direct-selling wholesalers. Due to this market transition, DIY retailers and specialist retailers, but also wholesalers, are losing share to internet channels and the latter is gradually increasing in importance. This notable increase is apparent throughout all levels in the distribution flow.

Specialist/Other Retailers

Specialist and other retailers are most important for consumers looking to buy or renovate their whole kitchens or bathrooms. Specialists use showrooms to present the latest novelties, features and innovations within the industry. Consumers looking to renovate or refurbish their bathrooms or kitchen by a professional are best off with a specialist.

Specialist bathroom retailers generally play an important role in the distribution of bathroom products in the Netherlands, although their importance is considerably smaller in the shower and bathroom accessories markets. Within this sector, there are several important franchise chains of installer-owned retailers such as MIJN BAD, BADERIE, INSTALCENTER, VIHAMIJ, BAD & BODY, GRANDO, BRUGMAN, SANIDROME, SANITIEM and SANIDUMP. There are also some smaller chains that have been set up by wholesalers.

As the housing market continues recovering, the number of specialists is expected to recover as well. The benefit of specialist retailers allows consumers to touch and feel a product and to make use of the full-package instalment. Although the online environment requires every business to reinvent itself, only a few specialists – such as GRANDO and BADERIE – have online web shops.

The importance of furniture retailers is estimated to be small but growing. While a large share of this segment is taken up by IKEA, the company has significantly increased its presence in bathroom and kitchen product distribution in the Netherlands over the past few years and is forecast to continue to gain market share. Direct supply from manufacturers or importers to consumers is marginal, at 1%, in the Netherlands. The Dutch market is structured in such a way that wholesalers generally only deal with the trade, not with consumers.

Internet Retailers

The online market for bathroom and kitchen products is expected to become more competitive over the years. This trend is driven by two factors in the market. Firstly, online retailers use multi-channel strategies to strengthen their positions on the internet market. As suppliers aim to have a complete-as-possible product range, they expand their online target audiences by relevance, allowing the customers to find the products they need. As a result, the Dutch online market becomes more competitive – with both national and international brands. Secondly, the online low market entry barriers, due to the retailers' objective to have a full product range, become an opportunity for other manufacturers to increase their target audiences. An online retailer and 'click-and-collect' will look to complete its online product range to become a more relevant supplier online.

The key players in the online retail landscape are BADERIE, BADKAMERWINKEL, BADKAMERXXL and BADKAMER. These online players apply different strategies: DIY players such as PRAXIS, GAMMA and KARWEI provide online ordering, purchasing and home delivery to limit overhead expenses, whereas other players such as BADERIE, BADKAMERXXL and BADKAMERWINKEL provide a combination of an online web shop and, usually, at least one showroom to assist customers in every possible way in their search for a new bathroom or kitchen – with a focus on customer service and experience.

Slowly, the online retail landscape has been reforming the traditional market, allowing brands to gain access to a larger target audience. Involved players within the distribution flow, including wholesalers, DIY stores, and to a lesser degree

specialists, have entered the online retail landscape with web shops.

Pure internet players are increasing in importance, taking share of the wholesale and, especially, the DIY industry. Since online sales require a higher level of product knowledge, the specialist retailers are not expected to lose as much share. The advantage of specialists is their ability to sell local and allow consumers to touch, feel and experience the products.

Buyer level

The traditional way of how supply and demand works has been shifting. The methods for how a customer does research and makes purchases have changed. As a result, the supply side had to answer to these changes – thus creating fiercer competition between retailers. This disruptive trend is occurring on the internet market, as DIY retailers, specialists and wholesalers are joining in on sales via the Internet. All parties are seeking direct consumer reach and increasing target audiences. While a consumer's needs stay the same, shopping behaviour and research approaches have changed. Customers do their primary research online and can be divided into the ones who possess product knowledge (DIY shoppers) and the ones who do not (specialists' clients).

Clients with product knowledge used to go to DIY stores to make their purchases. Nowadays, they use the DIY retailer as a showroom and order the products online afterwards from a great pool of internet retailers. They do not require a lot of trust concerning the installation, since the installation is done by themselves. The majority are found in the renovation market, for renewing parts of the bathroom.

The other kind of customer is the one who is lacking product knowledge. This customer depends on the specialist, with a showroom, for a full bathroom job. These customers rely on the service and must trust the expertise of the specialist. Several specialists offer full bathroom installations online and use their local level of reliability to win over the sales from online DIY retailers.

III.2 Summary of Leading Distributors

NL - SUMMARY OF LEADING DISTRIBUTORS

Holding	Trading Name	Distributor Type	General Product Orientation Profile	Turnover		Home Market Coverage		Specific Product Orientation										
				Year End	€ million	No. of Depots	Geographical Coverage	Specialist					Specialist				Other	
								Heat	Bath	Plumbing	Vent/ Aircon	Tiles	Building Materials	Timber	Insulation	Roof	Other	Specify
PLIEGER	PLIEGER B.V.	Wholesaler	Heating and Sanitary/Plumbing	2019	250.9	61	Netherlands	XX	XXX	X	X	X						
RENSA GROUP	RENSA GROEP B.V.	Wholesaler	Heating and Sanitary/Plumbing	2019	710.4	28	Netherlands	XXX		XX	XX							
SAINT-GOBAIN	GALVANO GROOTHANDEL B.V.	Wholesaler	Heating and Sanitary/Plumbing	2006	83.8	3	Netherlands	X	XXX	XX			XX					
SAINT-GOBAIN	RAAB KARCHER NEDERLAND	Mixed Merchant	Heating and Sanitary/Plumbing	2008	607	32	Netherlands		XXX	X	X	X		XXX	X		X	
SOLAR GROUP	SOLAR NEDERLAND B.V.	Wholesaler	Heating and Sanitary/Plumbing	2009	371.1	19	Netherlands	XX	XXX									
SONEPAR	TECHNISCHE UNIE B.V.	Mixed Merchant	Heating and Sanitary/Plumbing	2006	900	43	Netherlands	XXX	XXX		XX		X				XX	Electronics
VIHAMIJ	VIHAMIJ HANDEL B.V.	Wholesaler	Heating and Sanitary/Plumbing	2016	23.7	37	Netherlands / Belgium	XXX	X	XX	XX		XX		XX	XX		
WOLSELEY	WASCO HOLDING B.V.	Mixed Merchant	Heating and Sanitary/Plumbing	2018	270	34	Netherlands	XXX	X		XX	X						
EK SERVICE GROUP	DGN RETAIL B.V.	DIY Retailer	General Retailer	2017	106.4	282	Netherlands	X	XX	X	X	X	XX	X	X	X		
HORNBACH	HORNBACH BOUWMARKT (NEDERLAND) B.V.	DIY Retailer	General Retailer	2010	981.7	15	European Wide	X	XXX	XX	X	X	XX	X	X	X		
INTERGAMMA	INTERGAMMA NEDERLAND B.V.	DIY Retailer	General Retailer	2015	993.8	298	Netherlands / Belgium	X	XXX	XX	X	X	XX	X	X	X		
BAUHAUS	BAUHAUS NEDERLAND B.V.	DIY Retailer	General Retailer	N/A	N/A	4	European Wide	XX	XXX	X	X	X	X		X	X		
MAXEDA	MAXEDA DIY B.V.	DIY Retailer	General Retailer	2019	1 390.0	345	Netherlands / Belgium	X	XXX	XX	X	X	XX	X	X	X		

Source : BRG Based on Company Financials

x = marginal activity

xx = substantial activity

xxx = core activity

NETHERLANDS

BATHS AND SHOWER TRAYS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Over the years, the Netherlands has become a showering nation; however, baths remain relatively popular, particularly for families with young children. The Netherlands is one of the few countries in Europe in which the annual sales of baths are still relatively high. Nowadays, however, baths are becoming somewhat more of a luxury item. Homeowners do not see the benefits of having a bath, due to time constraints, and showers are considered a better alternative.

Despite the popularity of baths, the Dutch bath market has been on a significant downward trend since 2006. In general, the bath market has been affected by a continuing trend towards showering, away from bathing. The shower tray market, however, has also been declining since 2005, when shower drains (normally for use in walk-in showers) were introduced by RM & CØ SANITAIR BV. This has been so successful that several companies, including GEBERIT, VIEGA and ASSENTI, have also started to sell similar products on the market. The rise in popularity of walk-in showers was supported by a general trend towards wet shower rooms. These developments, combined with the economic downturn in previous years, have led to a significant drop in sales of both baths and shower trays in the Netherlands over the last decade.

Historically, both the bath and shower tray markets in the Netherlands were dominated by steel products, but since 1992 sales of steel products have been falling sharply, due to the rapidly increasing popularity of synthetic products. During the 1990s, the overall market continued to grow per annum, as sales of synthetic baths and shower trays made up for the losses recorded in the steel segment. In the early 2000s, the shower tray and bath markets showed a decrease in sales volumes for the first time in over 10 years. This was in line with the overall economic situation in the Netherlands. The cast iron market in the country is rather small. There is only a small market for cast iron baths, while there is no viable market for cast iron shower trays.

Hydrotherapy products became something of a 'fad' in the Netherlands during the 1990s, but the market has declined considerably since 2007 as these products are very sensitive to macroeconomic shifts. The main reason for growth within this segment was the fact that bathrooms became more important to Dutch consumers, resulting in larger bathrooms and the purchase of more luxurious products. The consensus in the market now is that, although there is a trend towards viewing the bathroom as a place of relaxation, consumers are increasingly looking for affordable bathroom products.

The Dutch hydrotherapy market has historically been led by hydromassage baths, and this segment is by far the oldest in the hydrotherapy market. The market goes back to the 1980s, when these baths were introduced for the first time. From their introduction onwards, sales of hydromassage baths demonstrated strong growth. A significant factor in the increasing popularity of the hydrotherapy bath segment was

that the products could be installed relatively cheaply at home. Sales of hydrotherapy baths have deteriorated in recent years, due to the cyclical nature of the maturing market. Nowadays, this market consists of bespoke baths and retrofit baths, in which hydrotherapy components ('jets') are installed in a traditional bath.

Recent Market Trends

Despite more challenging (global) trading conditions, in turn due to the impact of COVID-19, favourable developments were seen on the market for both baths and shower trays in the Netherlands, which continued to grow further in 2020. Like other segments of the Dutch bathroom market, although to a lesser extent compared to smaller bathroom items, baths and shower trays may have benefited from measures implemented to tackle the COVID-19 pandemic. COVID-19, for example, led to consumers spending more time indoors due to social distancing and asked to work from home. Since employees did not need to commute to the office on a daily basis, more free time became available to spend on (home) decoration projects. Travel expenses, to travel to and from work, with most people working from home fulltime, also largely disappeared in 2020, making it easier to free up money for home renovation projects, such as bathrooms. Due to travel restrictions, international travel was often not allowed, or possible, and money that would normally be spent on (international) holidays was used by an increasing number of households to invest in bathrooms and/or kitchens.

Sales of baths only increased marginally in 2020 as overall growth rates were hampered due to a strong decline in sales of steel baths, but synthetic bath sales continued to grow further. Growth rates on the overall bath market was also negatively affected by the decline in new housing output, largely due to the impact of the nitrogen crisis in 2019, combined with a strong decline in sales to the non-housing sector, both hampering market growth, but housing RMI sales continued to gain importance. DIY gained share in 2020 and brands that are predominantly sold through stores, such as SEALSKIN, AQUAVIVE and VAN MARCKE, witnessed higher growth rates compared to the brands sold through bathroom retailers. The importance of baths, when compared to showers, including shower drains and shower trays, has weakened dramatically over the last 15 years but baths are slowly gaining share again. The 'bath-out, shower-in' trend is today not as prevalent as it used to be since many consumers are again opting for a bath, either conventional or hydromassage, especially in families with younger children but also for consumers that are looking for a bathroom in which they can enjoy a relaxing bath. Baths are no longer characterised by traditional baths, fitted into the corner of the bathrooms, but are becoming more spacious and luxurious. The Dutch bath market is developing in favour of semi-freestanding and freestanding baths, combined with the use of more colours and slim edges.

Shower trays, as opposed to baths, performed significantly better in 2020, which indicates that showers continue to gain share on the Dutch bath and shower tray market, combined with the fact that wet rooms are slowly giving way to shower trays, benefiting the latter. Ever since their introduction to the market, in the early-to mid-2000s, shower drains, or shower channels, have gained share rapidly, but in

more recent years, the share of these shower drains has weakened which, in turn, has benefited demand for shower trays. As with baths, growth rates were hampered due to reduced demand from the new and non-housing end-use sectors. The solid growth rates seen on the shower tray market in 2020 was, therefore, entirely the result of strong demand from the housing RMI segment.

Consumer trends seen on the market in 2020 were largely in line with trends seen in previous years, with freestanding baths continuing to remain popular but also 'semi-freestanding' models, which is quite an interesting development given the small size of Dutch bathrooms. Freestanding baths are a very hot topic in the Netherlands, getting a lot of social media coverage as well on television, driving consumer demand, since it can make the bathroom look more luxurious. Average prices for these types of baths are declining, making them a lot more affordable, available in many different material types. Semi-freestanding baths have also gained importance in recent years, more suitable for smaller bathrooms but still giving the bathroom a more 'elegant' look compared to conventional baths.

Trends on the shower tray market are clearly developing towards flat shower trays, in direct competition with wet rooms using shower trays, with many players having introduced a wide variety of flat, floor level, shower trays. IDEAL STANDARD has recently launched the ULTRA FLAT floor level shower tray but also HUPPE with the EASYFLAT shower trays. The shower tray market is also benefiting from growing demand for mineral cast shower trays. Mineral cast shower trays are increasingly preferred due to the fact that these are a relatively flat, making them better suitable for walk-in showers compared to their acrylic counterpart, and their lifespan is also longer since mineral cast trays are stronger and, therefore, more durable. Increasing competition is affecting prices, which generally speaking have decreased, largely due to rising imports, especially from Southern European countries, such as Spain and France, but also from Eastern Europe.

Prices and Market Values

The Netherlands can be classified as a medium-priced market, with the great majority of baths sold into the middle price segment. Although sales to the middle price segment have remained stable over the last five years, sales to the upper/luxury price segments have gained importance, which is predominantly because sales of mineral cast and solid surface has gained importance, affecting average prices. That being said, the rising share of private label, especially in DIY stores, combined with a growing e-commerce market, has largely offset strong price increases in recent years. All leading players, including VILLEROY & BOCH, RIHO, GEBERIT and SEALSKIN, mostly target the middle price segments, whereas brands sold through DIY stores and online retailers largely target the lower price segments.

As mentioned above, average prices of both baths and shower trays, especially synthetic models, have remained fairly stable over the last number of years despite changes in sales per price segment. Although most manufacturers tend to annually increase their prices, in turn due to higher raw material and labour costs, changing

distribution patterns, growing share of private label sales and increased competition are keeping prices relatively stable. Prices for steel baths and shower trays, which are high in comparison to other materials, are increasing – firstly due to the preference for other materials and poor economies of scale, and secondly as raw material prices rise. There has put significant pressure on prices for synthetic shower trays and baths, as the market is flooded with a vast array of product choices.

In 2020, average prices for all synthetic products, including hydromassage baths, increased further, whereas the MSP for cast iron and steel baths dropped further, so did the MSP for steel shower trays. The MSP for synthetic shower trays rose mostly due to a change in sales per price segment, with a strong increase in sales to the upper/luxury price segment, largely due to a faster uptake of sales of mineral cast shower trays. In regard to synthetic baths, sales per price segment remained stable but prices rose mostly due to growth seen in solid surface bath sales, as opposed to of acrylic baths. Despite the challenging economic climate, most manufacturers continued to increase their prices, but changes in distribution patterns seem to have hampered prices from increasing even stronger. Prices for steel baths and shower trays declined due to a shift away from the higher price segments in favour of economy priced products, whereas the MSP for cast iron declined dramatically due a change in supply, with the share of imports from Portugal growing but declining imports from the UK.

New Housing

The new housing segments remains to be a relatively important end-use segment, especially for baths, which has gained importance over the last 15 years since baths are losing share at a faster rate in renovation projects compared to the new housing sector. Baths, in general, have been falling victim due to the growing preference towards showering, combined with the fact that dwellings, but especially bathrooms, are becoming smaller, meaning that there might not be enough space for the installation of a bath. Whereas in 2005, still more than 43% of dwellings were fitted with a bath, by 2020 this share had dropped to 35%.

Sales of baths, but also shower trays to a certain extent, to the new housing sector are hampered by the fact that the Dutch construction market is characterised by a high share of dwellings owned, and built, by housing associations. Housing associations in the Netherlands own around 42 to 45% of the total housing stock, although this share has fluctuated in recent years (from 43.6% in 2017 to 42.5% in 2019). Most dwellings built by housing associations have only basic and standard bathroom equipment installed, with a bath being a rare feature, since wet rooms, using a cheap shower drain output are preferred. Dwellings that are privately owned will have a higher share of baths, but even in these dwellings the share of baths has declined.

In 2020, sales of baths and shower trays to the new housing sector declined slightly. This decline is mostly the result of the nitrogen crisis, and less so because of the COVID-19 pandemic. In May 2019, the Council of State announced a ruling

(‘*Programma Aanpak Stikstof*’ (PAS)) affecting the Dutch construction market, both residential and non-residential. From 29 May 2019 until 10 October 2019, local authorities were not allowed to issue new building permits, and this had a strong impact on building activity during this time but also in the short term, affecting output in 2020. New residential completions, therefore, were already expected to decline in 2020, as well as 2021, due to a decrease in new issues of building permits in 2019, even before the nitrogen ruling, as well the effects of the nitrogen ruling over the summer of 2019. Due to the nitrogen ruling, many new building permit applications were not processed for around four months and even today, due to this ruling, new building applications will take much longer than before.

Housing RMI

Most baths and shower trays are aimed at the housing RMI market, which is no surprise given that the Netherlands is a well-developed Western European country, with an advanced economy. That being said, sales of both baths and shower trays have not developed well over the last 15 years, with the 2020 RMI sales volumes of these two product categories combined being some 37% below their 2005 levels, which reached their lowest sales volumes in 2014. Both market segments have faced strong competition over the years, mostly beyond their own product family, with baths being negatively affected by the growing shift towards showers, including shower drains, and shower trays being affected by the growing preference for shower drains, accelerating from 2002 onwards.

In the housing RMI sector, baths have suffered the most, with sales in 2020 being some 48% below 2005 sales levels, whereas shower trays have held up much better, with sales in 2020 being ‘only’ 16% below their 2005 peak. Baths, as opposed to shower trays, have mostly been negatively affected by the ‘bath-out, shower-in’ trend, which has accelerated in recent years. Whereas in the 1990s, according to official statistics, still over 22% of Dutch dwellings had bath or bath/shower combination, by 2012 this had already dropped to around 15% and is currently estimated to have reached around 11% in 2020. Showers, either with or without a bath, on the other hand, have gained share year-by-year, from 78% in 1998 to 85% by 2012, to have reached around 88 to 90% by 2020.

RMI sales for shower trays, in contrast to baths, have particularly fallen victim due to fast uptake of shower drains, but also the cheaper version, the shower drain outlet, largely used in housing corporations. The EASYDRAIN, in particular, had a strong negative impact on sales of shower trays in the Netherlands, which was introduced to the Dutch market in 2002 and remains to be the clear market leader. Many other companies, including VIEGA and GEBERIT, have also started to offer these in the Netherlands, but EASY SANITARY SOLUTIONS (ESS), the company behind the EASYDRAIN, remains to be the market leader. It is understood that nowadays more than 55 to 60% of total shower installations in the housing RMI sector are accounted for by shower drains, compared to around 20 to 25% in the mid-2000s, which is lower compared to the penetration of shower drains in the new housing sector since installation in existing bathrooms is more expensive since these are more labour extensive.

Sales of (new) bathrooms are closely linked to the number of home movers since many bathrooms are often renovated when consumers move into a new dwelling. According to a recent study by ZOOFY, around 32% of bathrooms are renovated after moving into a new property. The number of home movers has almost grown consistently over the last decade, with only 2009, 2018 and 2019, showing a decline, which most likely affected growth rates for baths and showers.

Sales to the housing RMI sector performed well in 2020, especially for shower trays, largely benefiting from measures implemented by the government to tackle the COVID-19 pandemic. The Netherlands, unlike most neighbouring countries, never went into full lockdown in 2020 and only entered a so-called 'intelligent lockdown'. Whereas countries in the likes of the UK, France and Italy took drastic measures to prevent the spread of coronavirus by implementation of national lockdowns and limiting all non-essential travel, the Dutch government simply urged people to leave their homes as little as possible and work from home, with only bars and cafes, restaurants, gyms, schools and 'contact' professions forced to close. People were not forced to stay at home and could still move around freely as long as they kept 1.5 metres apart. This, in turn, benefited sales of most bathroom related products since consumers spend a lot more time indoors due to social distancing and asked to work from home. Since employees did not need to commute to the office on a daily basis, more free time became available to spend on (home) decoration projects. Due to travel restrictions, international travel was often not allowed, or possible, and money that would normally be spent on (international) holidays was used by an increasing number of households to invest in bathrooms and/or kitchens. Travel expenses, to travel to and from work, with most people working from home fulltime, also largely disappeared in 2020, making it easier to free up money for home renovation projects, such as bathrooms.

Non-Housing

Sales of baths and showers, including wet rooms using shower drains, has fluctuated quite strongly over the last 15 years, relying mostly on large scale construction projects, such as hospitality buildings but also healthcare and educational buildings, which peaked in 2007/2008. Total new non-residential construction output in 2020 was some 40% below its 2007/2008 peak. At the same time, the importance of the non-residential sector is quite low for both baths and shower trays since most non-residential buildings, including hotels, mostly use shower drains, either for aesthetic reasons or sanitary reasons. Baths and shower trays are almost only installed in hospitality buildings, whereas healthcare and educational buildings often only use wet rooms.

In 2020, the number of new and refurbished hotel rooms dropped to around 7,900 hotel rooms, indicating a decline of over 31%, declining for the second consecutive year. Many of these new hotels were opened in the larger cities, including Amsterdam which included the 'Rosewood Hotel Prinsengracht' (140 rooms), the 'Hotel nhow Amsterdam RAI' (650 rooms), the 'Hard Rock Hotel Amsterdam American' (173 rooms), the 'Van Der Valk Hotel Amsterdam Zuidas' (234 rooms)

and the 'INNTEL' (300 rooms). Sales to healthcare and educational buildings, when compared to hospitality buildings, performed much better in 2020 largely driven by an increase in sales to healthcare buildings (+5.7%), although sales to educational buildings (-4.8%) declined. Educational buildings, in particular, rely on large construction projects, especially the ones carried out by universities and research institutes, such as the University of Groningen in recent years. However, the increase in sales to healthcare buildings was not enough to offset the decline in sales to hospitality buildings, meaning total sales of baths and showers declined dramatically in 2020 and should not return to growth before 2022.

Supply Structure

The overall market for baths and shower trays in the Netherlands is a rather fragmented market, consisting of a variety of brands sold across different price ranges and distribution channels, which has undergone considerable changes over the last two decades, largely characterised by growing imports. Domestic supply remains strong, limited to synthetic baths, including hydromassage, and synthetic shower trays since steel products are all imported, mostly from Germany, but rising imports have affected supply over the last 15 years. That being said, some of 'domestic' players, such as RIHO, do not actually produce these locally but source them from their foreign production sites.

There remains to be a very small market for cast iron baths. No domestic production takes place. Most of these baths are imported on an adhoc basis, depending on client demand, and delivery times, therefore, can vary greatly, from a few days to a few weeks. Baths are either imported from Portugal, Italy or the UK, and include players such as ARROLL (UK), DEVON & DEVON (IT) and RECOR (PT). Average prices tend to fluctuate strongly per annum, with prices affected by the country of origin, with imports from the UK being particularly high priced.

The steel bath and shower tray market can be considered an 'extension' of the German market, with BETTE and KALDEWEI dominating annual supply, especially in more recent years. The supply of steel has undergone some significant changes over the last few years, characterised by a strong decline in Spanish imports, accounted for by ROCA, whereas German imports have held up much better but still showing a declining sales trend. BETTE dominates the overall market. ROCA has historically been preferred in project sales, mostly new housing, but sales to this segment seems to have declined dramatically in recent years. ROCA's steel product range is distributed by LAUFEN. Both BETTE and KALDEWEI no longer have official subsidiaries, or agents, in the Netherlands and the Dutch market is dealt with from the German head office, with account managers responsible for the Netherlands.

As mentioned, traditional domestic manufacturers continue to dominate the market for all synthetic products, including baths and shower trays, which include VILLEROY & BOCH, RIHO, SEALSKIN, WISA and SPHINX (now rebranded GEBERIT), but imports have changed the competitive landscape considerably.

VILLEROY & BOCH continues to lead the overall market, although its market share has been affected by rising competition. VILLEROY & BOCH's baths are supplied from its production site in the Netherlands, in Roden in the province of Drenthe, but also from its site in Roeselare in Belgium. The production facilities in the Netherlands produces baths, including hydromassage baths, made of 'quaryl', which it has been producing since 1993, whereas acrylic baths are produced in Belgium.

RIHO, despite being a domestic brand, produces all its baths and shower trays in the Czech Republic, with only shower enclosures being assembled in the Netherlands. As with the market leader, RIHO's market share has suffered over the last decade. To banish proliferation of price stunts on the Internet, RIHO has drastically changed its distribution policy and it has gradually moved away from the use of leading wholesalers and now mostly supplies bathroom retailers, and less so wholesalers.

SEALSKIN does not produce any baths or shower trays but sources these from abroad, mostly outside Europe. SEALSKIN has been part of CORAM INTERNATIONAL, since the late 1980s, which also markets the TIGER and GEESA brands. SEALSKIN products are sold under the SEALSKIN and GET WET BY SEALSKIN brands, both using different distribution channels. SEALSKIN is sold via bathroom retailers, such as BADERIE and SANIDROME, whereas the GET WET BY SEALSKIN is sold via DIY chains, including the GAMMA, PRAXIS and KARWEI.

WISA is active on the market with the former WILUX brand, it acquired the bath and shower trays division from WILUX in 2007, and all products are sourced from factories in Italy, with no production taking place locally. WILUX itself was declared bankrupt in 2010. Plastic cisterns, instead of baths and showers, remain to be WISA's main market segment.

SPHINX, now rebranded GEBERIT, does not produce synthetic baths or shower trays and these are sourced from GEBERIT's production site in Poland, a former SANITEC factory. Unlike ceramic sanitary ware, GEBERIT's market share remains small for synthetic products.

Other small players, mostly imported brands, include players in the likes of DURAVIT, IDEAL STANDARD, DUSCHOLUX and HOESCH. DURAVIT supplies the Dutch market with baths and shower trays produced in both Germany and Egypt, with the lower priced ranges coming from Egypt and non-acrylic products, such as solid surface, from Germany. IDEAL STANDARD produces their baths and shower trays in Egypt and the UK; however, the company more recently closed its production site in Hull, England, and all production will now exclusively take place in Egypt. Both HOESCH and DUSCHOLUX are imported from Germany.

There are also a handful of players that are exclusively sold through DIY stores. This includes ALLIBERT, sold in most DIY stores, including GAMMA and PRAXIS,

OTTOFOND, sold in HORNBACH, and BAUHAUS' CAMARGUE brand. Historically, DIY stores in the Netherlands mostly sold leading brands, such as SEALSKIN, but in more recent years many of these brands have been replaced with private label sales. MAXEDA, who owns PRAXIS, and introduced the AQUAVIVE brand in 2010.

PLIEGER and GALVANO, both leading wholesalers, also offer baths and shower trays, which are sourced under OEM agreements from foreign manufacturers. PLIEGER seems to import these from outside Europe, most likely China, whereas GALVANO, sold under the ALTERNA range, are sourced from Italy.

The more recent market entries particularly include mostly brands sold exclusively online, which include SANICLASS and WIESBADEN, house brands of www.sanitairwinkel.nl.

Forecasts

Following the positive development seen on the market in 2020, the market for baths and showers, including hydromassage baths and wet rooms, is set to show a reversed trend for the whole of 2021. This is no surprising development given the current state of affairs in the Netherlands, with market developments largely shaped by measures introduced by the Dutch government to tackle the current COVID-19 crisis, which has seen a rapid rise in the number of infections and deaths, especially in the larger cities in North- and South-Holland, towards the end of the year. Whereas for the most of 2020, no strict lockdown regime was implemented, only an 'intelligent lockdown' with people urged to stay at home and to only leave for essential journeys, and retail stores remained open, on 14 December 2020 the Dutch Prime Minister, Mark Rutte, announced that the country would go into a full lockdown. As of 15 December, most businesses, including most retail and hospitality buildings, were forced to close, initially until 19 January but this date has been extended several times, and are now expected to re-open on 28 April 2021. Certain exceptions were announced with essential stores remaining open, including banks, supermarkets and government organisations, and DIY stores could remain open for 'click-and-collect' only.

Given that the most bathroom and kitchen products, including baths and showers, rely heavily on traditional retailers, especially bathroom showrooms, the closure of these establishments for nearly four months will ultimately have an adverse negative effect on sales of baths and shower trays. During the first two months (latest data available) of 2021, sales via DIY retailers, but also specialist retailers, showed dramatic reductions in turnover, with sales in DIY stores down by -45.4% and 36.5% and specialist retailers down by -15% and -11%, but the latter includes all types of retailers involved in home improvement related products, not only bathroom and kitchen related products. Once most lockdown measures have been lifted, market developments should return to a more 'normal' situation, but certain measures will most likely remain in place, but it is still to be seen whether developments seen in the remaining quarters will be enough to counterbalance the strong decline in sales in Q1 2021, especially given the good performance seen in

2020, driven by a general uptake in home renovation projects.

When looking at the individual end-use segments, sales to the existing housing market should suffer the most, in turn due to the closure of bathroom and DIY retailers, whereas sales to the other two should perform slightly better but showing, nonetheless, a decline in sales volumes. It will be interesting to see how sales to the housing RMI segment will develop over the course of 2020. Market developments in 2020 were largely favourable because people were urged to stay indoors and consequently spent more time and money on home renovation projects instead of going on holiday or in bars and restaurants. When things go back to 'normal, or better the 'new normal', it is more likely that consumers will increasingly spend their money on travel or leisure activities rather than home renovation projects, affecting sales demand in 2021.

Sales to the new housing segment should, as mentioned, continue to show a decline for 2021, which is largely the effect of the nitrogen crisis on the new building permit applications in 2019, but should return to growth from 2022 onwards. The new housing market, in the medium to long term, should benefit from incentives introduced by the government, such as the 'Residential Construction Stimulus Programme' aimed at the construction of affordable homes, but also due to the general housing deficit in the Netherlands, which has worsened since the onset of the banking crisis of 2009. That being said, sales of all baths and showers will most likely be hampered by the fact that most dwellings in the Netherlands, especially social housing, are fitted with wet rooms, using either a modern shower drain, or the low-cost shower drain outlet. Nevertheless, shower trays, in particular, have been gaining share again in recent years due to the fact that floor level shower trays, like the one recently introduced by IDEAL STANDARD, are gaining share, directly competing with wet rooms. Bath sales, on the other, should grow more modestly, in line with a general uptake of baths again, especially in young(er) families.

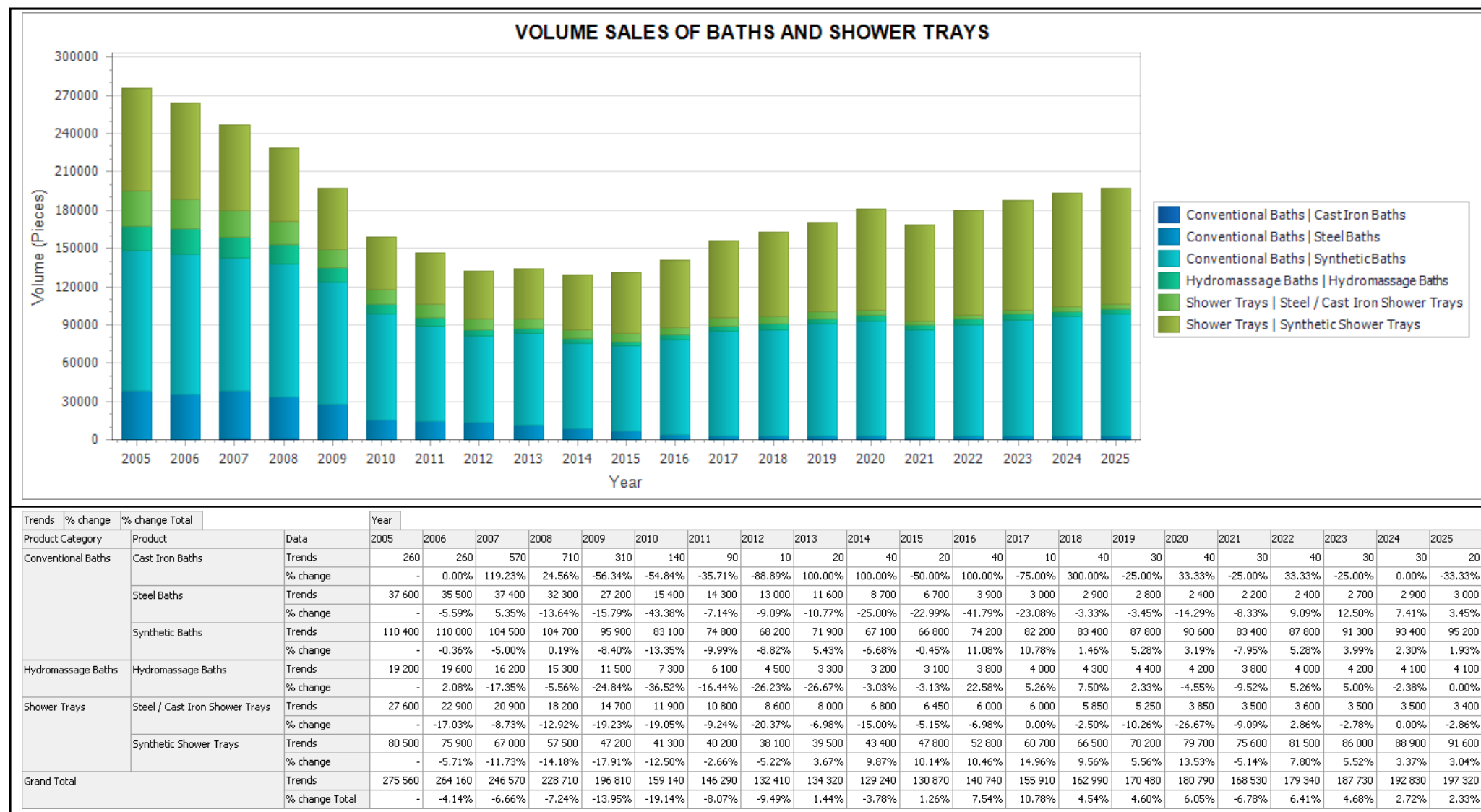
Non-housing demand, for both market segments, has developed volatily over the years because it relies on large construction projects, both new build and renovations, especially for hotels. Baths and shower trays are almost exclusively sold into hospitality buildings, so the fluctuations in construction output for healthcare and educational building will not affect sales much. Sales to healthcare buildings, mostly in the short term, will be affected by the COVID-19 pandemic, resulting in lower investments in 2021, but should see more strong growth from 2022 onwards; but educational should suffer across the entire forecast period, but its impact on sales of baths and shower remains marginal. The strong decline in new hotel completions expected for 2021 will have a strong negative impact on sales of both baths and showers. The pandemic has had a strong impact on the revenues of hotels, as well as all other types of hospitality buildings, with many investment plans now been put on hold or cancelled, which will affect construction output in coming years, reaching historical low levels in 2021.

The 'bath-out, shower-in' trend is expected to weaken over the forecast years but showers, including both shower trays and wet rooms, will remain extremely

popular. When looking at the material types, steel is most likely to continue to lose share rapidly to synthetic; whereas the synthetic materials, resin stone shower trays are expected to drive the market forward, with many market players, including domestic and foreign, recently having introduced new models, in line with consumer demand. The bath market, however, is supported by a demand from families with young children, who frequently fund these purchases through mortgages. Uptake of baths by these consumers, therefore, often depends on the availability of loans and developments in the new build market. There has also been a moderate increase in the uptake of baths by homeowners, who previously removed their baths but have since regretted their decision and now have the required levels of discretionary income available to fund a bathroom remodelling, including the reinstallation of a bath. Furthermore, the non-housing segment is expected to generate demand for the bath market.

1.2 Historical Trends and Forecasts

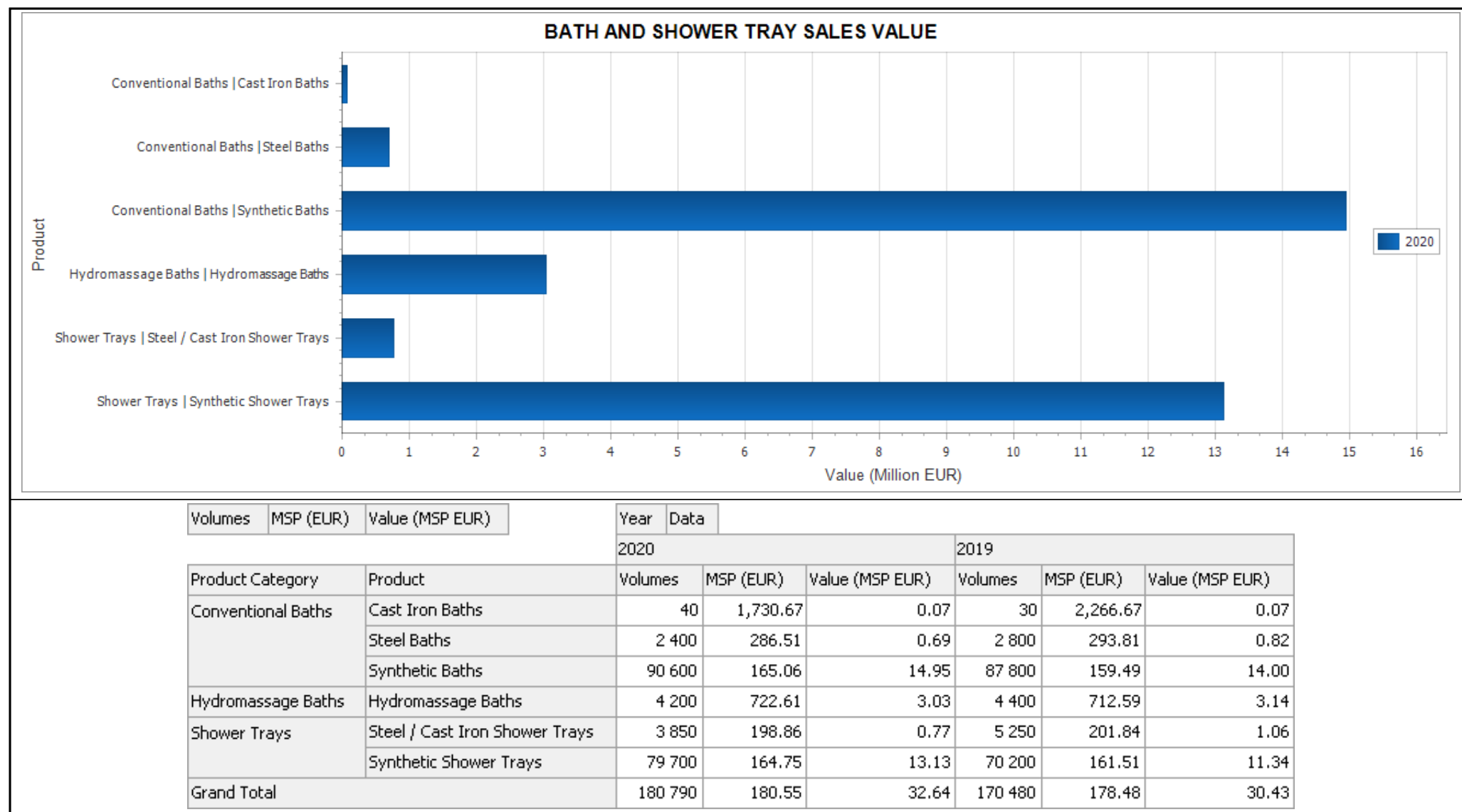
NL - SUMMARY OF TRENDS IN THE BATH AND SHOWER TRAY MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

1.3.1 Prices and Market Values : Baths and Shower Trays

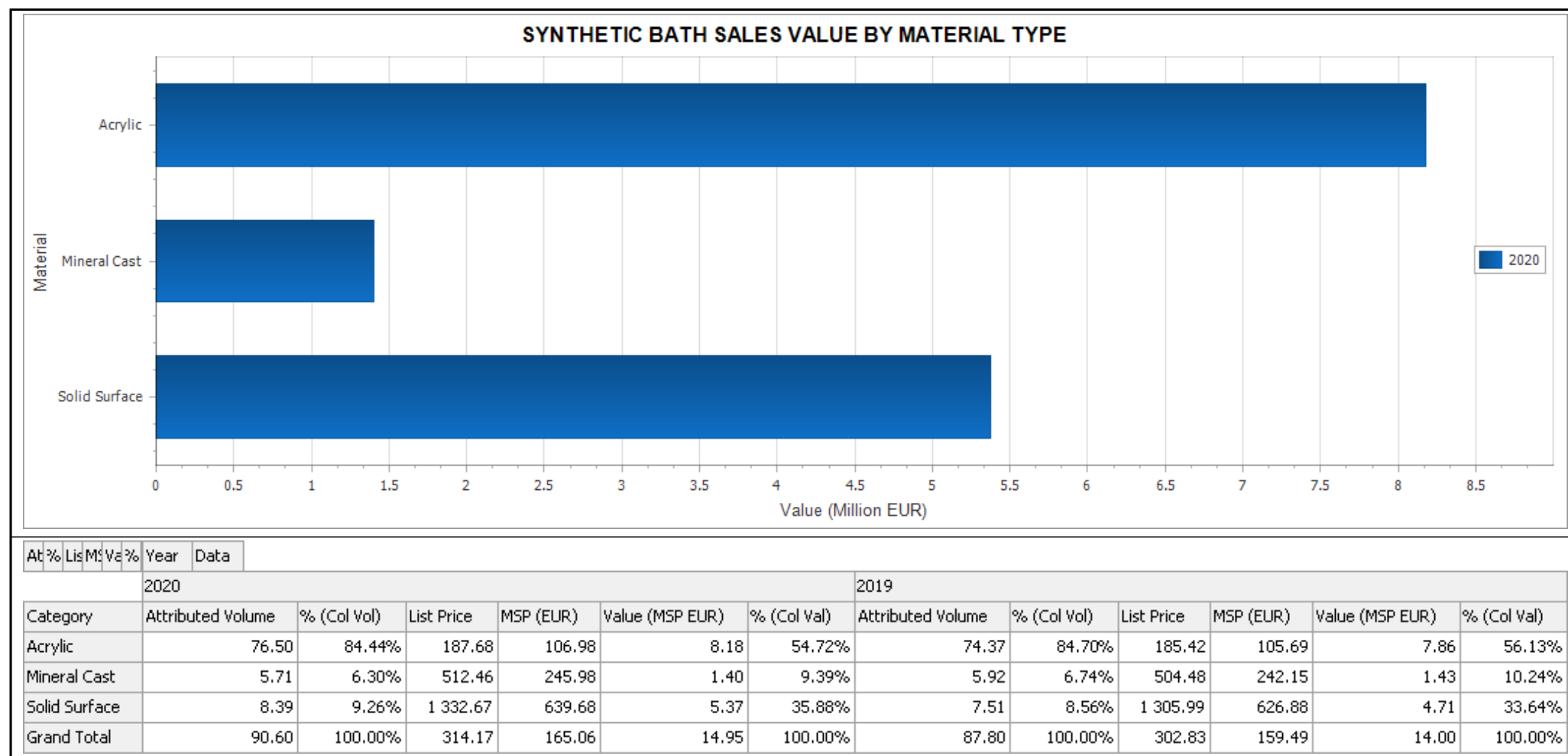
NL - ESTIMATED VALUES OF THE BATH AND SHOWER TRAY MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.2 Prices and Market Values : Synthetic Baths

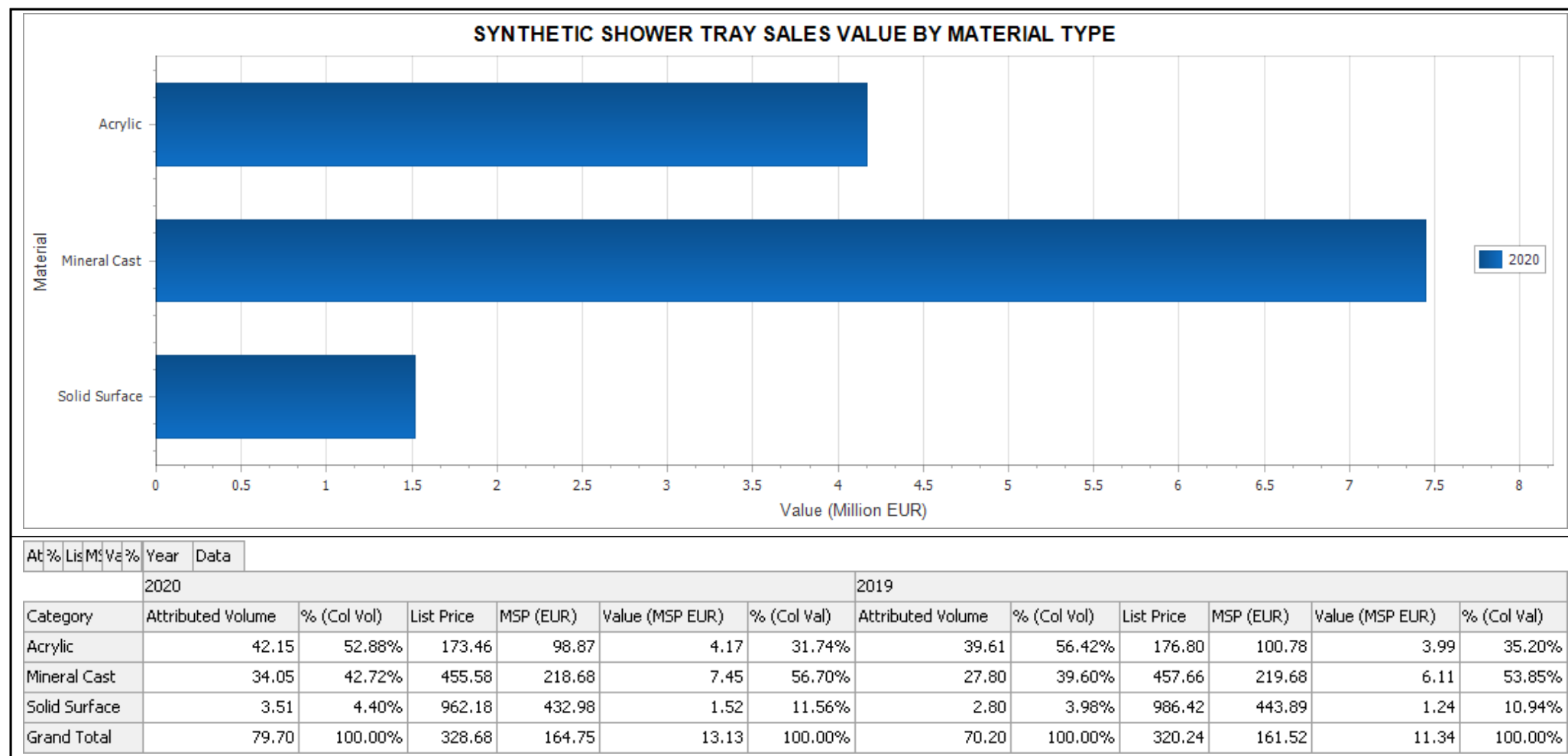
NL - ESTIMATED VALUES OF THE SYNTHETIC BATH MARKET BY TYPE OF MATERIAL



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.3 Prices and Market Values : Synthetic Shower Trays

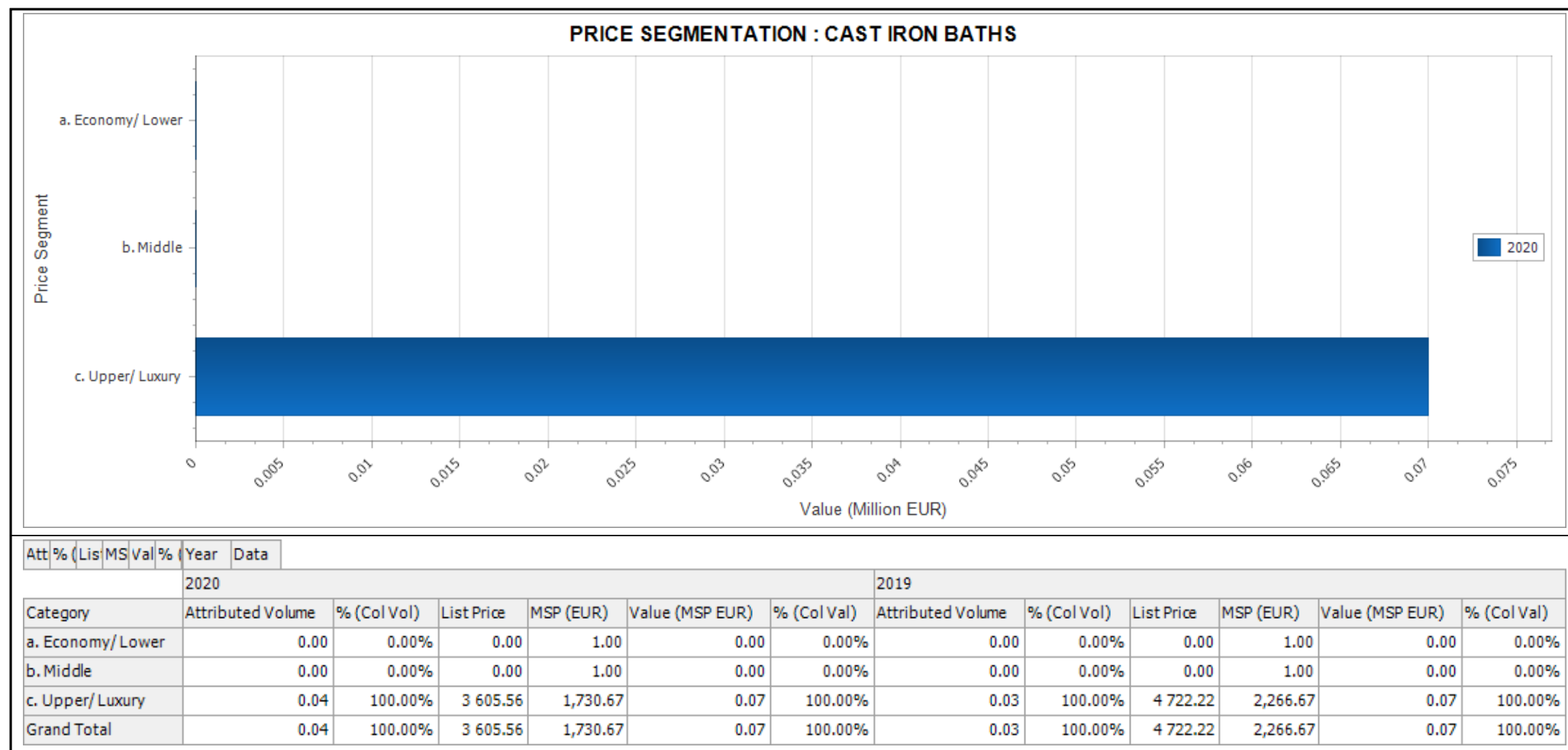
NL - ESTIMATED VALUES OF THE SYNTHETIC SHOWER TRAYS MARKET BY TYPE OF MATERIAL



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.4 Price Segmentation : Cast Iron Baths

NL - ESTIMATED PRICE SEGMENTATION FOR CAST IRON BATHS

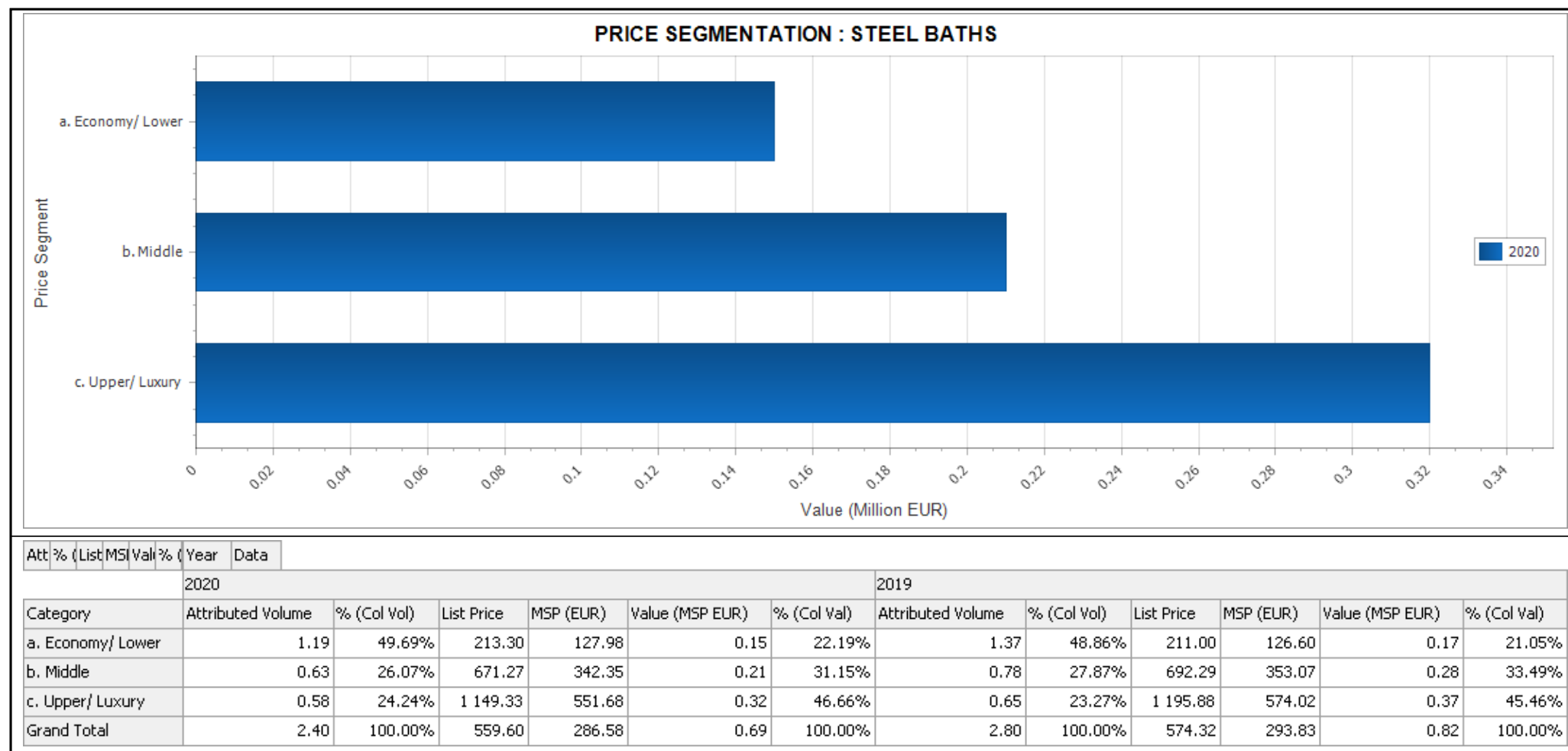


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€600, Middle €600-€1,200, Upper/ Luxury >€1,200

1.3.5 Price Segmentation : Steel Baths

NL - ESTIMATED PRICE SEGMENTATION FOR STEEL BATHS

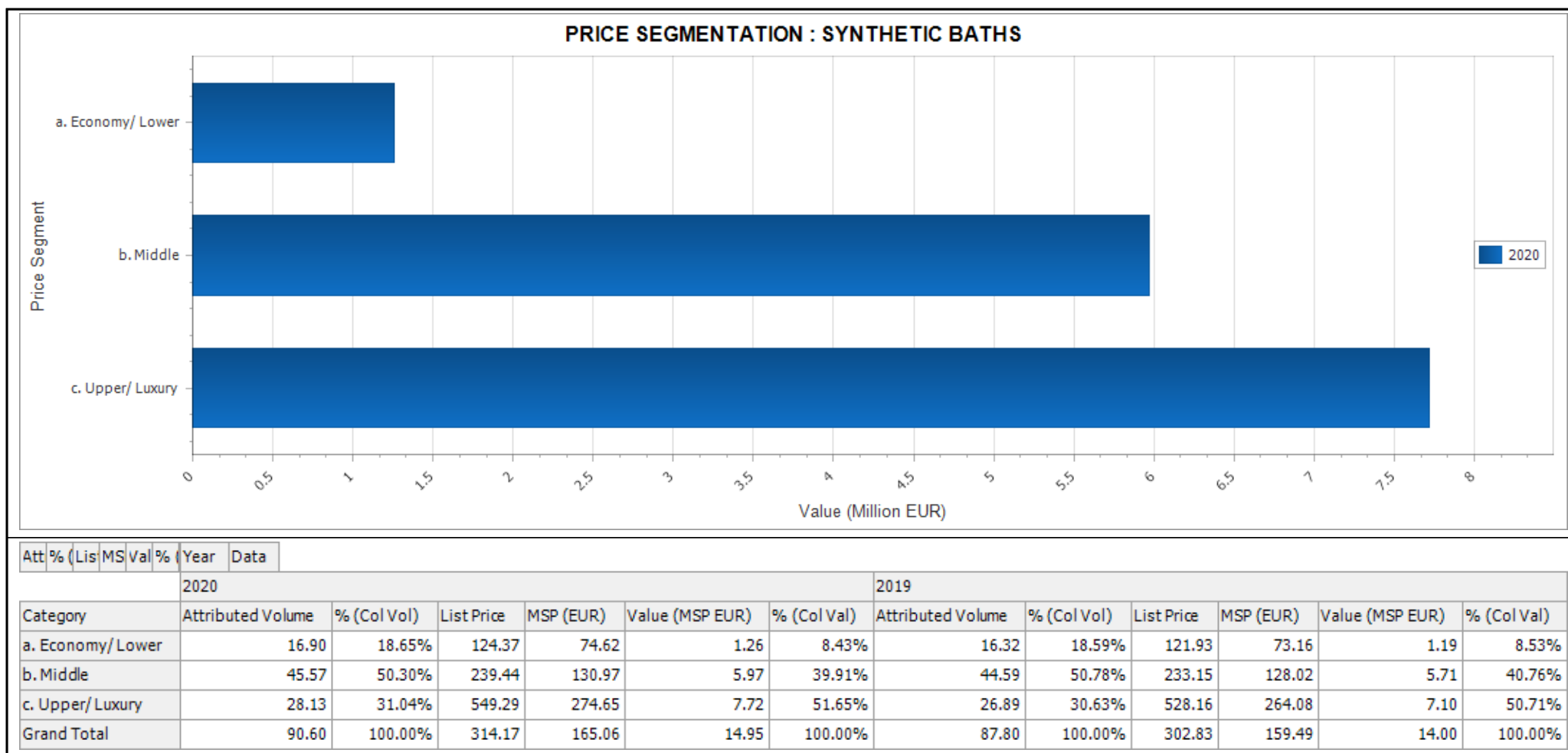


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€250, Middle €250-€500, Upper/ Luxury >€500

1.3.6 Price Segmentation : Synthetic Baths

NL - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC BATHS

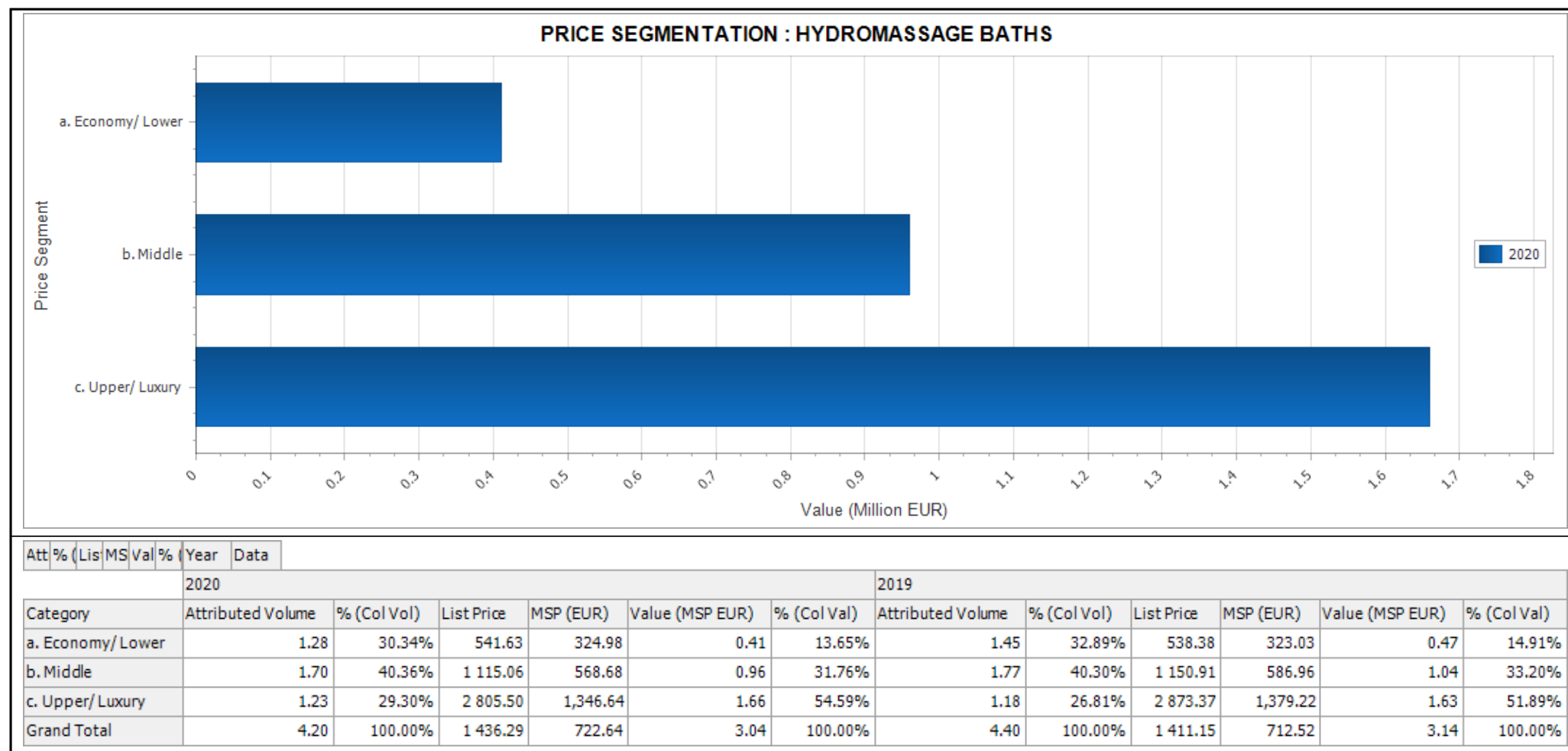


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

1.3.7 Price Segmentation : Hydromassage Baths

NL - ESTIMATED PRICE SEGMENTATION FOR HYDROMASSAGE BATHS

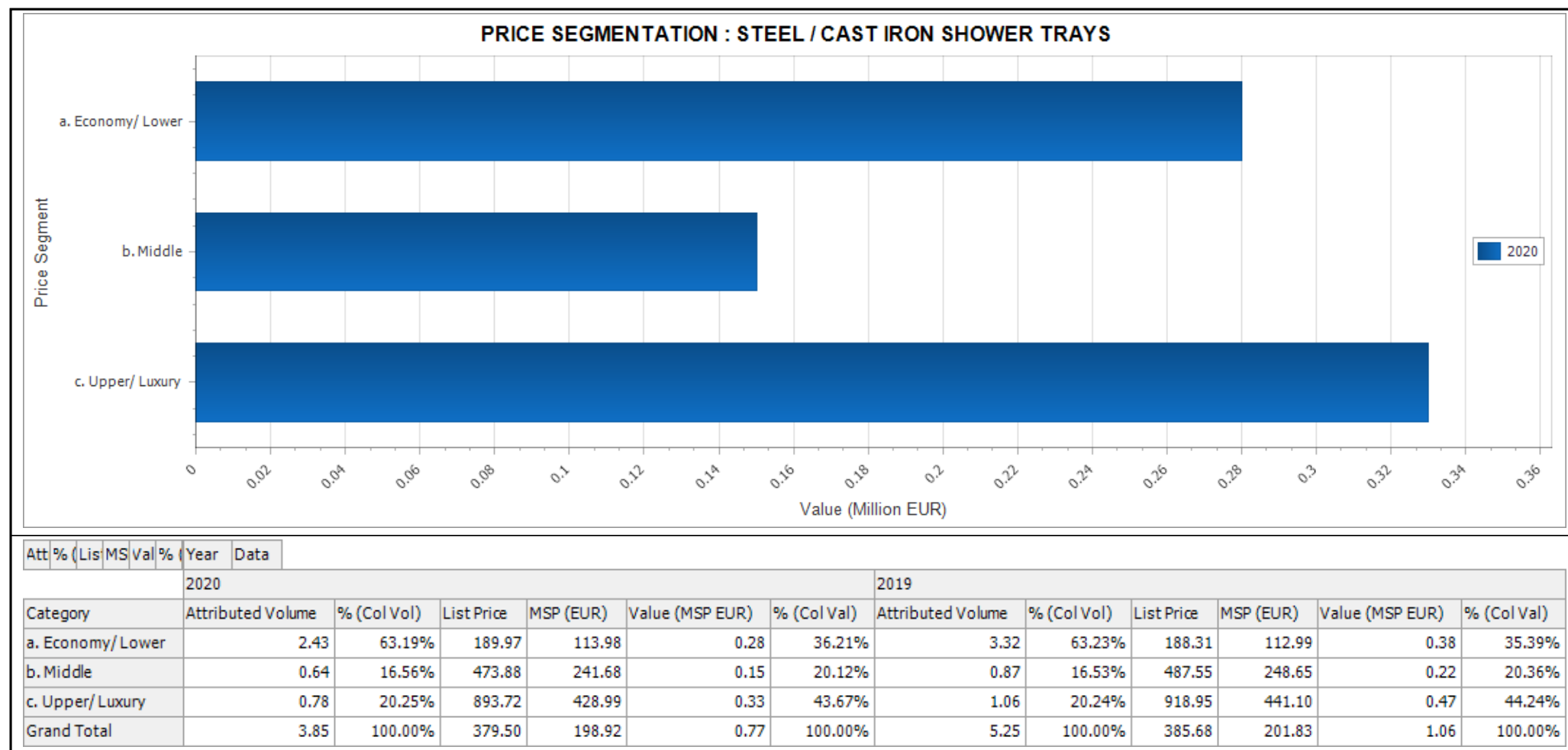


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€400, Middle €400-€800, Upper/ Luxury >€800

1.3.8 Price Segmentation : Steel/ Cast Iron Shower Trays

NL - ESTIMATED PRICE SEGMENTATION FOR STEEL / CAST IRON SHOWER TRAYS

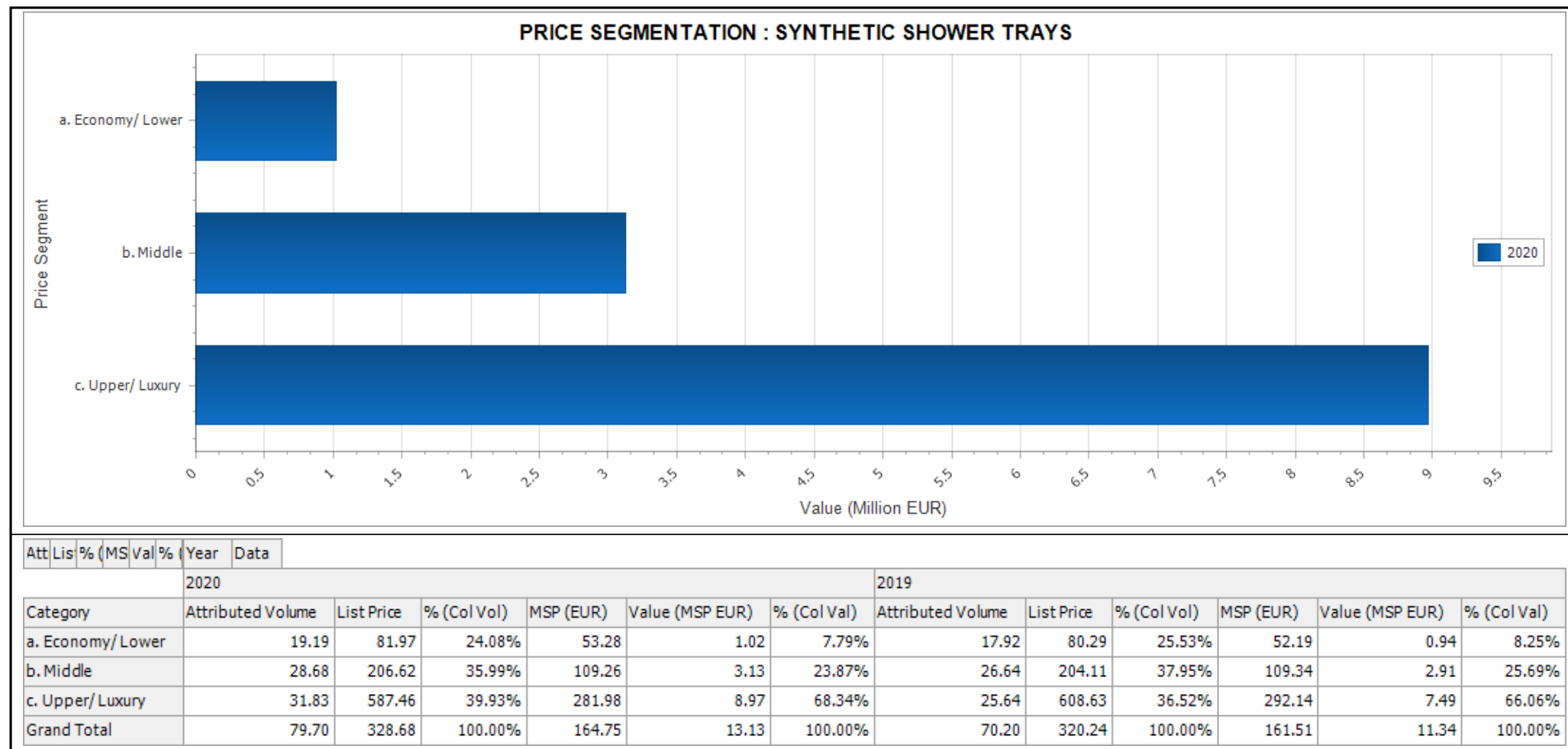


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€150, Middle €150-€300, Upper/ Luxury >€300

1.3.9 Price Segmentation : Synthetic Shower Trays

NL - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC SHOWER TRAYS

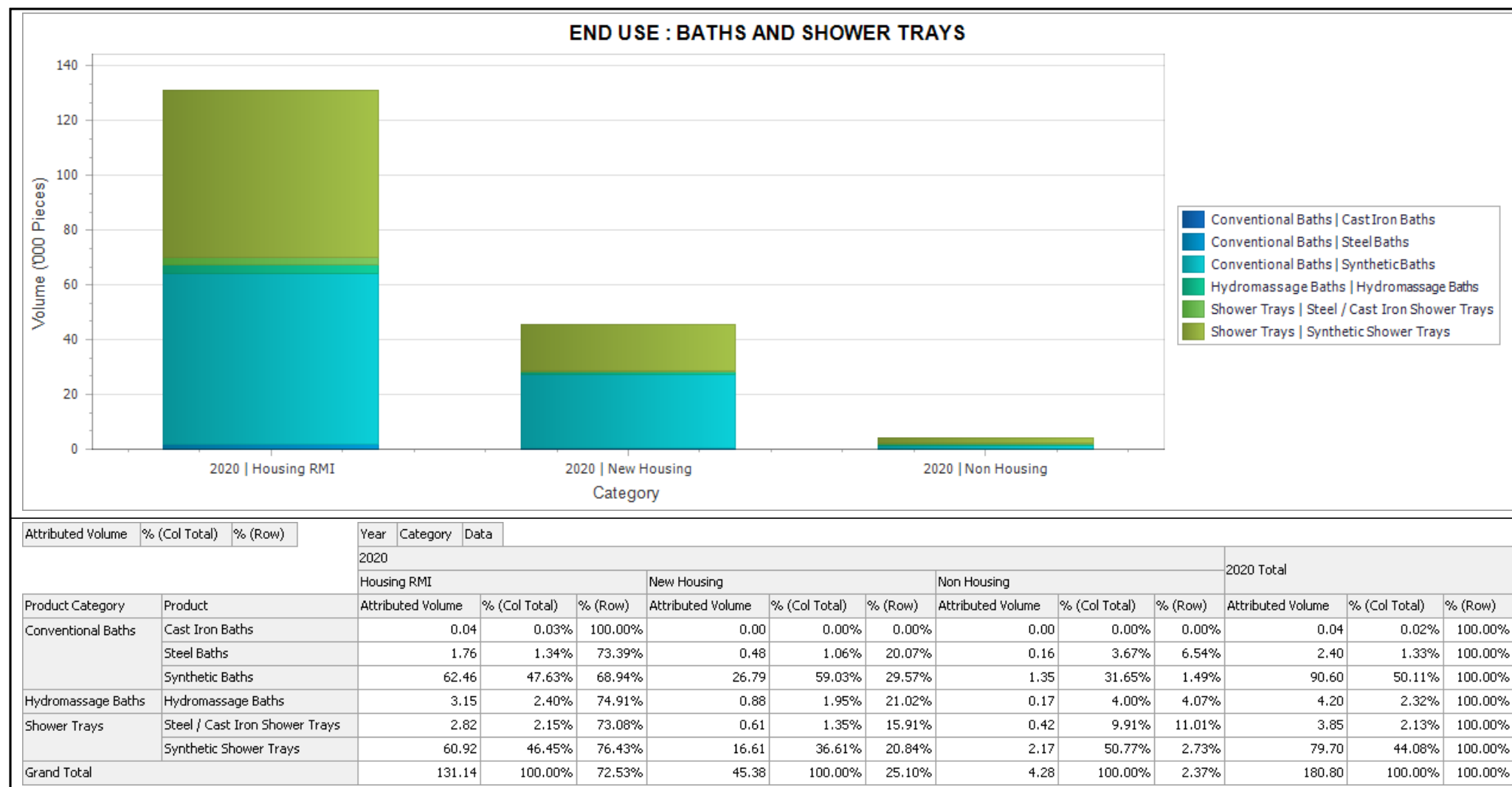


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

1.4.1 End Use : Base Year

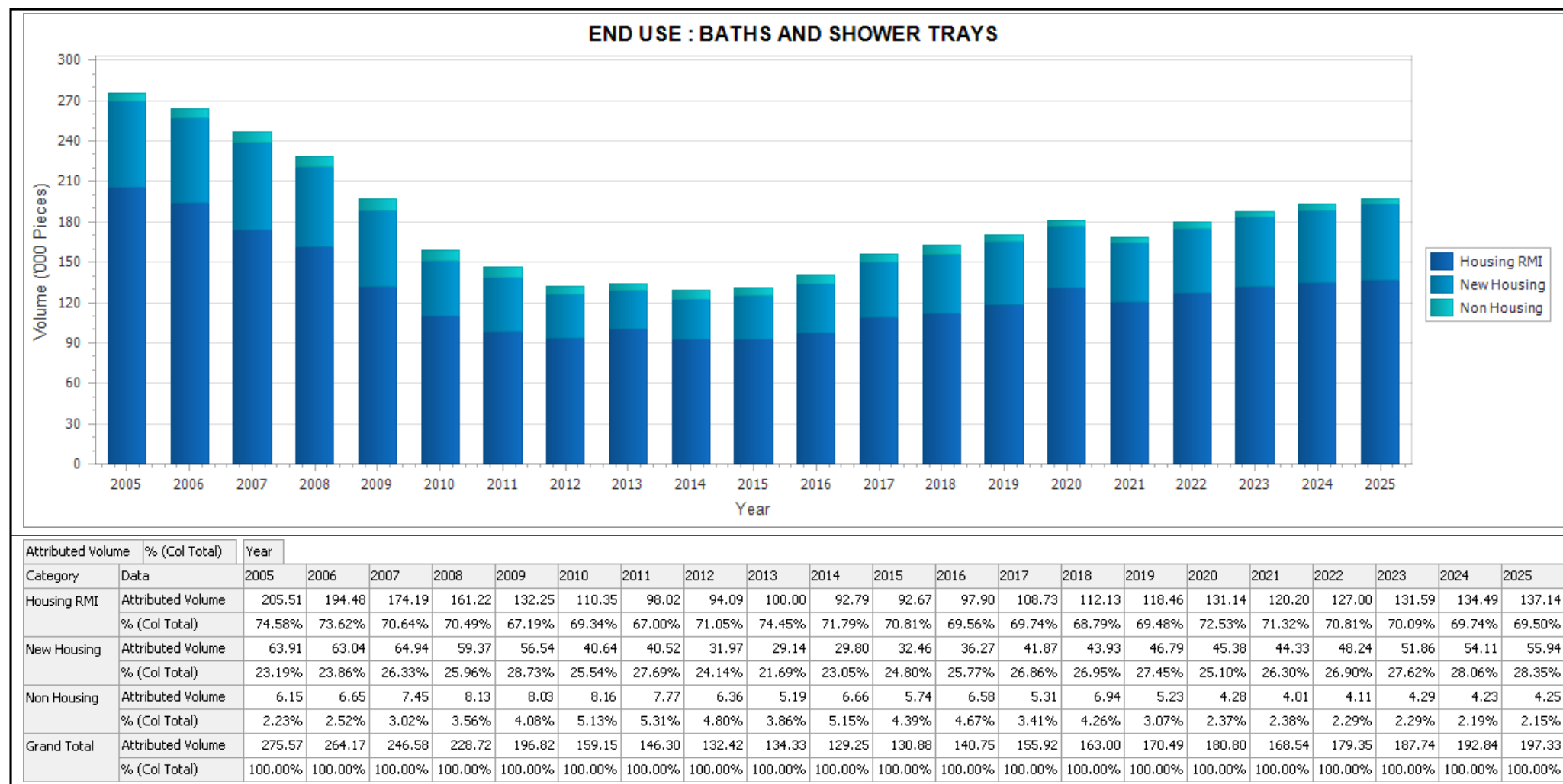
NL - SALES OF BATHS AND SHOWER TRAYS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.2 End Use : Historical and Forecasts

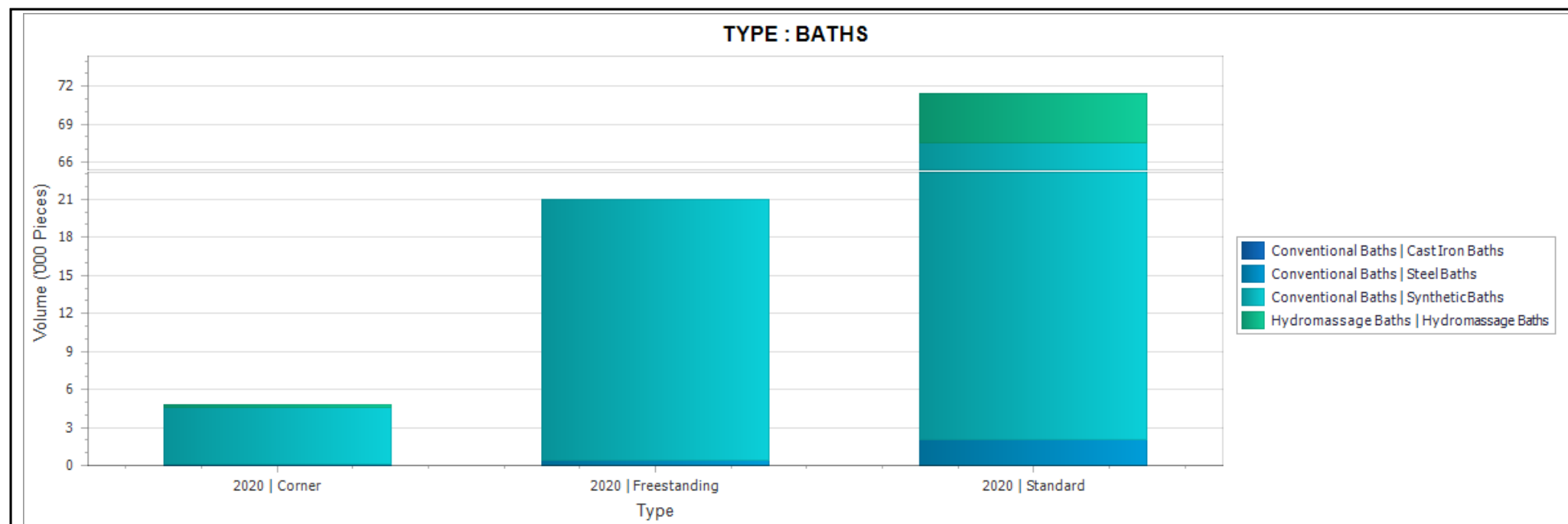
NL - SALES OF BATHS AND SHOWERS TRAYS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.3 Sales by Type : Baths

NL - BATH SALES BY TYPE ('000 PIECES)

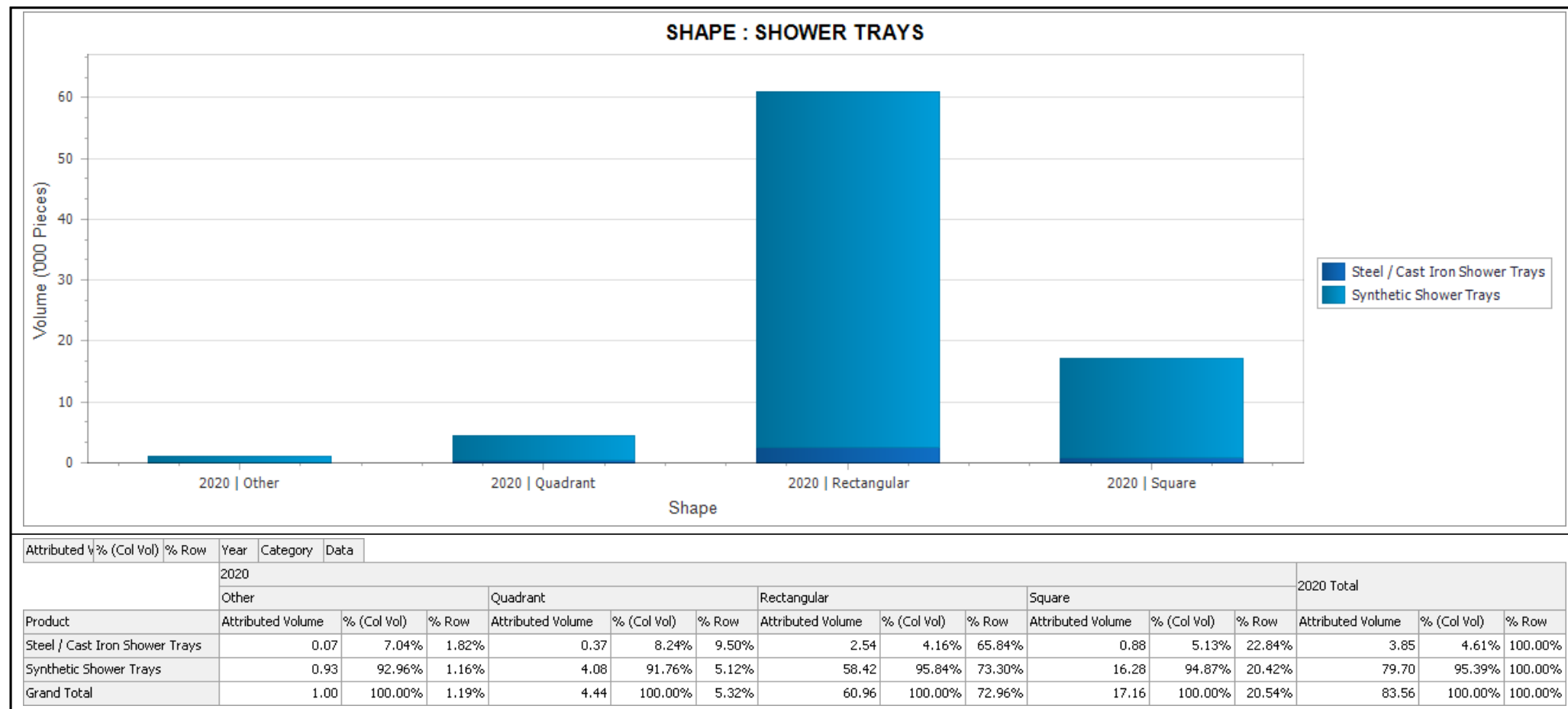


Attributed Volume	% (Col Total)	% Row	Year	Category	Data								
			2020								2020 Total		
			Corner			Freestanding			Standard				
Product Category	Product	Attributed Volume	% (Col Total)	% Row	Attributed Volume	% (Col Total)	% Row	Attributed Volume	% (Col Total)	% Row	Attributed Volume	% (Col Total)	% Row
Conventional Baths	Cast Iron Baths	0.00	0.00%	0.00%	0.04	0.19%	100.00%	0.00	0.00%	0.00%	0.04	0.04%	100.00%
	Steel Baths	0.06	1.24%	2.46%	0.34	1.63%	14.24%	2.00	2.80%	83.30%	2.40	2.47%	100.00%
	Synthetic Baths	4.48	94.18%	4.94%	20.64	98.18%	22.78%	65.48	91.63%	72.27%	90.60	93.17%	100.00%
Hydromassage Baths	Hydromassage Baths	0.22	4.58%	5.19%	0.00	0.00%	0.00%	3.98	5.57%	94.81%	4.20	4.32%	100.00%
Grand Total		4.76	100.00%	4.89%	21.02	100.00%	21.62%	71.46	100.00%	73.49%	97.24	100.00%	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.4 Sales by Shape : Shower Trays

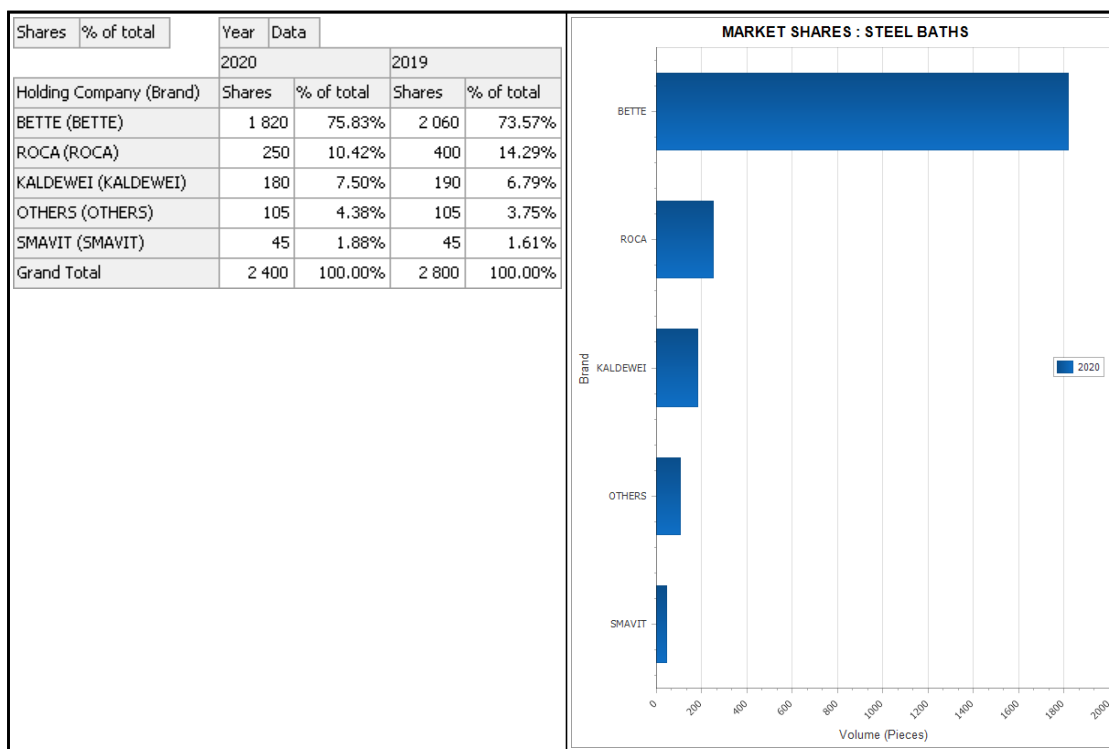
NL - SHOWER TRAY SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.5.1 Market Shares : Steel Baths

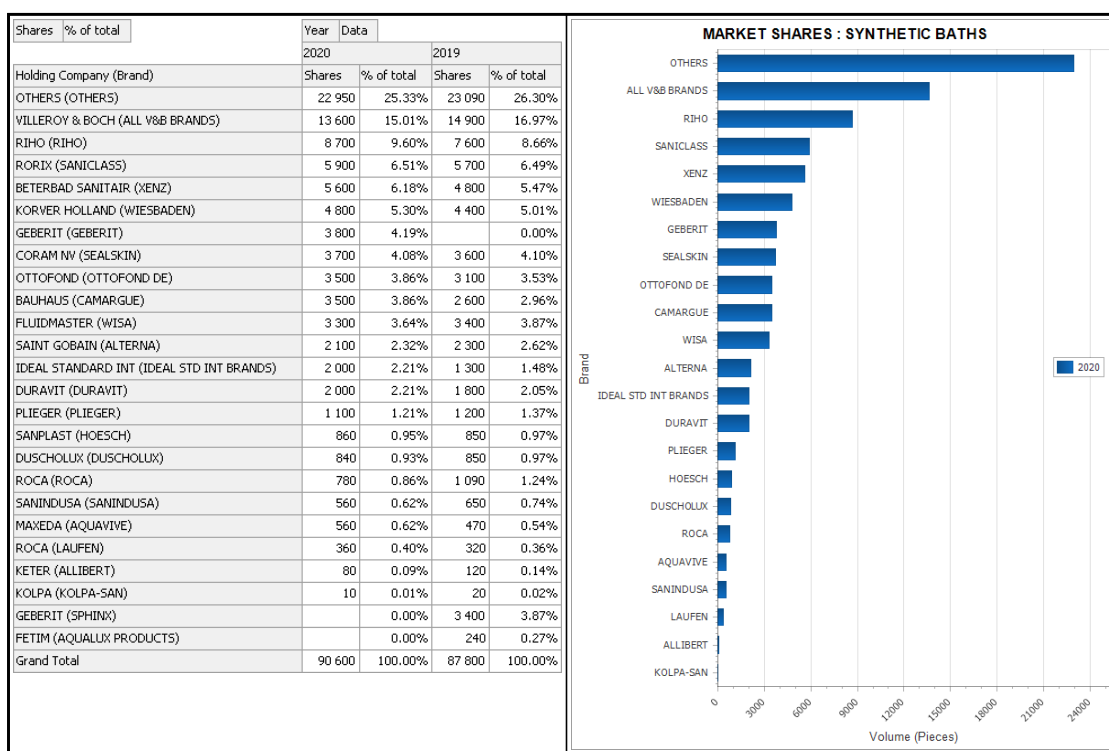
NL - ESTIMATED MARKET SHARES FOR STEEL BATHS



Source: BRG based on industry interviews.

1.5.2 Market Shares : Synthetic Baths

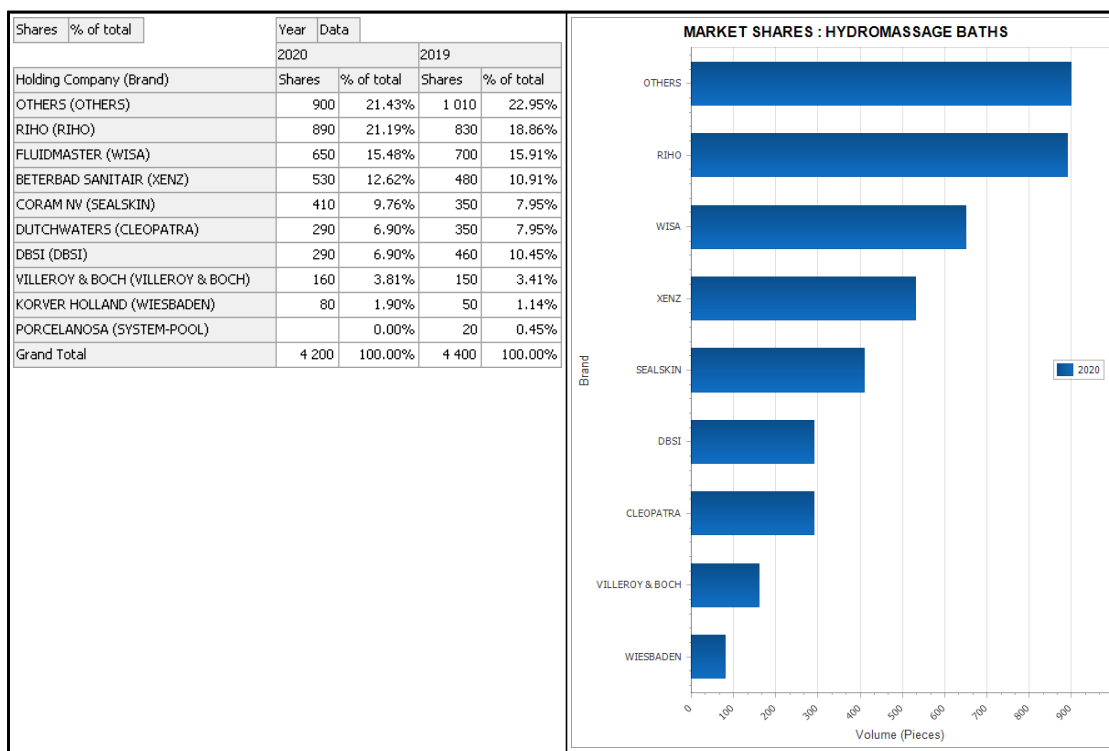
NL - ESTIMATED MARKET SHARES FOR SYNTHETIC BATHS



Source: BRG based on industry interviews.

1.5.3 Market Shares : Hydromassage Baths

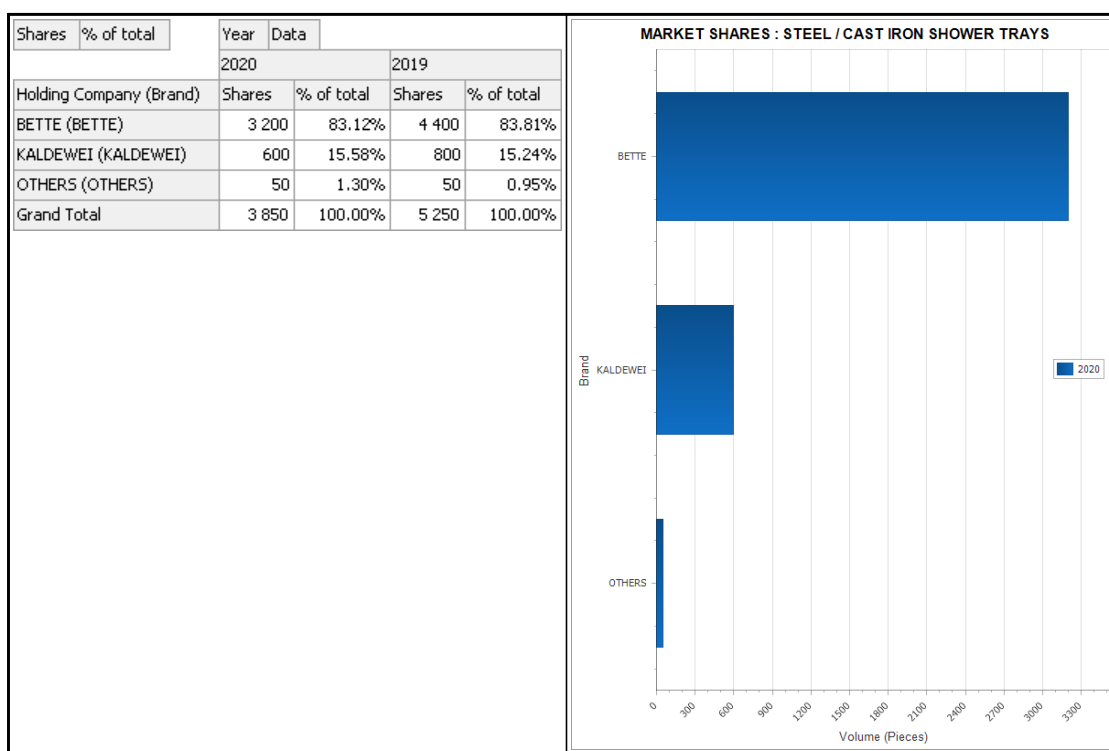
NL - ESTIMATED MARKET SHARES FOR HYDROMASSAGE BATHS



Source: BRG based on industry interviews.

1.5.4 Market Shares : Steel / Cast Iron Shower Trays

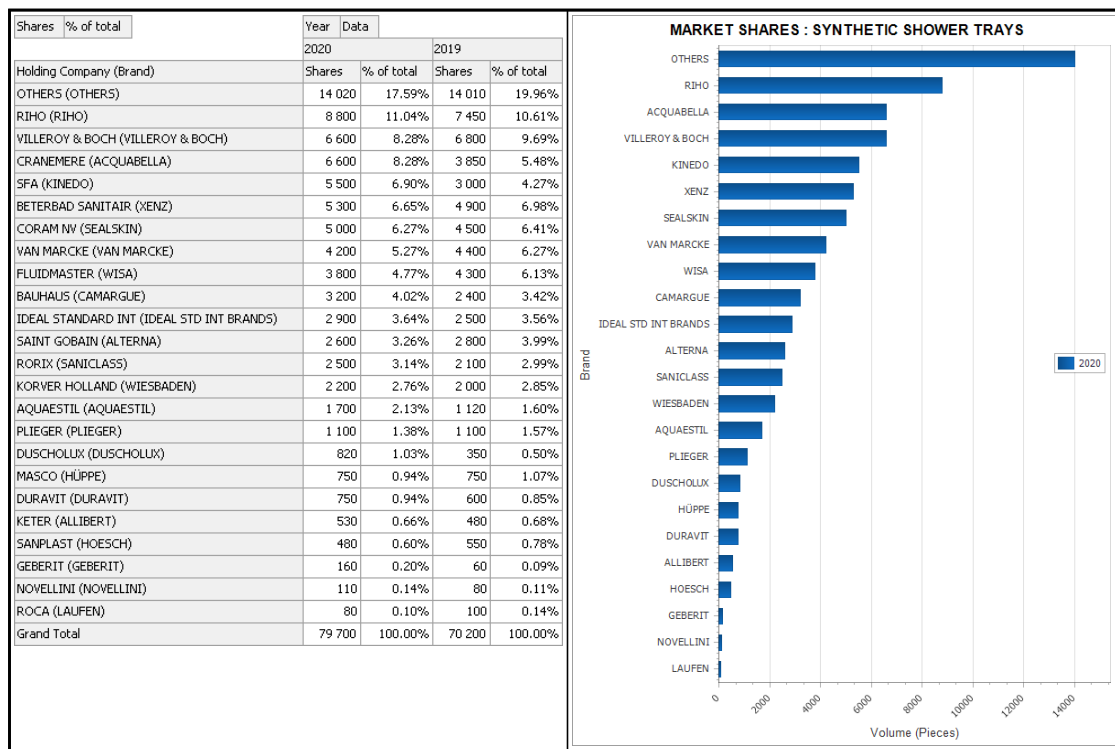
NL - ESTIMATED MARKET SHARES FOR STEEL / CAST IRON SHOWER TRAYS



Source: BRG based on industry interviews.

1.5.5 Market Shares : Synthetic Shower Trays

NL - ESTIMATED MARKET SHARES FOR SYNTHETIC SHOWER TRAYS



Source: BRG based on industry interviews.

1.6.1 NL - IMPORTS OF BATHS AND SHOWER TRAYS - CAST IRON 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Czech Republic	8	51.5%	10	25.6%	0	0.0%	0	0.0%
China	7	45.5%	29	74.4%	23	99.6%	20	100.0%
Germany	0	3.0%	0	0.0%	0	0.0%	0	0.0%
OTHERS	0	0.0%	0	0.0%	0	0.4%	0	0.0%
Total	15	100.0%	39	100.0%	23	100.0%	20	100.0%

Source : Trademap

1.6.2 NL - EXPORTS OF BATHS AND SHOWER TRAYS - CAST IRON 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Bonaire, Sint Eustatius	13	86.2%	15	88.2%	0	0.0%	0	0.0%
Suriname	1	7.8%	1	5.9%	0	3.7%	0	0.0%
Aruba	1	6.0%	1	5.9%	0	0.0%	0	0.0%
OTHERS	0	0.0%	0	0.0%	2	96.3%	11	0.0%
Total	15	100.0%	17	100.0%	2	100.0%	11	0.0%

Source : Trademap

1.6.3 NL - IMPORTS OF BATHS AND SHOWER TRAYS - STEEL 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	3 965	57.8%	2 983	51.7%	2 675	83.7%	783	70.0%
Poland	863	12.6%	771	13.4%	0	0.0%	0	0.0%
Denmark	654	9.5%	462	8.0%	0	0.0%	0	0.0%
Italy	444	6.5%	500	8.7%	0	0.0%	0	0.0%
Belgium	274	4.0%	239	4.1%	264	8.3%	242	21.6%
Spain	130	1.9%	203	3.5%	0	0.0%	0	0.0%
United Kingdom	116	1.7%	188	3.3%	50	1.6%	24	2.1%
China	82	1.2%	37	0.6%	154	4.8%	36	3.2%
OTHERS	336	4.9%	384	6.7%	53	1.7%	33	3.0%
Total	6 864	100.0%	5 767	100.0%	3 196	100.0%	1 118	100.0%

Source : Trademap

1.6.4 NL - EXPORTS OF BATHS AND SHOWER TRAYS - STEEL 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	99	71.6%	148	79.1%	30	7.6%	35	8.3%
Switzerland	12	8.6%	12	6.4%	47	11.8%	46	10.8%
Viet Nam	5	3.8%	5	2.7%	0	0.0%	0	0.0%
Sweden	5	3.6%	5	2.7%	1	0.3%	0	0.0%
Denmark	5	3.4%	5	2.7%	20	5.0%	19	4.5%
Hungary	3	2.1%	3	1.6%	6	1.6%	9	2.1%
Belgium	2	1.7%	1	0.5%	6	1.6%	4	0.9%
Portugal	2	1.5%	3	1.6%	1	0.2%	0	0.0%
Iceland	2	1.3%	2	1.1%	3	0.7%	5	1.2%
United States of Amer	1	1.0%	1	0.5%	26	6.5%	29	6.8%
OTHERS	2	1.3%	2	1.1%	259	64.8%	277	65.3%
Total	139	100.0%	187	100.0%	400	100.0%	424	100.0%

Source : Trademap

1.6.5 NL - IMPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	5 347	47.0%	18 103	31.6%	4 647	41.3%	16 750	28.9%
Germany	1 760	15.5%	14 471	25.2%	1 593	14.2%	15 153	26.1%
Belgium	986	8.7%	8 217	14.3%	973	8.7%	5 780	10.0%
Poland	871	7.7%	4 253	7.4%	587	5.2%	3 254	5.6%
Hungary	499	4.4%	2 053	3.6%	370	3.3%	1 550	2.7%
Slovakia	362	3.2%	2 012	3.5%	209	1.9%	1 011	1.7%
United Arab Emirates	286	2.5%	1 174	2.0%	1 198	10.6%	4 403	7.6%
Egypt	267	2.3%	751	1.3%	140	1.2%	480	0.8%
Turkey	218	1.9%	654	1.1%	212	1.9%	750	1.3%
Spain	205	1.8%	1 925	3.4%	212	1.9%	2 379	4.1%
Italy	142	1.2%	996	1.7%	212	1.9%	1 739	3.0%
OTHERS	440	3.9%	2 709	4.7%	895	8.0%	4 710	8.1%
Total	11 383	100.0%	57 318	100.0%	11 247	100.0%	57 959	100.0%

Source : Trademap

1.6.6 NL - EXPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	3 490	39.1%	17 276	25.6%	4 105	37.8%	17 493	24.2%
Belgium	1 294	14.5%	10 108	15.0%	1 273	11.7%	9 406	13.0%
Portugal	584	6.5%	1 217	1.8%	0	0.0%	0	0.0%
France	563	6.3%	6 165	9.1%	730	6.7%	6 437	8.9%
China	374	4.2%	4 249	6.3%	676	6.2%	6 136	8.5%
Russian Federation	339	3.8%	2 206	3.3%	376	3.5%	2 748	3.8%
Poland	317	3.6%	2 745	4.1%	600	5.5%	4 457	6.2%
United Kingdom	298	3.3%	3 091	4.6%	0	0.0%	0	0.0%
Slovakia	243	2.7%	1 903	2.8%	104	1.0%	1 038	1.4%
Denmark	214	2.4%	3 589	5.3%	107	1.0%	1 585	2.2%
Spain	151	1.7%	3 397	5.0%	179	1.6%	3 483	4.8%
OTHERS	1 065	11.9%	11 644	17.2%	2 720	25.0%	19 615	27.1%
Total	8 932	100.0%	67 590	100.0%	10 870	100.0%	72 398	100.0%

Source : Trademap

1.7.1

Route to Market: Baths
NL - ESTIMATED DISTRIBUTION FOR BATHS: 2020

Manufacturer / Importer

Manufacturers / Importers	
100.0%	

Wholesale Level

65.5%
Wholesalers / Merchants
65.5%

Retail Level

Manufacturer	Wholesaler
6.1%	6.8%
Internet Retailers	
12.9%	

Manufacturer	Wholesaler
8.1%	5.4%
DIY Retailers	
13.5%	

Manufacturer	Wholesaler
17.5%	29.9%
Specialist Retailers	
47.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.1%	20.1%	0.9%	2.0%	4.5%
Installers				
28.7%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.2%	3.1%	12.0%	11.4%	42.7%	27.9%
Residential					
98.3%					
New Build			Residential RMI		
29.0%			69.3%		
Project	Non-Project		Project	Non-Project	
25.8%	3.2%		3.6%	65.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.5%	0.2%	0.0%	0.0%	0.2%	0.8%
Non-Residential					
1.7%					
New Build			Non-Residential RMI		
0.8%			0.9%		
Project	Non-Project		Project	Non-Project	
0.7%	0.1%		0.7%	0.2%	

1.7.2

Route to Market: Baths
NL - ESTIMATED DISTRIBUTION FOR BATHS: 2025

Manufacturer / Importer

Manufacturers / Importers	
100.0%	

Wholesale Level

65.4%
Wholesalers / Merchants
65.4%

Retail Level

Manufacturer	Wholesaler
7.0%	8.1%
Internet Retailers	
15.1%	

Manufacturer	Wholesaler
7.6%	5.0%
DIY Retailers	
12.6%	

Manufacturer	Wholesaler
17.1%	28.2%
Specialist Retailers	
45.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.2%	20.7%	1.1%	1.9%	4.3%
Installers				
29.2%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.2%	3.1%	14.1%	10.7%	40.8%	28.5%
Residential					
98.3%					
New Build			Residential RMI		
33.5%			64.9%		
Project	Non-Project		Project	Non-Project	
28.8%	4.7%		3.4%	61.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.5%	0.2%	0.0%	0.0%	0.2%	0.8%
Non-Residential					
1.7%					
New Build			Non-Residential RMI		
0.8%			0.9%		
Project	Non-Project		Project	Non-Project	
0.7%	0.1%		0.7%	0.2%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

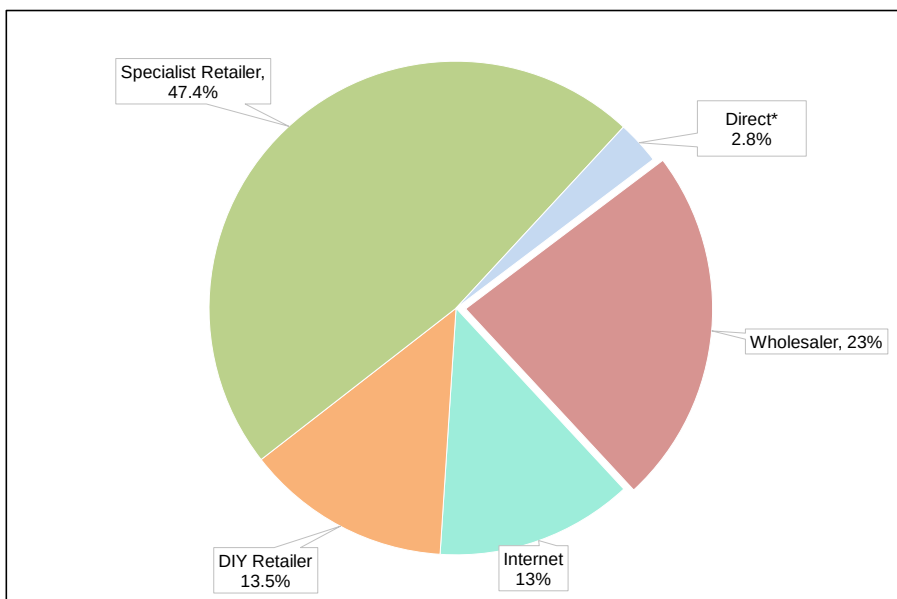
1.7.3 Route to Market - Consolidated View : Baths
NL - ESTIMATED DISTRIBUTION FOR BATHS : 2020

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
23.4%	12.9%	13.5%	47.4%	2.8%	29.4%	1.4%	68.9%	0.3%
100%					30.8%		69.2%	

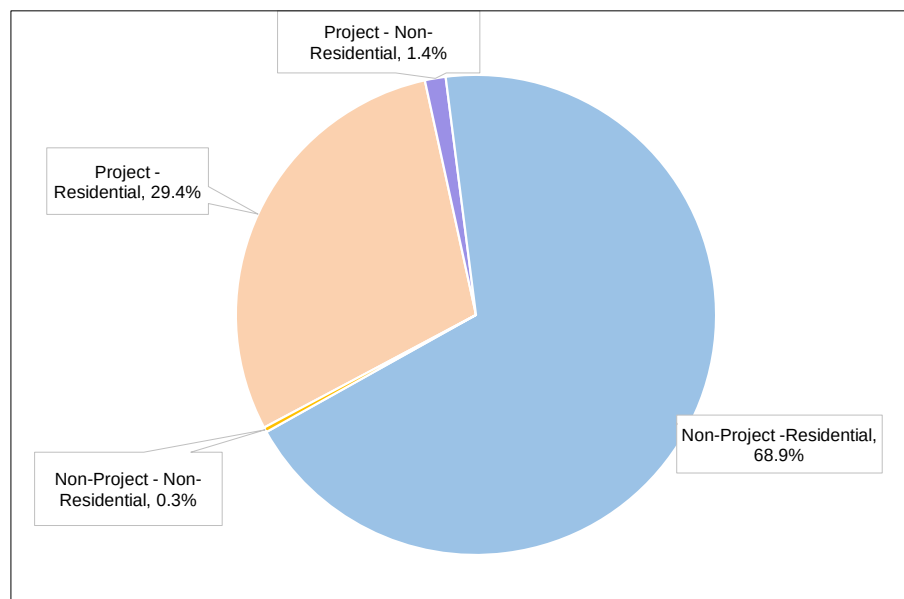
1.7.4 Route to Market - Consolidated View : Baths
NL - ESTIMATED DISTRIBUTION FOR BATHS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
24.0%	15.1%	12.6%	45.3%	2.9%	32.1%	1.3%	66.2%	0.3%
100%					33.5%		66.5%	

NL - SALES OF BATHS BY DISTRIBUTION CHANNEL: 2020



NL - SALES OF BATHS BY POINT OF DECISION AND END-USE SECTOR: 2020



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.7.5 Route to Market: Shower Trays
NL - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	58.7%
	Wholesalers / Merchants
	58.7%

Retail Level	Manufacturer 3.0%	Wholesaler 5.3%	Manufacturer 12.9%	Wholesaler 6.8%	Manufacturer 15.6%	Wholesaler 26.8%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	8.3%		19.7%		42.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
8.7%	16.7%	0.4%	2.9%	2.8%
Installers				
31.5%				

End Use Level	Manufacturer 0.8%	Wholesaler 2.7%	Internet 7.9%	DIY 16.8%	Specialist 38.2%	Installer 30.5%	Manufacturer 0.3%	Wholesaler 0.4%	Internet 0.0%	DIY 0.0%	Specialist 1.4%	Installer 1.0%
	Residential						Non-Residential					
	96.9%						3.1%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	20.6%			76.3%			1.5%			1.6%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	18.3%	2.3%		5.9%	70.3%		1.3%	0.2%		1.2%	0.4%	

1.7.6 Route to Market: Shower Trays
NL - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	58.6%
	Wholesalers / Merchants
	58.6%

Retail Level	Manufacturer 3.5%	Wholesaler 6.3%	Manufacturer 12.6%	Wholesaler 6.1%	Manufacturer 14.8%	Wholesaler 27.4%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	9.8%		18.7%		42.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
9.3%	15.5%	0.5%	2.8%	3.0%
Installers				
31.0%				

End Use Level	Manufacturer 1.0%	Wholesaler 2.9%	Internet 9.3%	DIY 15.9%	Specialist 38.0%	Installer 30.2%	Manufacturer 0.3%	Wholesaler 0.3%	Internet 0.0%	DIY 0.0%	Specialist 1.2%	Installer 0.8%
	Residential						Non-Residential					
	97.3%						2.7%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	22.8%			74.5%			1.3%			1.4%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	19.6%	3.2%		5.8%	68.7%		1.1%	0.2%		1.0%	0.4%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

1.7.7 Route to Market - Consolidated View : Shower Trays

NL - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2020

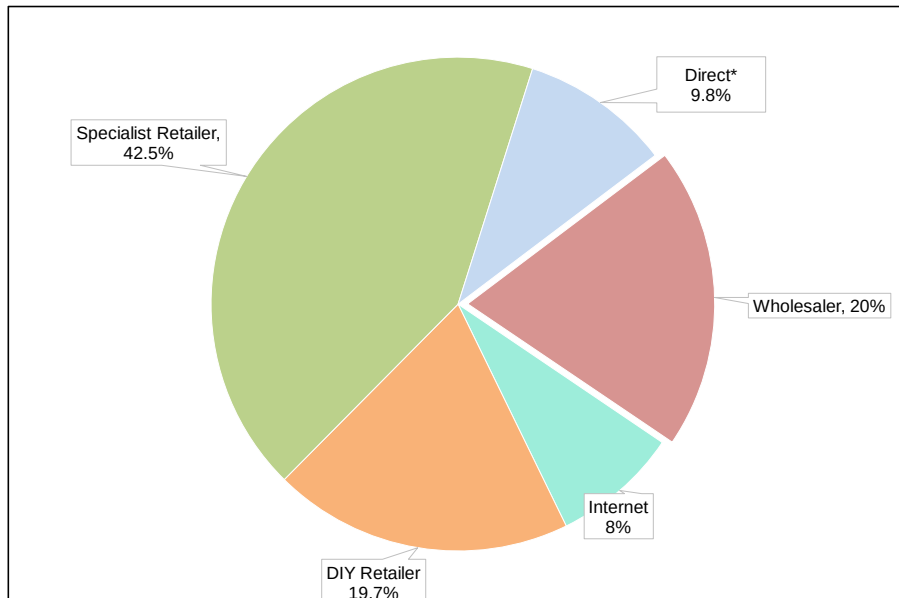
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
19.8%	8.3%	19.7%	42.5%	9.8%	24.3%	2.5%	72.6%	0.6%
100%					26.8%		73.2%	

1.7.8 Route to Market - Consolidated View : Shower Trays

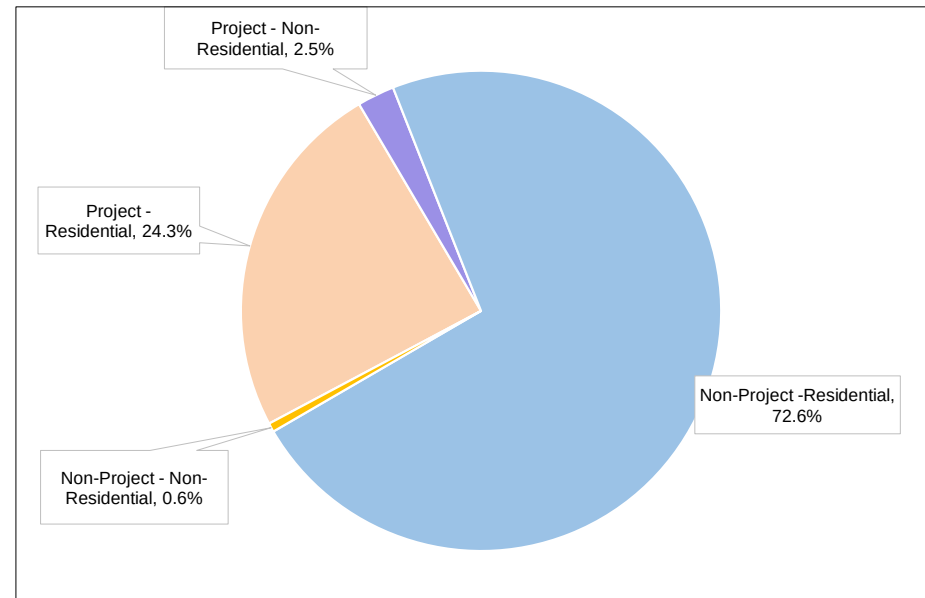
NL - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
18.8%	9.8%	18.7%	42.2%	10.5%	25.5%	2.2%	71.9%	0.5%
100%					27.6%		72.4%	

NL - SALES OF SHOWER TRAYS BY DISTRIBUTION CHANNEL: 2020



NL - SALES OF SHOWER TRAYS BY POINT OF DECISION AND END-USE SECTOR: 2020



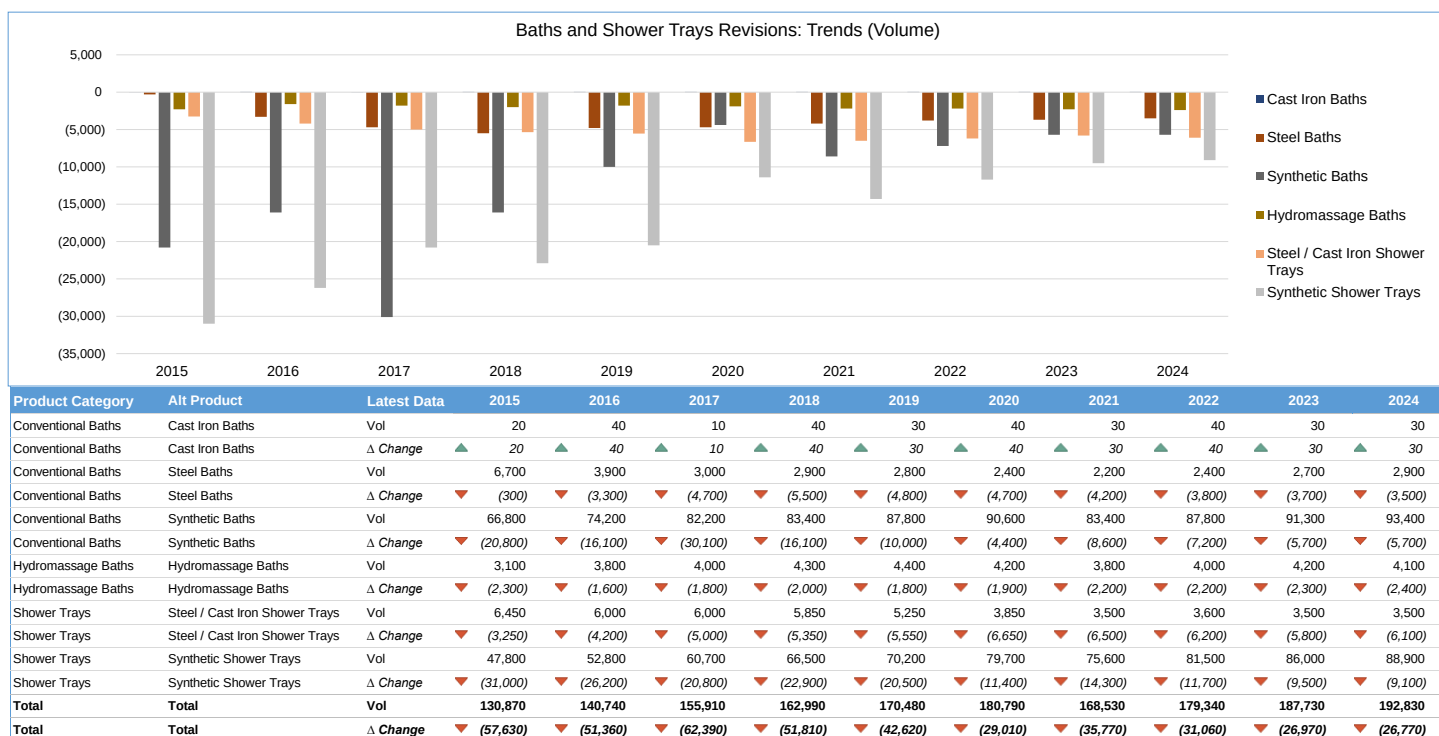
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.8 Revisions in the Dutch Baths and Shower Trays Market (April 2021)

NL - REVISIONS IN THE DUTCH BATHS AND SHOWER TRAYS MARKET

Data Comparison: October 2020



Downward revisions were made to the MSP for steel baths for all years, due to the impact of Spanish imports on the overall MSP being previously underestimated. Bath imports from Spain are all economy priced, whereas imports from Germany mostly go into the Middle and Upper/ Luxury price range.

Some minor changes were made to the MSP for synthetic and hydromassage baths, which is mostly because of changes made to the sales per price segment, combined with a more detailed analysis of sales by material type (e.g., acrylic vs. mineral cast), affecting the overall MSP.

A small market for cast iron baths has been added. Cast iron baths are a very niche market in the Netherlands, sourced predominantly from Portugal, Italy and the UK (often imported on an ad-hoc basis and not stocked locally). Prices for these baths are very high, often exceeding €2,500 (at RSP), especially the ones imported from Italy and the UK.

Downward revisions were made to the market size for steel baths for the 2005 to 2020 period (upwards for prior years). This is because imports from Germany and Spain suffered a lot more than previously indicated. Spanish imports, have suffered dramatically and mostly go into new build projects, characterised by extremely low prices, whereas German imports feature predominantly in the private project, both new build and RMI.

Some corrections have been made to the market sizes for synthetic and hydromassage baths, which is largely due to a misclassification of trade statistics. There seems to be a discrepancy between imports statistics recorded by the Dutch Statistical Office (CSB) compared to Eurostat, which might be due to an error in re-exports ('transits'). A lot of European imports enter Europe through the ports of Rotterdam and/ or Antwerp, which in most cases should not be counted as imports since products are simply transiting through the national territories of Belgium and the Netherlands. This has now been corrected, resulting in a slightly smaller market for synthetic products, including shower trays.

The MSP for synthetic shower trays has been revised up for all years. Synthetic shower trays, unlike synthetic baths, have a much higher share of non-acrylic materials, mostly mineral cast, which was previously underestimated. Although most shower trays sold in the Netherlands are still acrylic, the share of mineral cast has increased strongly over the last five years, reaching 43% by 2020, which are significantly more expensive than acrylic shower trays, affecting the overall MSP for synthetic shower trays. The Netherlands has experienced an influx of rising imports from Southern European countries, mostly France and Spain, and players from these countries mostly offer mineral cast shower trays. This includes, amongst others, KINEDO and AQUABELLA. Several more established players, including RIHO, SEALSKIN and VILLEROY & BOCH, are also increasingly selling more non-acrylic shower trays.

The market size for steel shower trays was revised down for all years due to a stronger decline in German imports as well as the fact that ROCA has now stopped selling steel shower trays in the Netherlands. Apart from Germany and Spanish imports there are hardly any other imports.

As with synthetic baths, the market size for synthetic shower trays was revised down due to a misclassification in import statistics. There seems to be a discrepancy between imports statistics recorded by the Dutch Statistical Office (CSB) compared to Eurostat, which might be due to an error in re-exports ('transits'). A lot of European imports enter Europe through the ports of Rotterdam and/ or Antwerp, which in most cases should not be counted as imports since products are simply transiting through the national territories of Belgium and the Netherlands. This has now been corrected, resulting in a slightly smaller market for synthetic products, including synthetic baths and shower trays.

NETHERLANDS

SANITARY WARE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The Netherlands has historically had one of the largest markets for sanitary ware in Western Europe. However, the banking crisis of 2009, with the Dutch economy struggling to recover from the downturn, has severely affected market developments over the last decade, which only managed to reach pre-crisis levels by 2018. The economic downturn had a significant impact on the Dutch housing market, both new build and RMI, and seriously affected sales of sanitary ware, which have still not reached pre-crisis levels.

WCs, or water closets, account for the largest share in terms of volume of the total ceramic sanitary ware market. The share of plastic cisterns has declined in favour of ceramic cisterns, due to the more luxurious look, but also the rising popularity of concealed cisterns. Of the exposed ceramic cisterns, a large number are sold as part of a close coupled system and, in the Netherlands, this product is referred to as the *duoblok*. Dutch consumers have developed a strong preference for wall hung WCs, for reasons of hygiene and the easier cleaning aspect. Nevertheless, there remains a significant number of floor standing WCs that are sold mainly for rental dwellings. These mostly use a low-level plastic cistern and are commonly used in social housing. In private renovation the market is moving away from floor standing to wall hung WCs, mostly with a concealed plastic cistern. Within the floor standing segment, a trend towards higher toilets can be seen, due to the fact that Dutch people are becoming taller. Sales of WC cisterns, both plastic and ceramic, have followed a similar trend to that in the overall ceramic sanitary ware market. However, sales of concealed cisterns have outperformed sales of exposed cisterns ever since their introduction, due to the increasing demand for wall hung WCs. Nevertheless, sales of exposed cisterns have not dropped too dramatically, as these cisterns feature heavily in the social housing sector.

Another popular segment consists of ceramic washbasins/countertops and, but to a lesser extent, hand washbasins. Within this market segment, there seems to be a clear trend towards countertops, as more bathrooms are equipped with bathroom furniture nowadays. This trend is supported by the increasing share of online retailers that offer bathroom furniture at a low price point. Hand washbasins can be found in almost every residential dwelling, explaining the relatively high sales volume per annum of this type of washbasin, although they are less used in the social housing segment.

Urinals are virtually only supplied to non-housing projects – and mainly by SPHINX (rebranded GEBERIT as of 2020), which holds a strong market position. This segment is clearly dominated by ceramic units, with a share of 95%, but other materials, such as steel units, are increasingly being used in the hospitality industry.

Sales of pedestals, particularly full pedestals, have been falling sharply in the Netherlands due to the rising penetration of bathroom furniture with the washbasin

mounted on top. The range of full pedestals is rather limited, and some suppliers have completely stopped offering this outdated product.

The market for bidets is marginal, since they do not tend to be installed in the average Dutch bathroom. In recent years, however, there has been increasing attention paid to the so-called 'bidet-toilet' (or shower toilet), which is in direct competition with the traditional bidet. It is assumed that most bidets sold in the Netherlands are installed in the non-housing segment, such as hotels and healthcare applications.

Despite a general trend towards concealed cisterns, mostly sold with wall hung WC pans and a framed installation module, there is still a significant demand for exposed cisterns in new build and renovation. Exposed plastic cistern sales have not only declined due to the increasing popularity of concealed cisterns but have been further hampered by the limited investments in the social housing segment. However, there remains a relatively large market for close coupled WCs, and most of these are fitted with a ceramic cistern. GEBERIT, with the former SPHINX brand, the Dutch market leader in ceramic sanitary ware, has a large share of this market with its *duoblok* WC.

Recent Market Trends

Demand for sanitary ware remained relatively flat in 2020, with only a minor increase in sales, largely driven by an increase in sales of concealed plastic and non-ceramic washbasins, the latter benefiting from a solid performance on the bathroom furniture market. Market developments in 2020 were less affected by the implications of Covid-19, but more by the struggling construction market, both residential and non-residential, influenced by the nitrogen crisis of 2019, whereas RMI demand developed favourably, partially benefiting from the measures implemented to tackle the COVID-19 pandemic.

The Netherlands, unlike all neighbouring countries, never went into full lockdown and only entered a so-called 'Intelligent Lockdown'. Whereas countries in the likes of the UK, France and Italy took drastic measures to prevent the spread of COVID-19 by implementation of national lockdowns and limiting all non-essential travel, the Dutch government simply urged people to leave their homes as little as possible and work from home, with only bars, cafes, restaurants, gyms, schools and 'contact' professions forced to close. People were not forced to stay at home and could still move around freely as long as they kept 1.5 metres apart. Like baths and shower trays, the Dutch sanitary ware may have benefited from the COVID-19 measures implemented. Covid-19, for example, led to consumers spending more time indoors due to social distancing and asked to work from home. Since employees did not need to commute to the office on a daily basis, more free time became available to spend on (home) decoration projects. Travel expenses, to travel to and from work, with most people working from home fulltime, also largely disappeared in 2020, making it easier to free up money for home renovation projects, such as bathrooms. Due to travel restrictions, international travel was often not allowed, or possible, and money that would normally be spent on

(international) holidays would be used by an increasing number of households to invest in bathrooms and/ or kitchens.

Despite the above, in 2020 housing RMI sales only grew at a slightly faster rate compared to 2019, which is most likely because sales already had grown exponentially between 2016 and 2019, with RMI sales for CSW up by +42% between these years, so more modest growth was already anticipated. Nonetheless, if the Dutch government had indeed implemented stricter measures to tackle the pandemic, a decline in RMI sales probably would have occurred. Sanitary ware, unlike smaller bathroom products, such taps and mixers and accessories, both bathroom and shower, relies more on full bathroom renovations than bathroom upgrades. Bathroom renovations suffered considerably between March and May 2020 but stabilised in the following months, with no strong recovery seen; whereas they recovered in June and July, remaining negative in following months.

When looking at consumer related trends, wall hung WCs gained share again at the expense of floor standing models. This upward sales trend is mostly likely due to a shift away from investment done by housing associations, which suffered in H2 2020, towards the uptake in private renovation projects. There is strong competition between wall hung and floor standing since the latter relies on public investments and the former on private investments. Rimless WCs have now become the norm, especially in the private sector. VILLEROY & BOCH has recently introduced a new flushing technology, the 'TwistFlush' technology, using a controlled water vortex to flush. All types of washbasins mounted on furniture saw the highest growth in 2020, benefiting from the general uptake in bathroom furniture sales. Coloured ceramics are also becoming more evident, benefiting from the general trend towards the intensive use of colours, particularly black in industrial style bathrooms.

Prices and Market Values

Over the last decade, prices for sanitary ware, in particular for CSW, have fluctuated but have, generally speaking, remained relatively flat, with the MSP in 2020 being similar to 2010. Whereas average prices, per piece, are still increasing, as raw materials and labour costs are becoming more expensive, increased competition amongst manufacturers, but also amongst retailers, is affecting price developments per annum. Indeed, increasing competition among market players, both online and offline, as well as decreasing margins, has put further strain on the price level in recent years. There are also more price aggressive stores, such as SANIDUMP, that offer sanitary ware at extremely low prices, a lot of price reductions at DIY stores, and internet sales that are bringing the average prices down even further. At the same time, rising imports from the Far East, including China and India, but also the Czech Republic, Turkey and Poland, often can have a strong impact on price developments year-by-year. Housing corporations often use basic and low-priced products, such as ROCA's JIKA brand, which previously used SPHINX (now GEBERIT) or IDEAL STANDARD's VENLO brand.

The economy and lower price segments often include unbranded products, especially Turkish imports, and private labels, from wholesalers, such as PLIEGER, and DIY chains such as INTERGAMMA and MAXEDA. The share of private label sales has increased considerably over the last decade, especially in DIY stores but also in the wholesale channel. Most DIY stores used to sell only leading brands, especially the former SPHINX brand (now GEBERIT), but most of these leading brands have now been replaced by DIY's own private label range such as MAXEDA's AQUAVIVE/AQUAZURE range and INTERGAMMA's ATLANTIC range. Some more well-known brands, such as VENLO, part of IDEAL STANDARD, and JIKA, part of ROCA, and GEBERIT also operate in this segment. The middle-priced segment, despite having lost share in previous years, remains the most important segment in terms of volume and value. The upper and luxury segments remain an exclusive market for high-priced products, largely offered by German and Italian players.

Average prices for ceramic sanitary ware continued to increase further in 2020, whereas these decreased for non-ceramic sanitary ware, including both types of plastic cisterns. Price developments in 2020 were largely characterised by a minor shift in favour of the middle to upper price segments at the expense of the economy to lower price segments, for both ceramic washbasins and WCs, which is largely in line with a change in supply, with a decline in imports from both Turkey and the Czech Republic. Prices for non-ceramic sanitary ware were mostly affected by a shift in sales away from the middle to the lower price segments, especially for non-ceramic washbasins but also for concealed cisterns. Changes in supply also affected price developments, especially competition between German players, including GEBERIT, GROHE, TECE and VIEGA. DIY sales developed very well for bathroom furniture and, because most base units in DIY stores are fitted with mineral cast basins, average prices decreased since base units sold in DIY stores generally are lower priced compared to the ones sold via bathroom retailers.

New Housing

Although the new build segment only accounts for a relatively small share of total sanitary ware sales per annum, it has been important in contributing to the recovery of sanitary ware sales over the past few years. Over the last 10 years, new residential construction output has fluctuated strongly, only fully recovering in 2014, largely due to the fact that it has been more difficult to get the right finances for a dwelling as banks have become increasingly resistant to approve mortgages. This has been affecting the private market, but even more so the social housing market, with housing corporations building some 70-75% fewer houses during the height of the construction crisis. Dutch housing associations have not fully returned to their pre-crisis levels of new build. The introduced legislation mandates housing corporations to sell a certain number of their existing dwellings, which in turn has affected their investment budgets.

Sales to the new housing sector can largely be divided into two main sectors, the private, owner-occupied, construction market and dwellings built by housing associations ('social housing'), which all need to be built according to the Dutch

Building Code ('*Bouwbesluit*'). The types of (ceramic) sanitary ware installed in these projects can vary greatly; whereas owner occupied bathrooms tend to have higher quality bathroom fittings installed, in housing corporations mostly lower priced products are installed. For example, most owner-occupied dwellings will have wall hung WCs, in combination with a concealed cistern, installed and some sort of bathroom furniture, in the social housing segment you can mostly find floor mounted WCs, either with a ceramic or an exposed plastic cistern, and wall hung basins, not featuring pedestals or bathroom furniture. JIKA, in particular, seems to be preferred in the social housing segment, although JIKA is also used in the owner-occupied segment, so is GROHE with its COSTA line of bathroom fittings.

Sales of sanitary ware sold to the new housing segment declined in 2020 which is mostly the result of the nitrogen crisis, and less so because of the COVID-19 pandemic since construction was never halted throughout 2020. In May 2019, the Council of State announced a ruling ('*Programma Aanpak Stikstof* (PAS)) affecting the Dutch construction market, both residential and non-residential. From 29 May 2019 until 10 October 2019, local authorities were not allowed to issue new building permits, and this had a strong impact on building activity during this time but also in the short term, affecting output in 2020. New residential completions, therefore, were already expected to decline in 2020, as well as 2021, due to a decrease in new building permits issued in 2019, even before the nitrogen ruling, as well the effects of the nitrogen ruling over the summer of 2019. Due to the nitrogen ruling, many new building permit applications were not processed for around four months and even today, due to this ruling, new building applications will take much longer than before.

Housing RMI

The housing RMI segment accounts for most of the sanitary ware sales and is, thus, the most important end-use segment. As with the other two end-use segments, sales volumes have fluctuated over the last decade, with its performance closely linked the general performance of the Dutch economy, combined with the investment patterns of housing associations. Generally speaking, when the macroeconomic situation is favourable, homeowners are willing to renovate, or upgrade, their dwellings, including the bathrooms, and this segment tends to develop in a better way than the construction market, both residential and non-residential. Although RMI sales have developed favourably since 2016, significant losses were recorded between 2008 and 2015, which were mostly the result of low investments from housing associations, which currently own around 42% of the total housing stock in the Netherlands. Despite growth in RMI sales in recent years, housing associations have not yet returned to their previous levels of investments, as seen before the banking crisis of 2009. Although these levels are not likely to be reached anytime soon, they are gradually starting to invest more, with expected results within the next couple of years.

WCs dominate this end-use segment, since most Dutch dwellings are fitted with two WCs, one in the master bathroom and another one in the toilet room, whereas the share of ceramic washbasins has weakened in favour of non-ceramic

washbasins, largely due to the fast uptake of bathroom furniture. Whereas most new build dwellings were historically not fitted with bathroom furniture, today, as part of a bathroom renovation in an existing home, most owner-occupied dwellings are installing bathroom furniture, especially base units, benefiting sales of non-ceramic washbasins, especially mineral cast washbasins. Close coupled WCs are today largely replaced with their concealed counterpart, especially in the private sector, but in social housing these continue to be used, although increasingly replaced with exposed plastic cisterns. Even in the RMI sector, social housing continues to favour low priced products, including washbasins and WCs.

During 2020, sales of sanitary ware aimed at the housing RMI market continued to develop favourably, accelerating slightly compared to the growth seen in 2020. As mentioned before, sales to the RMI sector seem to have benefited from measures implemented by the government to tackle the COVID-19 pandemic, such as the working from home and limitations on foreign travel. Money saved by not commuting to work or not travelling abroad for holidays, may have freed up money which was used on home refurbishment projects instead, including bathrooms, kitchens and possibly gardens.

Non-Housing

Sales of sanitary ware, including both ceramic and non-ceramic, to the non-housing sector is often characterised by large fluctuations in sales volumes since they rely heavily on large scale construction projects, less so on RMI demand. Although output in new non-residential buildings have increased considerably in recent years, total construction output seen over the last few years still remains well below construction output seen before the banking crisis of 2009, with sales from the non-housing sector in 2020 still being some 40% below its 2009 peak. Most sales are aimed at the commercial sector, including retail and hospitality buildings, healthcare, educational and office buildings. The construction of office buildings performed particularly well in the early- to mid-2000s, but this segment has suffered dramatically between 2009 and 2020, with construction output in 2020 only 15% of the 2009 output, whereas the construction of commercial buildings has particularly gained importance, from 11% in 2009 to 27% by 2020.

In 2020, sales to the non-residential sector continued to decline further, for the fourth consecutive year, largely due to a decline in construction output of commercial, educational as well as healthcare buildings, and is set to decline further in 2021. The number of new and refurbished hotel rooms particularly dropped, to around 7,900 hotel rooms, indicating a decline of over 31%, and declined for the second consecutive year. Sales to healthcare and educational buildings, when compared to hospitality buildings, performed much better in 2020 largely driven by an increase in sales to healthcare buildings (+5.7%), although sales to educational buildings (-4.8%) declined. Educational buildings, in particular, rely on large construction projects, especially the ones carried out by universities and research institutes, such as the University of Groningen in recent years. New commercial buildings declined only marginally, largely affected by the drop in new building permits in 2019, affecting the construction of shops. Due to the COVID-19

pandemic, the outlook for commercial buildings remains bleak, especially in comparison to office, healthcare and educational buildings, since it relies on revenues from the tourism sector. The construction of office buildings should benefit from the fact that a number of businesses and organisations have moved their offices from London to Amsterdam due to 'Brexit'.

Supply Structure

Unlike the market for taps and mixers but also baths and shower trays, the Dutch ceramic sanitary ware is significantly less fragmented, especially historically, largely due to the strong position of SPHINX (rebranded GEBERIT as of April 2020). Whereas in ranking the supply has remained stable, when looking at the market share, in volume, this has undergone some significant changes over the last two decades, characterised by a strong increase in imports, especially from the Far East but also Eastern European countries. With no domestic manufacture taking place in the Netherlands, with SPHINX, the last local manufacturer, having closed its production site in 2009, the entire ceramic market remains reliant on imports, from a number of important countries.

The overall supply on the (ceramic) sanitary ware market has been affected by two main factors. Firstly, the shift towards more luxurious, elegant and sophisticated products, such as a trend towards wall hung WCs, larger washbasins and countertop washbasins, with its impact on average prices and sales per price segment, is positively affecting supply from Germany, Italy and Austria. Secondly, price pressure due to a strong increase in sales from low(er) labour cost countries, such as China and India, which is affecting the distribution patterns in the Netherlands, with an increase in online sales and price stunting amongst other types of retailers, including DIY and bathroom retailers.

GEBERIT, now including the former SPHINX and KERAMAG brands, remains to be in the leading position, but its market share has weakened consistently since the mid-2000s. Production of the SPHINX brand came to an end in mid-2019, although most product characteristics remain largely the same as before. GEBERIT, even more so than the other players active on the market, has faced strong competition from imports, such as from Turkey, including VITRA, and the Czech Republic, mostly JIKA, especially in the social housing sector, combined with a change of supply to DIY stores, favouring private label brands. SPHINX used to have a strong presence in social housing but today JIKA is increasingly used, most likely for price related reasons. The company has historically principally been targeted to lower to middle price segments of the market, with KERAMAG supplying the upper and higher segments of the market, but this has changed in recent years, with a shift towards the middle segment.

The second largest player on the market is the German VILLEROY & BOCH, supplying the Dutch market from its production sites across Europe, including Germany, Hungary and possibly Sweden. VILLEROY & BOCH has historically targeted a different price segment than GEBERIT, mostly middle and upper, but are now increasingly targeting the same price segments. Over the last decade,

VILLEROY & BOCH has strengthened its position on the Dutch contract market, focusing on the middle- and upper-class residential housing projects as well as non-residential construction projects, most notably hotels. VILLEROY & BOCH recently announced, in September 2020, that it entered a partnership with the German STÖRMER KÜCHEN for the production of kitchens, complementing its bathroom range. Under licence, STÖRMER will produce kitchens for VILLEROY & BOCH in its own German production site in Rödinghausen and Enger, which will consequently be supplied to kitchen retailers in the Netherlands.

IDEAL STANDARD is active on the market with the VENLO and IDEAL STANDARD brands, with the latter being the strongest brand. IDEAL STANDARD is slightly more focused on supply to the non-residential sector, but also social housing. IDEAL STANDARD, unlike GEBERIT and VILLEROY & BOCH, is one of the few manufacturers in Europe offering complete bathroom solutions that are all produced in-house. A number of manufacturers, such as GEBERIT but also VILLEROY & BOCH and DURAVIT source supplementary products, such as taps and mixers, under OEM agreements from other manufacturers, whereas IDEAL STANDARD produces all products in their own factories. Ceramic sanitary ware aimed at the Dutch market is sourced from both the UK (IDEAL STANDARD) and Bulgaria (both IDEAL STANDARD and VENLO). VENLO is a very low-priced brand, mostly aimed at the economy and lower price segments, also featuring in social housing, whereas IDEAL STANDARD mostly goes into the lower to middle price segments.

The Spanish ROCA is on the market with three JIKA, LAUFEN and ROCA brands, all distributed by LAUFEN BENELUX. JIKA is the strongest brand sold because it is often favoured in social housing for its low price compared to other players. Because JIKA relies on social housing projects, both new build and renovations, sales volumes can fluctuate a lot since it relies on larger projects. LAUFEN is a premium brand, one of the highest priced brands sold on the Dutch market, and imported from its production sites in Austria, Switzerland and the Czech Republic. ROCA is a relatively small player on the market, but has been gaining share in recent years, and focuses more on the non-residential sector than the residential sector. ROCA, unlike most other brands, targets all priced segments in the Netherlands, with JIKA going into economy and lower, ROCA into lower to upper and LAUFEN mostly going into upper and luxury, which makes the ROCA GROUP quite a unique player on the Dutch market.

Another German manufacturer active on the Dutch market is DURAVIT, supplying the Dutch market from its factories in Europe and Egypt. The company used to be exclusively distributed via PLIEGER, one of the leading bathroom wholesalers, and STICHTS HANDELSHUIS BADKAMERS (declared bankrupt in 2019), but nowadays is supplied via a number of wholesalers. DURAVIT announced in 2013 its intention to change its distribution policy by also supplying direct to other national wholesalers and, by doing so, DURAVIT hoped to offer better purchasing conditions and service.

The above-mentioned players account today for around 50% of the total supply, but their share has weakened over the years, which accounted for nearly 70% of annual supply in 2012. The rest of the market is very fragmented, with a number of players from a variety of countries. Others include mostly imports from Turkey, excluding VITRA, but also non-identified imports from India, Poland and Romania.

The share of private label is high in the Netherlands, in both the retail and wholesale segments of the market, which has been gaining share rapidly. Most DIY stores in the Netherlands, especially INTERGAMMA and MAXEDA, mostly sell their own range of CSW, including the AQUAVIVE/AQUAZURO, introduced in 2010, sold in PRAXIS and GAMMA's ATLANTIC range. The shift towards private label ranges particularly affected sales of PLIEGER but also SPHINX in more recent years. Even wholesalers are today offering private label ranges. GALVANO's ALTERNA brand, in particular, has developed well, sourced from the Italian HATRIA. DMG, the leading bathroom and kitchen retailer, offers bathroom equipment under the BEN brand, sourced from GSI in Italy.

The concealed cistern market is largely an extension of the German market, with German supply dominating annual supply. GEBERIT remains the clear market leader with concealed cisterns, whereas the domestic WISA dominates the market for exposed plastic cisterns. GEBERIT, as most other German brands, are mostly targeting the higher price segments, mostly middle to upper/luxury, whereas WISA is a low-priced player, selling into lower price segments, largely favoured in social housing projects. Unlike ceramic sanitary ware, the overall supply has not undergone many changes over the last decade, with supply in 2020 being almost identical to that of 2020.

Forecasts

The market for sanitary ware, including ceramics and non-ceramics, showed continued growth in 2020, benefiting from a boost in home renovation projects, with DIY sales developing particularly well, the strongest performance in nearly two decades. A reversed trend, on the other hand, is expected for 2021, in turn due to recent developments following the spike in COVID-19 infections. The Netherlands initially weathered the COVID-19 pandemic quite well, saw a rapid rise in the number of infections and deaths, especially in the larger cities in North- and South-Holland, towards the end of 2020. Whereas for the most of 2020, no strict lockdown regime was implemented, only an 'intelligent lockdown' with people urged to stay at home and to only leave for essential journeys, and retail stores remained open, on 14 December 2020 the Dutch Prime Minister, Mark Rutte, announced that the country would go into a full lockdown. As of 15 December, most businesses, including most retail and hospitality buildings, were forced to close, initially until 19 January but this date has been extended several times, and are now expected to re-open on 28 April 2021. Certain exceptions were announced with essential stores remaining open, including banks, supermarkets and government organisations, and DIY stores could remain open for 'click-and-collect' only.

As with other larger bathroom equipment, the market for sanitary ware has traditionally relied on sales via bathroom showrooms and, despite a shift towards more 'modern' styles of retailing, including online and DIY, sales via these bathroom retailers remains high. Therefore, and as a result, the sanitary ware market will be severely affected by the closure of most types of retailers involved in the distribution of these type of goods. Bathroom retailers are now allowed to re-open towards the end of April 2021, but the closure of these retailers will undoubtedly have had an adverse negative effect on sales for 2021 as a whole. During the first two months (latest data available) of 2021, sales via DIY retailers, but also specialist retailers, showed dramatic reductions in turnover, with sales in DIY stores down by -45.4% and -36.5% and specialist retailers down by -15% and -11%, but the latter includes all types of retailers involved in home improvement related products, not only bathroom and kitchen related products.

Sales of sanitary ware is expected to suffer across all end-use segments, but all affected by different factors. RMI sales are most anticipated to witness the highest sales contraction, due to the previous explained factors, whereas sales to the new and non-housing sectors should keep up somewhat better. Sales to the RMI sector in 2020 were largely favourable because people were urged to stay indoors and consequently spent more time and money on home renovation projects instead of going on holiday or in bars and restaurants. When things go back to 'normal, or better the 'new normal', it is more likely that consumers will increasingly spend their money on travel or leisure activities rather than home renovation projects, affecting sales demand in 2020. How RMI demand will develop for 2021 will also depend on whether an increase in sales during the final three quarters will counterbalance the sales decline seen in Q1 but also on whether housing associations will accelerate housing renovations, which slowed down in H2 2020. Investments of housing associations in their existing dwellings remains a very important segment for sales to the RMI sector. For example, the general downturn in RMI sales, especially between 2012 and 2014, seen after the 2009 banking crisis was mostly due to low investment from these housing associations, partly due to the previously negative economic environment but also due to new legislation that has forced many associations to sell their high-end properties. Dwellings owned by housing associations are in general need of refurbishments, estimating at around three million dwellings, largely built between the 1960s and 1980s.

New build demand should weaken further for 2021 but show strong recovery from 2022 onwards. The decline in new build output in both 2020 and 2021 was already anticipated, not relating to COVID-19, but affected due to the effects of the nitrogen crisis on the new building permit applications in 2019, also affecting non-residential construction output. The new housing market, in the medium to long term, should benefit from incentives introduced by the government, such as the 'Residential Construction Stimulus Programme' aimed at the construction of affordable homes, but also due to the general housing deficit in the Netherlands, which has worsened since the onset of the banking crisis of 2009. The housing deficit, estimated at over 300,000 dwellings, in the Netherlands has worsened considerably due to the effects of the banking crisis, resulting in the bankruptcy of around 5,000 construction companies and 500,000 construction workers, combined with the lack

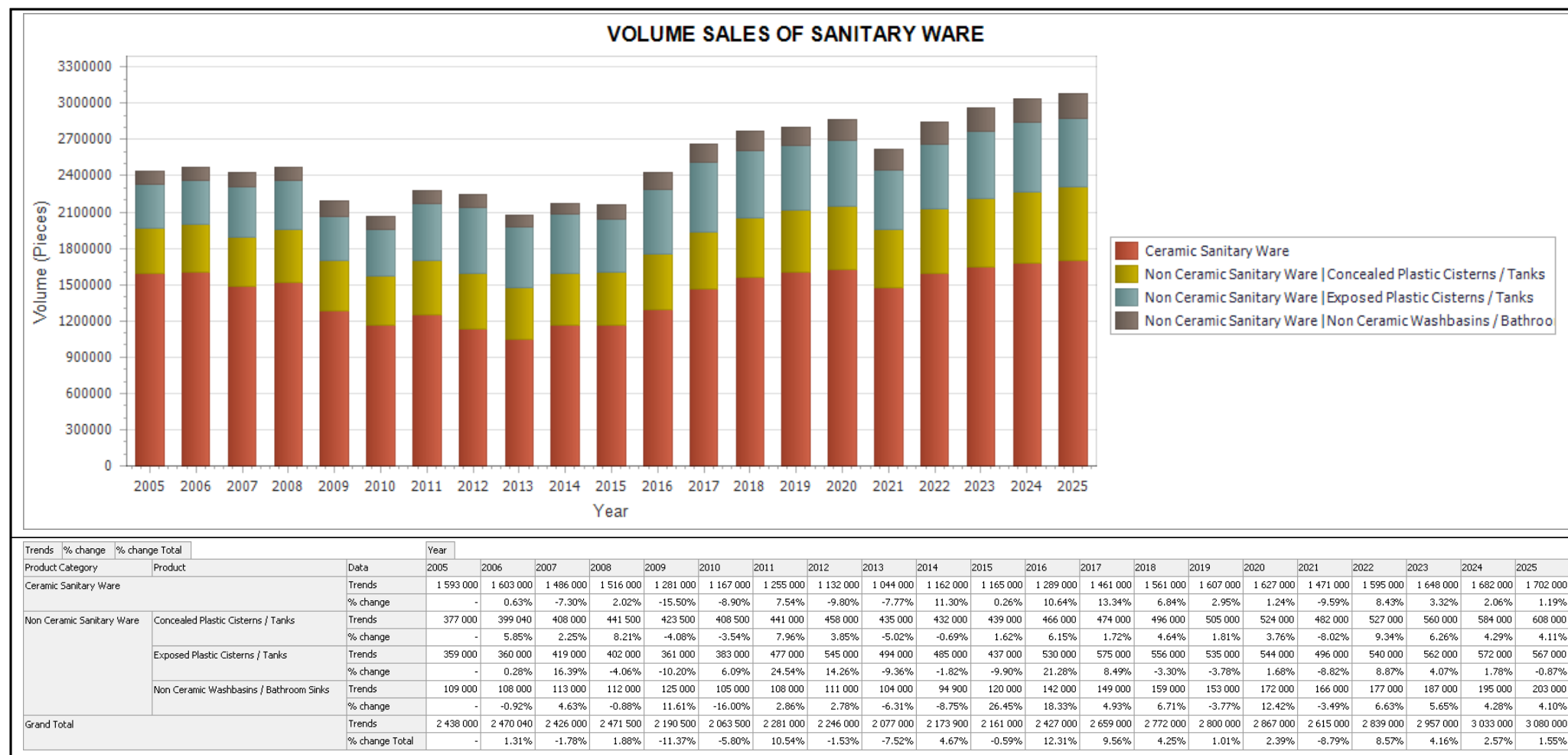
of construction workers, high material costs and the implementation of a landlord levy in 2013 (as enforced by the government). Due to the landlord levy, housing associations have consequently significantly built fewer homes, from around 30,000 to 35,000 before this implementation to around 15,000 after it. Any attempts to reduce the housing deficit, by building more homes on an annual basis, should undoubtedly positively affect sales of ceramic sanitary, especially WCs, but also concealed cisterns.

Demand from the non-residential building sector is also set to weaken in 2021, continuing the adverse conditions from recent years, which has now not seen any growth since 2016. Sales to non-residential buildings, both new build and RMI, has developed volatily over the years because they rely on large construction projects, including for office, educational and commercial buildings. Sales to office buildings reached their lowest level in 2018 and are not set to recover before 2022. This segment should, in the medium to long term, benefit from the fact that a number of businesses and organisations have moved their offices, due to 'Brexit', from London to Amsterdam. Sales to healthcare buildings, mostly in the short term, will be affected by the COVID-19 pandemic, resulting in lower investments in 2021, but should see more strong growth from 2022 onwards, but educational should suffer across the entire forecast period. The strong decline in new hotel completions expected for 2021 will have a strong negative impact on sales of both baths and showers. The pandemic has had a strong impact on the revenues of hotels, as well as all other types of hospitality buildings, with many investment plans now been put on hold or cancelled, which will affect construction output in coming years, reaching a historical low level in 2021.

Within the product mix, no major changes are expected to occur, with developments in line with the trends seen in previous years. The market is set to develop in favour of more sophisticated, high-end and luxury bathrooms, limited to the private sector; but, as with bathroom mixers, the general 'downtrading' trend towards lower priced products may hamper this development to a certain extent. Colours, especially the intensive use of it, should gain momentum even stronger over the forecast period, particularly related to basins and WCs but also furniture, similar to developments seen on the market for mixers and accessories. WCs are most likely to become even more water efficient, in line with European legislation. While ceramic will remain to be largely white, black is set to rise considerably, currently accounting for less than 5% of sales. Rimless WCs will account for most sales by 2025, for around one-third of total CSW sales, especially with prices going down due to rising competition, from both leading brands and private label brands. More traditional washbasins, including wall hung and pedestal, are set to lose share rapidly, year-by-year, due to rising penetration of bathroom furniture, but hand washbasins will remain popular, in turn due to their extensive use in toilet rooms, with virtually all houses having one installed.

2.2.1 Historical Trends and Forecasts : Sanitary Ware

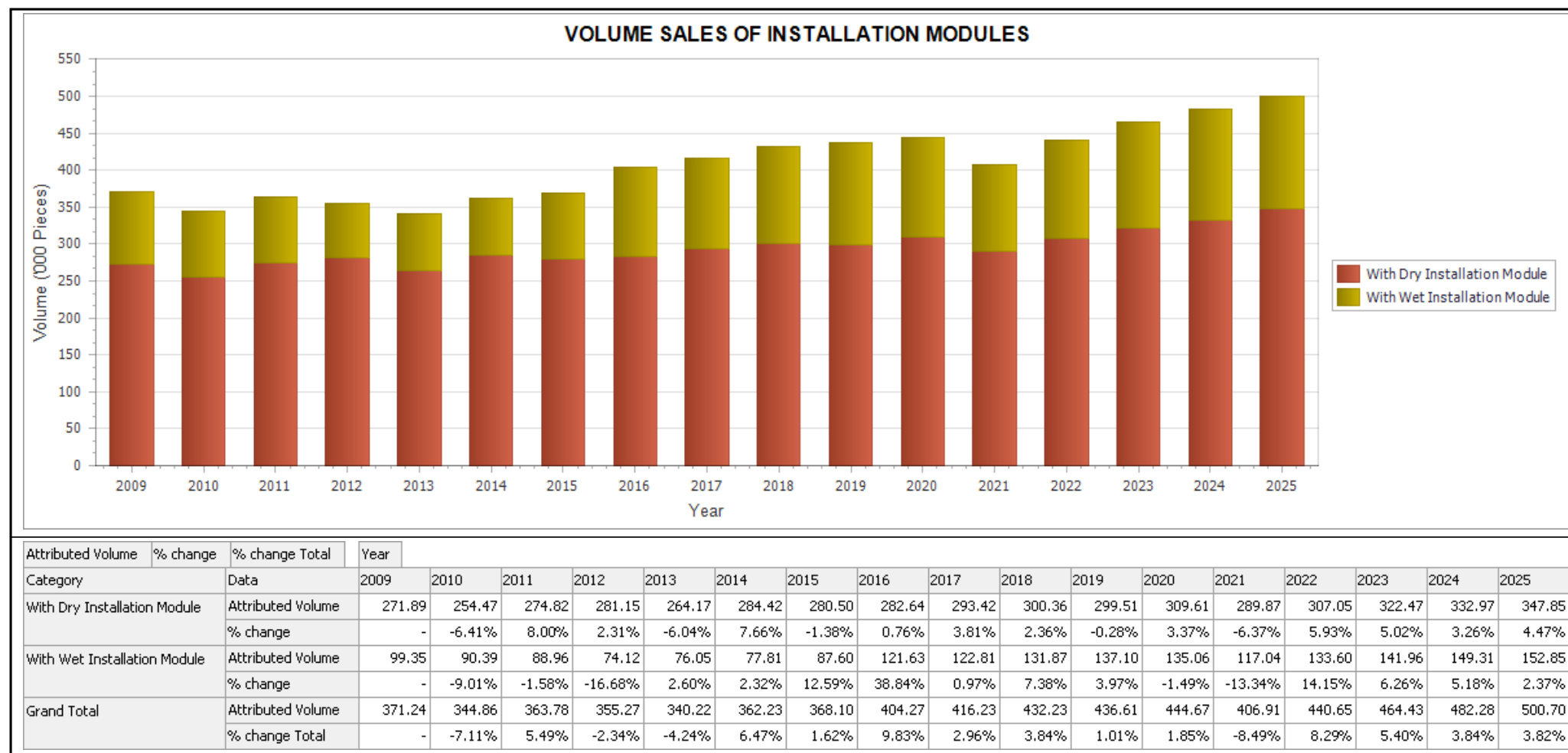
NL - SUMMARY OF TRENDS IN THE SANITARY WARE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

2.2.2 Historical Trend and Forecasts: Installation Mod.

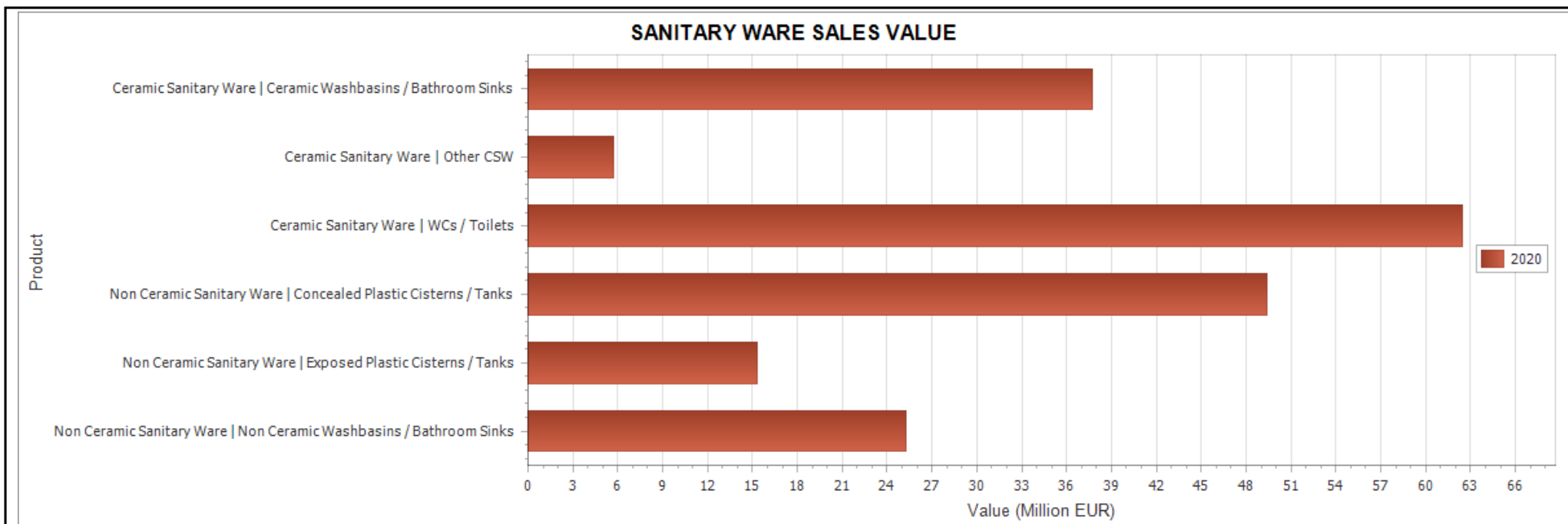
NL - SUMMARY OF TRENDS IN THE INSTALLATION MODULE MARKET : HISTORICAL AND FORECASTS ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.3.1 Prices and Market Values : Sanitary Ware

NL - ESTIMATED VALUES OF THE SANITARY WARE MARKET



Volumes	MSP (EUR)	Value (MSP EUR)	Year	Data				
			2020			2019		
Product Category	Product	Volumes	MSP (EUR)	Value (MSP EUR)	Volumes	MSP (EUR)	Value (MSP EUR)	
Ceramic Sanitary Ware	Ceramic Washbasins / Bathroom Sinks	636 000	59.24	37.68	626 000	57.49	35.99	
	Other CSW	59 000	96.44	5.69	62 000	92.49	5.73	
	WCs / Toilets	932 000	66.99	62.43	919 000	64.68	59.44	
Non Ceramic Sanitary Ware	Concealed Plastic Cisterns / Tanks	524 000	94.20	49.36	505 000	96.98	48.97	
	Exposed Plastic Cisterns / Tanks	544 000	28.17	15.32	535 000	29.11	15.57	
	Non Ceramic Washbasins / Bathroom Sinks	172 000	146.87	25.26	153 000	147.61	22.58	
Grand Total		2 867 000	68.28	195.75	2 800 000	67.25	188.30	

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

2.3.2 Prices and Market Values by Type : CSW

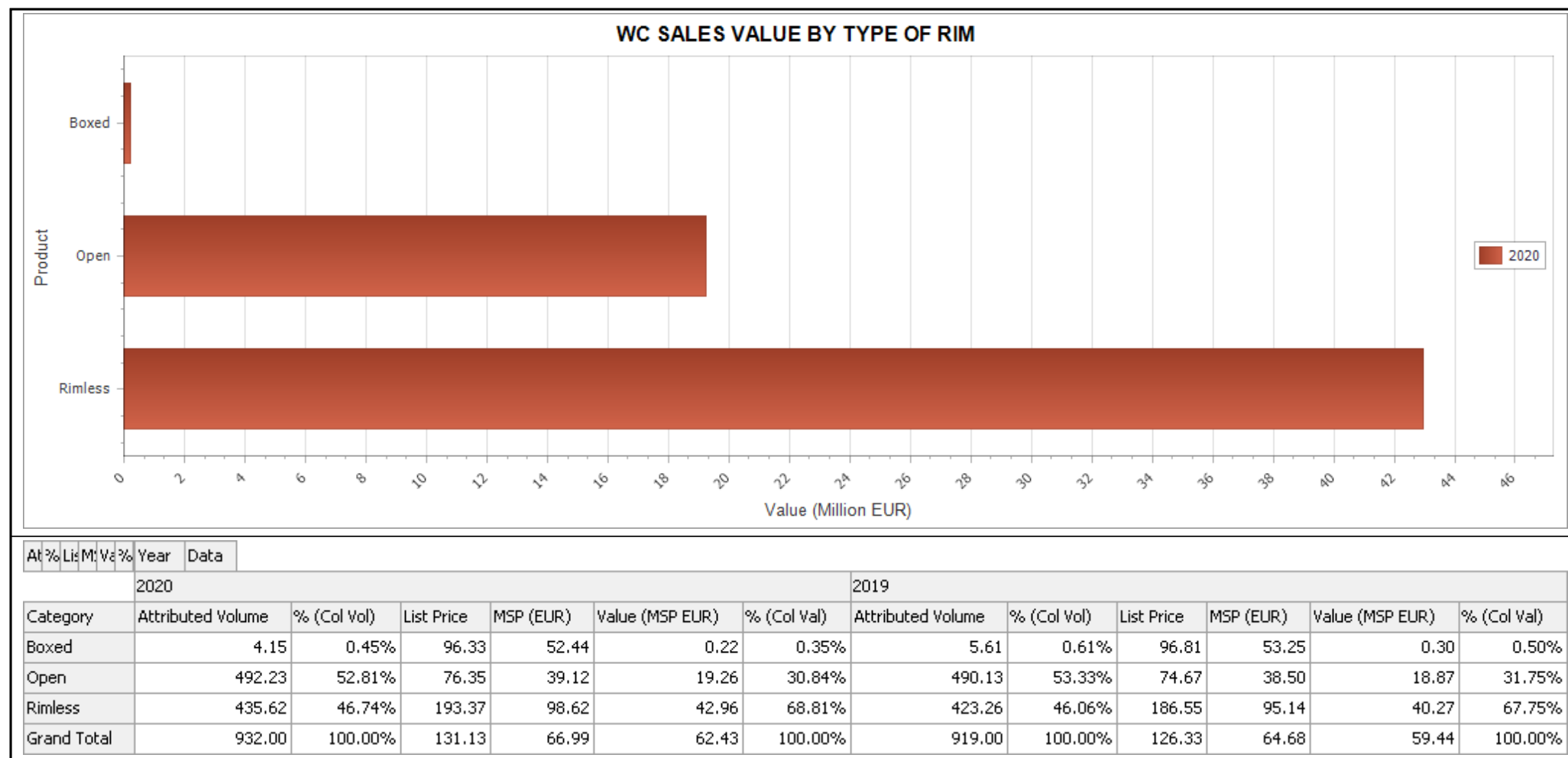
NL - ESTIMATED VALUES OF THE CERAMIC SANITARY WARE MARKET BY TYPE OF PRODUCT

Attributed %	% (Col Vol)	List Price	MSP (EUR)	Value (MSP	% (Col Val)	Year	Data						
2020								2019					
Alt Product	Category	Attributed Volume	% (Col Vol)	List Price	MSP (EUR)	Value (MSP EUR)	% (Col Val)	Attributed Volume	% (Col Vol)	List Price	MSP (EUR)	Value (MSP EUR)	% (Col Val)
Ceramic Washbasins / Bathroom Sinks	Countertop Washbasins	122.37	19.24%	284.60	128.07	15.67	41.60%	107.92	17.24%	278.49	125.32	13.52	37.58%
	Hand Washbasins	274.12	43.10%	46.90	28.14	7.71	20.47%	266.68	42.60%	46.91	28.15	7.51	20.86%
	Inset Washbasins	71.32	11.21%	125.50	60.24	4.30	11.40%	70.36	11.24%	123.76	59.40	4.18	11.61%
	Pedestal Washbasins	6.46	1.01%	41.79	22.98	0.15	0.39%	7.21	1.15%	42.00	23.10	0.17	0.46%
	Semi-Recessed Washbasins	8.68	1.36%	208.04	95.70	0.83	2.20%	8.55	1.37%	206.07	94.79	0.81	2.25%
	Undermount Washbasins	25.36	3.99%	215.52	103.45	2.62	6.96%	24.75	3.95%	209.81	100.71	2.49	6.93%
	Wall Hung Washbasins	127.71	20.08%	86.29	50.05	6.39	16.96%	140.53	22.45%	89.67	52.01	7.31	20.31%
Other CSW	Bidets	3.36	5.69%	149.98	77.24	0.26	4.56%	3.73	6.02%	146.48	75.44	0.28	4.91%
	Close-Coupled Cisterns	19.49	33.04%	84.07	46.24	0.90	15.84%	20.58	33.19%	81.86	45.02	0.93	16.16%
	Kitchen Sinks	8.80	14.92%	523.62	240.71	2.12	37.23%	9.10	14.68%	504.70	232.21	2.11	36.85%
	Others	2.37	4.02%	20.67	8.89	0.02	0.37%	2.49	4.02%	20.96	9.01	0.02	0.39%
	Pedestals & Half Pedestals	7.18	12.17%	50.89	27.99	0.20	3.53%	7.59	12.24%	48.44	26.64	0.20	3.53%
	Urinals	15.28	25.90%	305.33	128.24	1.96	34.44%	15.75	25.40%	293.43	123.24	1.94	33.85%
	Utility / Laundry Sinks	2.52	4.27%	217.24	91.24	0.23	4.04%	2.76	4.45%	213.52	89.68	0.25	4.32%
WCs / Toilets	Close-Coupled WC Bowls	18.83	2.02%	107.70	51.70	0.97	1.56%	20.23	2.20%	106.50	51.12	1.03	1.74%
	Floor Standing WC Bowls	482.79	51.80%	111.43	61.29	29.59	47.39%	489.81	53.30%	108.22	59.52	29.15	49.05%
	Wall Hung WC Bowls	430.39	46.18%	154.27	74.05	31.87	51.05%	408.96	44.50%	149.01	71.52	29.25	49.21%
Grand Total		1 627.01	100.00%	128.94	65.03	105.80	100.00%	1 607.01	100.00%	124.26	62.95	101.16	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.3 Prices and Market Values by Type of Rim : WCs

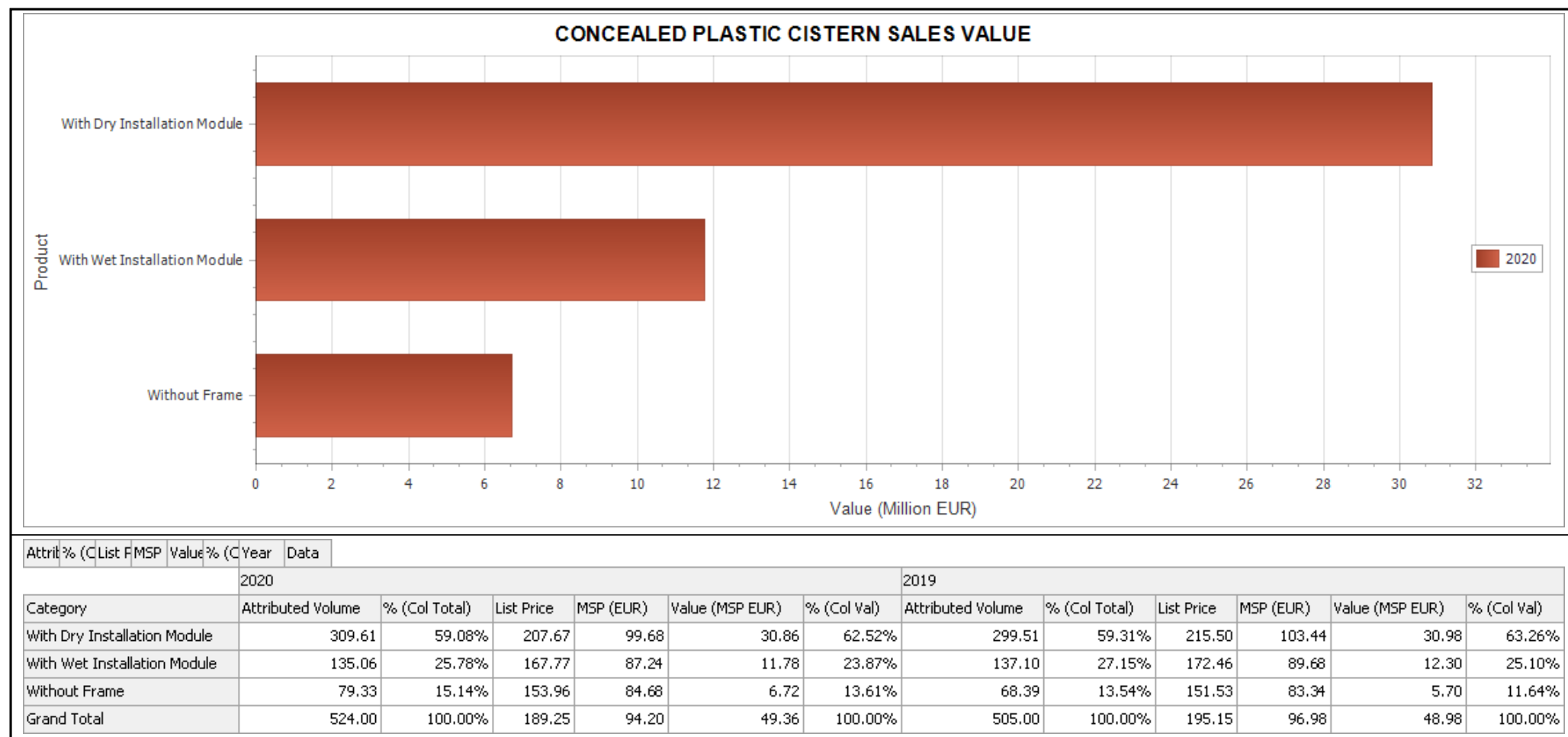
NL - ESTIMATED VALUES OF THE WC MARKET BY TYPE OF RIM ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.4 Prices and Market Values by Type : Conc. Cisterns

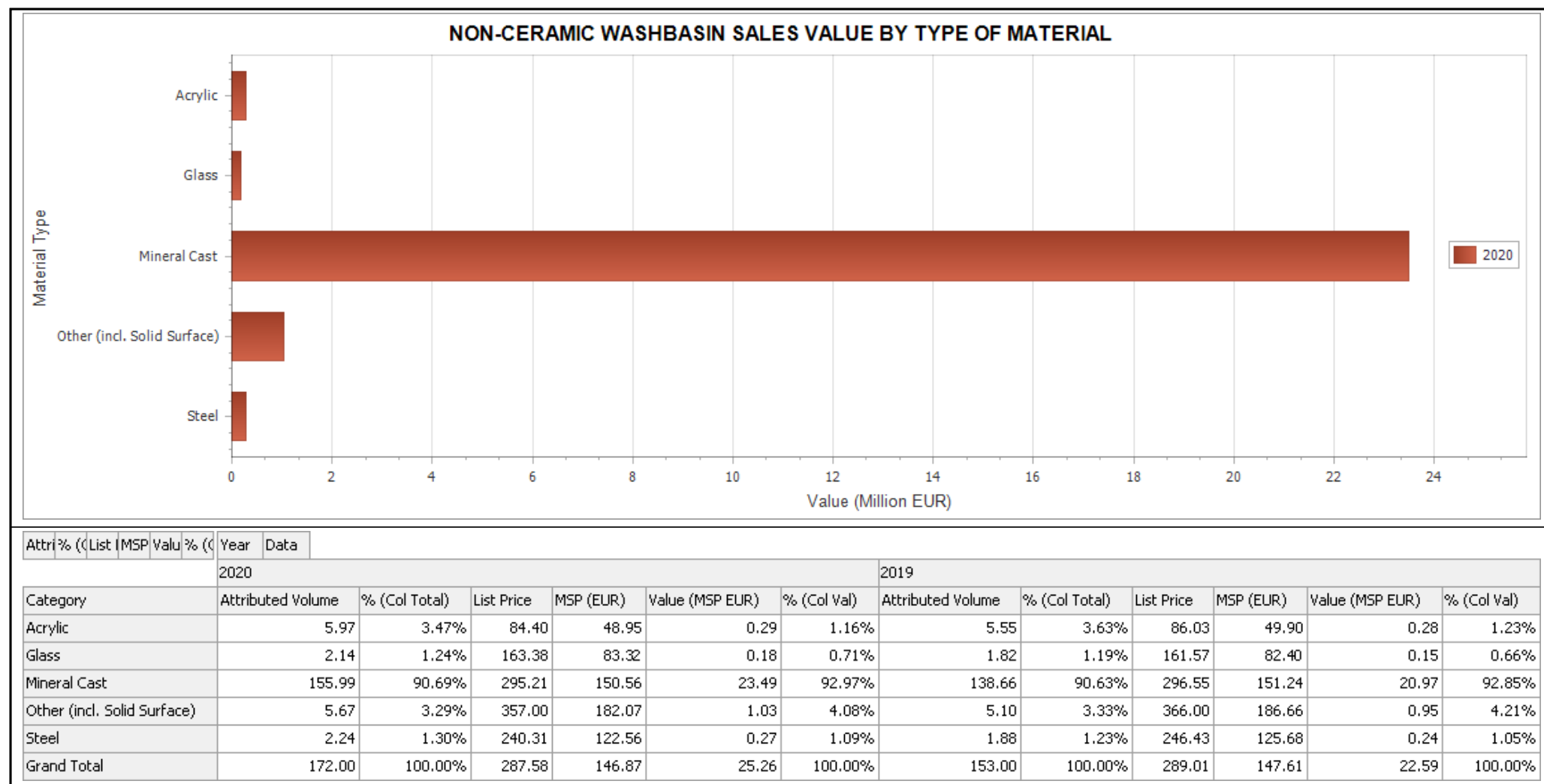
NL - ESTIMATED VALUE OF THE CONCEALED PLASTIC CISTERNS MARKET BY TYPE OF INSTALLATION



Source: BRG based on industry interviews. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.5 Prices and Market Values : Non-Ceramic Washbasins

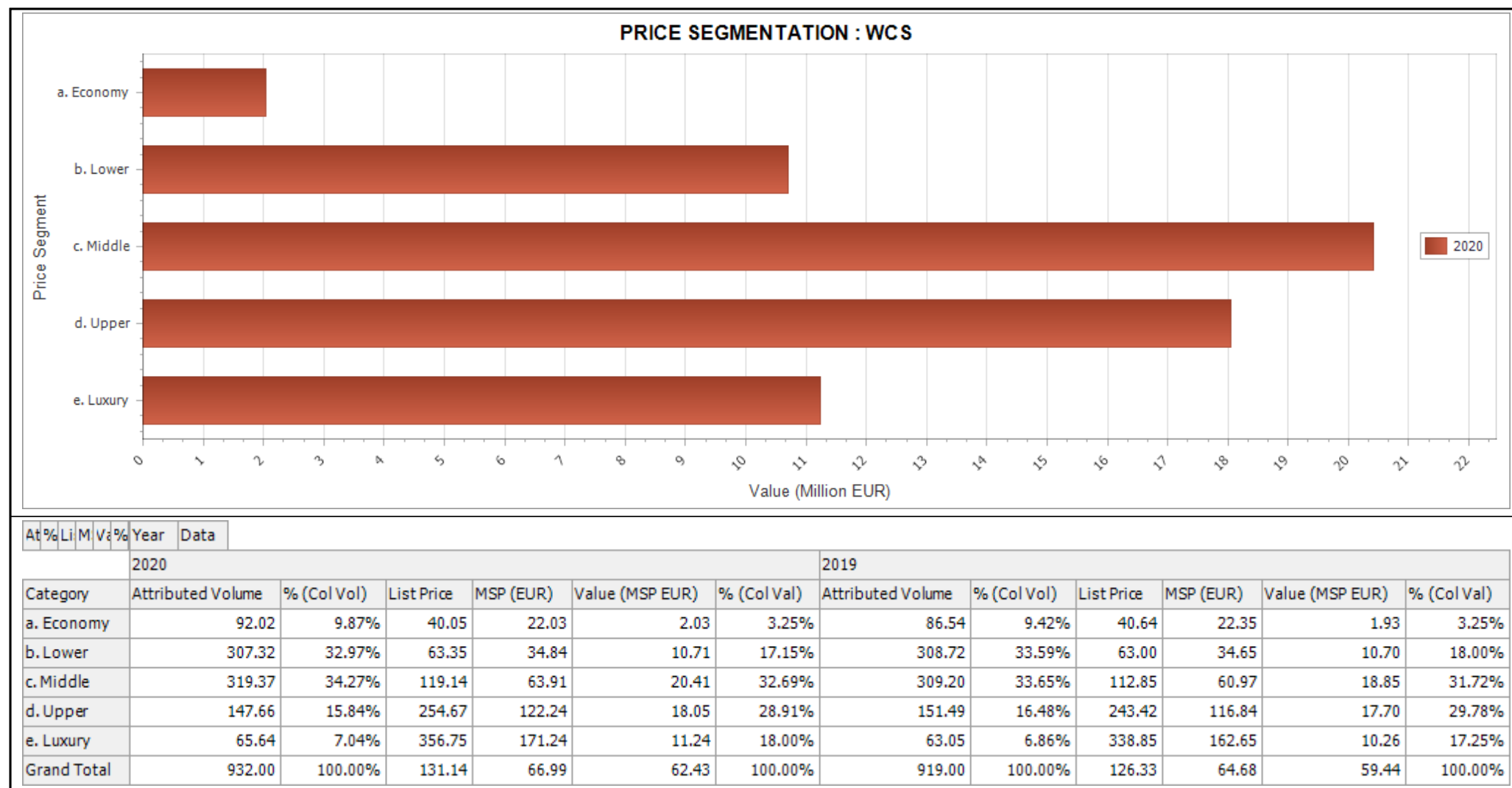
NL - ESTIMATED VALUE OF THE NON-CERAMIC WASHBASIN MARKET BY MATERIAL TYPE



Source: BRG based on industry interviews. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.6 Price Segmentation : WCs

NL - ESTIMATED PRICE SEGMENTATION FOR WC

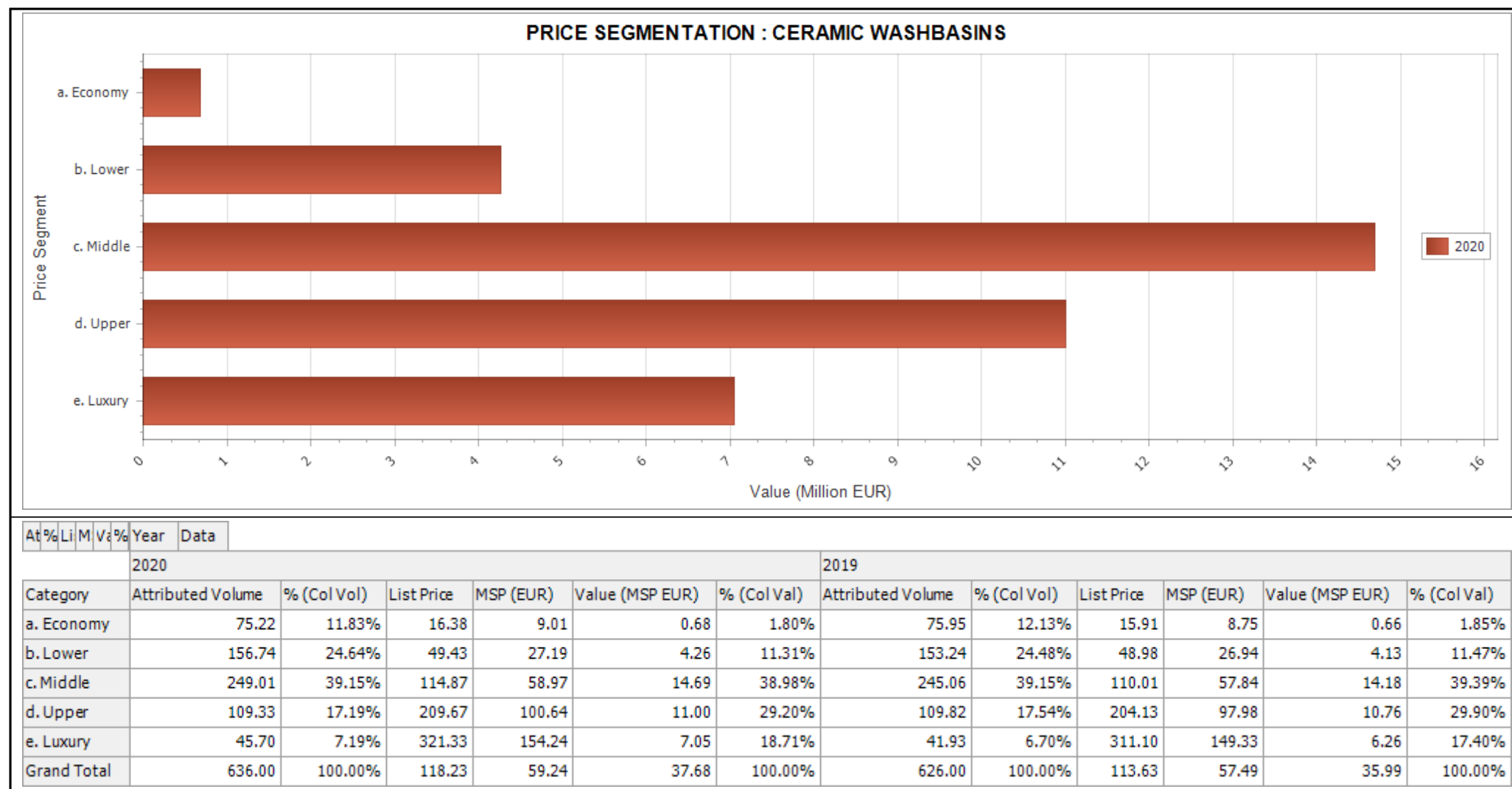


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types.

Volumes Shown in Thousands and Values Shown in Millions. Economy <€25, Lower €25-€50, Middle €50-€100, Upper >€1000-€150, Luxury >€150

2.3.7 Price Segmentation : Ceramic Washbasins

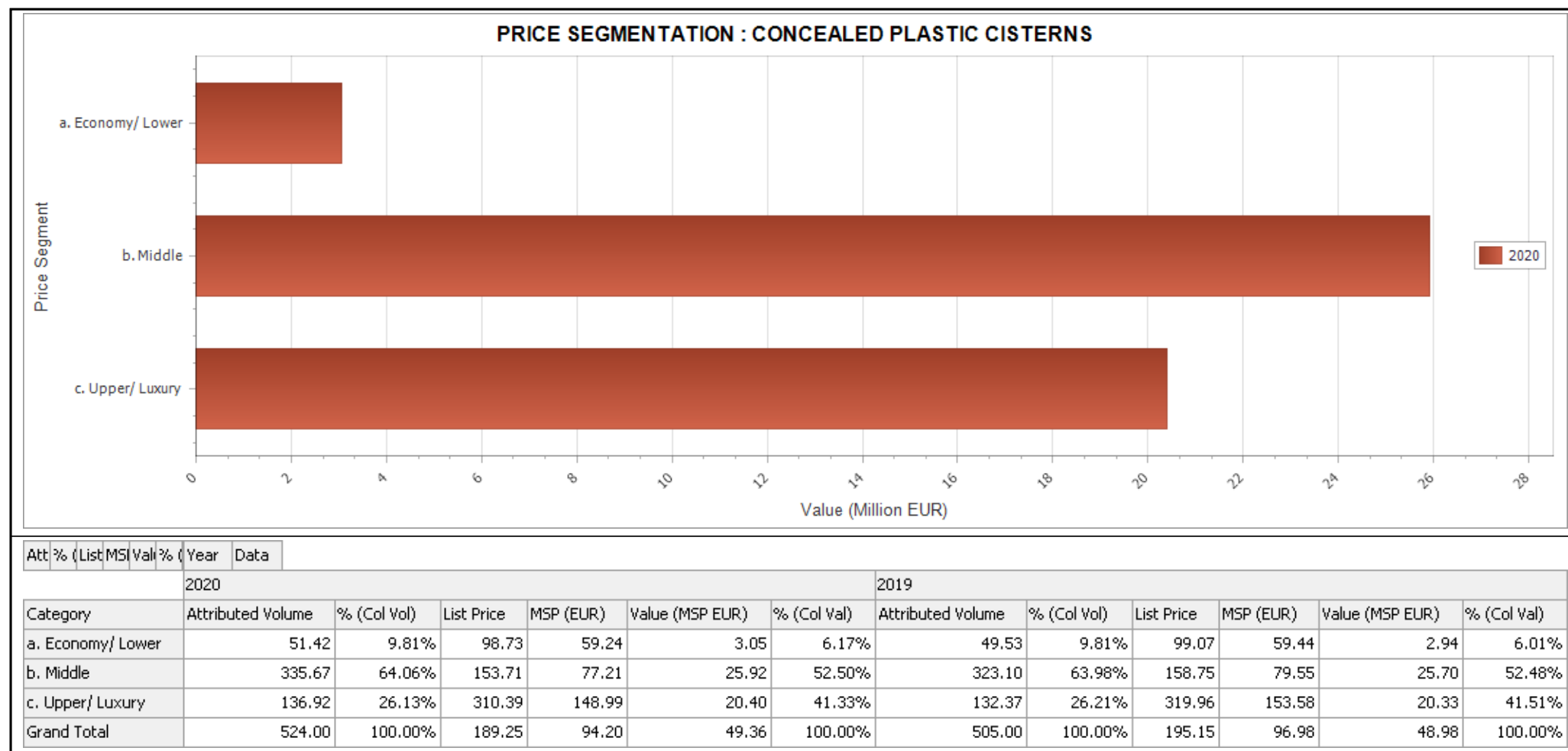
NL - ESTIMATED PRICE SEGMENTATION FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types.
 Volumes Shown in Thousands and Values Shown in Millions. Economy <€20, Lower €20-€40, Middle €40-€80, Upper >€80-€120, Luxury >€120

2.3.8 Price Segmentation : Concealed Plastic Cisterns

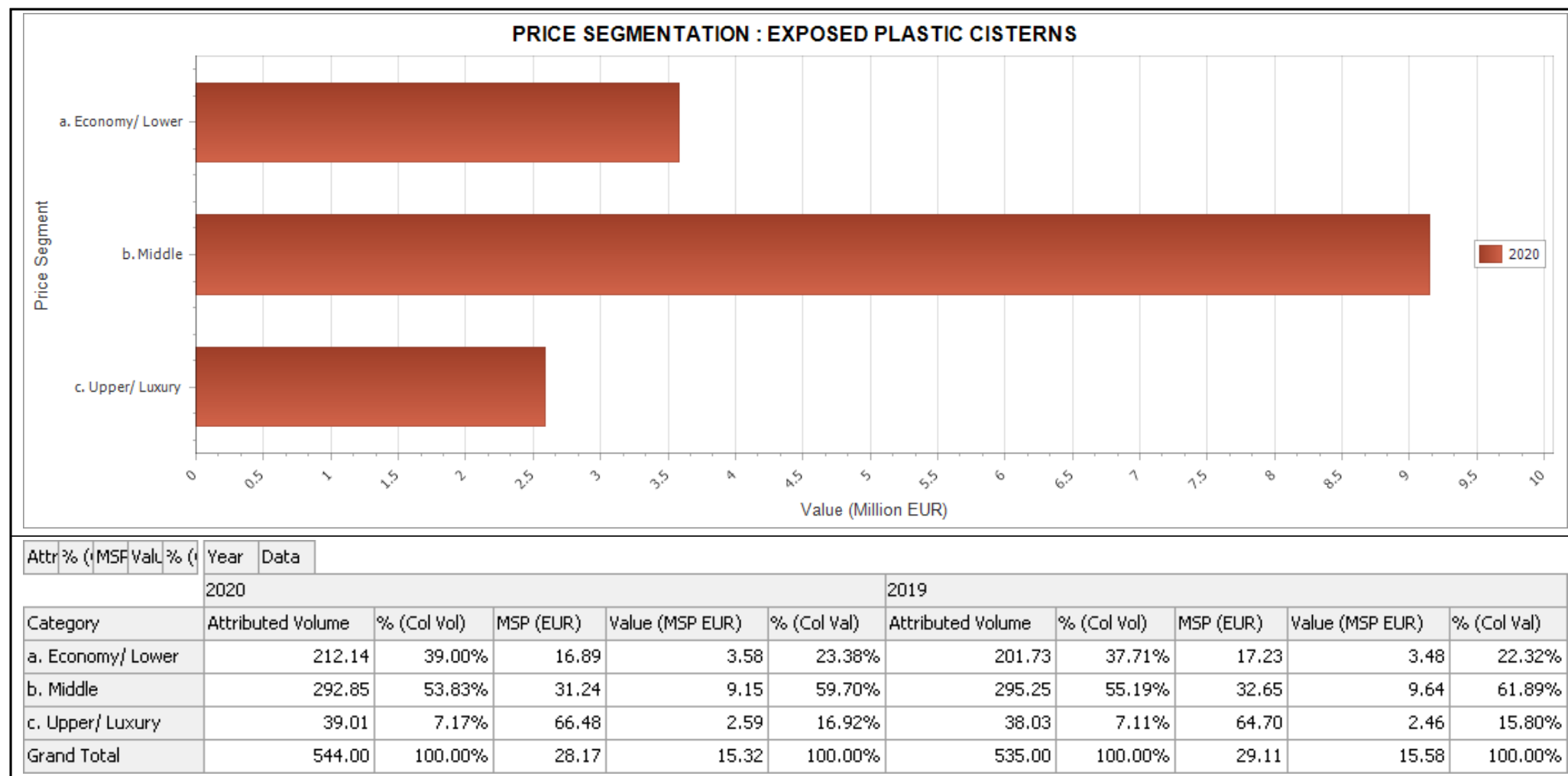
NL - ESTIMATED PRICE SEGMENTATION FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€65, Middle €65-€100, Upper/ Luxury >€100

2.3.9 Price Segmentation : Exposed Plastic Cisterns

NL - ESTIMATED PRICE SEGMENTATION FOR EXPOSED PLASTIC CISTERNS

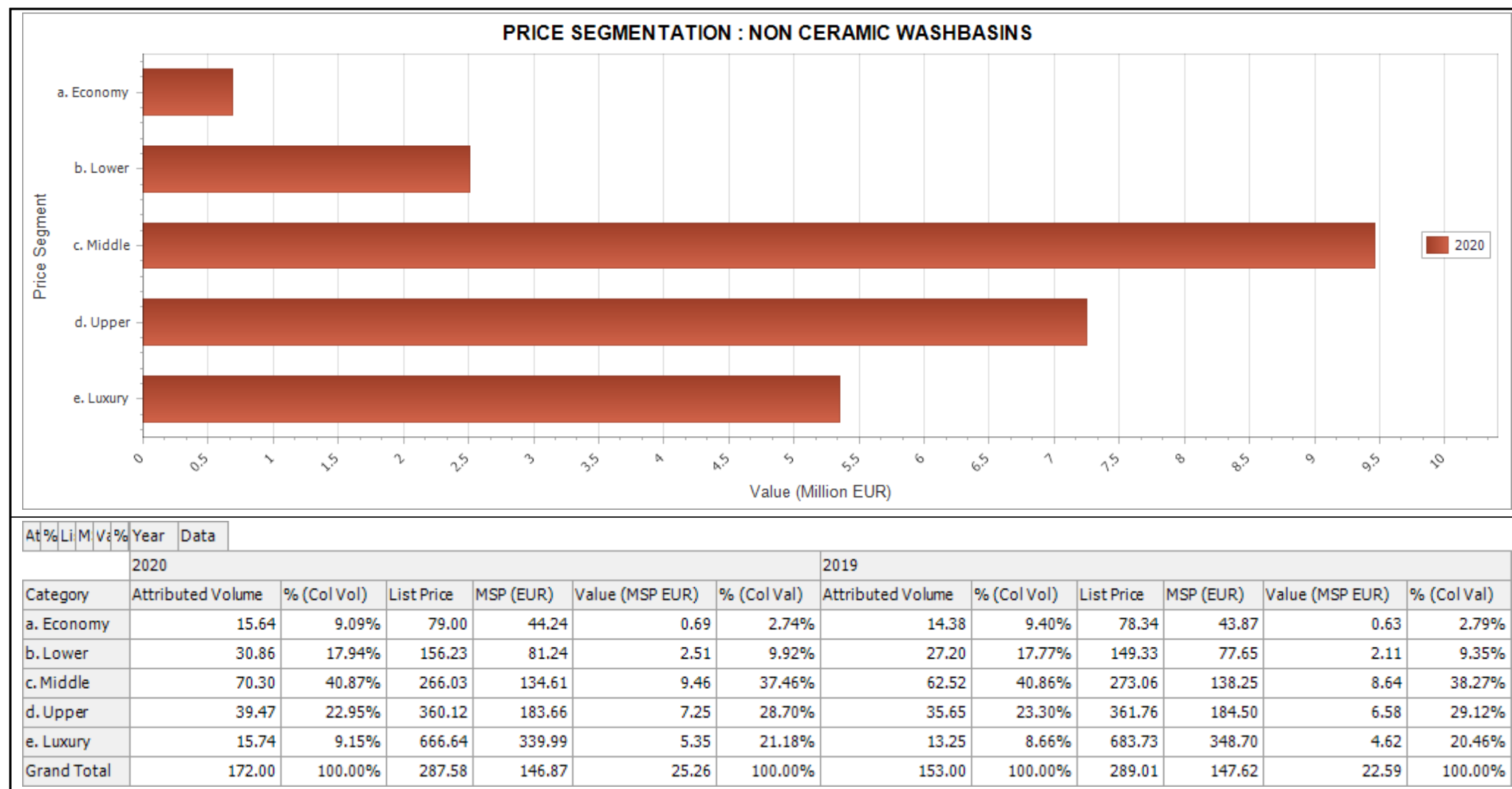


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€20, Middle €20-€40, Upper/ Luxury >€40

2.3.10 Price Segmentation : Non Ceramic Washbasins

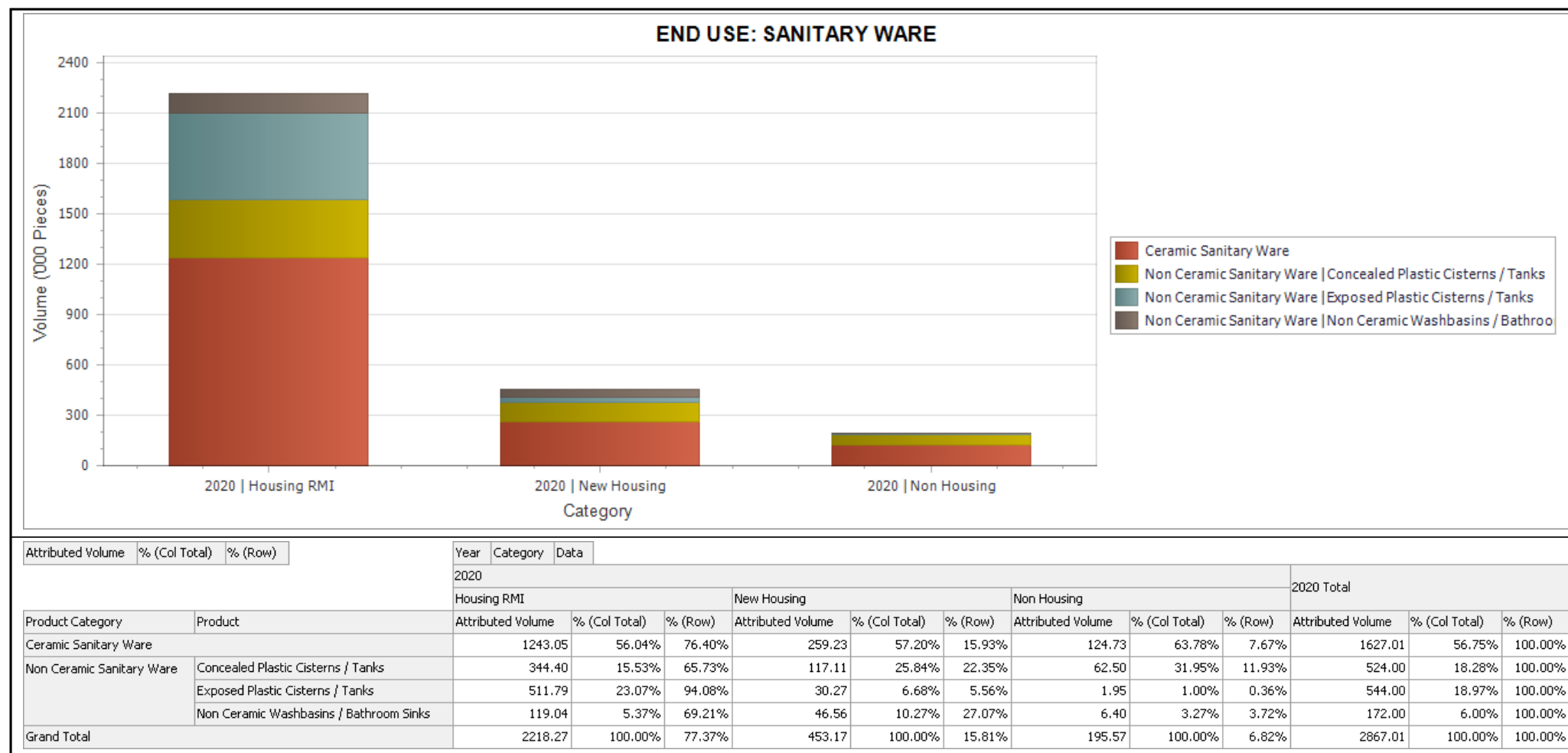
NL - ESTIMATED PRICE SEGMENTATION FOR NON CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types.
 Volumes Shown in Thousands and Values Shown in Millions. Economy <€50, Lower €50-€100, Middle €100-€150, Upper €150-€250, Luxury >€250

2.4.1 End Use : Base Year

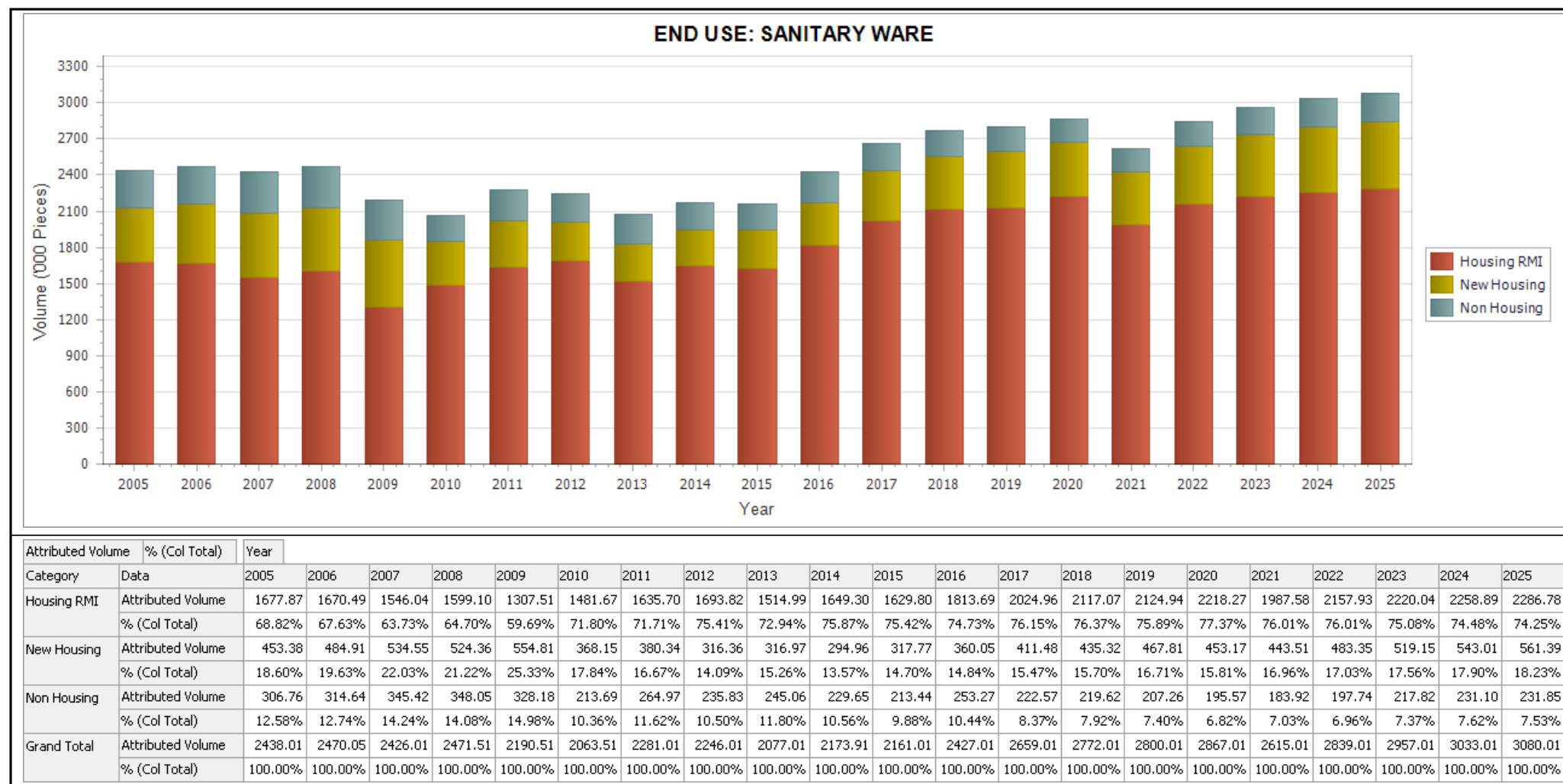
NL - SALES OF SANITARY WARE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.4.2 End Use : Historical and Forecasts

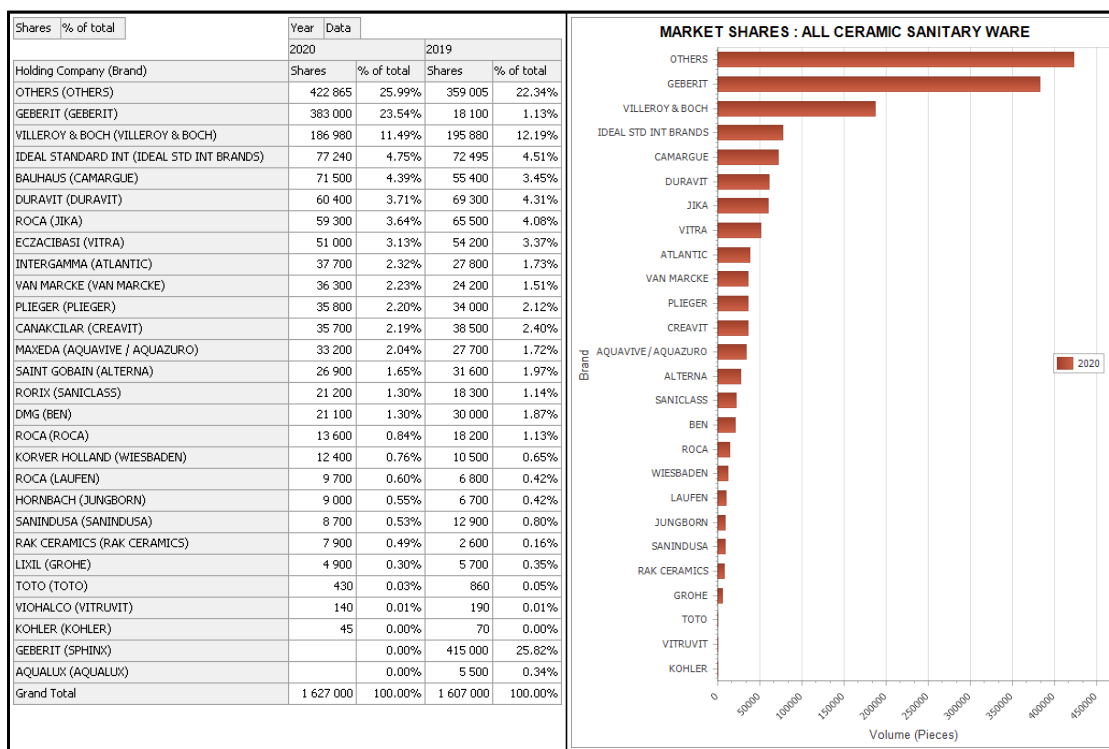
NL - SALES OF SANITARY WARE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.5.1 Market Shares : All Ceramic Sanitary Ware

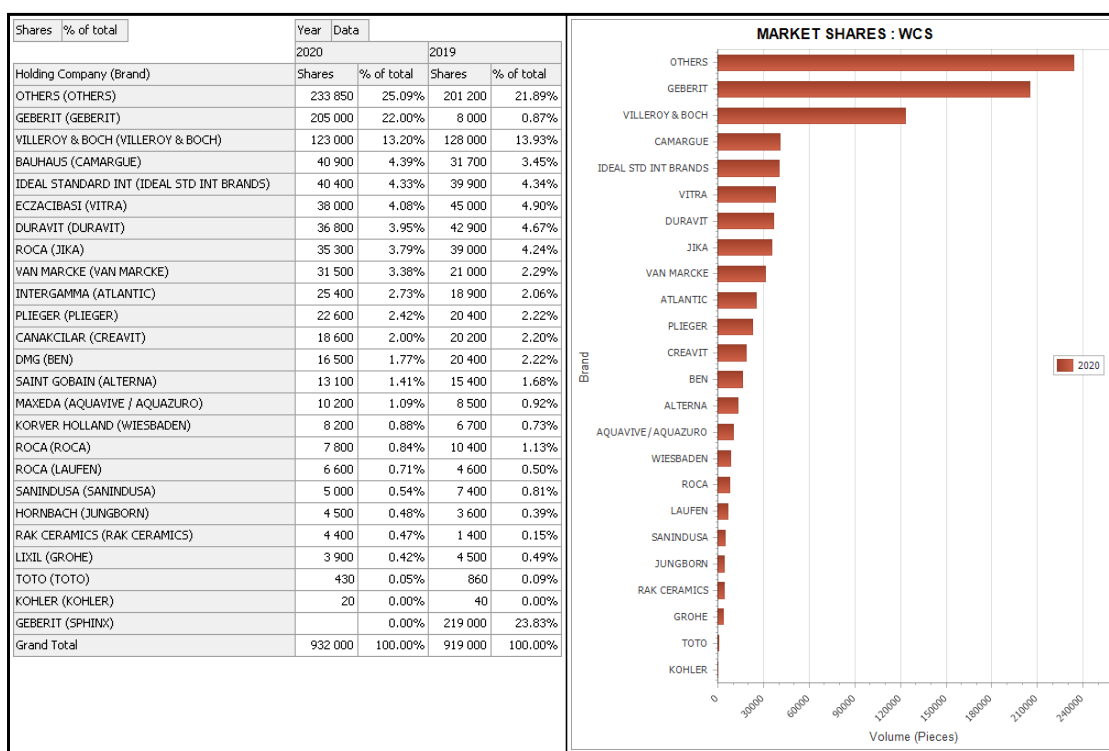
NL - ESTIMATED MARKET SHARES FOR ALL CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.2 Market Shares : WCs

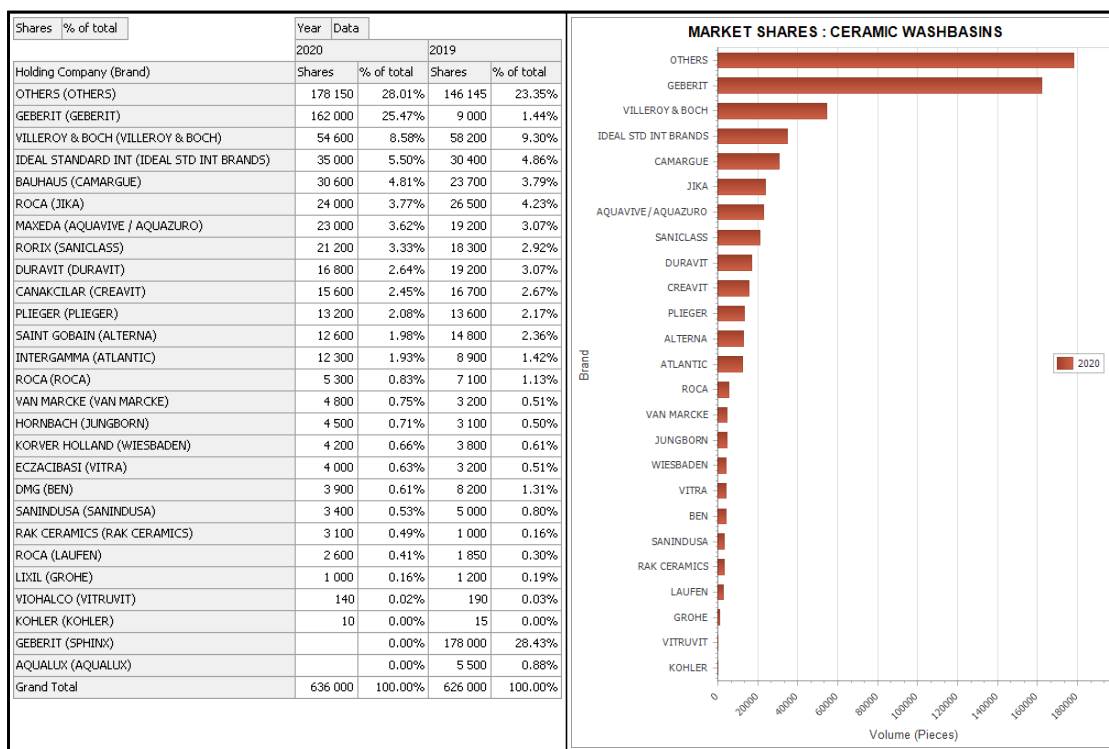
NL - ESTIMATED MARKET SHARES FOR WCS



Source: BRG based on industry interviews.

2.5.3 Market Shares : Ceramic Washbasins

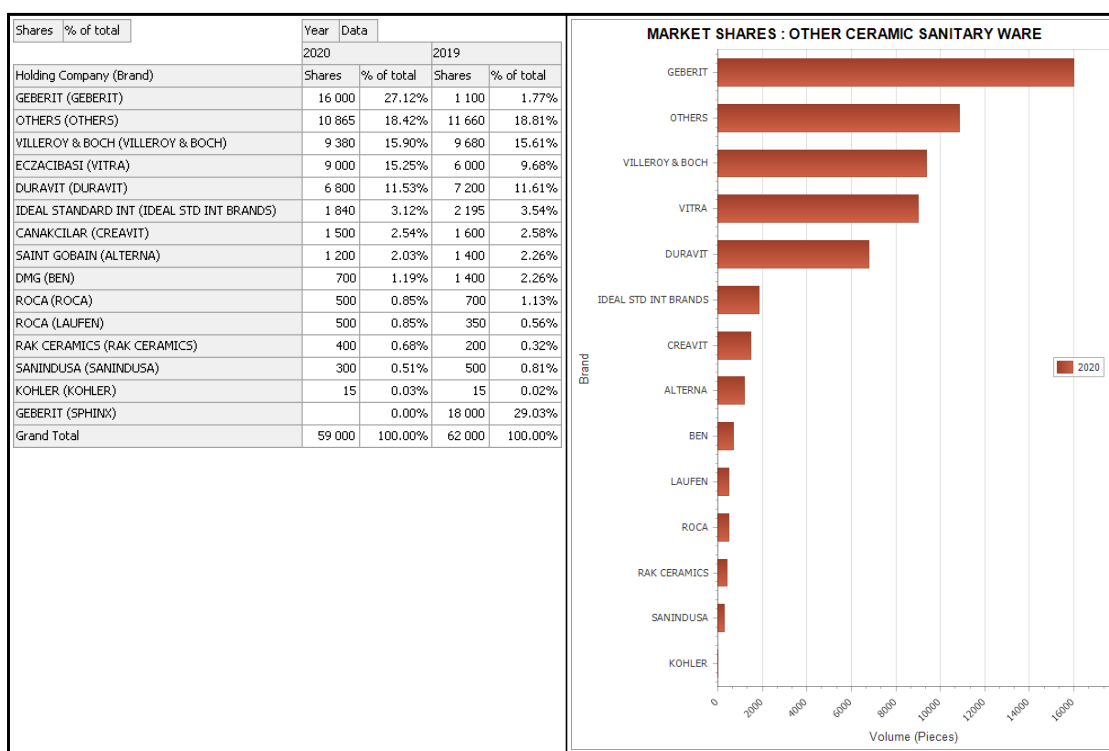
NL - ESTIMATED MARKET SHARES FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews

2.5.4 Market Shares : Other Ceramic Sanitary Ware

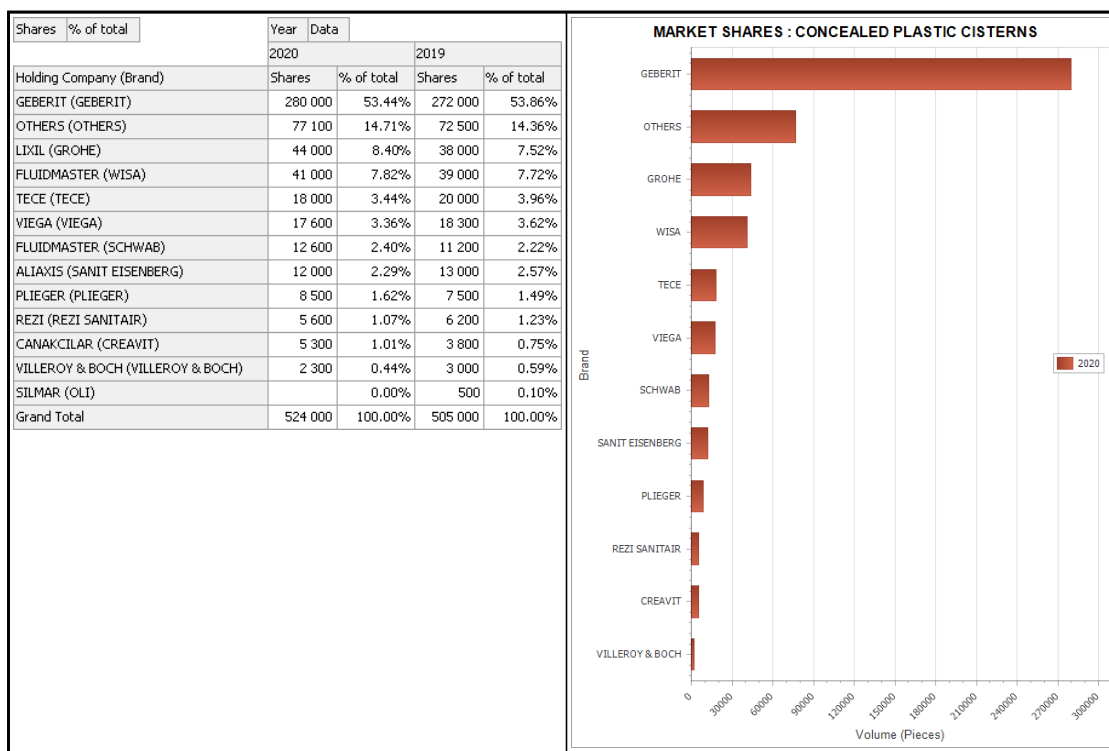
NL - ESTIMATED MARKET SHARES FOR OTHER CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.5 Market Shares : Concealed Plastic Cisterns

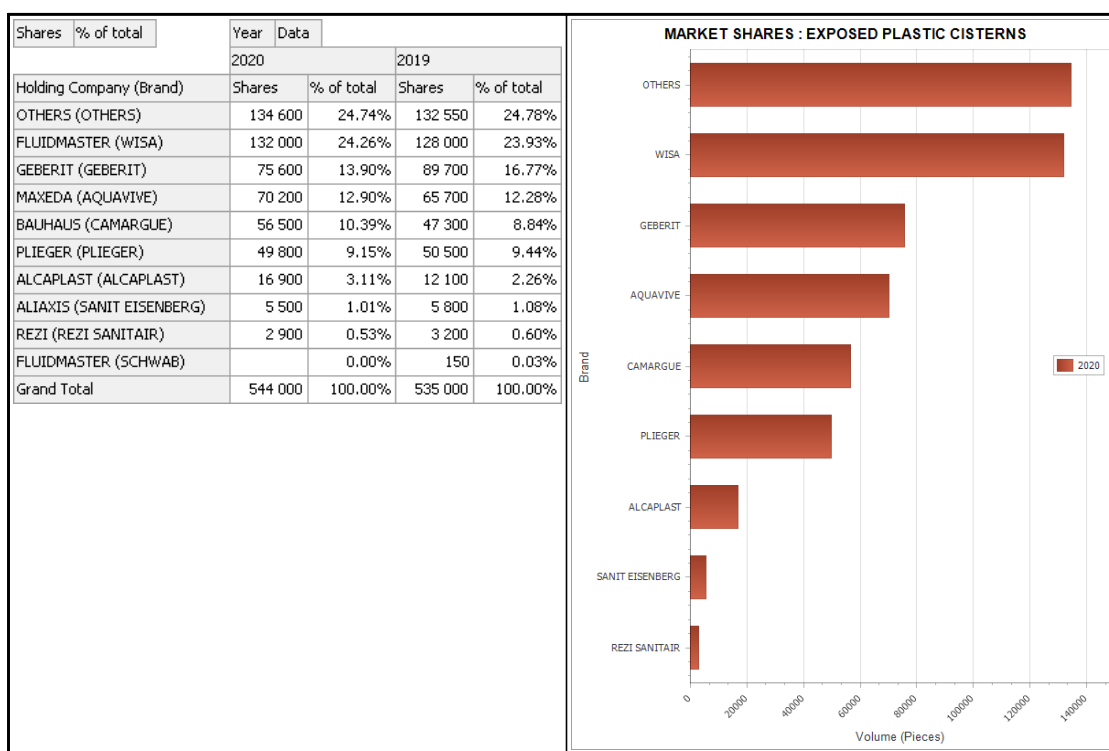
NL - ESTIMATED MARKET SHARES FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews

2.5.6 Market Shares : Exposed Plastic Cisterns

NL - ESTIMATED MARKET SHARES FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews.

2.6.1 NL - IMPORTS OF ALL CERAMIC SANITARY WARE 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	10 586	29.1%	54 628	44.5%	13 002	37.0%	61 990	53.8%
China	10 184	28.0%	21 187	17.3%	8 472	24.1%	18 422	16.0%
Belgium	3 857	10.6%	15 385	12.5%	2 688	7.7%	9 303	8.1%
Turkey	3 825	10.5%	7 766	6.3%	4 020	11.4%	7 254	6.3%
Poland	1 853	5.1%	4 874	4.0%	854	2.4%	1 866	1.6%
Czech Republic	1 590	4.4%	3 685	3.0%	1 755	5.0%	3 649	3.2%
Italy	1 506	4.1%	7 313	6.0%	1 785	5.1%	6 596	5.7%
India	835	2.3%	1 153	0.9%	676	1.9%	969	0.8%
OTHERS	2 102	5.8%	6 640	5.4%	1 871	5.3%	5 127	4.5%
Total	36 337	100.0%	122 631	100.0%	35 124	100.0%	115 176	100.0%

Source : Trademap

2.6.2 NL - EXPORTS OF ALL CERAMIC SANITARY WARE 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	7 107	53.8%	16 244	46.9%	5 567	54.5%	12 612	42.9%
Belgium	2 791	21.1%	8 684	25.1%	2 117	20.7%	9 088	30.9%
Portugal	1 336	10.1%	1 592	4.6%	1 115	10.9%	1 336	4.5%
France	371	2.8%	1 811	5.2%	296	2.9%	1 740	5.9%
United Kingdom	175	1.3%	616	1.8%	117	1.1%	410	1.4%
Italy	150	1.1%	629	1.8%	65	0.6%	226	0.8%
Spain	149	1.1%	577	1.7%	94	0.9%	379	1.3%
Sweden	132	1.0%	387	1.1%	100	1.0%	282	1.0%
OTHERS	1 003	7.6%	4 079	11.8%	736	7.2%	3 357	11.4%
Total	13 215	100.0%	34 619	100.0%	10 207	100.0%	29 430	100.0%

Source : Trademap

2.6.3 NL - IMPORTS OF PLASTIC CISTERNS 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	5 166	41.0%	39 407	52.5%	7 206	60.9%	47 856	63.5%
China	2 124	16.9%	10 318	13.7%	1 416	12.0%	7 129	9.5%
Belgium	2 030	16.1%	10 106	13.5%	586	4.9%	5 979	7.9%
Italy	1 350	10.7%	4 552	6.1%	460	3.9%	3 307	4.4%
France	798	6.3%	4 028	5.4%	980	8.3%	3 910	5.2%
Spain	257	2.0%	1 370	1.8%	166	1.4%	1 181	1.6%
Slovenia	157	1.3%	1 072	1.4%	194	1.6%	1 232	1.6%
Luxembourg	137	1.1%	304	0.4%	295	2.5%	729	1.0%
Czech Republic	134	1.1%	466	0.6%	24	0.2%	370	0.5%
OTHERS	439	3.5%	3 424	4.6%	509	4.3%	3 671	4.9%
Total	12 593	100.0%	75 047	100.0%	11 834	100.0%	75 364	100.0%

Source : Trademap

2.6.4 NL - EXPORTS OF PLASTIC CISTERNS 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	2 368	33.0%	25 950	32.6%	2 949	40.9%	31 600	37.9%
Belgium	1 016	14.2%	8 441	10.6%	960	13.3%	7 666	9.2%
United Kingdom	468	6.5%	6 823	8.6%	537	7.4%	8 968	10.8%
France	422	5.9%	5 625	7.1%	443	6.1%	6 686	8.0%
Australia	409	5.7%	5 281	6.6%	388	5.4%	5 096	6.1%
Sweden	371	5.2%	2 853	3.6%	212	2.9%	2 007	2.4%
Italy	354	4.9%	4 870	6.1%	258	3.6%	4 282	5.1%
Slovenia	258	3.6%	4 178	5.2%	270	3.7%	4 391	5.3%
Portugal	181	2.5%	716	0.9%	0	0.0%	0	0.0%
Poland	148	2.1%	1 687	2.1%	76	1.1%	892	1.1%
Spain	118	1.6%	1 585	2.0%	123	1.7%	1 853	2.2%
OTHERS	1 066	14.9%	11 604	14.6%	997	13.8%	9 861	11.8%
Total	7 181	100.0%	79 613	100.0%	7 214	100.0%	83 302	100.0%

Source : Trademap

2.7.1 Route to Market: Ceramic Sanitary Ware
NL - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	74.7%
	Wholesalers / Merchants
	74.7%

Retail Level	Manufacturer 3.0%	Wholesaler 12.5%	Manufacturer 11.9%	Wholesaler 10.6%	Manufacturer 7.1%	Wholesaler 38.6%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	15.5%		22.4%		45.7%	

Manufacturer 1.3%	Wholesaler 10.8%	Internet 2.0%	DIY 2.1%	Specialist 8.6%
Installers				
24.9%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	1.5%	1.8%	13.5%	19.7%	36.6%	19.2%
	Residential					
	92.3%					
	New Build		Residential RMI			
	15.9%		76.4%			
	Project	Non-Project	Project	Non-Project		
	14.2%	1.8%	16.8%	59.6%		
	Non-Residential					
	7.7%					
	New Build		Non-Residential RMI			
	4.0%		3.7%			
	Project	Non-Project	Project	Non-Project		
	3.2%	0.8%	2.2%	1.5%		

2.7.2 Route to Market: Ceramic Sanitary Ware
NL - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	74.4%
	Wholesalers / Merchants
	74.4%

Retail Level	Manufacturer 4.2%	Wholesaler 16.0%	Manufacturer 11.3%	Wholesaler 9.6%	Manufacturer 6.8%	Wholesaler 36.1%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	20.2%		20.9%		42.9%	

Manufacturer 1.4%	Wholesaler 10.4%	Internet 2.6%	DIY 2.1%	Specialist 8.0%
Installers				
24.6%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	1.3%	1.9%	17.6%	18.1%	34.3%	18.2%
	Residential					
	91.4%					
	New Build		Residential RMI			
	17.9%		73.5%			
	Project	Non-Project	Project	Non-Project		
	15.4%	2.5%	16.2%	57.3%		
	Non-Residential					
	8.6%					
	New Build		Non-Residential RMI			
	4.5%		4.1%			
	Project	Non-Project	Project	Non-Project		
	3.6%	0.9%	2.5%	1.7%		

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

2.7.3 Route to Market - Consolidated View : Ceramic Sanitary Ware

NL - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2020

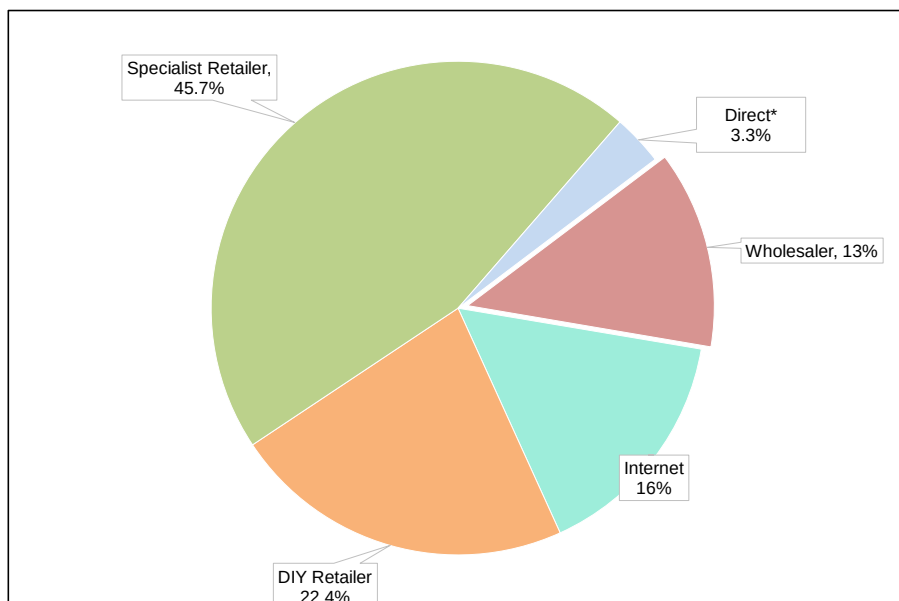
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
12.9%	15.5%	22.4%	45.7%	3.3%	31.0%	5.4%	61.3%	2.3%
100%					36.4%		63.6%	

2.7.4 Route to Market - Consolidated View : Ceramic Sanitary Ware

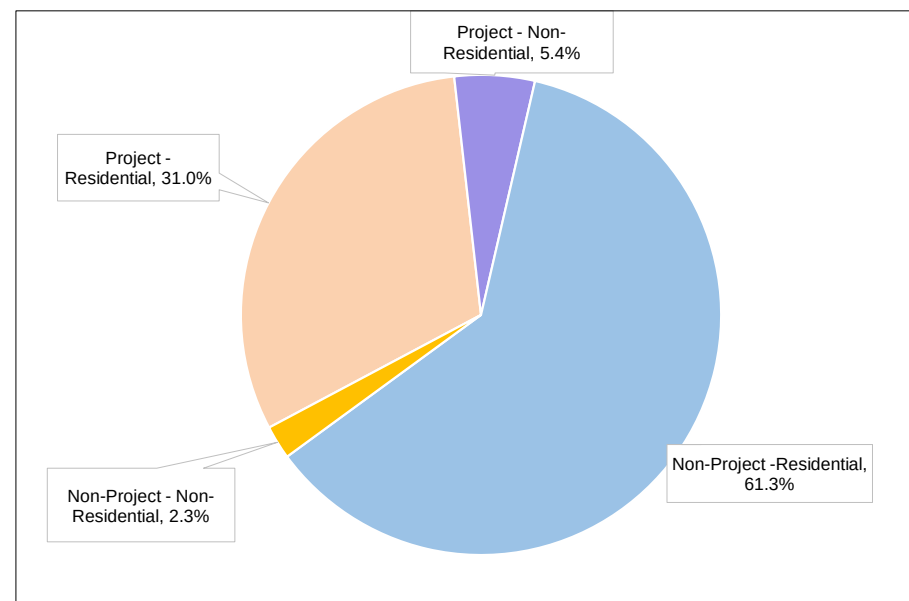
NL - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
12.7%	20.2%	20.9%	42.9%	3.3%	31.6%	6.0%	59.8%	2.5%
100%					37.6%		62.4%	

NL - SALES OF CERAMIC SANITARY WARE BY DISTRIBUTION CHANNEL: 2020



NL - SALES OF CERAMIC SANITARY WARE BY POINT OF DECISION AND END-USE SECTOR: 2020



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.7.5 Route to Market: Plastic Cisterns
NL - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	77.1%
	Wholesalers / Merchants
	77.1%

Retail Level	Manufacturer 0.0%	Wholesaler 9.6%	Manufacturer 12.9%	Wholesaler 5.9%	Manufacturer 2.5%	Wholesaler 41.1%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	9.6%		18.7%		43.6%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.4%	18.2%	1.6%	2.6%	4.2%
Installers				
27.0%				

End Use Level	Manufacturer 5.9%	Wholesaler 2.1%	Internet 7.9%	DIY 15.5%	Specialist 39.2%	Installer 23.3%
	Residential					
	94.0%					
	New Build		Residential RMI			
	13.8%		80.2%			
	Project	Non-Project	Project	Non-Project		
	12.3%	1.5%	16.0%	64.1%		
	Non-Residential					
	6.0%					
	New Build		Non-Residential RMI			
	2.9%		3.1%			
	Project	Non-Project	Project	Non-Project		
	2.3%	0.6%	1.8%	1.3%		

2.7.6 Route to Market: Plastic Cisterns
NL - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	77.8%
	Wholesalers / Merchants
	77.8%

Retail Level	Manufacturer 0.0%	Wholesaler 11.3%	Manufacturer 11.9%	Wholesaler 5.5%	Manufacturer 2.2%	Wholesaler 42.4%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	11.3%		17.4%		44.6%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.4%	15.8%	1.9%	2.4%	4.3%
Installers				
24.8%				

End Use Level	Manufacturer 6.3%	Wholesaler 2.5%	Internet 9.4%	DIY 14.3%	Specialist 40.1%	Installer 20.7%
	Residential					
	93.3%					
	New Build		Residential RMI			
	15.6%		77.7%			
	Project	Non-Project	Project	Non-Project		
	13.4%	2.2%	15.5%	62.2%		
	Non-Residential					
	6.7%					
	New Build		Non-Residential RMI			
	3.2%		3.5%			
	Project	Non-Project	Project	Non-Project		
	2.5%	0.7%	2.0%	1.5%		

Source: BRG Based on Industry Interviews. N.B. Include both Exposed and Concealed Plastic Cisterns - Totals may vary due to roundings

2.7.7 Route to Market - Consolidated View : Plastic Cisterns

NL - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2020

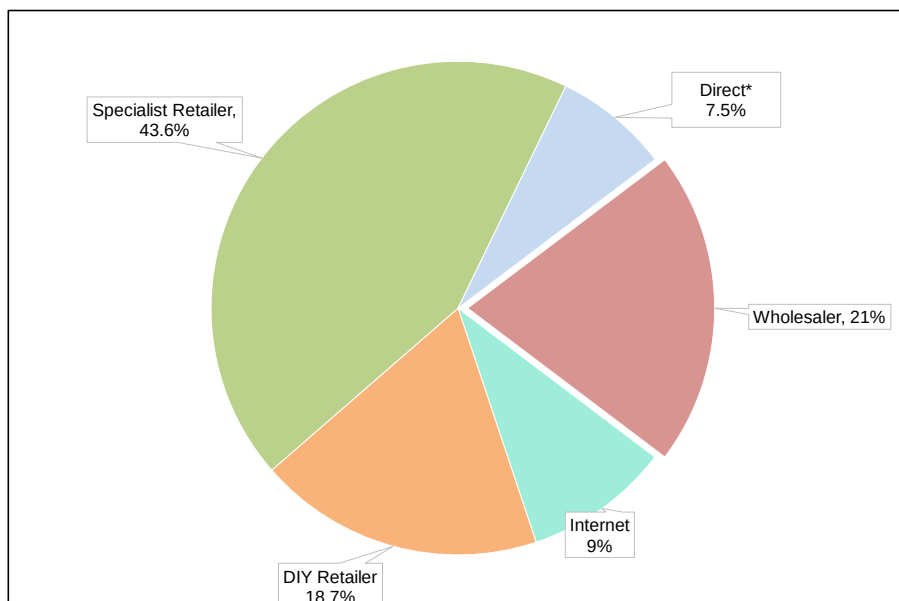
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
20.6%	9.6%	18.7%	43.6%	7.5%	28.3%	4.1%	65.7%	2.0%
100%					32.4%		67.6%	

2.7.8 Route to Market - Consolidated View : Plastic Cisterns

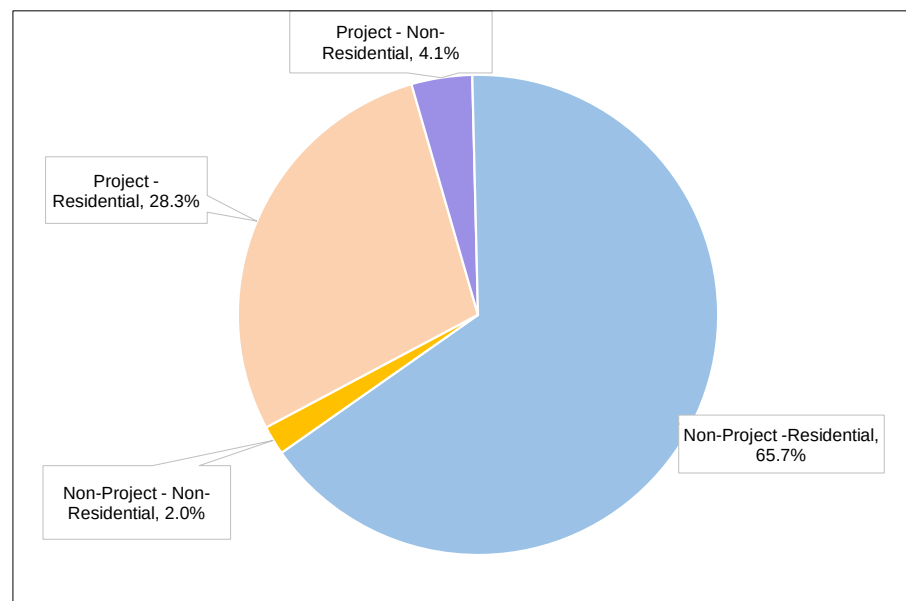
NL - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
18.6%	11.3%	17.4%	44.6%	8.1%	28.9%	4.5%	64.4%	2.2%
100%					33.5%		66.5%	

NL - SALES OF PLASTIC CISTERNS BY DISTRIBUTION CHANNEL: 2020



NL - SALES OF PLASTIC CISTERNS BY POINT OF DECISION AND END-USE SECTOR: 2020



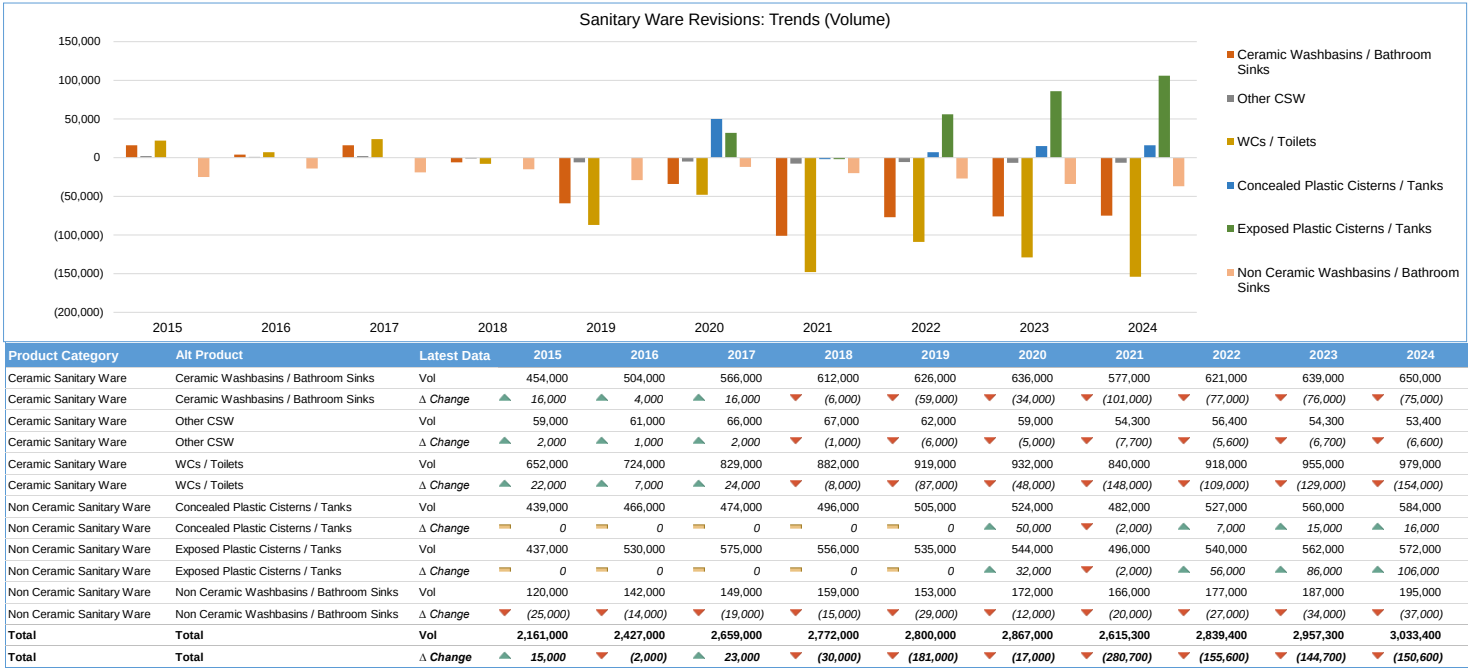
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.8 Revisions in the Dutch Sanitary Ware Market (April 2021)

NL - REVISIONS IN THE DUTCH SANITARY WARE MARKET

Data Comparison: October 2020



Upward revisions were made to the MSP for all types of CSW, especially WCs, for all years. The Netherlands can be classified a medium-to-high priced market, similar to Germany, in which branded players hold a strong brand. Most leading players, including GEBERIT, VILLEROY & BOCH and DURAVIT, mostly target the middle to luxury price segment, whereas many other imported brands mostly go into lower to middle price segments. The Netherlands has a fairly high share of wall hung WCs, with close to 45% being wall hung, and these WC types often retail above €150. GEBERIT, the market leader, is not a low-priced brand, although it does offer economy/ lower priced products, mostly aimed at social housing, and mostly sells into the middle price segment.

Even in DIY stores prices are not that low, with retail prices of WCs starting from around €80 but can going up to as much as €800, however most are sold between €100 and €250 (>60% of total DIY sales). Washbasins are slightly cheaper, with prices starting from €40 and going up to €600, with around 75% sold between €50 to €200.

Some minor upward revisions were made to the market size for CSW, all types, for the 2012 to 2017 period, but downwards from 2018 onwards following a more detailed analysis of trade statistics, including the imports recorded by the Dutch Statistical Office (CBS) and Eurostat.

NETHERLANDS

TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The Dutch taps and mixers market, together with ceramic sanitary ware, dominates the overall bathroom market in the Netherlands. Sales developments tend to be heavily influenced by the overall housing market, for both existing and new build, as seen in recent years, and sales of taps and mixers have suffered heavy losses for a number of years after the financial crash.

Although the Dutch taps and mixers market was historically dominated by two head mixers (*tweegreepskranen*), over the last decade it has been giving way to one head mixers (*ééngreepskranen*), as well as thermostatic mixers, depending on the location of the tap. The demand for two head mixers is mainly due to their dominance within the social housing segment, especially through IDEAL STANDARD's VENLO brand. Two head mixers were the preferred product for a long time, due to the low initial investment cost and the convenience in terms of RMI activity. This trend has somewhat subsided and one head mixers have gained market share – even in the economy segments of the market, such as the social housing segment. Two head mixers are mainly used for washbasins, a significant number are being used in kitchen sinks, and they rarely feature in baths and showers. The use of concealed two head mixers is limited, and they solely feature in kitchen sinks.

One head mixers now dominate virtually all segments of the market, although their share is much smaller in showers and baths than in kitchen sinks and washbasins. Most one head mixers are used with small (35 cm) or large (55-60 cm) washbasins. Bidets are mainly installed with one head mixers, but the use of bidets is low in the Netherlands. Concealed taps and mixers are not very popular yet, and mainly consist of thermostatic models. Of all non-thermostatic tap and mixer sales, the majority are one head mixers and these mainly go to baths, washbasins and sinks.

Virtually all pillar taps sold are used for installation in (hand) washbasins. Even though sales are declining annually, it seems unlikely that their share within the overall tap and mixer market will fall strongly in the coming years, as these models are still installed in most guest toilets, in combination with a hand washbasin. Virtually all houses have a guest toilet with a (hand) washbasin.

Nowadays, most baths and showers are fitted with thermostatic mixers, although this is significantly less in social housing. Thermostatic mixers continue to gain popularity due to their lower water consumption and ease of temperature regulation. Thermostatic mixers also account for most concealed tap and mixer sales, of which the bulk are used for installation in showers. Although the norm in the Netherlands is still exposed thermostatic mixers, concealed pieces have gained share slowly, but steadily, and this is expected to continue in the forthcoming years.

The market for self-closing and electronic taps is rather small in the Netherlands, and these products (much like automatic flushing valves) are mostly found in public

places such as airports and train stations, due to the heavy usage in these facilities. Nowadays, a trend can be seen towards electronic taps using a sensor instead of self-closing taps, and the share of electronic sensor taps is expected to rise even further in the coming years. This trend is more for hygiene reasons than for water saving reasons, since both taps reduce the amount of water used. Despite the share of self-closing and electronic taps still being rather limited in the residential market, an increasing number are currently being installed in residential dwellings. These taps are mainly installed on washbasins, and in particular on hand washbasins. Similarly to self-closing washbasin taps, the share of self-closing shower mixers is also small, and these types of mixers are mainly found in sports centres and holiday resorts; their share is believed to be marginal, at around 2%, but gradually increasing.

The majority of flushing valves sold are urinal flushing valves. These can mainly be found in public places such as airports, hotels and restaurants, due to their relatively high-volume usage. In the new build non-housing segment, automatic flushing valves, for both WCs and urinals, are commonly installed, and the more traditional manual flushing valves are decreasing rapidly in this segment.

Recent Market Trends

Beyond expectations, the Dutch market for taps and mixers remarkably performed well, one of the best performing years, amid a global health crisis – the COVID-19 pandemic – particularly benefiting replacement demand for taps and mixers, showing very strong growth in 2020. Measures introduced by the government of the Netherlands to tackle the COVID-19 crisis particularly had a positive effect on sales of smaller bathroom equipment, such as taps and mixers but also furniture and accessories, both in shower and bath rooms, since more time was indoors at home. Taps and mixers do not depend on full bathroom renovations in the same way as larger bathroom fittings, such as CSW and showers, since this segment of the market relies more on like-for-like replacement sales but also home improvements. The latter, in particular, benefited the market for all types of taps and mixers, particularly kitchen mixers.

COVID-19 has resulted in homeowners spending a lot more time indoors, in turn due to social distancing and the working from home but also because of limitations on foreign travel and domestic day trips. Since employees did not need to commute to the office on a daily basis, more free time became available to spend on (home) decoration projects. Travel expenses, to travel to and from work, with most people working from home full time, also largely disappeared in 2020, making it easier to free up money for home renovation projects, such as bathrooms and kitchens. Due to travel restrictions, international travel was often not allowed, or possible, and an increasing number of households used money that would normally be spent on (international) holidays to invest in bathrooms and/or kitchens.

The health pandemic particularly helped the DIY sector in the Netherlands, with total sales up by +22% for 2020 as a whole, but also other types of retailers specialised in home improvement products, experienced strong growth rates

throughout the year, with growth, compared to the same period in 2019, varying from +14.9% to +36.3%, with the Q2 being the best performer (+30.6%) and Q4 being the poorest performer (+10.3%). These growth rates refer to total DIY sales, including paints, hardware and gardening materials, since sales of bathroom related equipment increased by around 12% in total, including all bathroom products, such as CSW, baths and showers but also (ceramic) tiles.

When looking at the individual end-use segments, as previously mentioned, sales to the housing RMI sector performed remarkably well in 2020 but sales to new and non-housing declined. This was ultimately linked to the impact of the nitrogen crisis on new building permits in 2019, negatively affecting construction output in 2020 and 2021. Due to the nitrogen ruling, many new building permit applications were not processed for around four months and even today, due to this ruling, new building application will take much longer than before.

Kitchen taps and mixers saw the highest increase, both in volume and value, whereas bidet mixers continued their negative sales trend in 2020. Product trends seen in 2020 were largely in line with trends seen in previous years, with coloured mixers continuing to gain share over chrome, especially in washbasins but slightly less so in the other segments. Although chrome remains to be the most dominant finish type on the market, other finish types are increasingly gaining share. Whereas chrome used to dominate the market, bathroom and kitchen fittings have an increasing share of stainless steel and nickel ('metal look'), especially through sales in DIY stores, as well as black, copper and gold. Black, in particular, is becoming more dominant, especially since 'industrial style' bathrooms, which have a lot of black features (e.g. black shower enclosures, black frames, accessories), are becoming popular. Bidets tend to have the highest share of chrome, with kitchen having the lowest share.

It is also worth mentioning, the direct result of COVID-19, that demand for electronic taps increased strongly throughout 2020. Whereas electronic taps in the Netherland have historically been mostly aimed at the healthcare sector, and less so in commercial buildings, the global health crisis has led to many players, especially German players, such as GROHE, KLUDI, SCHELL and HANSA, to actively promote sales of these electronic taps, including 'touch-free' and 'hands-free' models but also the ones operated by using your elbow. Consequently, sales of electronic taps rose strongly, mostly affecting demand for more conventional models, both one head but also self-closing, in both commercial and residential sectors. Even the sales of residential models, such as the ones installed in basins and sinks, rose strongly in the Netherlands throughout 2020.

Prices and Market Values

Similar to CSW, the Dutch tap and mixer market is characterised by a high share of taps and mixers sold into the lower and middle price segments and, therefore, can be classified as a medium-priced market, similar to neighbouring Belgium and Germany, with sales to these two price segments accounting for over 50% of sales per annum.

All-in-all, prices have remained relatively stable over the last decade, which have mostly increased in line with increasing raw material and labour costs, although increased competition and changing distribution patterns have affected price developments since 2010. German and Chinese imports dominate total supply per annum but target different price segments, with German imports relatively high priced, with average prices, at MSP, of just above €50, compared to Chinese imports which tend to cost less than €30. The growing share of private label, especially the ones sold through DIY stores, have in particular affected average prices in recent years. Therefore, when expressed in values, the market has developed differently when compared to volume developments. A trend that has been seen on the market for the last few years is that the different price segments are coming closer together. Bathroom retailers, for example, often only used to sell luxury mixers at higher prices and these retailers are now also starting to offer products in the lower price segments, whereas in DIY stores more luxury models are being sold.

When comparing the average prices for 2020 to 2010 it becomes evident that the MSPs for pillar and one head mixers have remained largely flat, but increasing for the other types, especially for electronic taps, due the impact of rising imports from Asia on average prices. However, it is worth noting that the product mix has considerably changed over the last decade, characterised by a growing penetration of thermostatic mixers, especially in shower applications, and a declining share for two head mixers, although the latter continue to hold a significant share on the market, in turn due to their strong position in social housing.

Last year, in 2020, average price developments were largely defined by changing distribution channels, including both DIY and online sales, and less so by manufacturers' price increases. Manufacturers tend to increase their prices annually, since raw material and labour costs are going up, but in 2020, due to increase in DIY sales, up by over 22% for 2020 as a whole, pushing average prices down. Given the high share of private label, mostly sourced from China or Eastern Europe, in contrast to leading brands, prices for taps and mixers are significantly lower in DIY stores compared to the ones sold via bathroom retailers who still predominantly sell leading brands, including GROHE, HANSGROHE, HOTHBATH and HANSA.

New Housing

The importance of the new housing sector is quite small in the Netherlands since less than 10% of taps and mixers are, per annum, installed in the new housing sector. That being said, sales of taps and mixers to this end-use segment have fluctuated strongly over the last decade, especially between 2010 and 2015, but have recovered strongly since 2016.

Like ceramic sanitary ware, the new housing sector for taps and mixers can be differentiated by sales going into social housing projects and owner-occupied dwellings, which both have very different characteristics. In social housing, mostly

basis, and economy-priced products, are used, across all applications, such as the GROHE COSTA-L two head mixer range, but also VENLO can still be seen, often in combination with CSW from ROCA's JIKA brand, whereas in the private sector mostly one head and thermostatic mixers are used. Thermostatic mixers, mostly used in showers, have gained share over the years but are expected to stabilise in coming years, given the importance of social housing, which hardly use thermostatic models, due to price related reasons, whereas the market for conventional mixers should continue to develop in favour of one head mixers, especially since the gap in price difference is closing.

In 2020, sales to the new housing sector declined slightly. This decline is mostly the result of the nitrogen crisis, and less so because of the COVID-19 pandemic. In May 2019, the Council of State announced a ruling (*'Programma Aanpak Stikstof (PAS)*) affecting the Dutch construction market, both residential and non-residential. From 29 May 2019 until 10 October 2019, local authorities were not allowed to issue new building permits, and this had a strong impact on building activity during this time but also in the short term, affecting output in 2020. New residential completions, therefore, were already expected to decline in 2020, as well as 2021, due to a decrease in new building permits issued in 2019, even before the nitrogen ruling, as well as the effects of the nitrogen ruling over the summer of 2019. Due to the nitrogen ruling, many new building permit applications were not processed for around four months and even today, due to this ruling, new building application will take much longer than before.

Housing RMI

Most taps and mixers sold in the Netherlands are aimed at the housing RMI sector, which is no surprise given that the Netherlands is a well-developed Western European country, characterised by an advanced economy, with an ageing domestic building park, meaning that there is a significant like-for-like replacement market. Sales to the RMI sector have performed well, recovering significantly earlier compared to the market for larger bathroom equipment, such as CSW, since they rely less on the performance of the Dutch construction market and the general state of the Dutch economy, although the sector did nearly lose one million pieces between 2009 and 2011.

Taps or mixers are often replaced when consumers move into a new dwelling, thus, a decline in sales of dwellings often negatively affects sales demand. The connection between the number of home movers and sales of taps and mixers, however, is not one-on-one as the postponement of moving into a new house, or even not moving at all, often prompts home improvement or maintenance work. According to a recent study, around 32% of bathrooms are renovated after moving into a new property. The number of home movers has almost grown consistently over the last decade, with only 2009, 2018 and 2019, showing a decline, which most likely affected growth rates for sales of baths and showers.

When looking at the product mix for housing RMI, the share of one head mixers has remained relatively stable, from around 54.4% in 2005 to 56.3% by 2020,

which is due to the fact that it is gaining share from two head mixers, across all applications, but losing share due to faster uptake of thermostatic mixers, in both bath and shower applications, from 10.4% in 2005 to 17% by 2020. Thermostatic mixers continue to gain in popularity due to their lower water consumption. Although the use of two head mixers has weakened in recent times, its share remains relatively high, at 17% in 2020, due to their dominant usage in social housing building projects. The share of pillar taps has been fluctuating between 6% and 8% over the last decade and should not lose share too much since these are often still installed in hand washbasins in toilet rooms, with most dwellings, especially houses, having at least one of these.

As mentioned, sales of taps and mixers to the housing RMI sector rose exponentially in 2020, driven by an increase in the number of home improvement projects, particularly benefiting DIY sales, as well higher like-for-like replacement demand due to the measures implemented to tackle the COVID-19 pandemic. The Netherlands, unlike most neighbouring countries, never went into full lockdown in 2020 and only entered a so-called 'intelligent lockdown', with the Dutch government simply urging people to leave their homes as little as possible and work from home. This has thus benefited sales of taps and mixers since homeowners spend a lot more time indoors, with more free time becoming available due to not having to commute to work and not going on (international) holidays, and money that would normally be spent on (international) holidays was used on home renovations projects.

Non-Housing

As with sanitary ware, sales of taps and mixers to the non-housing sector has developed quite volatily over the last 15 years since this end-use segment is characterised by strong fluctuations, both upwards and downwards, in new non-residential construction output, especially for educational, healthcare and commercial buildings. That being said, unlike CSW, sales of taps and mixers to this end-use segment rely more on like-for-like replacement sales rather than renovation projects since the lifespan of the latter is considerably less, meaning it is significantly less reliant on new build demand. Therefore, sales of taps and mixers to non-residential buildings have in recent years been above levels seen before the banking crisis of 2009, despite the setback in sales seen in 2019 and 2020. Most sales, as with CSW, are aimed at commercial, including retail and hospitality buildings, healthcare, educational and office buildings. The construction of office buildings performed particularly well in the early- to mid-2000s, but this segment had suffered dramatically between 2009 and 2020, with construction output in 2020 only 15% of the 2009 output, whereas the construction of commercial buildings has particularly gained importance, from 11% in 2009 to 27% by 2020.

Tap and mixer sales to the non-residential sector continued to decline further in 2020, for the fourth consecutive year, largely due to a decline in construction output of commercial buildings, combined with the impact of COVID-19 on like-for-like replacement sales. Many people were working from home, so sanitary facilities in offices and public places, such as train stations and airports, were less often used,

combined with the fact that during a long-extended period many hospitality buildings, most notably bars, restaurants and cafes, were forced to close. This, in turn, has affected like-for-like replacement sales of taps and mixers, negatively affecting sales demand in 2020 and most likely also in 2021.

At the same time, the number of new and refurbished hotel rooms particularly dropped, to around 7,900 hotel rooms, indicating a decline of over 31%, declining for the second consecutive year. Many of these new hotels were opened in the larger cities, including Amsterdam which included the 'Rosewood Hotel Prinsengracht' (140 rooms), the 'Hotel nhow Amsterdam RAI' (650 rooms), the 'Hard Rock Hotel Amsterdam American' (173 rooms), the 'Van Der Valk Hotel Amsterdam Zuidas' (234 rooms) and the 'INNTEL' (300 rooms). Sales to healthcare and educational buildings, when compared to hospitality buildings, performed much better in 2020 largely driven by an increase in sales to healthcare buildings (+5.7%), although sales to educational buildings (-4.8%) declined. Educational buildings, in particular, rely on large construction projects, especially the ones carried out by universities and research institutes, such as the University of Groningen in recent years. New commercial buildings declined only marginally, largely affected by the drop in new building permits in 2019, affecting the construction of shops.

Due to the COVID-19 pandemic, the outlook for commercial buildings remains bleak, especially in comparison to office, healthcare and educational buildings, since it relies on revenues from the tourism sector. The construction of office buildings should benefit from the fact that a number of businesses and organisations have moved their offices from London to Amsterdam due to 'Brexit'.

Supply Structure

Supply on the Dutch market for taps and mixers, including both sanitary and kitchen taps and mixers, in terms of market fragmentation is similar to that of ceramic sanitary ware, with one player, the German GROHE in this case, holding the majority of the market. As with most other segments of the Dutch bathroom market, the overall supply has been characterised by changing supply patterns, with rising imports from Asia particularly transforming supply. German supply continues to dominate, especially when expressed in values, which include all key German players, such as GROHE, HANSGROHE, HANSA, KLUDI and DORNBACHT, but imports from Asia have shown impressive, and astonishing, growth rates since the mid-2000s.

Most taps and mixers are imported, with IDEAL STANDARD's VENLO brand being the only domestic manufacturer of bathroom taps and mixers and VENLO and QUOOKER being the only two manufacturers of kitchen models.

GROHE, by far, is the strongest player on the market and has been dominating the market for a while now. Luxury fittings are mostly produced in Germany, whereas the lost-cost models are imported from Portugal and also Thailand. It has been extremely successful thanks to its strong brand name and image, as well as

producing good quality products for a good price, and is present in both the professional market as well as the DIY sector, for which it has developed a dedicated range. GROHE continues to hold a strong share in the social housing sector, with its COSTA range of bathroom and kitchen fittings, pretty much standard in any social housing project. GROHE has recently launched the GROHE X, a digital platform for both professional and private consumers.

The share of private label sales is high in the Netherlands, mostly in DIY stores. Because of this upward trend, the second and third largest players on the market are accounted for by the 'house' brands of INTERGAMMA and MAXEDA. This is combined with the fact that the DIY sector is, and remains to be, an important channel in the distribution for taps and mixers, especially kitchen models. Whereas the DIY sector was historically characterised by leading brands, including GROHE, VENLO, PLIEGER, the wholesaler, and OLYMPIA (who is now bankrupt and disappeared from the market), supply has shifted in favour of private label sales. MAXEDA replaced most leading brands, most notably PLIEGER, in 2010 and replaced it with its own range of products, sold under the AQUAVIVE, AQUAZURO and BASELINE ranges. INTERGAMMA also sells a lot of models under several private label ranges, including ATLANTIC, OK, ABSOLUT, AQUALINO and HANDSON. More than half of all brands offered are today accounted for by lower priced house brands, available in many different price ranges. Apart from INTERGAMMA and MAXEDA's private label range, which account for the great majority of total DIY sales per annum, HORNBACH and BAUHAUS are also active with their own private label ranges, namely AVITAL and CAMARGUE. BAUHAUS, since its opening in 2015, has been gaining share in the Dutch taps and mixers market quite rapidly. Smaller format stores, such as HUBO, continue to sell only branded products.

Apart from the above, there also remain to be a number of players that predominantly sell through DIY stores. TIGER, part of CORAM, and HACEKA, part of FETIM, are the most important brands, which are all sourced from Asia, both India and China, and remain very low priced, but also ESSEBAGNO, the French brand, sourcing its products from factories across China.

IDEAL STANDARD also remains to be an important player on the market, despite the fact that sales have fluctuated considerably over the last decade, largely due to its reliance on social housing projects. Historically, IDEAL STANDARD benefited from the strong distribution network of the VENLO brand. Sales include VENLO, by far the most important brand in terms of volumes, IDEAL STANDARD and to a lesser extent BØRMA, PORCHER and VIDIMA, with the latter being imported on an ad-hoc basis. VENLO is a very low-priced brand, largely favoured in social housing projects, explaining the fluctuations in sales volumes in recent years.

HANSGROHE is the second largest German manufacturer active on the market, with most mixers imported from its production site in the Black Forest in Germany. Unlike GROHE, HANSGROHE continues to be partly family-owned, the Klaus Grohe family, with the remaining share in hands of the American MASCO. HANSGROHE is a higher priced player compared to GROHE, targeting mostly the

middle to luxury price segments. HANSGROHE sells its HANSGROHE products under two main brand names, namely HANSGROHE and AXOR, with AXOR being a premium brand, competing with high-priced players in the likes of DORNBACH and GESSI, whereas HANSGROHE is more affordably priced. HANSGROHE has been one of the best examples of successfully selling accessories on the back of taps and mixer sales.

HOTBATH, recently acquired by the FM MATTSSON MORA GROUP, is a more recent market entry, but has witnessed impressive growth since 2009. The company itself was founded in 2008 when it started to design pillar taps, four models in total, for the domestic market and has seen its turnover increase ever since, with the numbers of employees growing from nine to 42 between 2009 and 2017. HOTBATH does not manufacture taps and mixers, but these are sourced under OEM agreement from an Italian manufacturer near Lake Orta. Whilst the company initially only focused on the domestic market in the Netherlands, since 2016 the company is also focusing more on exports, mostly Belgium, France, Israel and New Zealand, but the Netherlands still accounts for around 95% of total sales.

The Dutch market for taps and mixers has seen the share of Chinese imports rise rapidly over the last 15 years which is not only because of a change of supply to DIY stores, but also because of the fast-growing e-commerce market, with many online retailers nowadays selling bathroom equipment. Smaller bathroom items, such as mixers and accessories, are increasingly sold online. www.sanitairwinkel.nl but also www.bol.com are the leading players. www.sanitairwinkel.nl offers a wide range of branded players, including all leading players, but also many private label brands, all sourced from China, which include XENZ, ROYAL PLAZA and WIESBADEN.

Supply for taps and mixers is also characterised by a number of players that almost exclusively focus on providing mixers, which include kitchen sink manufacturers, such as REGINOX, FRANKE and BLANCO, but also kitchen retailers, most notably IKEA and QUOOKER. The latter, in particular, has performed extremely well, with sales increasing year-on-year. Most of these are chosen for convenience purposes since these mixers save space, with no kettle required, water and money. IKEA has also done well, largely benefiting from the fact that IKEA kitchens have become extremely popular, especially with younger people, and IKEA kitchens, including kitchen mixers, are very affordably priced.

Both targeting mostly the upper and luxury price segments of the market, HANSA and KLUDI are clearly significantly smaller compared to GROHE and HANSGROHE. Both companies are targeting a very different customer base, mostly the professional sector, especially compared to the market leaders. HANSA, ultimately owned by the Finnish ORAS, sources all its plant in Poland following the closure of the German plant in 2019. KLUDI has European production facilities in Germany, Austria, Hungary and Poland, with most of these redistributed through Germany, and unlike Germany, all products are branded KLUDI.

The rest of the market is in hands of a number of smaller players from a wide variety of countries, including Italy, Spain, Portugal and the Nordics, with most of these holding less than 0.5% of the market. This includes players that historically were quite important, most notably CRISTINA, sold via DIY retailers, but also DAMIXA; both have not performed well over the last decade, with sales in 2020 only being a fraction of what they used to sell, especially before the banking crisis of 2009.

Forecasts

The Dutch market for taps and mixers had an extraordinarily good year in 2020, witnessing growth rates not seen for over two decades, but the market is very likely to suffer considerably for 2021. Although the market was already anticipated to witness reduced growth, given the strong market growth seen in 2019, the market is set to feel adverse effects of the measures implemented to deal with the COVID-19 pandemic. Since late 2020, the Netherlands has seen a spike in the number of COVID-19 infections and deaths, especially in the larger cities in North- and South-Holland. On 14 December 2020, the Dutch Prime Minister, Mark Rutte, announced that the country would go into a full lockdown. As of 15 December, most businesses, including most retail and hospitality buildings, were forced to close, initially until 19 January but this date has been extended several times, and are now expected to re-open on 28 April 2021. Certain exceptions were announced with essential stores remaining open, including banks, supermarkets and government organisations, and DIY stores could remain open for 'click-and-collect' only. Taps and mixers will partly be affected by the closure of non-essential retail stores, combined with the market development seen in 2020, affecting sales demand for 2021. That being said, rising online sales may, to a certain extent, prevent a steeper market decline. E-commerce had already been on the rise well before the COVID-19 pandemic, but the pandemic boosted sales even further, with pure online up by +26% and multichannel online up by +68% in 2020, and it should continue to outperform traditional sales channels, with total online sales set to grow by +15% for 2021.

As with other segments of the overall bathroom and kitchen markets, it remains to be seen how sales to the housing RMI sector might develop over the course of 2020, given the strong market contraction seen in Q1 2020. Sales of taps and mixers most likely reached artificially high levels of sales in 2020 because measures implemented by the government, urging people to stay indoors, boosted home renovations and DIY jobs, particularly mixers, accessories and furniture. Based on a recent study, around 30 to 35% of home renovations carried out in 2020 involved the installation of bathroom and/or kitchen taps and mixers. All-all-in, RMI sales for 2021 will partly be affected by reduced sales in Q1 2020, combined with the strong upswing in sales in 2020 and sales might most probably also be affected when things go back to 'normal'. Once most COVID-19 measures have been lifted consumers may increasingly spend more money on travel, or any other leisure activities rather than home renovation projects, affecting sales demand in 2021.

Sales to the new and non-housing end-use sectors are also set to decline, with especially sales to non-residential developing more unfavourably compared new housing demand. Total output in new housing completions for both 2020 and 2021 was already anticipated to decline, not relating to COVID-19 but affected due to the effects of the nitrogen crisis on the new building permit applications in 2019. Expectations beyond 2022 are now more favourable, with growth expected year-by-year. The new housing market should also benefit from incentives introduced by the government, such as the 'Residential Construction Stimulus Programme' aimed at the construction of affordable homes, but also due to general housing deficit in the Netherlands, which has worsened since the onset of the banking crisis of 2009. As with CSW, sales of taps and mixers should benefit from any attempt made to reduce the gap in housing supply and housing demand. The housing deficit, estimated at over 300,000 dwellings, in the Netherlands has worsened considerably due to the effects of the banking crisis, resulting in the bankruptcy of around 5,000 construction companies and 500,000 construction workers, combined with the lack of construction workers, high material costs and the implementation of a landlord levy in 2013 (as enforced by the government). Due to the landlord levy, housing associations have consequently significantly built fewer homes, from around 30,000 to 35,000 before this implementation to around 15,000 after it.

Demand for taps and mixers from non-residential is set to suffer greatly, in turn due to a decline in new non-residential construction output but most importantly due to a decline in renovation and refurbishment activities. The pandemic has had a strong impact on the revenues of business, especially commercial buildings, such as hotel and leisure buildings, with many investment plans now been put on hold or cancelled, which will affect construction output in coming years, reaching historical low levels in 2021. Like-for-like replacement, most of broken models, should be more limited in 2020 since most bathroom and toilet facilities were less often used in 2020. Sales to non-housing, both new build and renovations, to this end-use sector are only set to recover from 2022 onwards. Office completions, one of the key segments for most bathroom related products, have recently suffered, reaching an all-time low in 2018, and are not set to recover before 2022. This segment should, in the medium to long term, benefit from the fact that a number of businesses and organisations have moved their offices, due to 'Brexit', from London to Amsterdam. Sales to healthcare buildings, mostly in the short term, will be affected by the COVID-19 pandemic, resulting in lower investments in 2021, but should see more strong growth from 2022 onwards, but educational should suffer across the entire forecast period. The strong decline in new hotel completions expected for 2021 will have a strong negative impact on sales of both baths and showers. The pandemic has had a strong impact on the revenues of hotels, as well as all other types of hospitality buildings, with many investment plans now been put on hold or cancelled, which will affect construction output in coming years, reaching historical low levels in 2021.

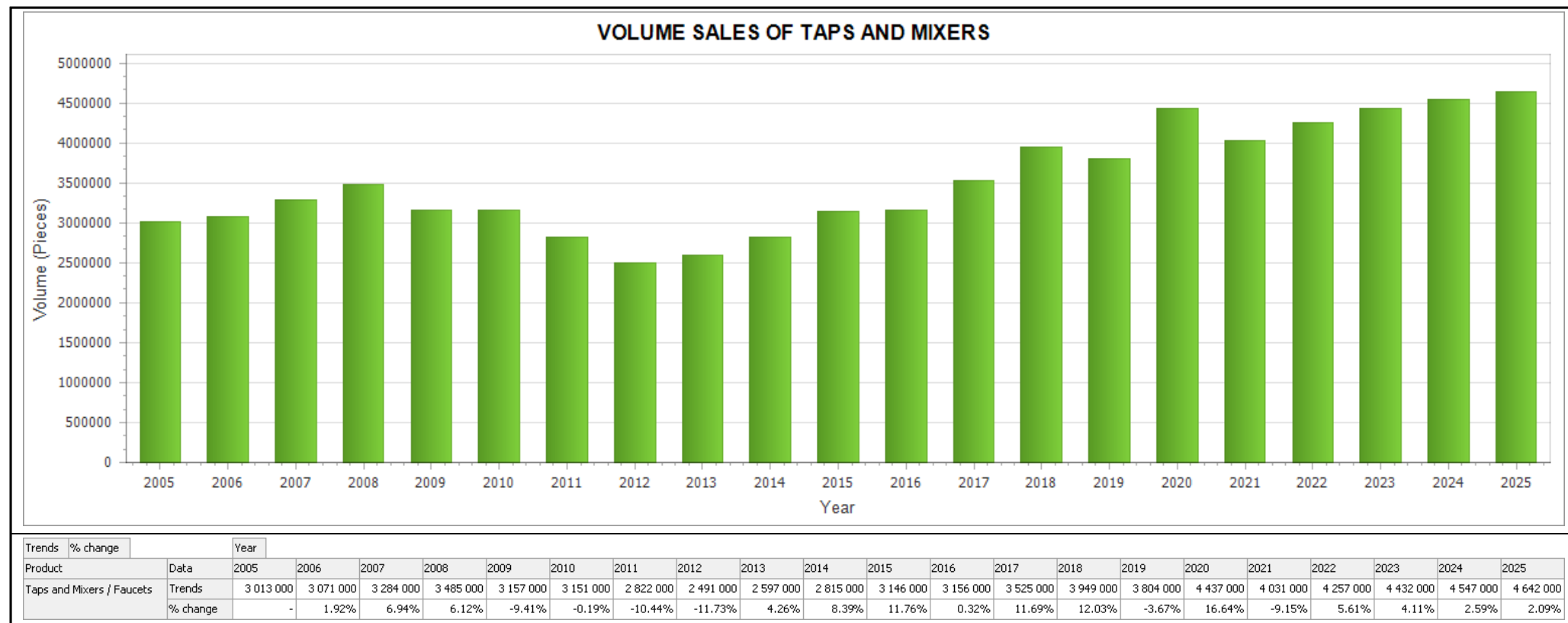
Product related trends, including consumer trends, are not expected to exhibit strange developments, with the product mix remaining somewhat stable. One head mixers may continue to increase in basin and kitchen applications, but this will

depend on the investment of housing associations, which still favour these mixers for price related reasons, whereas one head may lose share towards thermostatic in shower applications, but even here demand from social housing may affect growth patterns. Most housing associations continue to opt for the lowest priced products. Electronic taps, on the other hand, are set witness impressive growth rates, largely related to growing awareness of the benefits of electronic taps in contrast to more conventional models, in self-closing but also mixers incorporating a handle.

Mixers, but less so taps, are projected to further develop in favour of different finish types, especially black, copper, gold and steel, with chrome continuing its downward trend, in line with bathrooms becoming more colourful. Colour trends in bathroom have undergone many changes over the last few decades, characterised by an abundance of colours before the 1990s, with bathrooms having a high share of green and orange, and white became very standard in the 1990s and 2000s. Today, a lot of combination of colours are seen, especially in fittings and accessories. While ceramics remain to be largely white, coloured basin and showers mixers, are combined with colourful accessories, including candles, blankets and flowers.

3.2 Historical Trends and Forecasts : Taps and Mixers

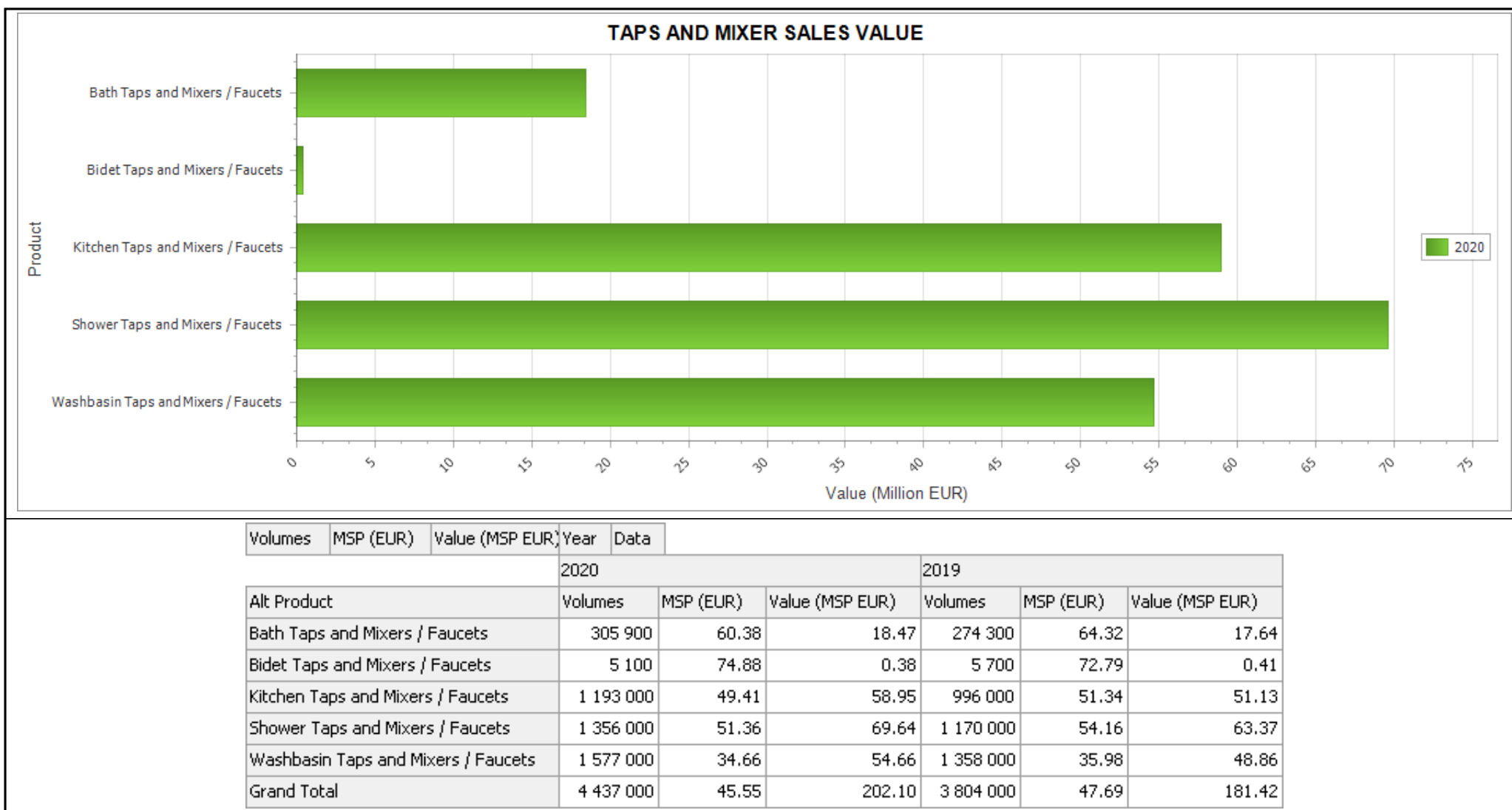
NL - SUMMARY OF TRENDS IN THE TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.3.1 Prices and Market Values : Taps and Mixers

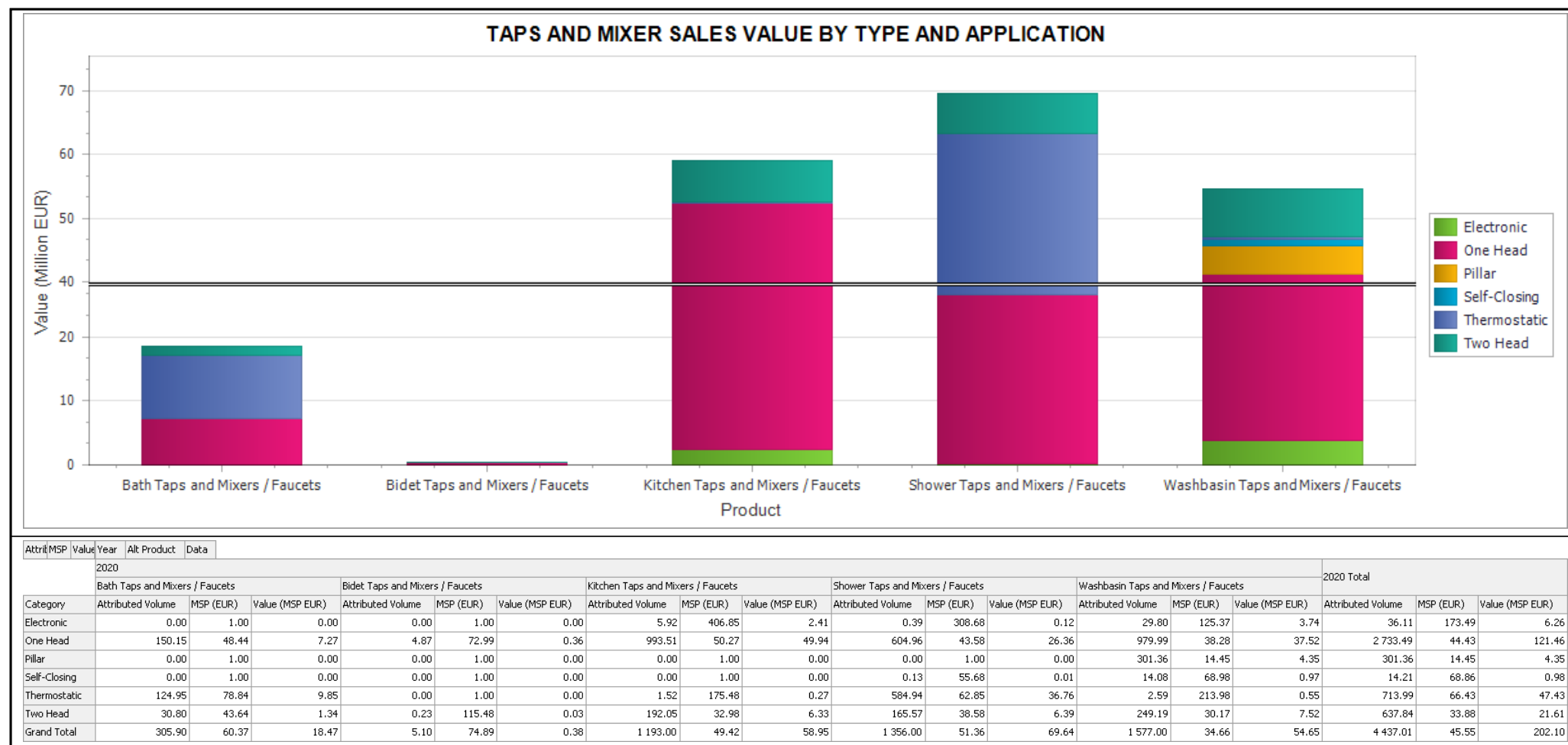
NL - ESTIMATED VALUES OF THE TAP AND MIXER MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.2 Prices and Market Values by Type : Taps & Mixers

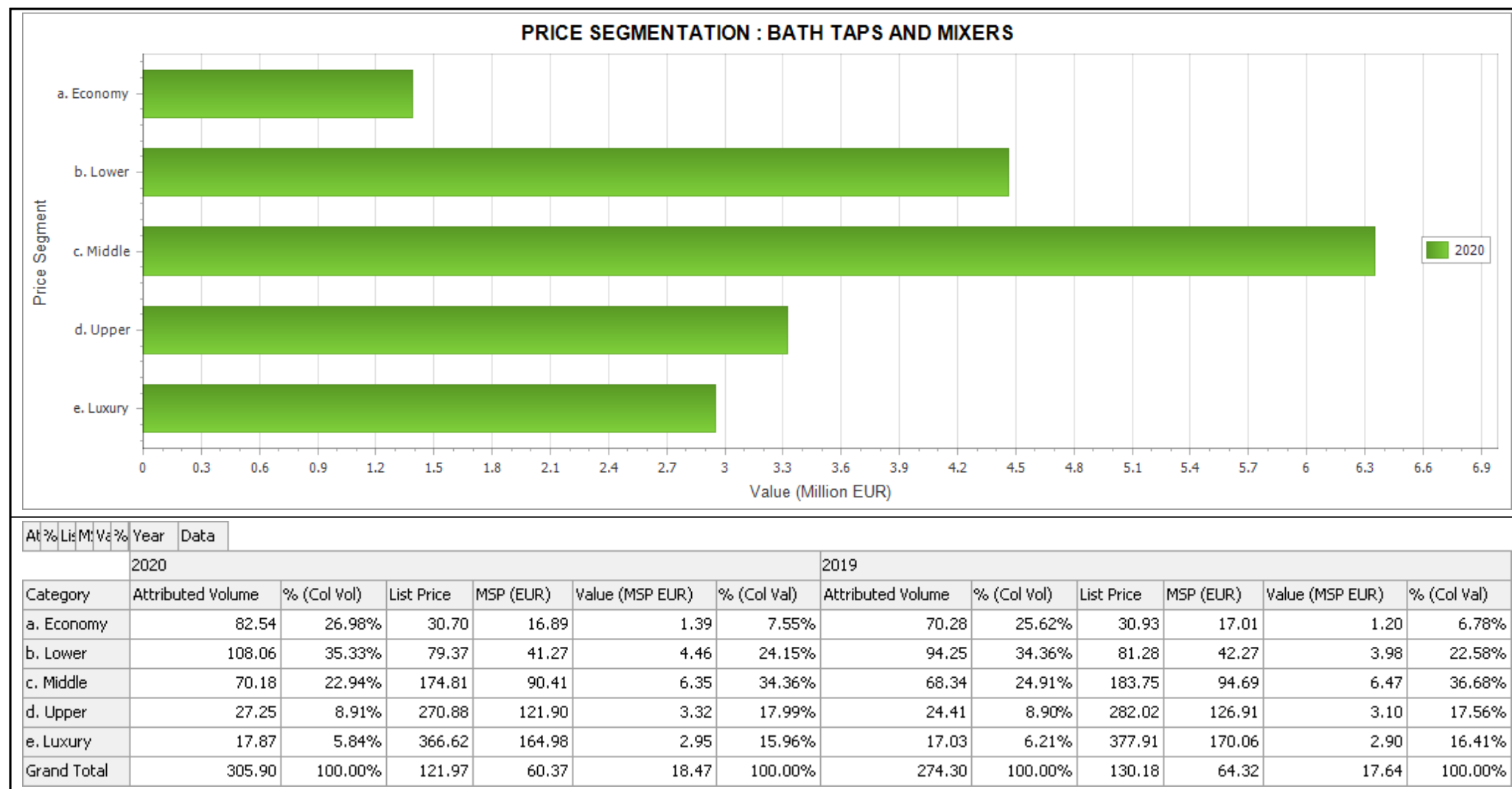
NL - ESTIMATED VALUES OF THE TAP AND MIXER MARKET BY TYPE AND APPLICATION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.3 Price Segmentation : Bath Taps and Mixers

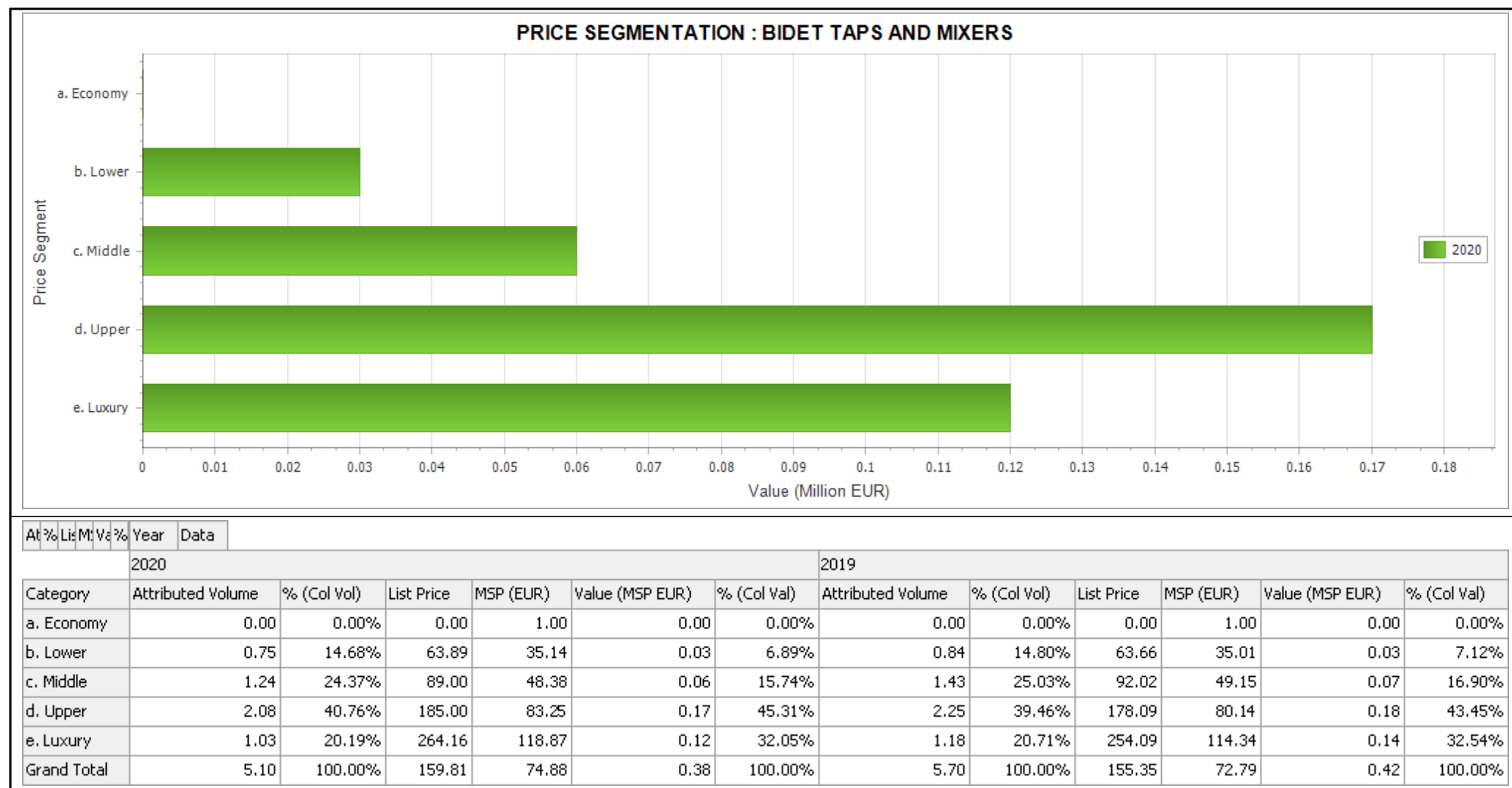
NL - ESTIMATED PRICE SEGMENTATION FOR BATH TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€30, Lower €30-€50, Middle €50-€100, Upper €100-€150 and Luxury >€150

3.3.4 Price Segmentation : Bidet Taps and Mixers

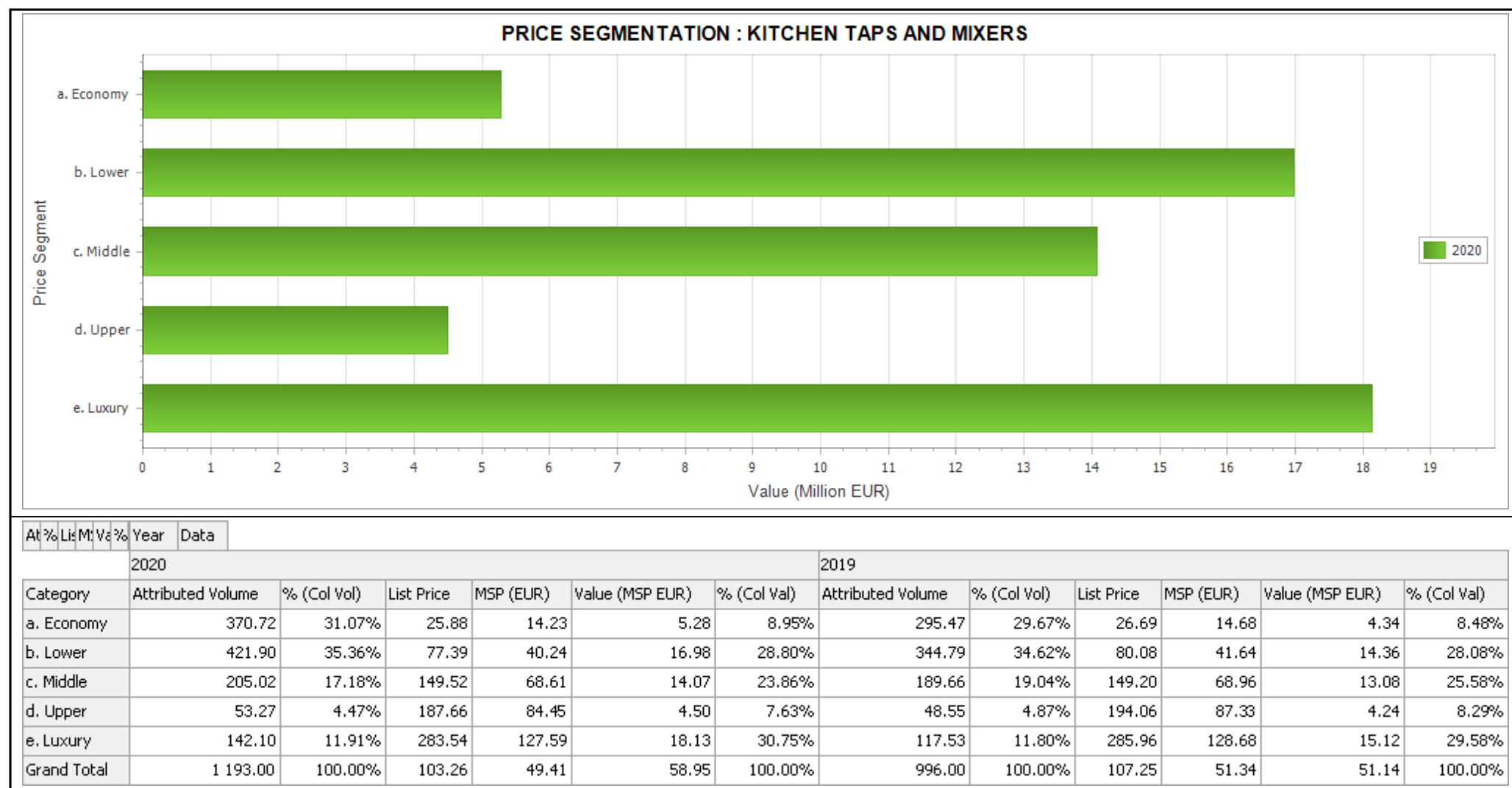
NL - ESTIMATED PRICE SEGMENTATION FOR BIDET TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€25, Lower €25-€40, Middle €40-€60, Upper €60-€100 and Luxury >€100

3.3.5 Price Segmentation : Kitchen Taps and Mixers

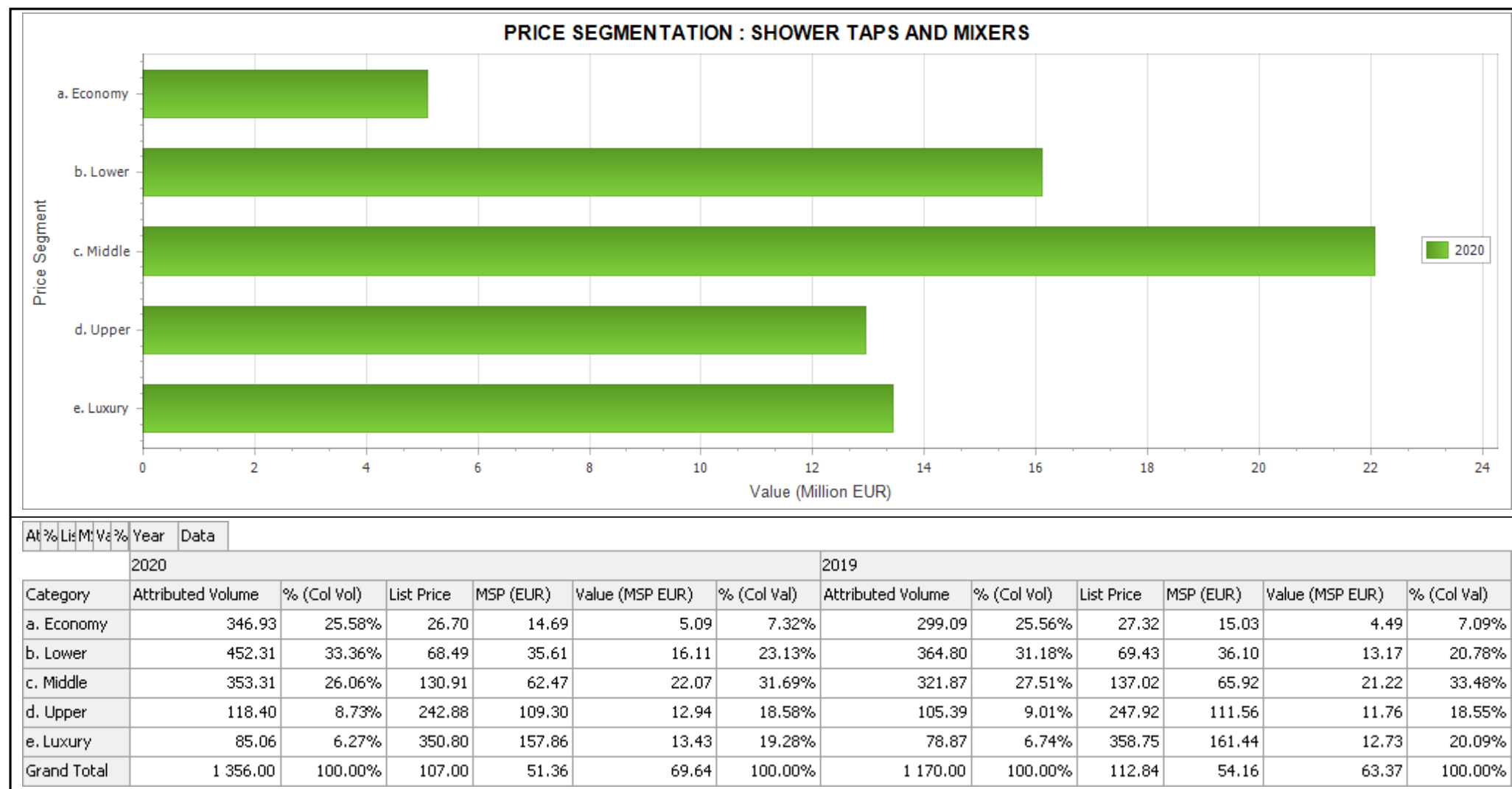
NL - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€35, Lower €35-€50, Middle €50-€70, Upper €70-€110 and Luxury >€110

3.3.6 Price Segmentation : Shower Taps and Mixers

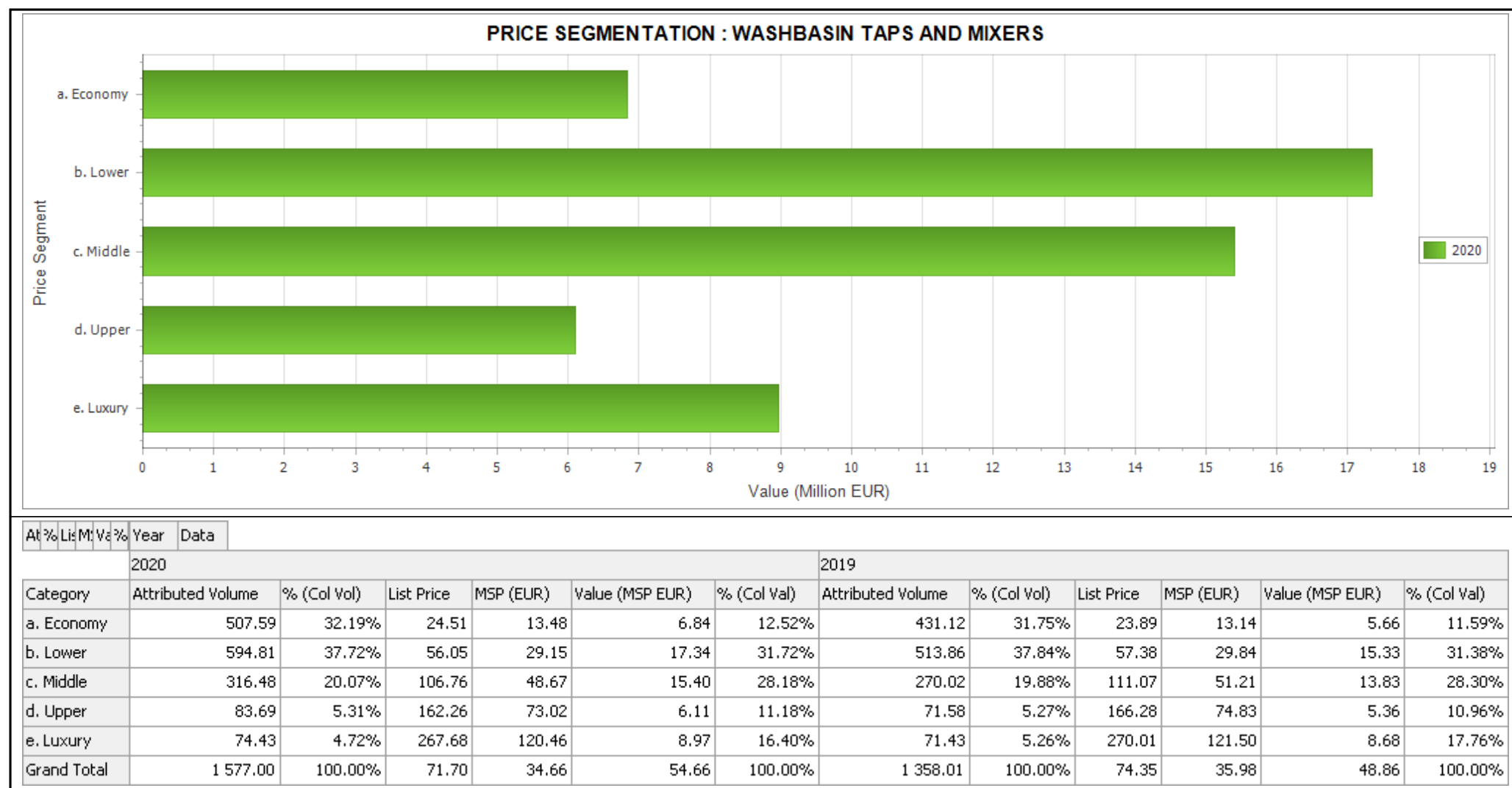
NL - ESTIMATED PRICE SEGMENTATION FOR SHOWER TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€30, Lower €30-€50, Middle €50-€100, Upper €100-€150 and Luxury >€150

3.3.7 Price Segmentation : Washbasin Taps and Mixers

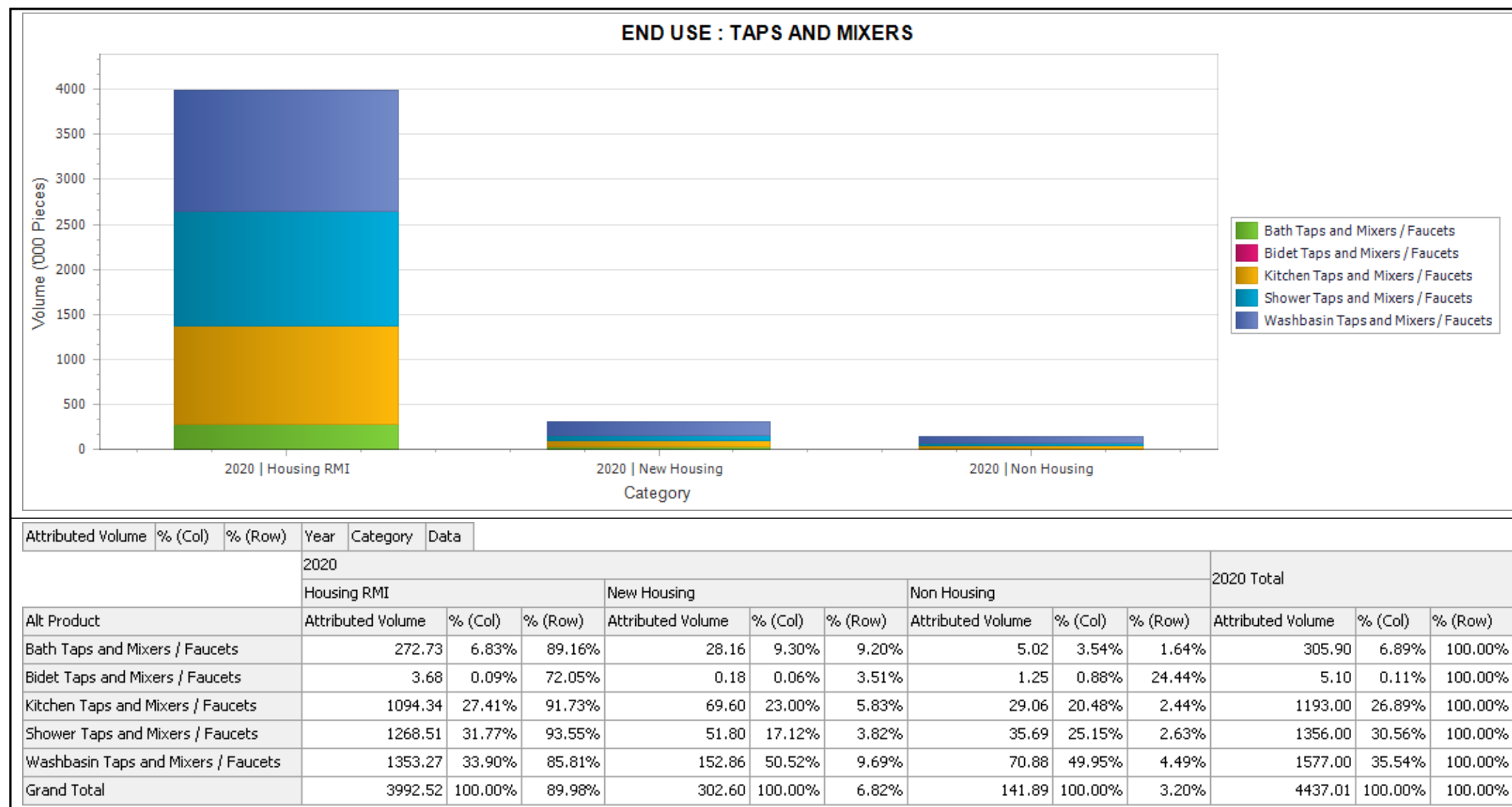
NL - ESTIMATED PRICE SEGMENTATION FOR WASHBASIN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€40, Middle €40-€60, Upper €60-€80 and Luxury >€80

3.4.1 End Use : Base Year

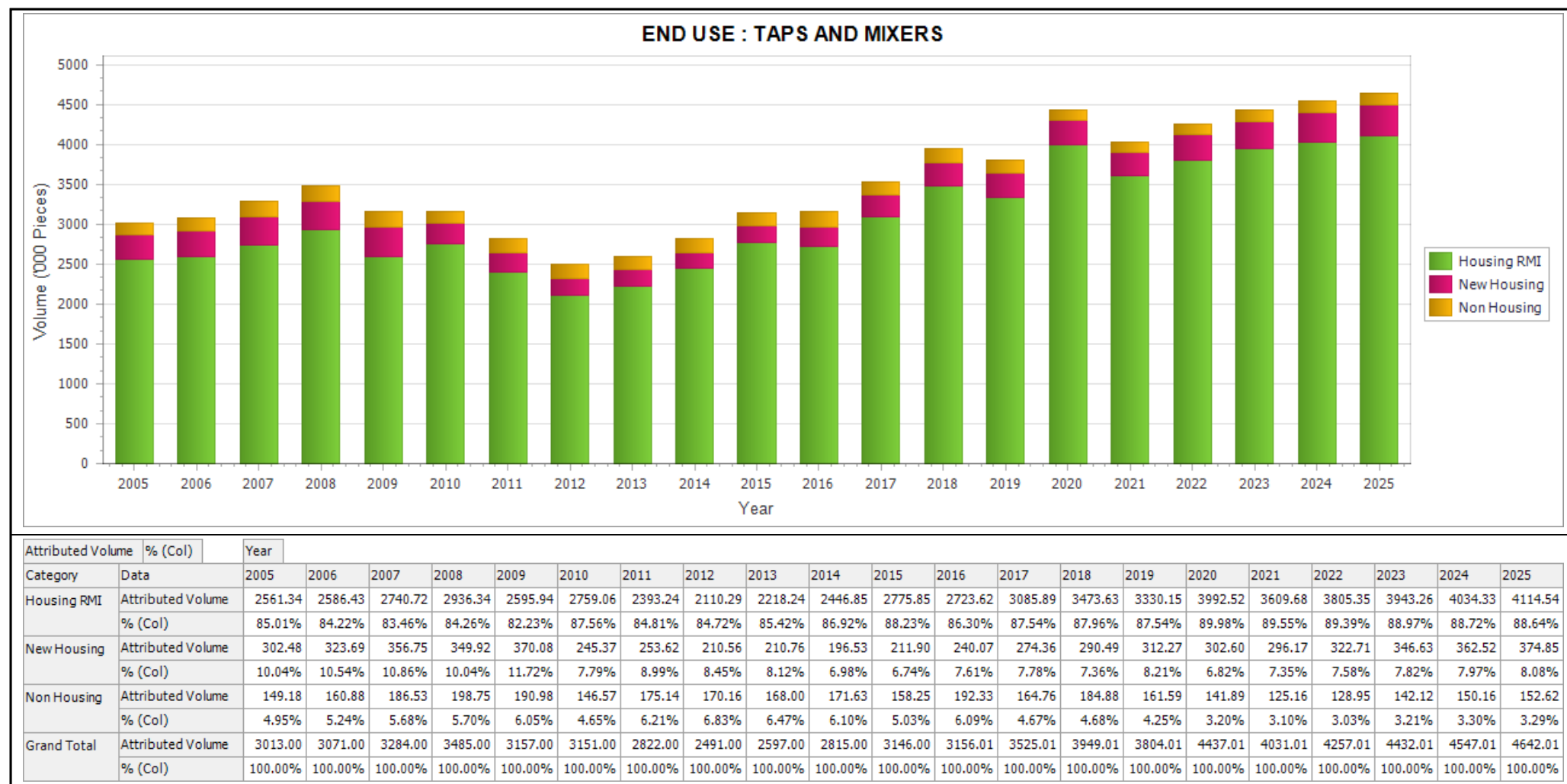
NL - SALES OF TAPS AND MIXERS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance due to rounding. N.B. Includes Kitchen and Sanitary Taps & Mixers

3.4.2 End Use : Historical and Forecasts

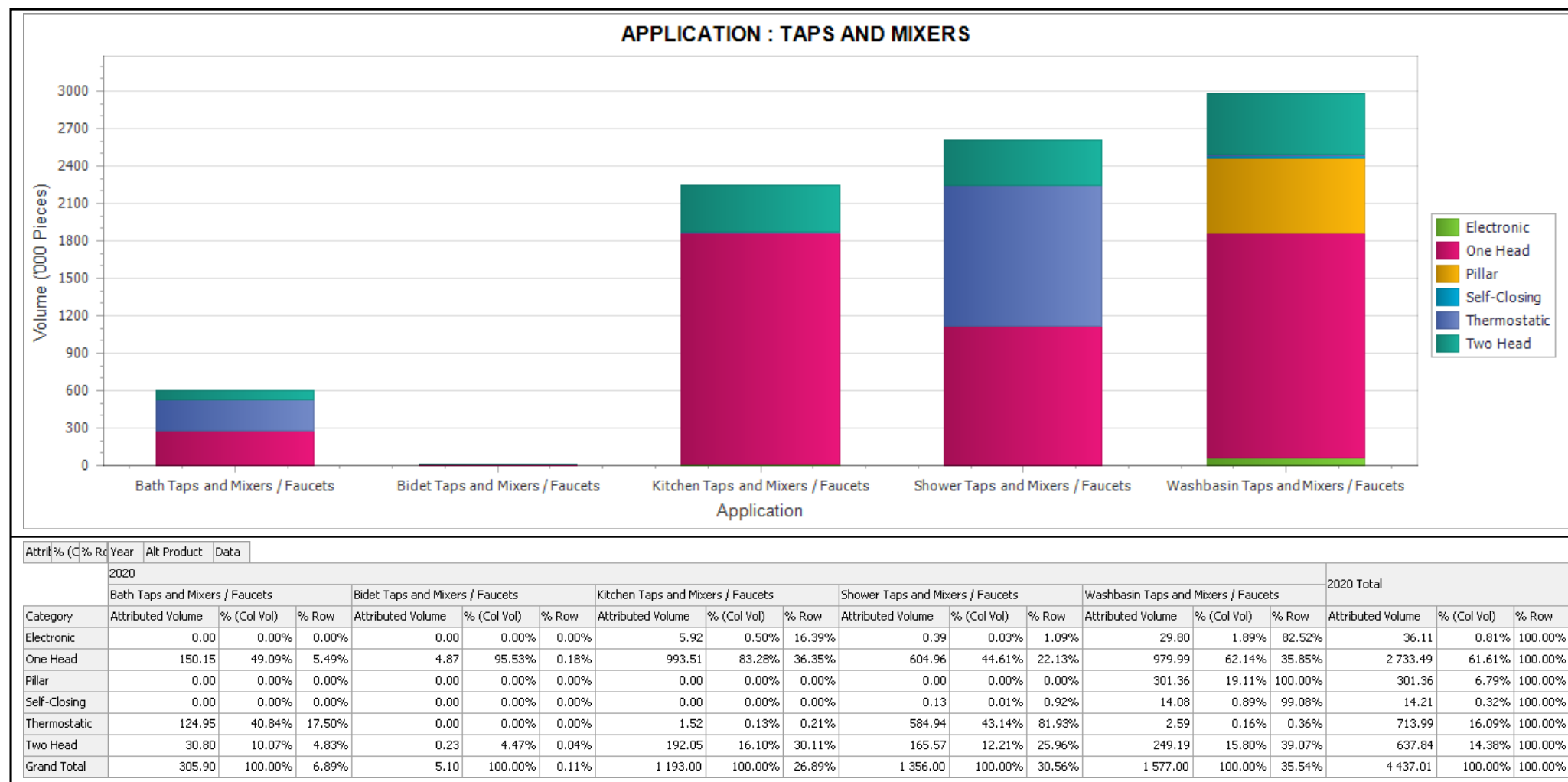
NL - SALES OF TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.4.3 Sales by Type and Application : Taps and Mixers

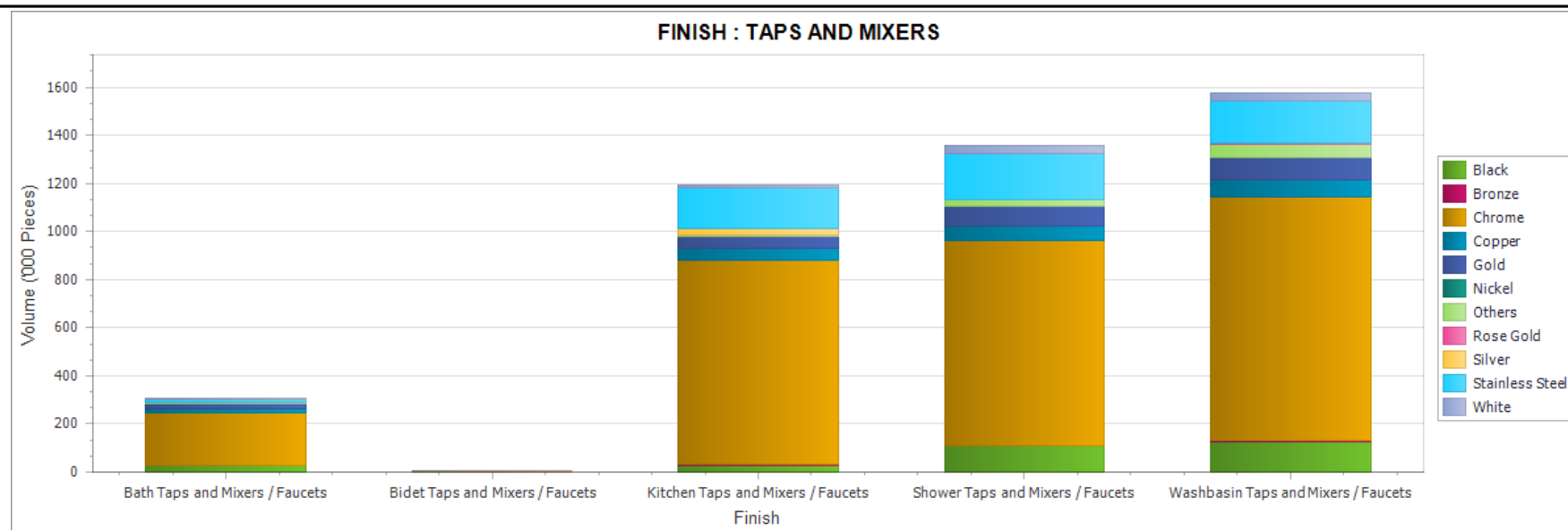
NL - TAP AND MIXER SALES BY TYPE AND APPLICATION ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.4 Sales by Type of Finish : Taps and Mixers

NL - TAP AND MIXER SALES BY FINISH AND APPLICATION ('000 PIECES)

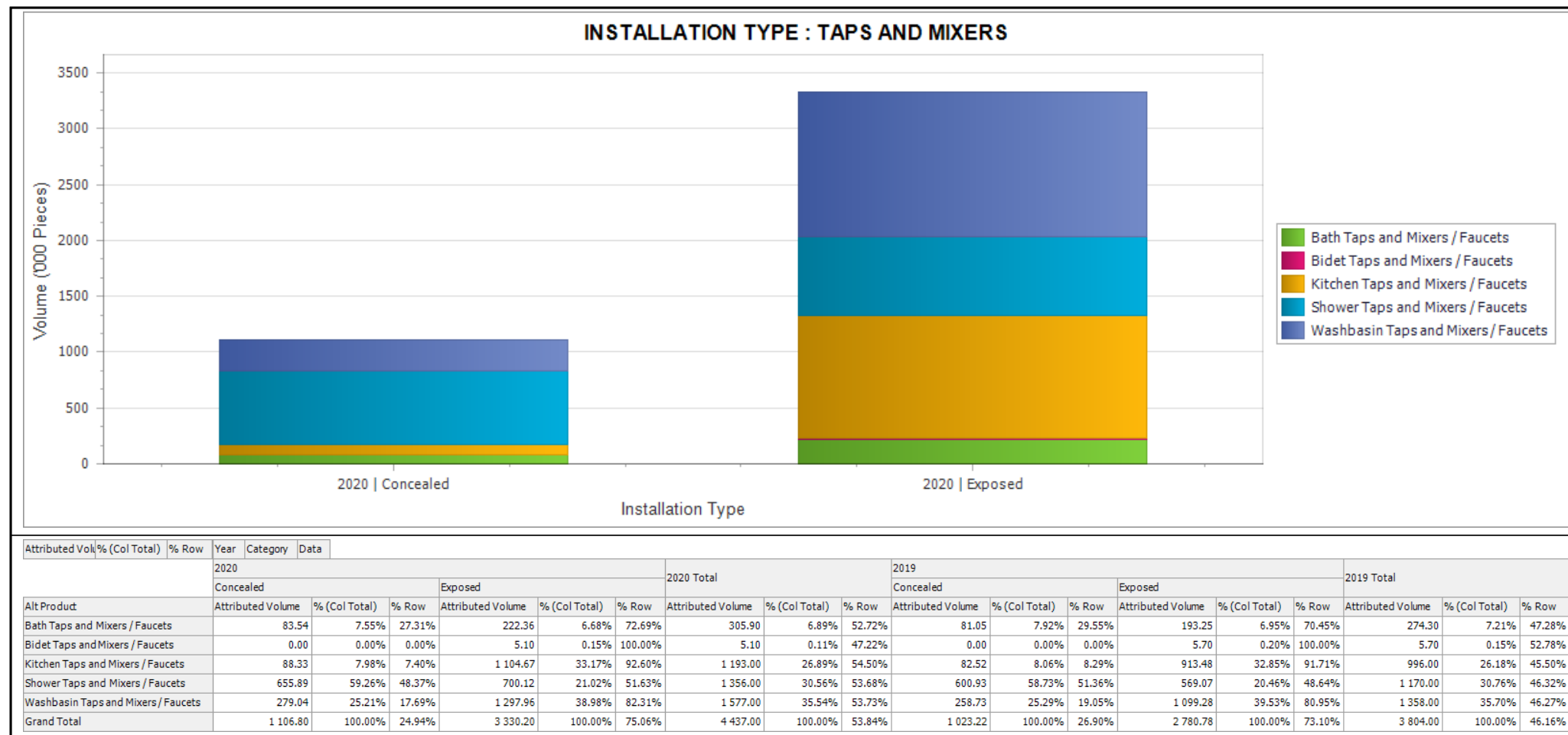


Attribut	% (Col V	Year	Alt Product	Data								
		2020									2020 Total	
		Bath Taps and Mixers / Faucets		Bidet Taps and Mixers / Faucets		Kitchen Taps and Mixers / Faucets		Shower Taps and Mixers / Faucets		Washbasin Taps and Mixers / Faucets		
Category	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)
Black	27.72	9.06%	0.22	4.25%	26.89	2.25%	106.74	7.87%	127.97	8.12%	289.54	6.53%
Bronze	1.62	0.53%	0.03	0.49%	4.30	0.36%	5.37	0.40%	6.05	0.38%	17.36	0.39%
Chrome	217.89	71.23%	3.30	64.58%	850.91	71.33%	853.32	62.93%	1 008.17	63.93%	2 933.59	66.12%
Copper	14.37	4.70%	0.17	3.31%	46.26	3.88%	55.46	4.09%	75.07	4.76%	191.32	4.31%
Gold	21.04	6.88%	0.34	6.60%	52.71	4.42%	82.29	6.07%	93.21	5.91%	249.59	5.63%
Nickel	0.61	0.20%	0.00	0.00%	1.08	0.09%	0.00	0.00%	0.00	0.00%	1.68	0.04%
Others	5.46	1.79%	0.39	7.54%	4.30	0.36%	29.82	2.20%	54.42	3.45%	94.38	2.13%
Rose Gold	0.41	0.13%	0.00	0.00%	0.00	0.00%	0.60	0.04%	1.51	0.10%	2.51	0.06%
Silver	0.00	0.00%	0.00	0.00%	26.89	2.25%	1.79	0.13%	1.01	0.06%	29.69	0.67%
Stainless Steel	10.12	3.31%	0.53	10.38%	167.82	14.07%	188.43	13.90%	175.34	11.12%	542.23	12.22%
White	6.68	2.18%	0.15	2.84%	11.83	0.99%	32.20	2.37%	34.26	2.17%	85.12	1.92%
Grand Total	305.90	100.00%	5.10	100.00%	1 193.01	100.00%	1 356.01	100.00%	1 577.00	100.00%	4 437.03	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.5 Sales by Type of Installation : Taps and Mixers

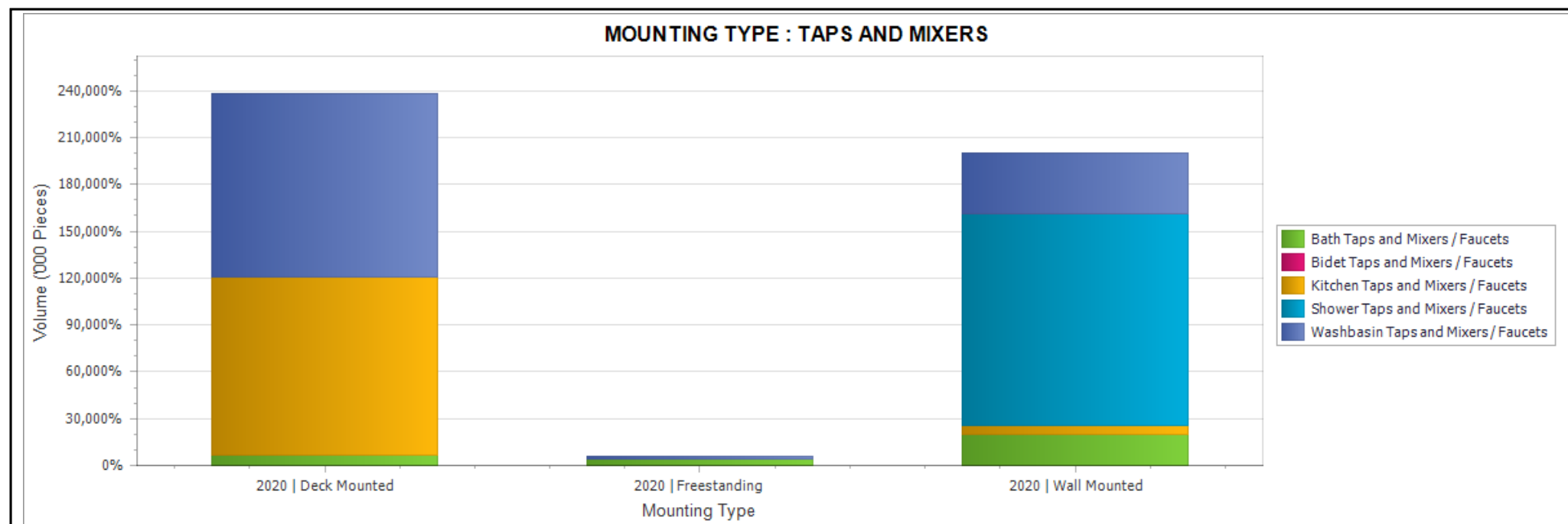
NL - TAP AND MIXER SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.6 Sales by Type of Mounting : Taps and Mixers

NL - TAP AND MIXER SALES BY MOUNTING TYPE ('000 PIECES)

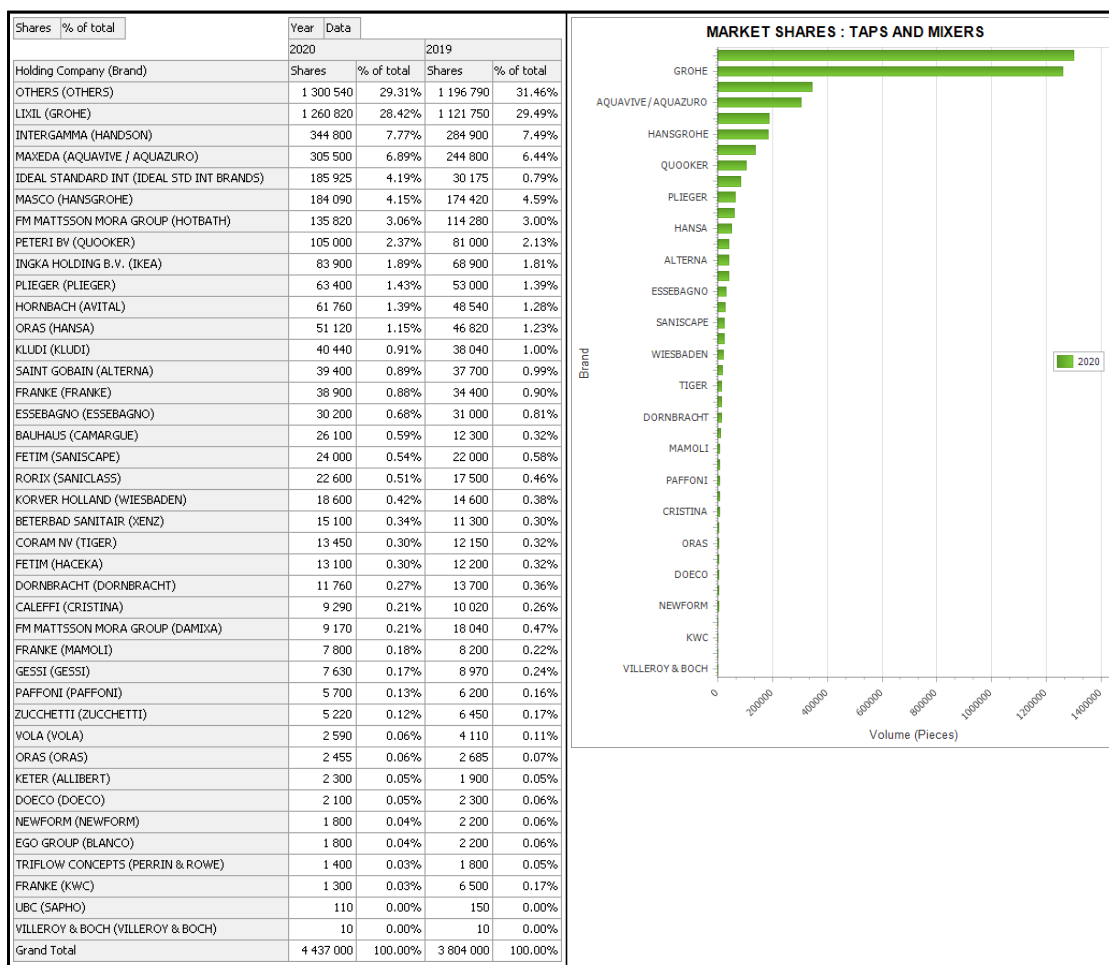


Attributed Vol	% (Col Total)	% Row	Year	Category	Data								
			2020									2020 Total	
			Deck Mounted			Freestanding			Wall Mounted				
Alt Product	Attributed Volume	% (Col Total)	% Row	Attributed Volume	% (Col Total)	% Row	Attributed Volume	% (Col Total)	% Row	Attributed Volume	% (Col Total)	% Row	
Bath Taps and Mixers / Faucets	64.45	2.71%	21.07%	39.21	71.58%	12.82%	202.25	10.11%	66.11%	305.90	6.89%	100.00%	
Bidet Taps and Mixers / Faucets	5.10	0.21%	100.00%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	5.10	0.11%	100.00%	
Kitchen Taps and Mixers / Faucets	1 140.43	47.87%	95.59%	0.00	0.00%	0.00%	52.58	2.63%	4.41%	1 193.00	26.89%	100.00%	
Shower Taps and Mixers / Faucets	0.00	0.00%	0.00%	0.00	0.00%	0.00%	1 356.00	67.81%	100.00%	1 356.00	30.56%	100.00%	
Washbasin Taps and Mixers / Faucets	1 172.60	49.22%	74.36%	15.57	28.42%	0.99%	388.83	19.45%	24.66%	1 577.00	35.54%	100.00%	
Grand Total	2 382.58	100.00%	53.70%	54.77	100.00%	1.23%	1 999.66	100.00%	45.07%	4 437.01	100.00%	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.5 Market Shares : Taps and Mixers

NL - ESTIMATED MARKET SHARES FOR TAPS AND MIXERS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers.

3.6.1 NL - IMPORTS OF TAPS & MIXERS 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	5 323	44.0%	66 896	27.6%	4 687	43.8%	58 101	26.7%
Germany	3 913	32.3%	105 064	43.4%	3 972	37.1%	106 314	48.8%
Italy	1 240	10.2%	25 438	10.5%	897	8.4%	19 737	9.1%
Belgium	515	4.3%	12 143	5.0%	377	3.5%	9 153	4.2%
Poland	359	3.0%	9 194	3.8%	83	0.8%	2 475	1.1%
OTHERS	759	6.3%	23 332	9.6%	693	6.5%	22 131	10.2%
Total	12 108	100.0%	242 067	100.0%	10 710	100.0%	217 911	100.0%

Source : Trademap

3.6.2 NL - EXPORTS OF TAPS & MIXERS 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	3 245	57.1%	51 976	45.1%	2 109	48.7%	35 355	37.9%
Belgium	456	8.0%	13 260	11.5%	494	11.4%	12 775	13.7%
France	318	5.6%	3 922	3.4%	257	5.9%	3 809	4.1%
Spain	270	4.8%	3 128	2.7%	136	3.1%	1 720	1.8%
Switzerland	263	4.6%	3 626	3.1%	182	4.2%	2 672	2.9%
Portugal	207	3.6%	1 962	1.7%	365	8.4%	3 627	3.9%
United Kingdom	178	3.1%	14 914	12.9%	208	4.8%	12 399	13.3%
Czech Republic	121	2.1%	1 372	1.2%	81	1.9%	959	1.0%
Denmark	91	1.6%	9 016	7.8%	27	0.6%	7 378	7.9%
Austria	61	1.1%	1 163	1.0%	42	1.0%	678	0.7%
OTHERS	472	8.3%	10 973	9.5%	428	9.9%	11 867	12.7%
Total	5 683	100.0%	115 312	100.0%	4 329	100.0%	93 239	100.0%

Source : Trademap

3.7.1

Route to Market: Kitchen Taps & Mixers / Faucets
NL - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

63.0%
Wholesalers / Merchants
63.0%

Retail Level

Manufacturer	Wholesaler
1.3%	8.6%
Internet Retailers	
10.0%	

Manufacturer	Wholesaler
25.3%	8.8%
DIY Retailers	
34.1%	

Manufacturer	Wholesaler
9.8%	34.6%
Specialist Retailers	
44.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.3%	6.4%	2.1%	4.4%	3.8%
Installers				
17.1%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.2%	4.4%	7.9%	29.3%	40.4%	15.5%
Residential					
97.6%					

New Build			Residential RMI		
5.8%			91.7%		
Project	Non-Project		Project	Non-Project	
5.1%	0.7%		10.4%	81.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.1%	0.2%	0.0%	0.4%	0.2%	1.6%
Non-Residential					
2.4%					

New Build			Non-Residential RMI		
1.3%			1.1%		
Project	Non-Project		Project	Non-Project	
1.2%	0.1%		0.3%	0.8%	

3.7.2

Route to Market: Kitchen Taps & Mixers / Faucets
NL - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

62.4%
Wholesalers / Merchants
62.4%

Retail Level

Manufacturer	Wholesaler
1.6%	11.4%
Internet Retailers	
13.0%	

Manufacturer	Wholesaler
26.4%	9.2%
DIY Retailers	
35.6%	

Manufacturer	Wholesaler
9.1%	32.1%
Specialist Retailers	
41.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.3%	7.6%	3.0%	5.3%	3.5%
Installers				
19.7%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.1%	1.8%	10.0%	29.9%	37.5%	18.2%
Residential					
97.6%					

New Build			Residential RMI		
6.9%			90.7%		
Project	Non-Project		Project	Non-Project	
5.9%	1.0%		10.3%	80.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.1%	0.2%	0.0%	0.4%	0.2%	1.5%
Non-Residential					
2.4%					

New Build			Non-Residential RMI		
1.3%			1.1%		
Project	Non-Project		Project	Non-Project	
1.2%	0.1%		0.3%	0.8%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

3.7.3 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

NL - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2020

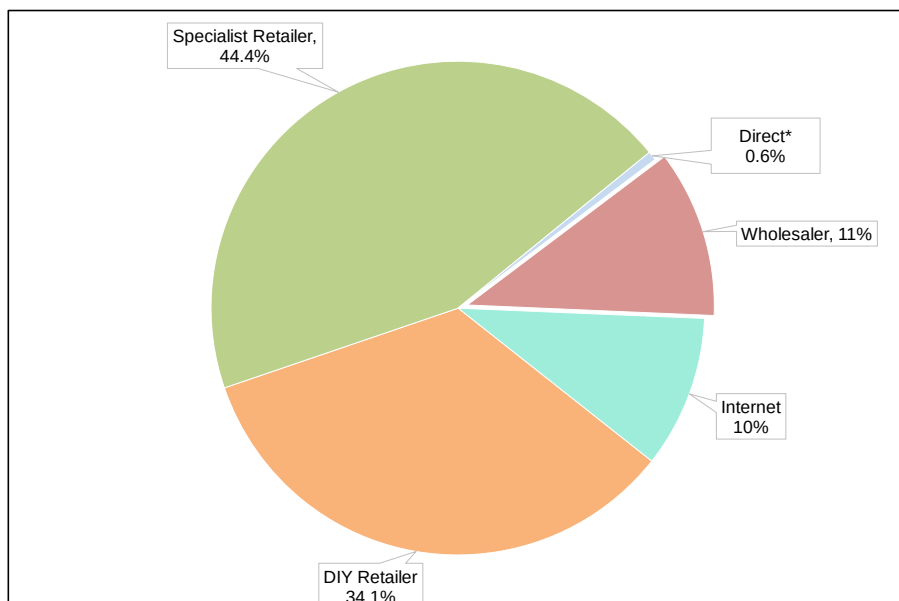
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
11.0%	10.0%	34.1%	44.4%	0.6%	15.5%	1.5%	82.1%	0.9%
100%					17.0%		83.0%	

3.7.4 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

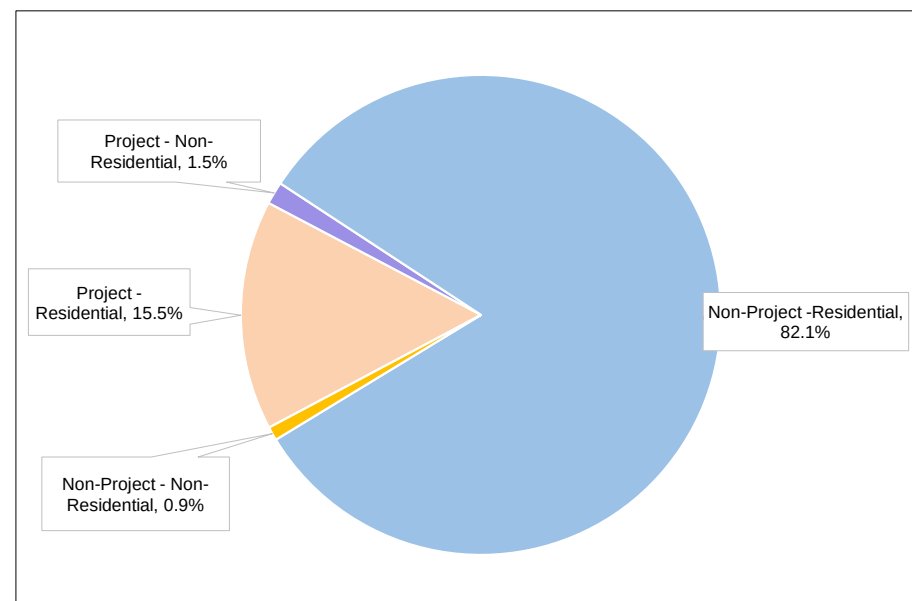
NL - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
9.7%	13.0%	35.6%	41.2%	0.5%	16.2%	1.5%	81.4%	0.9%
100%					17.7%		82.3%	

NL - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2020



NL - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2020



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.7.5

Route to Market: Sanitary Taps & Mixers / Faucets
NL - ESTIMATED DISTRIBUTION FOR SANITARY TAPS & MIXERS / FAUCETS: 2020

Manufacturer / Importer

Manufacturers / Importers	
100.0%	

Wholesale Level

74.1%
Wholesalers / Merchants
74.1%

Retail Level

Manufacturer	Wholesaler
2.4%	9.9%
Internet Retailers	
12.3%	

Manufacturer	Wholesaler
18.3%	10.8%
DIY Retailers	
29.1%	

Manufacturer	Wholesaler
4.0%	38.2%
Specialist Retailers	
42.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.7%	9.4%	1.1%	0.9%	3.5%
Installers				
15.6%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.3%	5.1%	11.2%	27.6%	38.0%	14.4%
Residential					
96.5%					

New Build			Residential RMI		
7.2%			89.3%		
Project	Non-Project		Project	Non-Project	
6.4%	0.8%		11.1%	78.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.2%	0.7%	0.0%	0.7%	0.7%	1.2%
Non-Residential					
3.5%					

New Build			Non-Residential RMI		
1.9%			1.6%		
Project	Non-Project		Project	Non-Project	
1.3%	0.6%		0.7%	0.9%	

3.7.6

Route to Market: Sanitary Taps & Mixers / Faucets
NL - ESTIMATED DISTRIBUTION FOR SANITARY TAPS & MIXERS / FAUCETS: 2025

Manufacturer / Importer

Manufacturers / Importers	
100.0%	

Wholesale Level

74.4%
Wholesalers / Merchants
74.4%

Retail Level

Manufacturer	Wholesaler
3.3%	12.4%
Internet Retailers	
15.7%	

Manufacturer	Wholesaler
17.4%	10.0%
DIY Retailers	
27.4%	

Manufacturer	Wholesaler
3.7%	36.9%
Specialist Retailers	
40.6%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.7%	9.6%	1.4%	0.8%	3.3%
Installers				
15.8%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.4%	4.8%	14.3%	25.8%	36.5%	14.6%
Residential					
96.4%					

New Build			Residential RMI		
8.5%			87.9%		
Project	Non-Project		Project	Non-Project	
7.3%	1.2%		10.9%	77.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.2%	0.8%	0.0%	0.7%	0.7%	1.2%
Non-Residential					
3.6%					

New Build			Non-Residential RMI		
2.0%			1.7%		
Project	Non-Project		Project	Non-Project	
1.3%	0.6%		0.7%	1.0%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

3.7.7 Route to Market - Consolidated View : Sanitary Taps and Mixers / Faucets

NL - ESTIMATED DISTRIBUTION FOR SANITARY TAPS AND MIXERS / FAUCETS : 2020

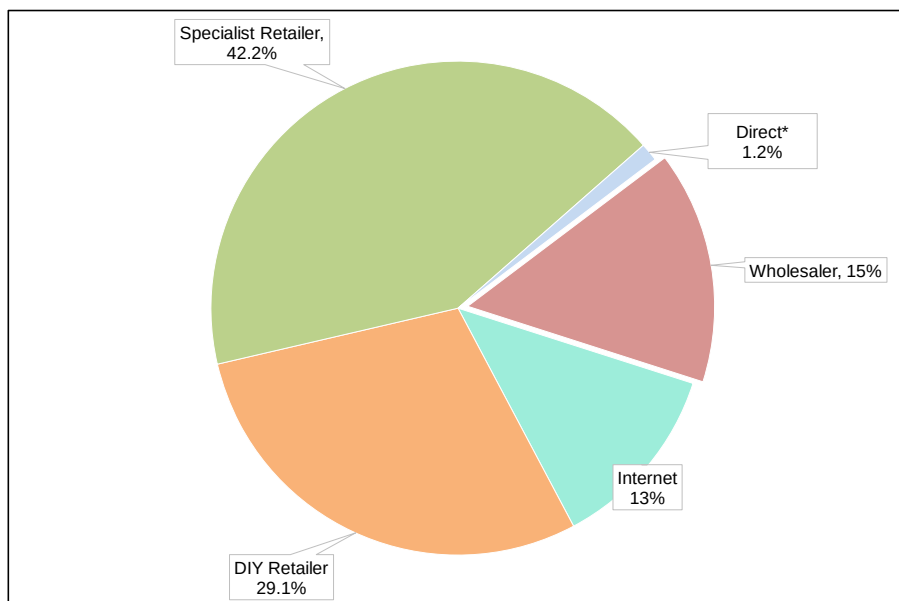
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
15.2%	12.3%	29.1%	42.2%	1.2%	17.5%	2.0%	79.1%	1.5%
100%					19.4%		80.6%	

3.7.8 Route to Market - Consolidated View : Sanitary Taps and Mixers / Faucets

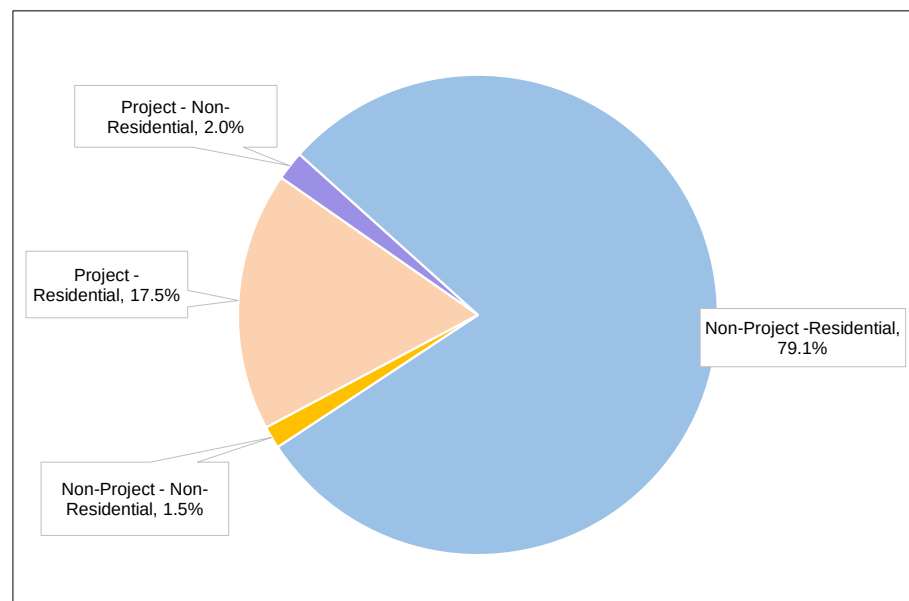
NL - ESTIMATED DISTRIBUTION FOR SANITARY TAPS AND MIXERS / FAUCETS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
15.1%	15.7%	27.4%	40.6%	1.2%	18.2%	2.0%	78.2%	1.6%
100%					20.3%		79.7%	

NL - SALES OF SANITARY TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2020



NL - SALES OF SANITARY TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2020



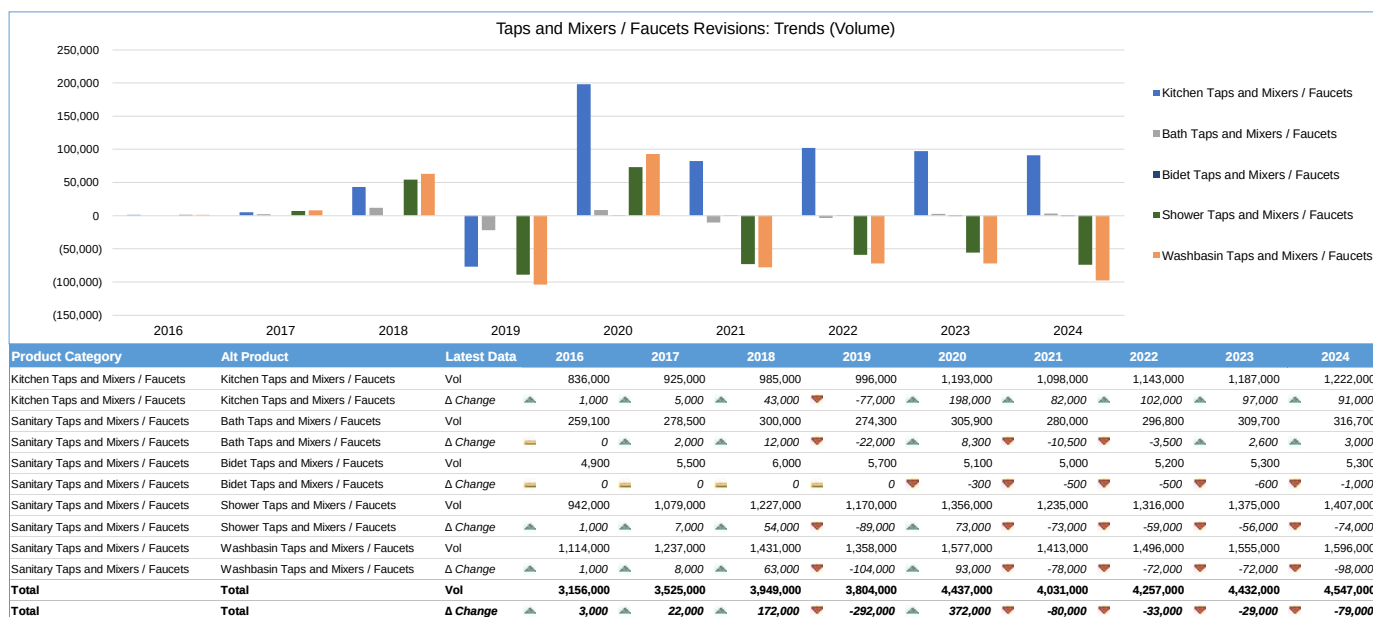
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.8 Revisions in the Dutch Taps and Mixers / Faucets Market (April 2021)

NL - REVISIONS IN THE DUTCH TAPS AND MIXERS / FAUCETS MARKET

Data Comparison: October 2020



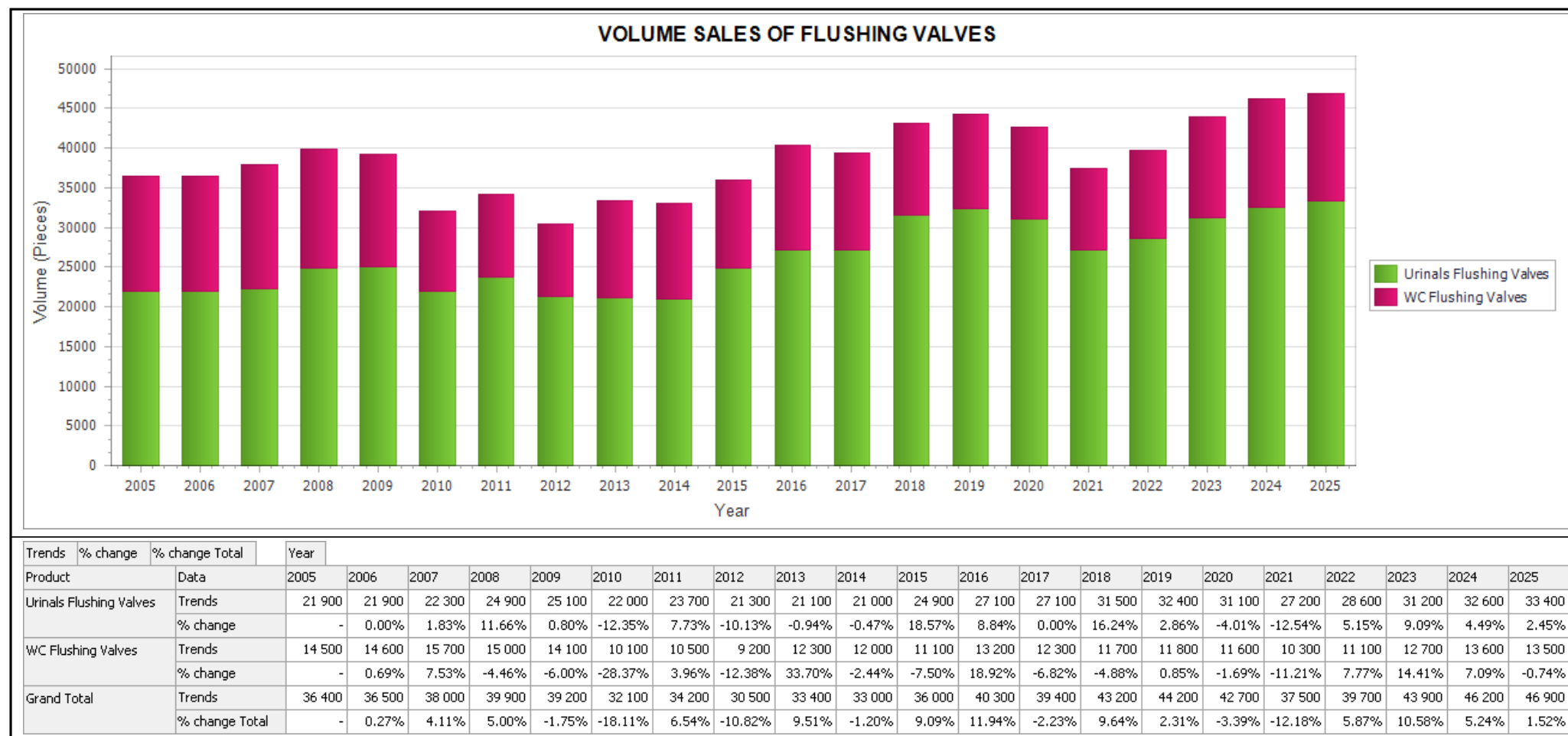
The MSP for taps and mixers has been revised down as according to industry feedback the previous MSP was overstated. German imports are relatively high priced, with average prices of above €50, whereas imports from China are significantly lower priced, roughly 50% cheaper than German imported products. However, Chinese imports have gained importance rapidly in the Netherlands, sold through DIY stores, mostly private label sales, as well as rising sales through online retailers, which has affected the overall MSPs for taps and mixers in the Netherlands. Most 'house brands' of online retailers, including www.sanitairwinkel.nl, are sourced from China and most DIY stores, especially the INTERGAMMA and MAXEDA, predominantly sell their own private label brands, such as HANDSON and AQUAVIVE / AQUAZURO, which are sourced from China.

Upward revisions were made to the historical market size for taps and mixers for the 2005 to 2011 period, whereas these were revised down for the 2012 to 2019 period. This is largely because of a discrepancy between imports recorded by the Dutch Statistical Office compared to Eurostat, which is mostly affecting imports coming from the Far East, mostly China. This might be due to an error in re-exports ('transits'). A lot of European imports, especially for taps and mixers, enter the European market through the ports of Rotterdam and/ or Antwerp, which in most cases should not be counted as imports since products are simply transiting through the national territories of Belgium and the Netherlands. For example, the CBS indicated that €157.7 million worth of mixers were imported in 2019, Eurostat indicated that €178.5 million were imported, a difference of €20.8 million. Domestic sales of Chinese imports declined in 2019 according to the CBS, whereas Eurostat showed an increase.

This has now been corrected, resulting in a slightly smaller market for taps and mixers in 2019, including both kitchen and sanitary taps and mixers.

3.9.1 Historical Trends and Forecasts : Flushing Valves

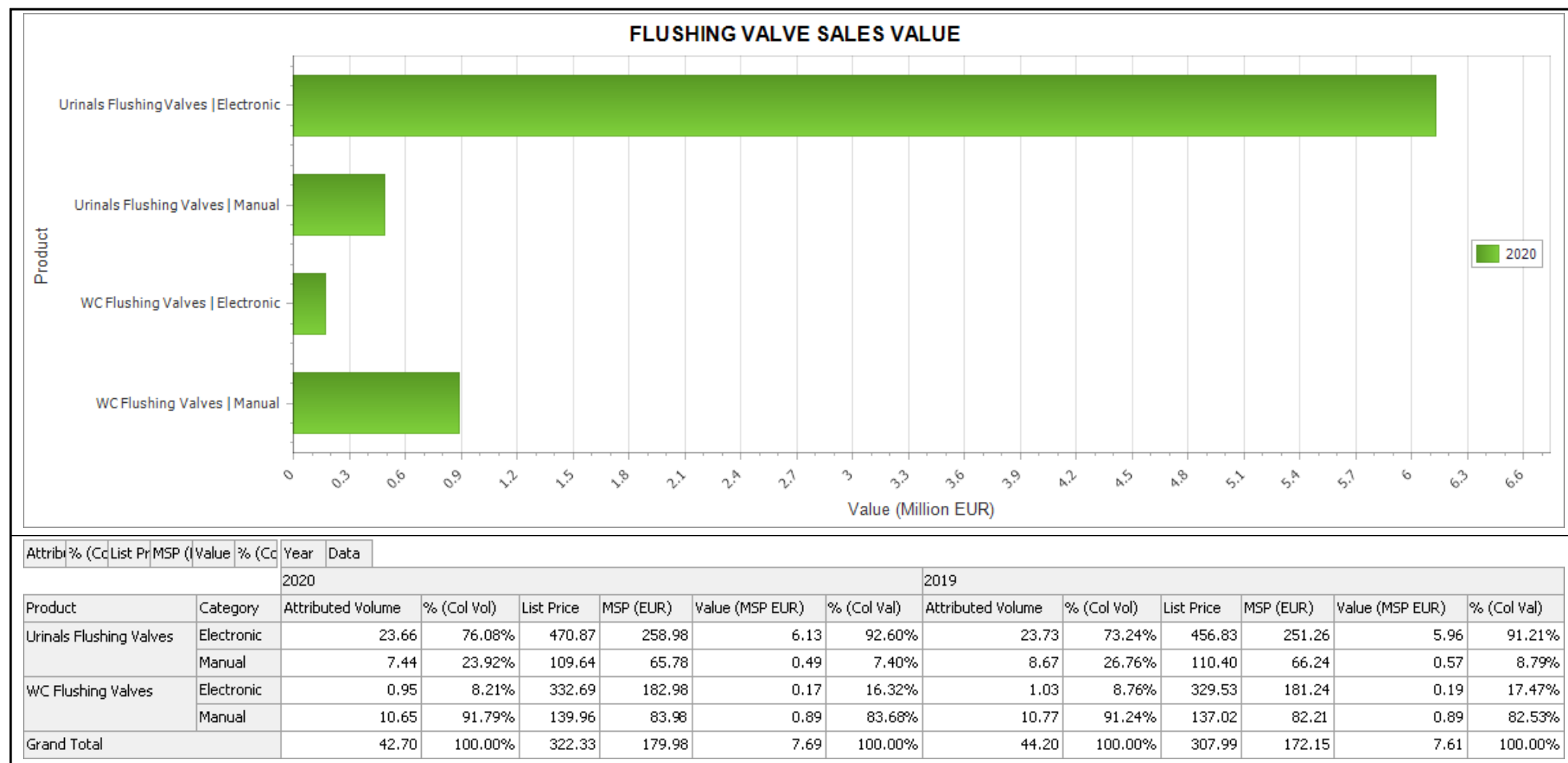
NL - SUMMARY OF TRENDS IN THE FLUSHING VALVE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

3.9.2 Prices and Market Values : Flushing Valves

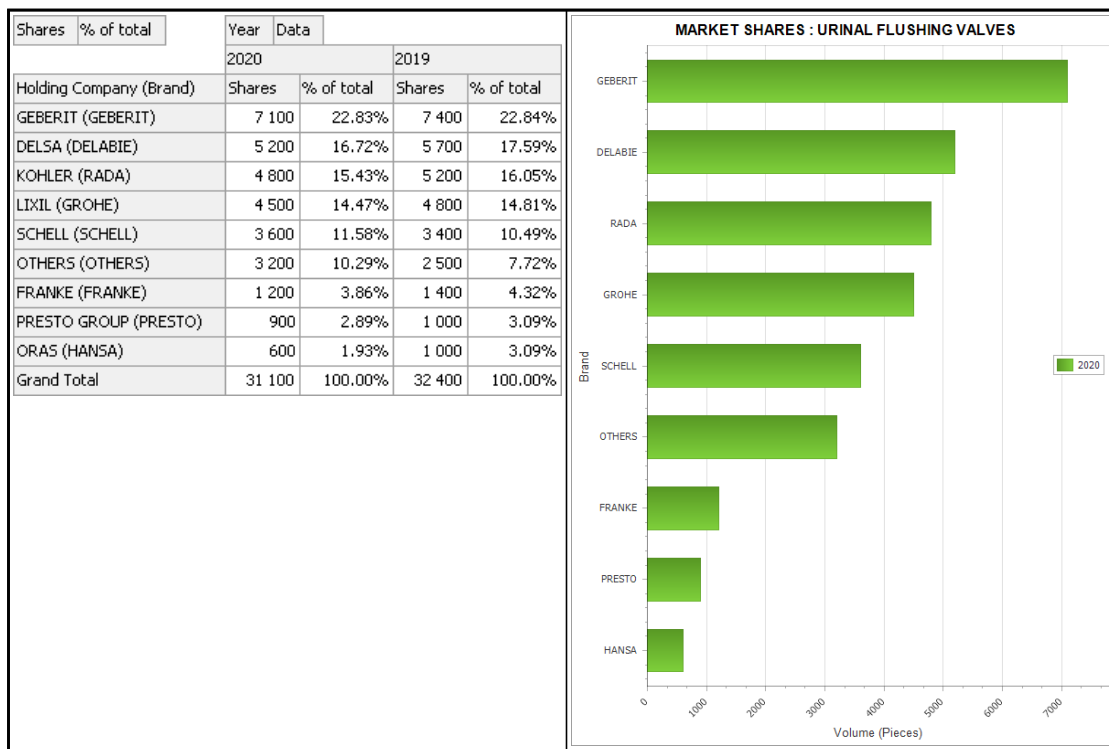
NL - ESTIMATED VALUES OF THE FLUSHING VALVE MARKET



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price)

3.9.3 Market Shares : Urinal Flushing Valves

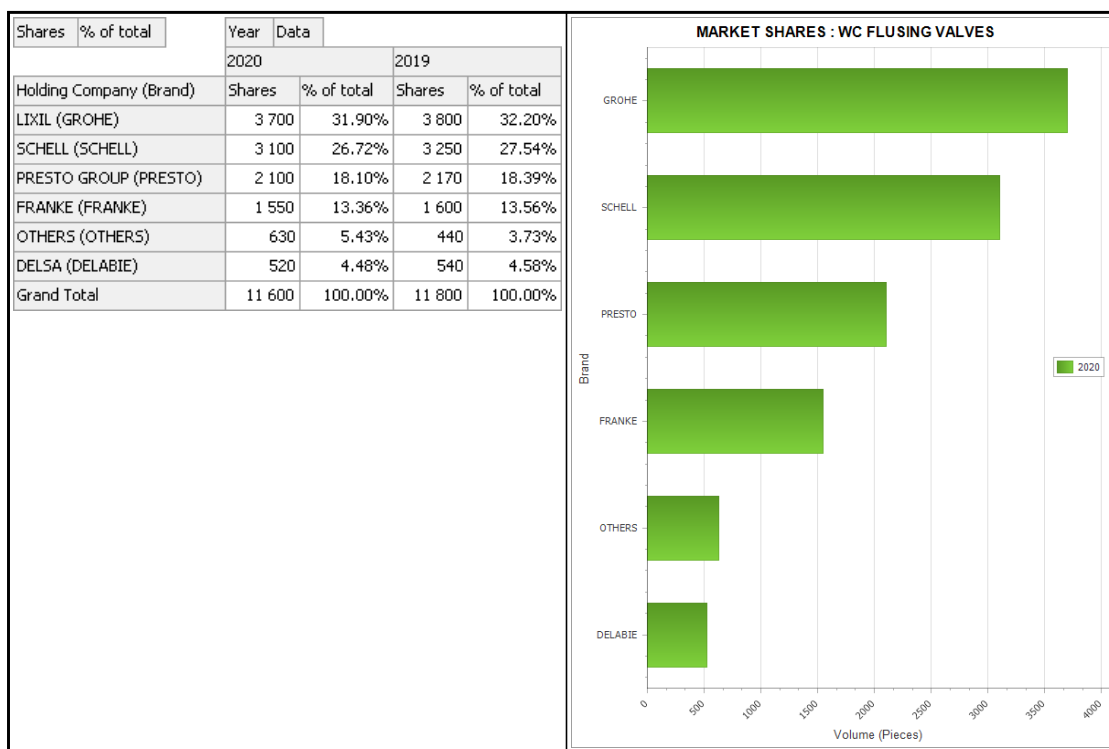
NL - ESTIMATED MARKET SHARES FOR URINAL FLUSHING VALVES



Source: BRG based on industry interviews.

3.9.4 Market Shares : WC Flushing Valves

NL - ESTIMATED MARKET SHARES FOR WC FLUSHING VALVES

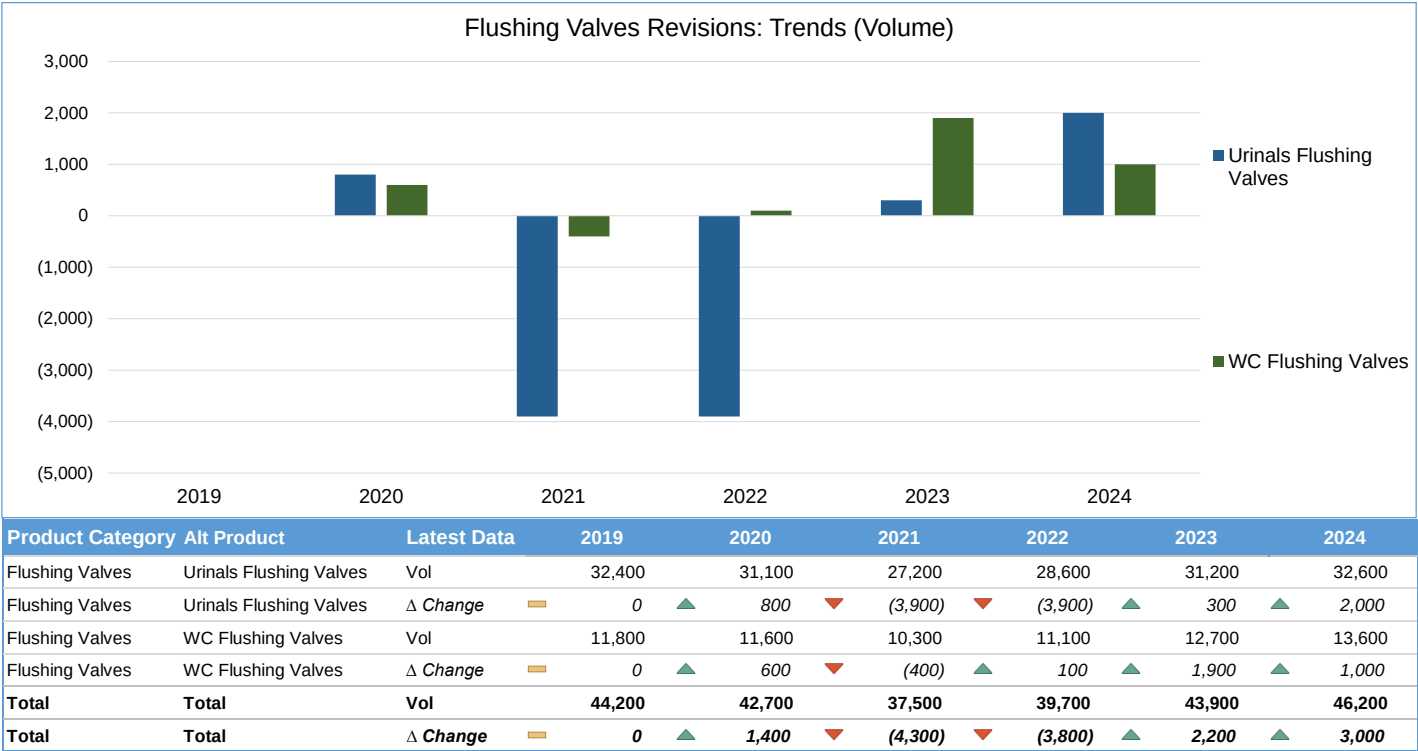


Source: BRG based on industry interviews.

3.10 Revisions in the Dutch Flushing Valves Market (April 2021)

NL - REVISIONS IN THE DUTCH FLUSHING VALVES MARKET

Data Comparison: October 2020



No revisions have been made to historical volumes for this market.

NETHERLANDS

SHOWER WALL

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Historically, the Dutch shower wall market has benefited from the nation's transition from a 'bathing country' to a 'showering country', although many homes still have a bath installed. The Dutch shower wall market developed in alignment with the wider shower market, which additionally includes shower trays and walk-in showers (or 'wet rooms').

The shower wall market is dominated by shower enclosures, whereas the long-term trend for bath screens has been negative. Glass remains by far the most favoured material for all types of shower wall products. Dutch homeowners, unlike Belgian consumers, never seem to have preferred shower cubicles due to space constraints, given the average size of Dutch bathrooms. Sales of these cubicles have almost always remained at a relatively low level and often only feature in student lodgings and privately rented dwellings. Hydrotherapy cubicles were introduced in 1994, but sales have remained marginal compared to shower enclosures. Sales of hydrotherapy cubicles remain far behind sales of other hydrotherapy products, such as hydromassage baths.

In Dutch dwellings, the share of bath/shower combinations has been declining, since most homes either have a shower or bath and shower separately, with around 85% of Dutch dwellings having a separate shower area, eliminating the need for a bath screen. In the past, bath screens represented a simple way to convert a bath into a combined shower/bath area. However, nowadays it is more desirable to have a separate shower installation. Bath screens are mainly used in existing bathrooms, where a shower is installed over the bath. In some cases, a shower curtain is the preferred option, which restrains growth in the shower wall market even further.

As the market turned to showering, demand for shower enclosures increased considerably and the shower wall market is now clearly dominated by shower enclosures. The shower enclosure segment has not only benefited from increased sales of shower trays, but also from walk-in showers (a tiled surface with a shower drain). The average height of shower enclosures used to be around 1.80 metres. Nowadays it is usually around two metres high, as the Dutch are the tallest people in Europe. In terms of configuration, it is assumed that the panels are used in conjunction with doors to make up an enclosure.

As walk-in showers, or wet shower rooms, are gaining popularity in the market, shower enclosures are increasingly sold without a door. The door type remains one of the most popular installation types, but the use of side walls is increasing quickly. Five-angled shower enclosures have almost completely disappeared from the market. Sales of round shower enclosures have continued to decline further, similarly corner entry models. As far as door type is concerned, most enclosures use hinged doors, followed by sliding doors. The use of pivoting and folding doors is only marginal. A shift from pivoting doors towards hinged doors is expected, as

these have gained popularity in recent years. All the above-mentioned door types are compatible with either a front entry or a corner entry procedure. The bulk of sliding door models are attributed to corner entry models.

Recent Market Trends

Considering the global pandemic, which has also made trading conditions more challenging in the Netherlands, due to measures implemented by the government to tackle the COVID-19 pandemic, demand for shower wall products developed very favourably throughout 2020. Even though the Dutch shower wall market has benefited from the 'bath-out, shower-in' trend seen over the last decade or so, the positive momentum seen on the market in 2020 is mostly the result of the positive impact of COVID-19 on consumer spending. Last year, in 2020, a lot more time was spent indoors due to social distancing, the working from home and the limitation in (international) travel, which resulted in more free time as well as money becoming available. The latter, in particular, benefiting the market for showers, including shower trays, shower drains and shower enclosures, since money that would normally be spent on holidays was used for bathroom renovations projects, positively affecting demand for shower wall products. Travel expenses, to travel to and from work, with most people working from home full time, also largely disappeared in 2020, making it easier to free up money for home renovation projects, such as bathrooms.

As with most other segments of the Dutch bathroom market, growth rates were hampered due to reduced demand from the new and non-housing end-use sectors. Therefore, the solid growth rates seen on the shower wall market in 2020 was entirely the result of strong demand from the housing RMI segment. That being said, growth was driven by a growing market for showers, both trays and drains, since shower enclosures are hardly replaced on their own, mostly as part of a bathroom renovation project.

Shower enclosures, as opposed to cubicles and bath screens, continue to benefit from the ongoing trend towards showering, although this slowed since baths are slowly gaining share again. Even though wet rooms are slowly giving way to shower trays again, this does not affect sales of shower enclosures since both types of shower installation use shower enclosures, although this is significantly less in social housing which still mostly use shower curtains. Bath screen sales also grew but more modestly, mostly benefiting from a growing DIY market. Both types of cubicles continued to contract again, after the recovery seen in previous years, largely because of the growing trend towards larger shower areas which makes cubicles not very well suited.

The overall trend on the Dutch showering market is in favour of larger shower areas, using a larger shower head, including ceiling mounted rain showers, but also shower pipes, using fixed side panels, meaning the share of doors is declining. Industrial design is particularly prevalent on the Dutch market for shower enclosures, as seen in Soho in New York, combining cast iron elements with traditional bricks to obtain a sort of 'factory style' atmosphere in the bathroom.

Prices and Market Values

Most shower wall products in the Netherlands are sold into the economy/lower and middle price segments, although the Dutch shower wall market cannot be classified as low priced, with prices similar to Germany, while the upper price segment accounts for only a small share of the market for all shower wall products. The middle segment is the domain of some showroom businesses and DIY chains, which often include the leading brands such as NOVELLINI, SEALSKIN and HÜPPE, whereas products sold in the economy/lower segment are mainly offered by DIY retailers.

Similar to other market segments, the shower wall market is characterised by higher raw material and labour costs, which are pushing up average prices, but, on the other hand, actual MSPs are under pressure due to fierce competition among retailers and amongst manufacturers, with discounts being offered. Changing distribution patterns are also affecting average price developments. Prices within the economy/lower and middle price segments for shower wall products have dropped more rapidly than prices for bath screens, due to more competitive prices on offer from manufacturers.

Average prices for most shower wall products declined in 2020, largely due to changes in supply, combined with changing distribution, with DIY sales gaining share at the expense of bathroom retailers. Sales to economy/lower price segments gained share again, negatively affecting sales to the higher price segment.

New Housing

The importance of the new housing sector is relatively low for shower wall products, especially when compared other segments of the Dutch bathroom market, such as CSW but also baths and shower trays, which is largely due to the characteristics of the new housing sector, with a relative high share of dwellings build by, or for, housing associations.

Overall, sales of both bath screens and shower enclosures, the two most important product sectors of the shower wall market, are hampered by the fact that in the social housing sector the use of baths and shower trays are quite marginal since most installations are accounted for by wet rooms, using very cheap shower drain outlets, never proper shower drains, like the EASYDRAIN. Most social housing projects are characterised by the installation of very low-priced, and very basic, products, which may include, for example, DYKA's shower drain outlet, which retails, at RSP, for as little as €15, and hardly having any shower enclosures installed. Baths are rarely installed in social housing projects. In owner-occupied dwellings, however, the penetration of shower enclosures is close to 100%, although this share has been declining since other solutions can nowadays also be found in bathrooms. Such include simply glass panels or custom-made artificial concrete walls. Bath screens are almost only used in bath/shower combinations,

mostly in small bathrooms in apartment buildings, and are very uncommon in houses.

In 2020, sales to the new housing sector declined slightly. This decline is mostly the result of the nitrogen crisis, and less so because of the COVID-19 pandemic. In May 2019, the Council of State announced a ruling (*‘Programma Aanpak Stikstof (PAS)’*) affecting the Dutch construction market, both residential and non-residential. From 29 May 2019 until 10 October 2019, local authorities were not allowed to issue new building permits, and this had a strong impact on building activity during this time but also in the short term, affecting output in 2020. New residential completions, therefore, were already expected to decline in 2020, as well as 2021, due to a decrease in new building permits issued in 2019, even before the nitrogen ruling, as well the effects of the nitrogen ruling over the summer of 2019. Due to the nitrogen ruling, many new building permit applications were not processed for around four months and even today, due to this ruling, new building application will take much longer than before.

Housing RMI

The majority of shower walls remains to be accounted for the housing RMI sector, including sales for replacement purposes but also the ones sold as part of a bathroom renovation. Despite the recovery seen on the market since 2015, overall sales volumes remain below those seen before the 2009 banking crisis, which seems to be because bathrooms in the Netherlands are today less often replaced, with average prices for bathroom renovations going up. Whereas bathrooms were previously renovated every 20 years, this is now only done every 25 years, affecting sales of most bathroom products, including shower walls.

Despite the above, sales to the housing RMI sector performed remarkably well in 2020, driven by an increase in the number of home improvement projects, positively affecting the number of bathroom renovations. As mentioned before, sales to the RMI sector seem to have benefited from measures implemented by the government to tackle the COVID-19 pandemic, such as the working from home and limitations on foreign travel. Money saved by not commuting to work or not travelling abroad for holidays, may have freed up money, which was used on home refurbishment projects instead, including bathrooms, kitchens and possibly gardens. It is believed that a rather significant number of bathrooms have reached, or are about to reach, the end of their lifespans. The current market situation, with people spending more time at home, may have contributed to more homeowners investing in their homes. Shower enclosures and bath screens benefited the most from this upward sales trend in the increased number of bathroom refurbishments, on the back of increased DIY sales, whereas sales of shower cubicles, both conventional and hydrotherapy, declined.

Non-Housing

The importance of the non-residential sector is only marginal and is mostly found in the hospitality sector (e.g. hospitality buildings) and possible sports centres. Some

shower enclosures may also still be found in the healthcare industry, but it seems more likely that wet rooms without any type of enclosure is used due to easy accessibility. Bath screens used in this segment virtually all go into hotels.

As with baths and showers, sales of shower wall products, mostly accounted for by shower enclosures, to this end-use segment have developed volatily since they largely depend on large scale new build and/or refurbishment projects, and less so on like-for-like replacements. Investments in hotel rooms peaked in 2018, when around 15,400 rooms, both new and refurbished, were added to the hotel stock, but activity has weakened strongly since then, including 2020. In 2020, the number of new and refurbished hotel rooms dropped to around 7,900 hotel rooms, indicating a decline of over 31%, declining for the second consecutive year. Many of these new hotels were opened in the larger cities, including Amsterdam which included the 'Rosewood Hotel Prinsengracht' (140 rooms), the 'Hotel nhov Amsterdam RAI' (650 rooms), the 'Hard Rock Hotel Amsterdam American' (173 rooms), the 'Van Der Valk Hotel Amsterdam-Zuidas' (234 rooms) and the 'INNTEL' (300 rooms).

Sales to the non-residential sector should continue to struggle in the short term. Due to the COVID-19 pandemic, the outlook for commercial buildings remains bleak, especially in comparison to office, healthcare and educational buildings, since it relies on revenues from the tourism sector.

Supply Structure

The Dutch shower wall market is significantly less fragmented than that of showers and shower trays, with SEALSKIN and NOVELLINI dominating annual supply. Unlike shower trays, five players in total account for nearly 65% of the total supply. Annual supply has remained fairly similar but even in this market segment rising imports from China have affected demand. There is no major difference in the supply of baths screens when compared to shower enclosures with the top six suppliers of bath screens corresponding to the suppliers of shower enclosures. Most manufacturers from other market segments, such as baths and CSW, have more recently left this market segment. These include VILLEROY & BOCH, IDEAL STANDARD but also GEBERIT.

Discounting both types of shower cubicles, Dutch manufacturers continue to hold an important share of the market, accounting for almost 35 to 40% of total supply. This includes SEALSKIN and BRUYNZEEL but also RIHO (which is included in the 'Others' category). Given the importance of DIY in the distribution of shower walls, it is no surprise that both SEALSKIN and BRUYNZEEL dominate the market. SEALSKIN, with its GET WET BY SEALSKIN range, is the clear leader in the DIY sector, especially in the GAMMA DIY stores. Although SEALSKIN is a Dutch manufacturer, it imports CORAM (UK), KORALLE (DE), SPIRELLA (DE), FLAIR (IE/UK) and DUKA (IT) shower enclosures.

Besides Dutch manufacturers, regardless of whether these companies manufacture or assemble these locally, German players still play a relatively important role on the market, accounting for more than 20% in the supply of bath

screens and shower enclosures. These include, amongst some unidentified players, HSK, HÜPPE, DUSCHOLUX, KERMI, ARTWEGER and BREUER. That being said, German supply has weakened considerably over the last few years, which still accounts for around 30% of supply in 2012. Growing private label ranges, including the ones sold through DIY and the online segment, have particularly affected the market share of these players. German manufacturers mostly target the higher price segments, especially upper/luxury, mostly sold through the bathroom retailers' segments, never DIY.

Shower cubicles have never really been a viable option in the Netherlands, with the market remaining small and supply remaining limited. The market is in hands of three players, accounting for nearly 50% of total supply, which consists of SANISCAPE, part of FETIM, EAGO and KINEDO. EAGO, imported from Germany, leads both market segments, distributing via web shops, including www.bol.com, and bathroom retailers. In total the company has 11 distributors across the country. SANISCAPE is the lowest priced brand available, mostly selling through DIY stores.

Forecasts

Trends on the Dutch shower wall market are set to largely mirror that for baths and shower trays, characterised by similar sales trends, like seen on the market in 2020. Demand for shower wall products, all products combined, showed continued growth in 2020, benefiting from a boost in home renovation projects, with DIY sales developing particularly well, the strongest performance in nearly two decades. Prospects for 2021, on the other hand, are expected to exhibit a very different sales trend, especially the closure of non-essential stores for nearly five months, announced by the Prime Minister on 15 December 2020. Indeed, market developments for 2021 will be shaped by measures introduced by the Dutch government to tackle the current COVID-19 crisis, which has seen a rapid rise in the number of infections and deaths, especially in the larger cities in North- and South-Holland, towards the end of the year.

Given that the most bathroom and kitchen products, including most types of bath and shower related products, rely heavily on traditional retailers, especially bathroom showrooms, the closure of these establishment for nearly four months will ultimately have an adverse negative effect on sales of baths and shower trays. During the first two months (latest data available) of 2021, sales via DIY retailers, but also specialist retailers, showed dramatic reductions in turnover, with sales in DIY stores down by -45.4% and -36.5% and specialist retailers down by -15% and -11%, but the latter includes all types of retailers involved in home improvement related products, not only bathroom and kitchen related products. Once most lockdown measures have been lifted, market developments should return to a more 'normal' situation, but certain measures will most likely remain in place, but it remains to be seen whether developments seen in the remaining quarters will be enough to counterbalance the strong decline in sales in Q1 2021, especially given the good performance seen in 2020, driven by a general uptake in home renovation projects.

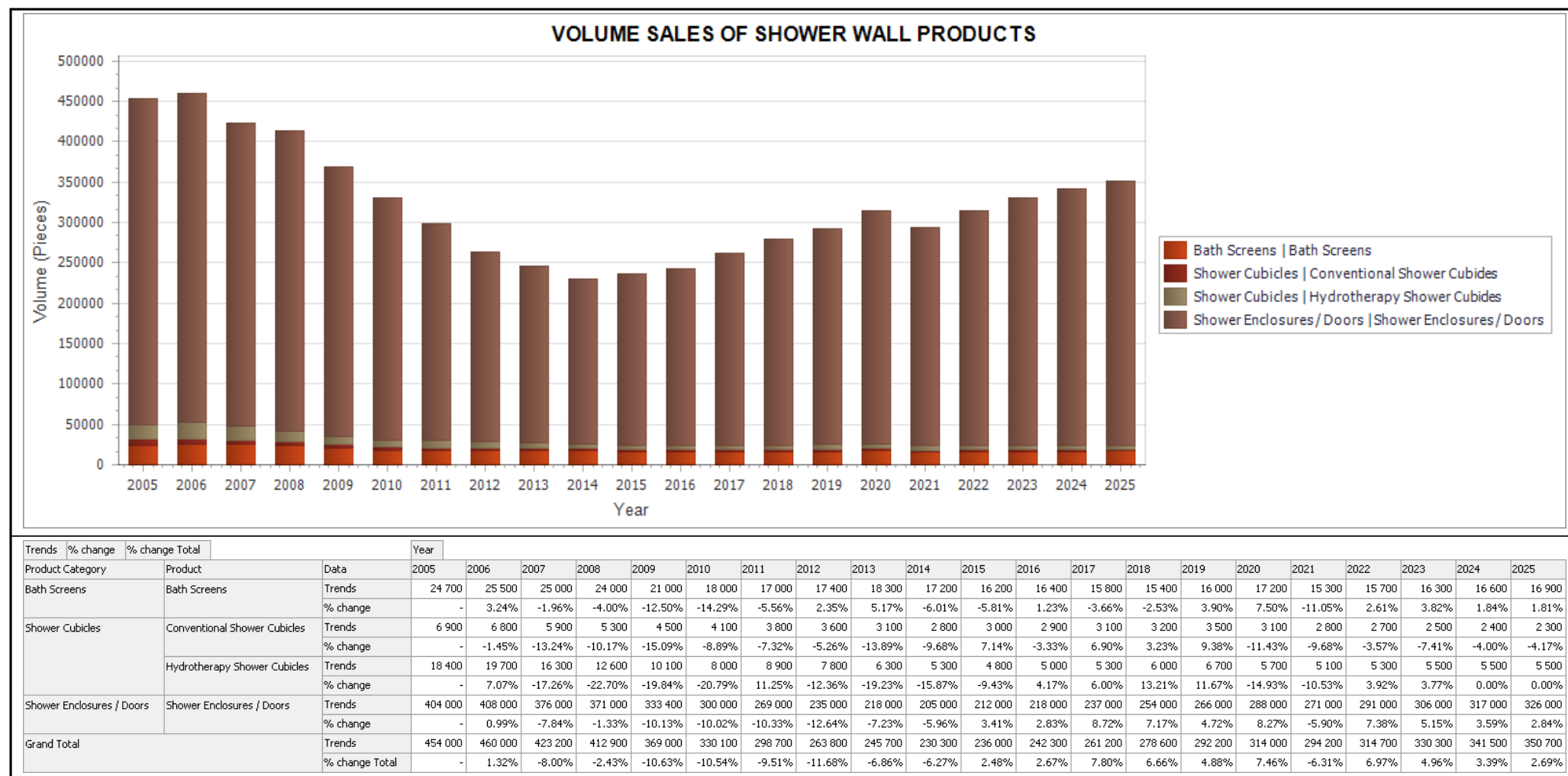
Sales to the existing housing segment should suffer the most, especially when looking at volumes, whereas new build demand should suffer more mildly compared to the other two end-use segments. Following a strong performing housing RMI sector in 2020, it remains to be seen how sales will develop across 2021 since people were urged to stay indoors in 2020, spending more time and money on home renovation projects, resulting in artificially high sales of shower wall products. The general consensus on the market is that sales to the existing housing sector should lose momentum over the entire forecast period since it has grown relatively fast over the last five years, with the 'bath-out, shower-in' trend also set to weaken.

New housing sales should, as mentioned, continue to show a decline for 2021, which is largely the effect of the nitrogen crisis on the new building permit applications in 2019, but should return to growth from 2022 onwards. The new housing market, in the medium to long term, should benefit from incentives introduced by the government, such as the 'Residential Construction Stimulus Programme' aimed at the construction of affordable homes, but also due to the general housing deficit in the Netherlands, which has worsened since the onset of the banking crisis of 2009. Demand for shower walls will most likely be affected if dwellings built by housing corporations gain share rapidly since these dwellings are hardly ever fitted with shower enclosures, mostly still using shower curtains. Due to the landlord levy, as introduced in 2013, housing associations have consequently significantly built fewer homes, from around 30,000 to 35,000 before this implementation to around 15,000 after it.

Non-housing demand, for both market segments, has developed volatily over the years because it relies on large construction projects, both new build and renovations, especially for hotels. Shower walls, as with baths and shower trays, are almost exclusively sold into hospitality buildings, so the fluctuations in construction output for healthcare and educational building will not affect sales much. The strong decline in new hotel completions expected for 2021 will have a strong negative impact on sales of both baths and showers. The pandemic has had a strong impact on the revenues of hotels, as well as all other types of hospitality buildings, with many investment plans now been put on hold or cancelled, which will affect construction output in coming years, reaching historical low levels in 2021.

4.2 Historical Trends and Forecasts : Shower Wall

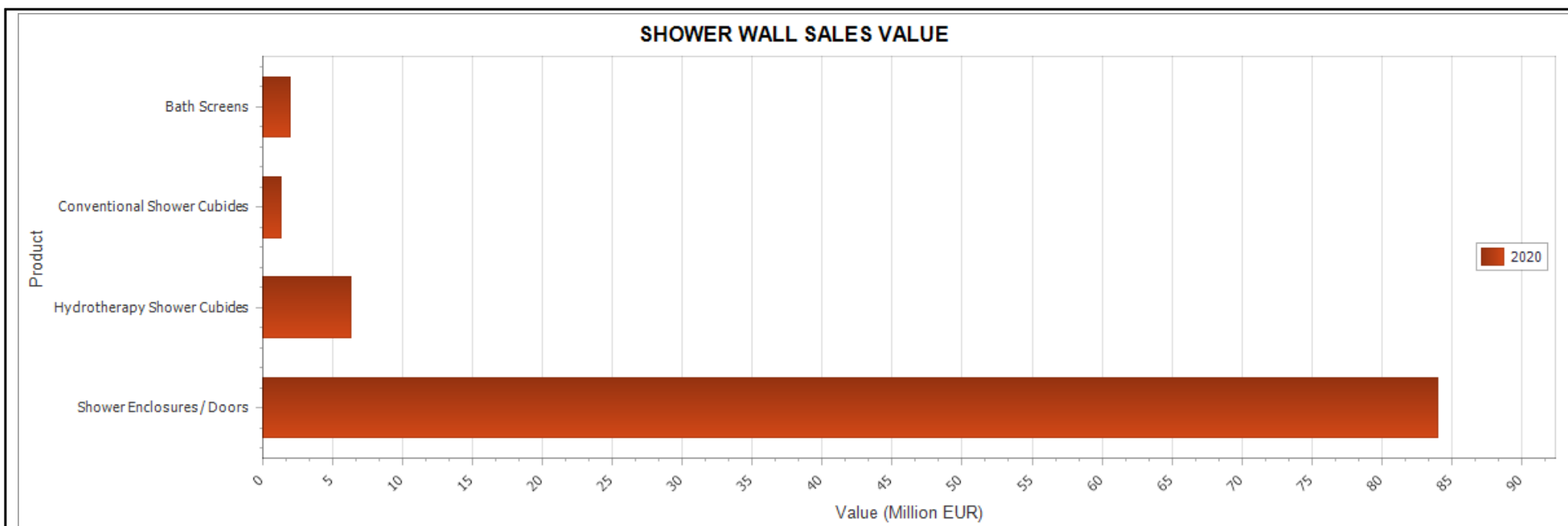
NL - SUMMARY OF TRENDS IN THE SHOWER WALL MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

4.3.1 Prices and Market Values : Shower Wall

NL - ESTIMATED VALUES OF THE SHOWER WALL MARKET

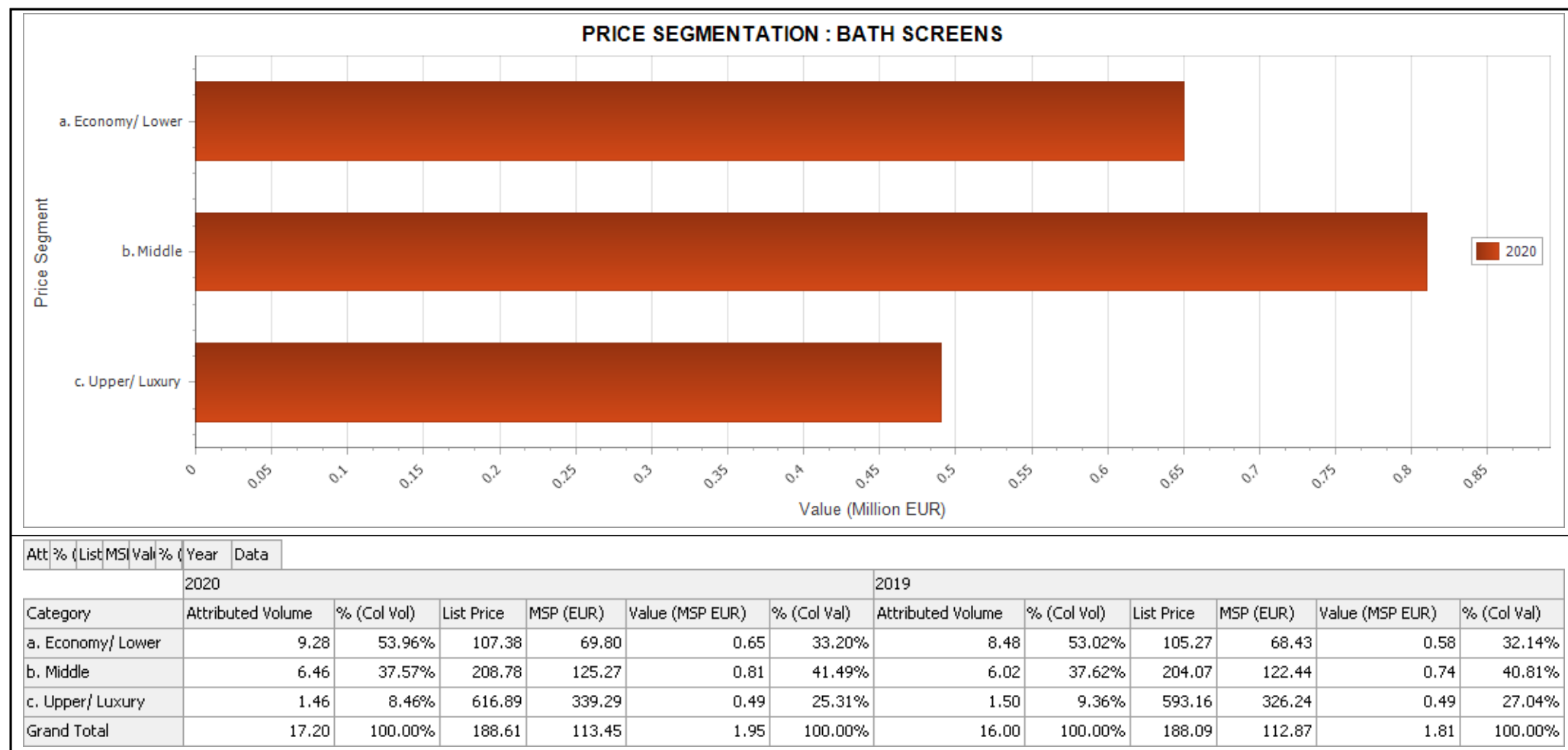


Volumes	MSP (EUR)	Value (MSP EUR)	Year	Data				
		2020			2019			
Product Category	Product	Volumes	MSP (EUR)	Value (MSP EUR)	Volumes	MSP (EUR)	Value (MSP EUR)	
Bath Screens	Bath Screens	17 200	113.45	1.95	16 000	112.86	1.81	
Shower Cubicles	Conventional Shower Cubicles	3 100	409.41	1.27	3 500	418.86	1.47	
	Hydrotherapy Shower Cubicles	5 700	1,095.86	6.25	6 700	1,136.64	7.62	
Shower Enclosures / Doors	Shower Enclosures / Doors	288 000	291.73	84.02	266 000	292.63	77.84	
Grand Total		314 000	297.72	93.49	292 200	303.65	88.73	

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

4.3.2 Price Segmentation : Bath Screens

NL - ESTIMATED PRICE SEGMENTATION FOR BATH SCREENS

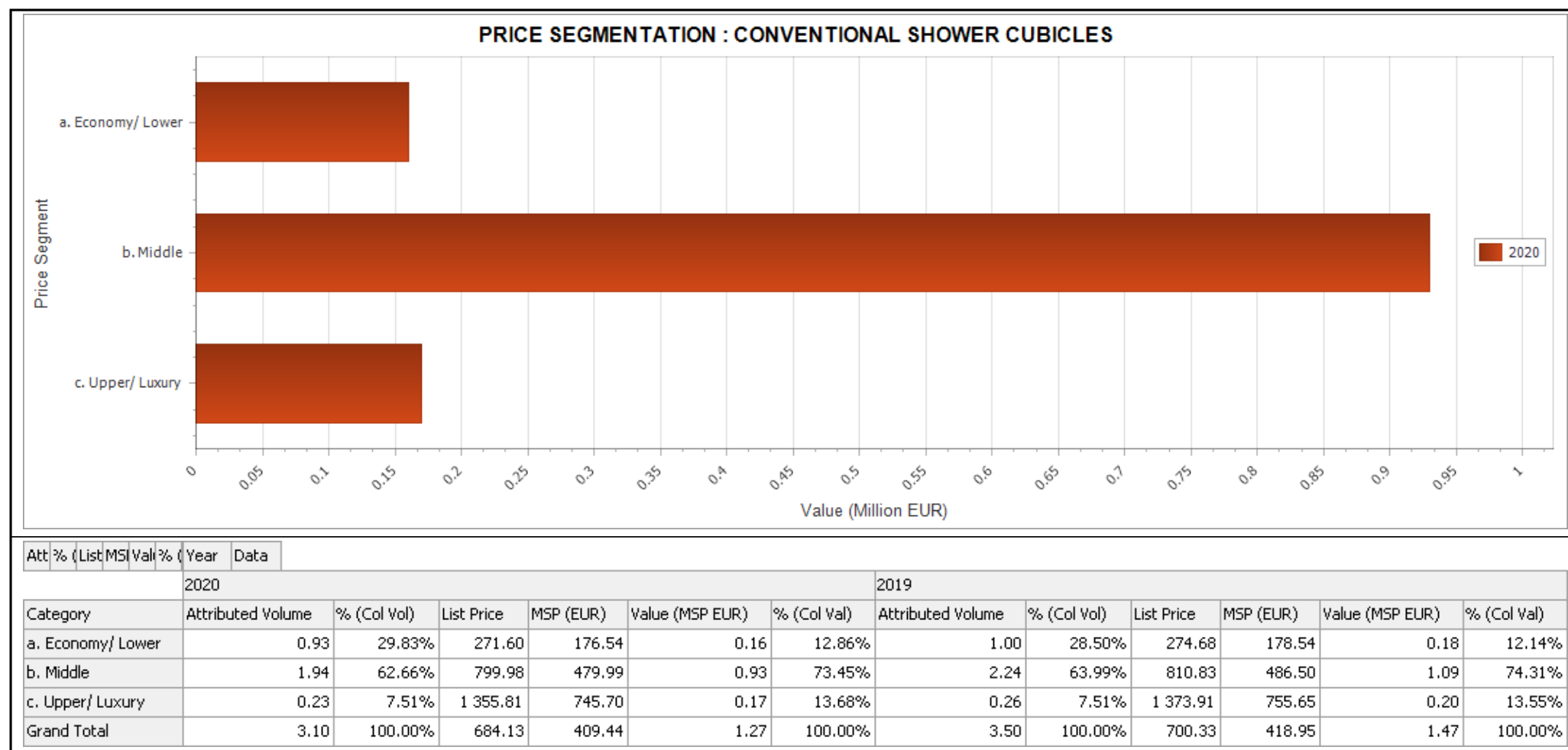


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€80, Middle €80-€160, Upper/ Luxury >€160

4.3.3 Price Segmentation : Conventional Shower Cubicles

NL - ESTIMATED PRICE SEGMENTATION FOR CONVENTIONAL SHOWER CUBICLES

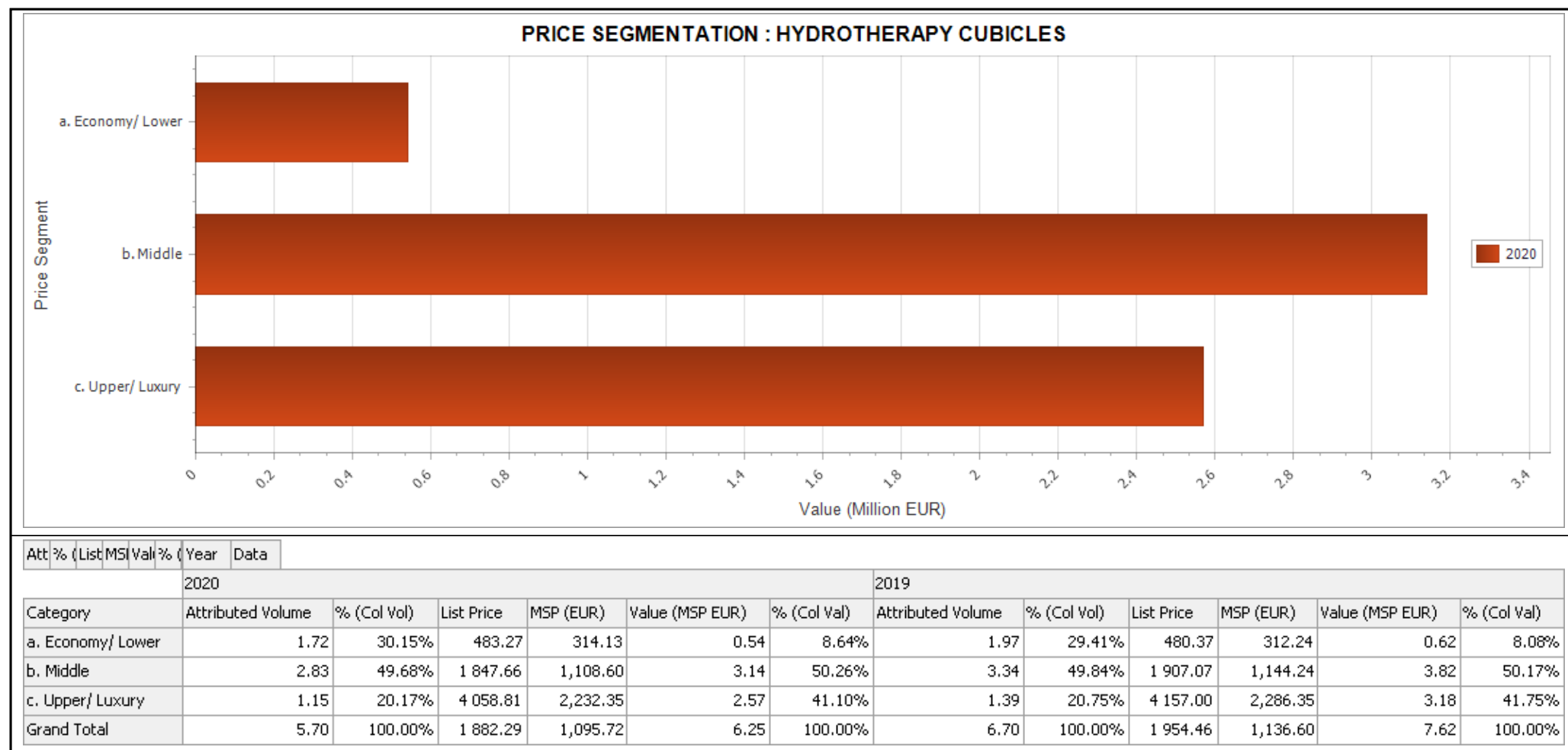


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€300, Middle €300-€600, Upper/ Luxury >€600

4.3.4 Price Segmentation : Hydrotherapy Shower Cubicles

NL - ESTIMATED PRICE SEGMENTATION FOR HYDROTHERAPY CUBICLES

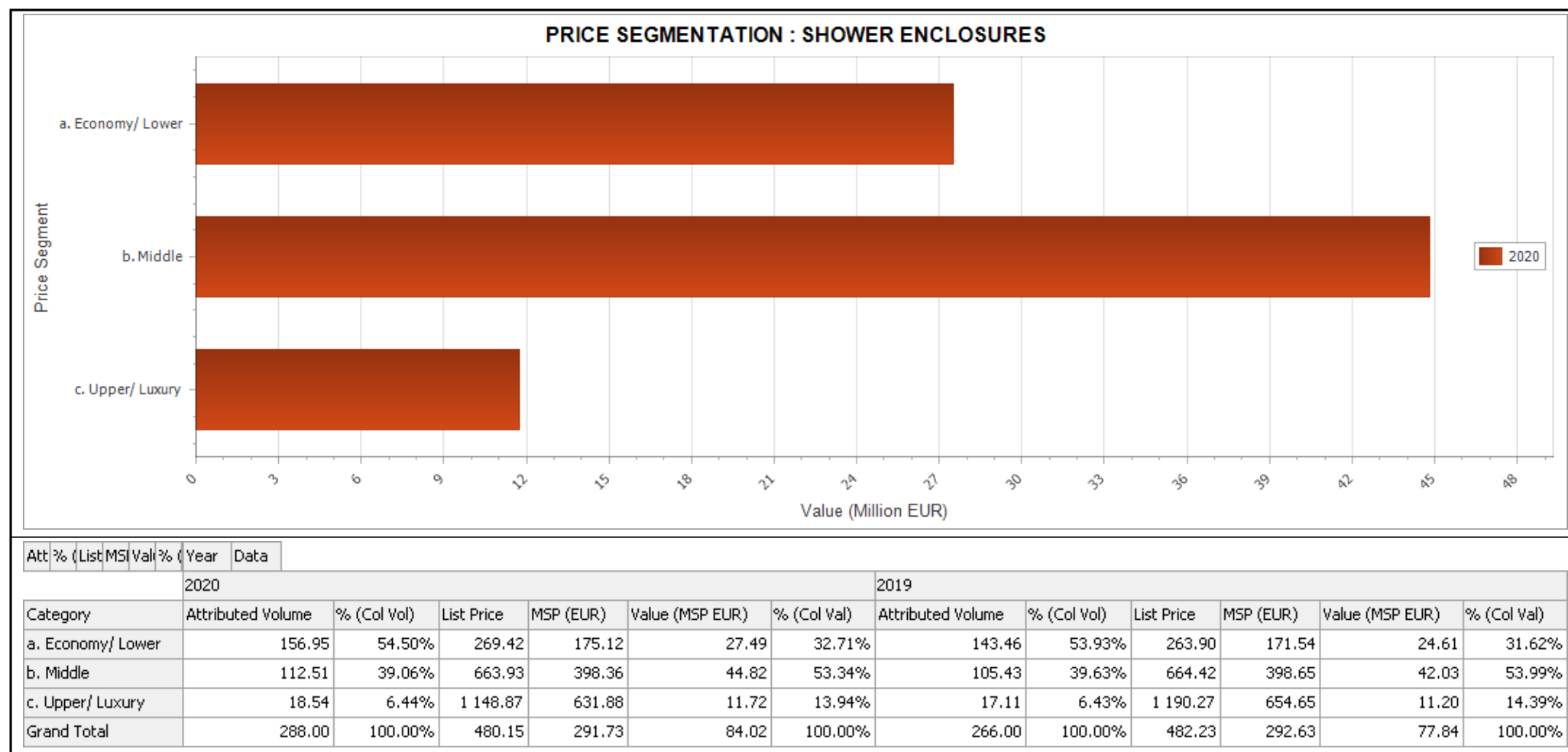


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€750, Middle €750-€1,500, Upper/ Luxury >€1,500

4.3.5 Price Segmentation : Shower Enclosures

NL - ESTIMATED PRICE SEGMENTATION FOR SHOWER ENCLOSURES

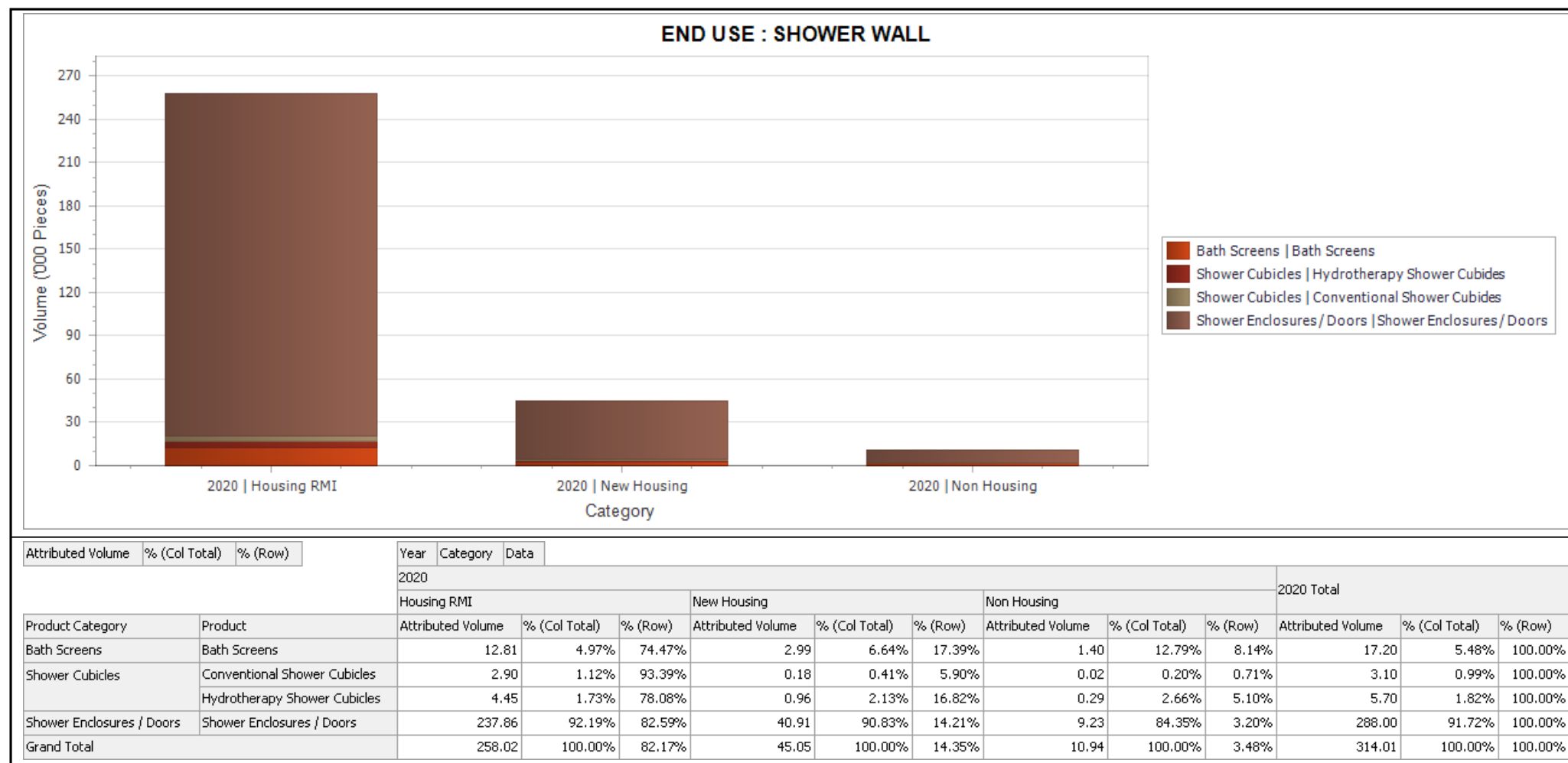


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€250, Middle €250-€500, Upper/ Luxury >€500

4.4.1 End Use : Base Year

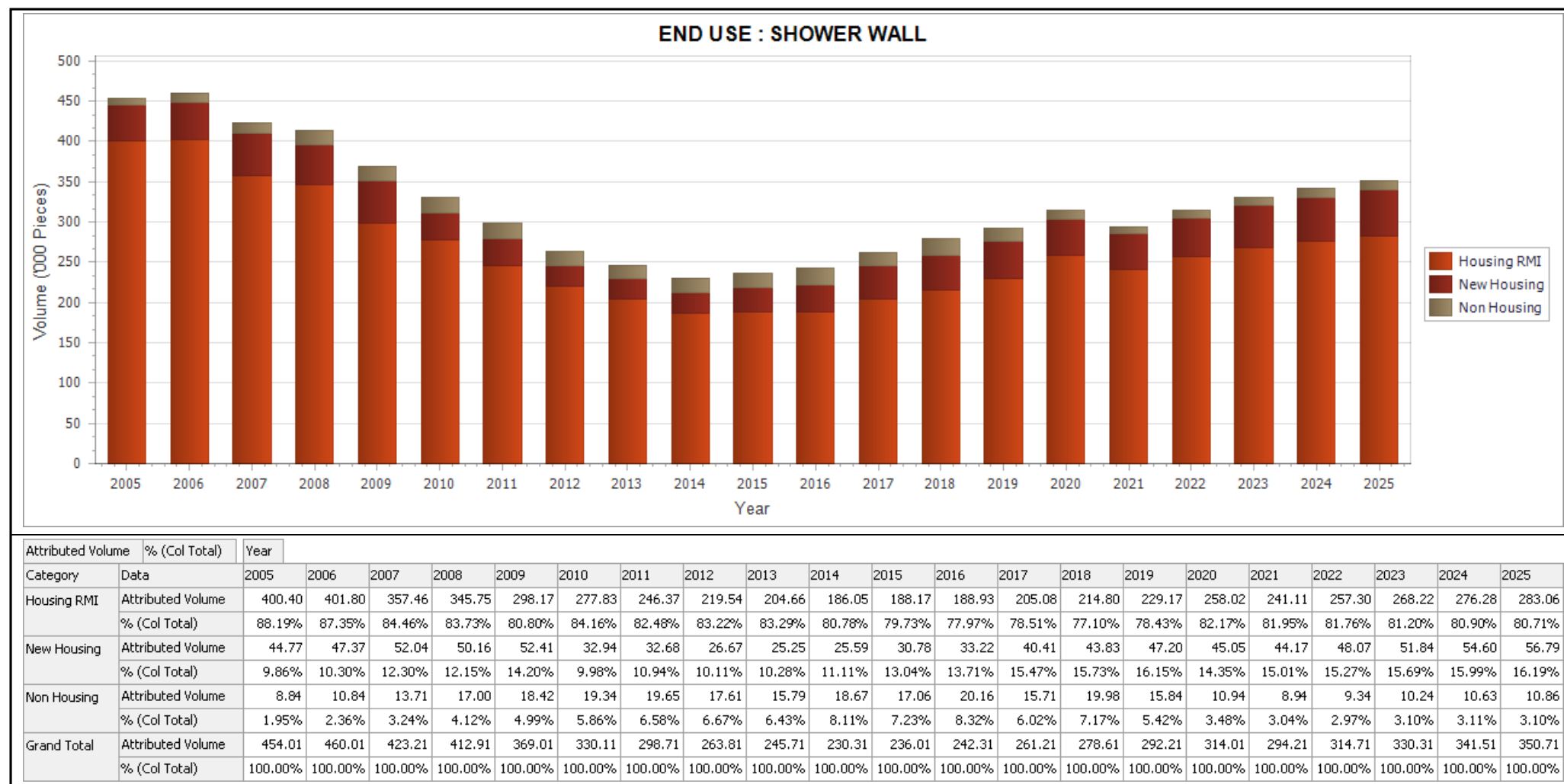
NL - SALES OF SHOWER WALL BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.2 End Use : Historical and Forecasts

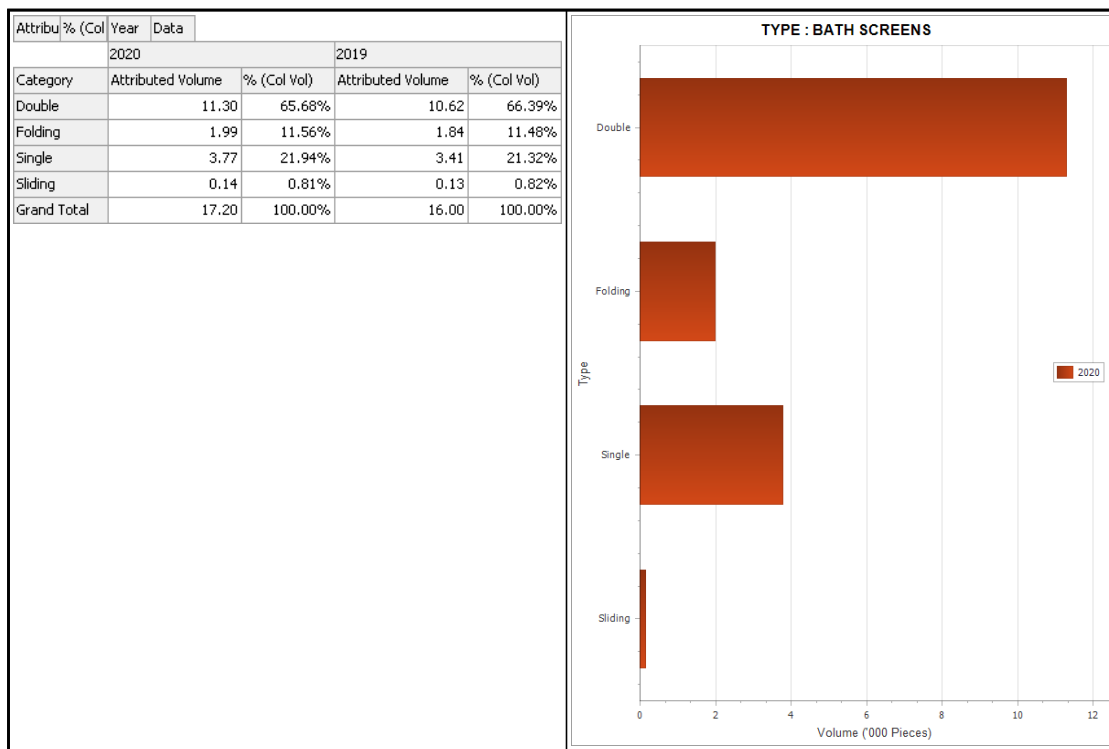
NL - SALES OF SHOWER WALL PRODUCTS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.3 Sales by Type : Bath Screens

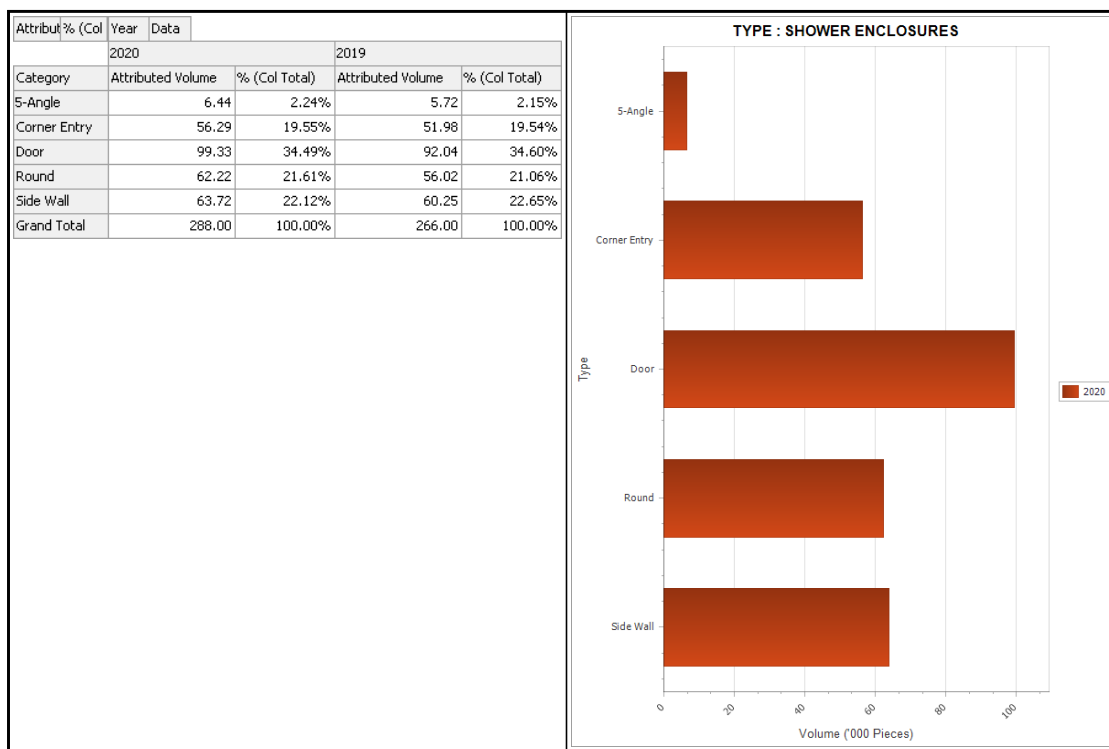
NL - BATH SCREEN SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.4 Sales by Type : Shower Enclosures

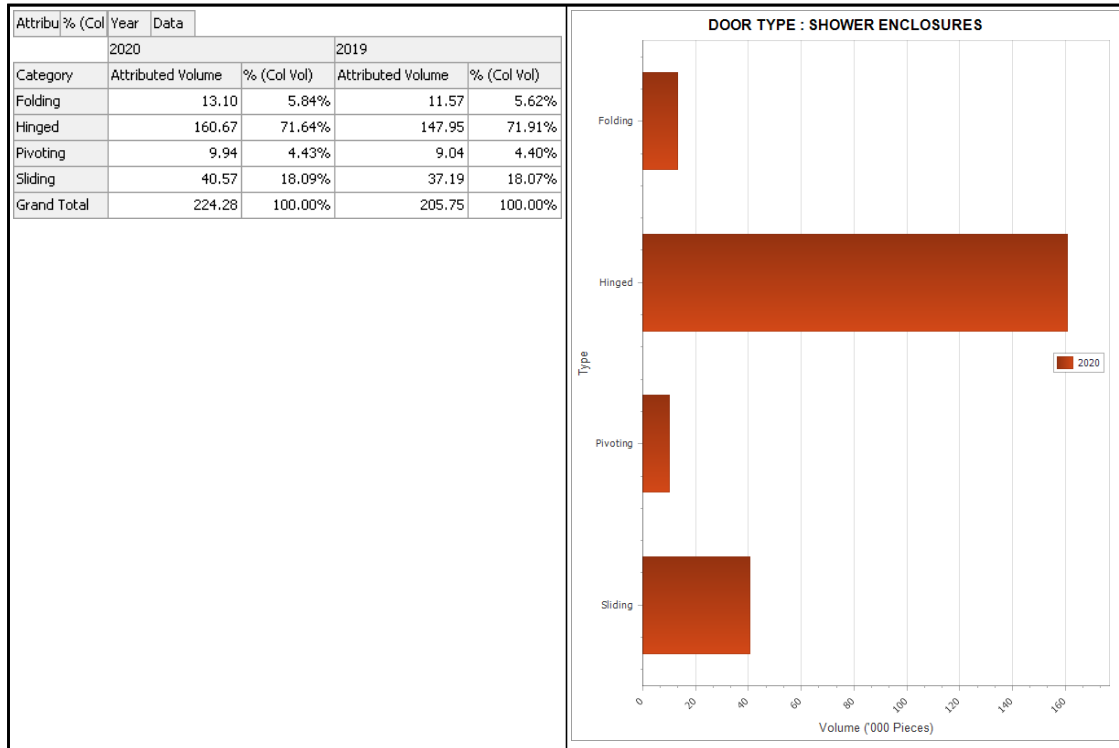
NL - SHOWER ENCLOSURE SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews

4.4.5 Sales by Type of Door : Shower Enclosures

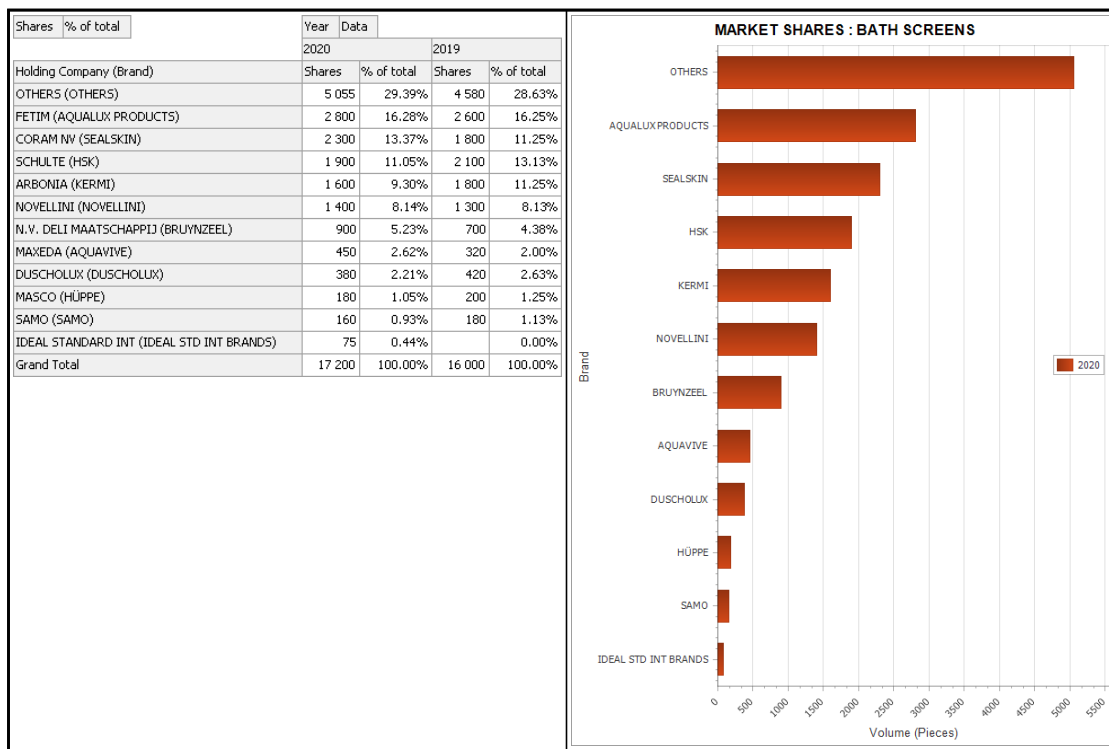
NL - SHOWER ENCLOSURE SALES BY DOOR TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.5.1 Market Shares : Bath Screens

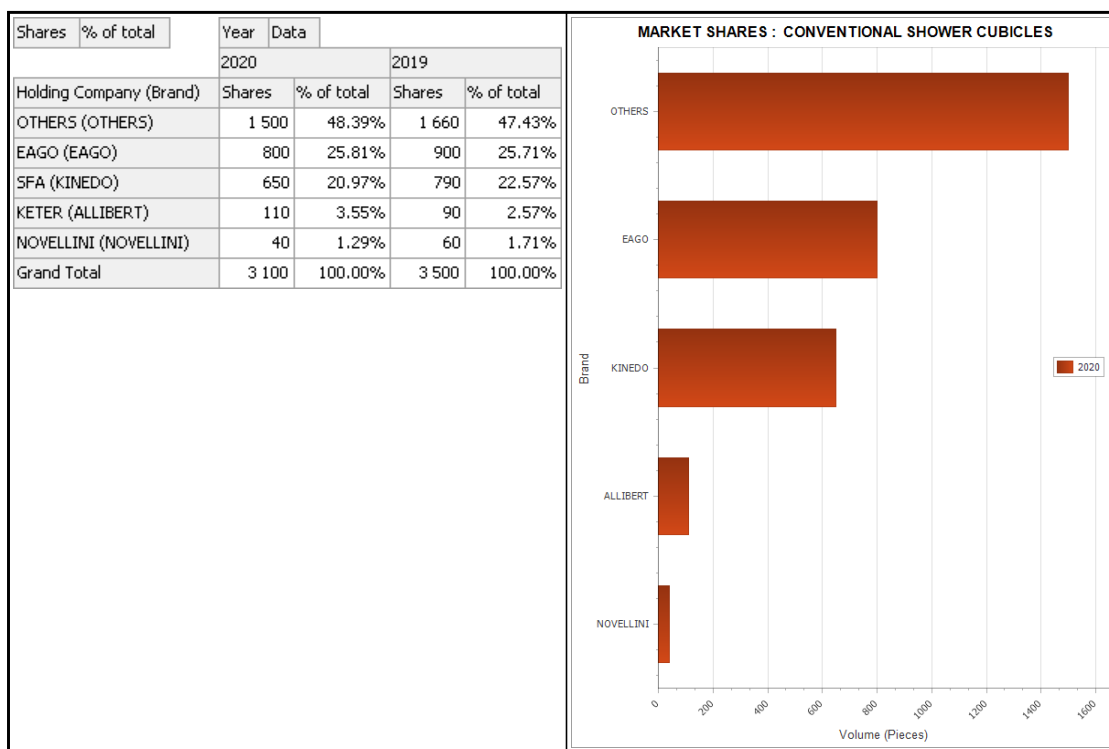
NL - ESTIMATED MARKET SHARES FOR BATH SCREENS



Source: BRG based on industry interviews.

4.5.2 Market Shares : Conventional Shower Cubicles

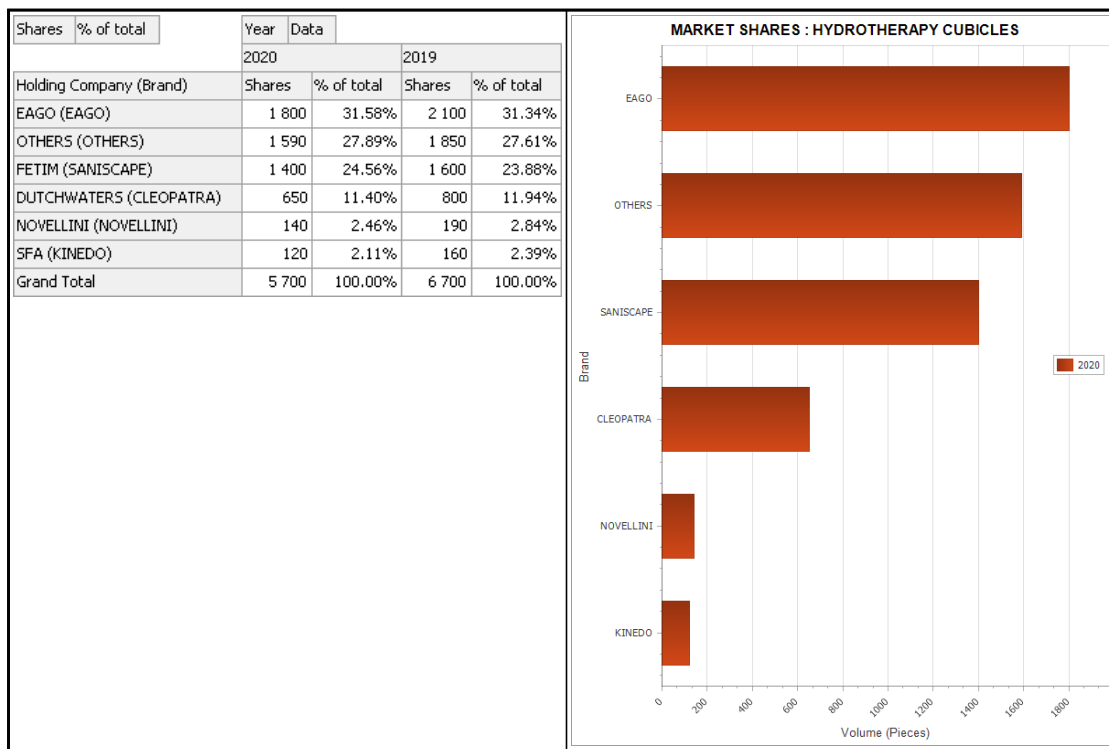
NL - ESTIMATED MARKET SHARES FOR CONVENTIONAL SHOWER CUBICLES



Source: BRG based on industry interviews.

4.5.3 Market Shares : Hydrotherapy Shower Cubicles

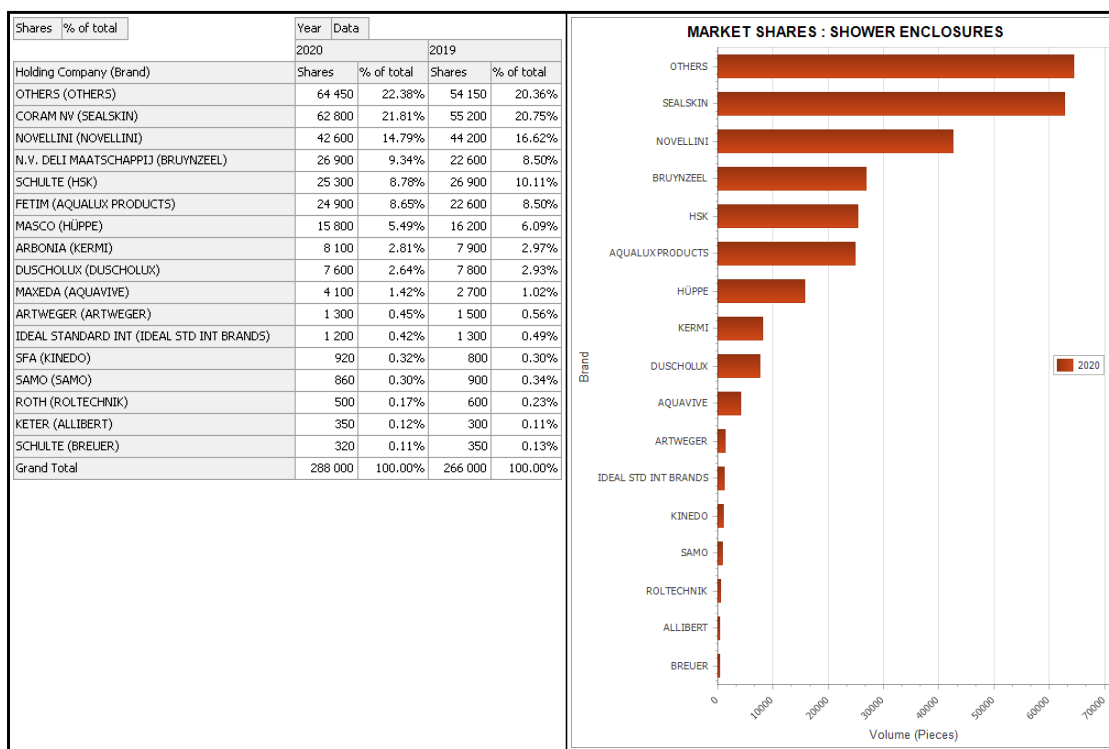
NL - ESTIMATED MARKET SHARES FOR HYDROTHERAPY CUBICLES



Source: BRG based on industry interviews.

4.5.4 Market Shares : Shower Enclosures

NL - ESTIMATED MARKET SHARES FOR SHOWER ENCLOSURES



Source: BRG based on industry interviews.

4.6.1 Route to Market: Shower Wall
NL - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	67.9%
	Wholesalers / Merchants
	67.9%

Retail Level	Manufacturer 2.3%	Wholesaler 5.3%	Manufacturer 9.7%	Wholesaler 19.2%	Manufacturer 17.5%	Wholesaler 17.4%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	7.6%		28.9%		34.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.0%	21.3%	0.5%	4.3%	3.5%
Installers				
30.6%				

End Use Level	Manufacturer 1.2%	Wholesaler 4.2%	Internet 7.2%	DIY 24.5%	Specialist 31.4%	Installer 28.1%
	Residential					
	96.5%					
	New Build			Residential RMI		
	14.3%			82.2%		
	Project	Non-Project		Project	Non-Project	
	12.8%	1.6%		2.1%	80.1%	
	Non-Residential					
	3.5%					
	New Build			Non-Residential RMI		
	1.7%			1.8%		
	Project	Non-Project		Project	Non-Project	
	1.5%	0.2%		1.3%	0.5%	

4.6.2 Route to Market: Shower Wall
NL - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	68.8%
	Wholesalers / Merchants
	68.8%

Retail Level	Manufacturer 2.6%	Wholesaler 6.3%	Manufacturer 8.7%	Wholesaler 18.4%	Manufacturer 17.2%	Wholesaler 16.9%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	8.9%		27.1%		34.1%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.1%	22.5%	0.5%	4.1%	3.4%
Installers				
31.6%				

End Use Level	Manufacturer 1.2%	Wholesaler 4.4%	Internet 8.3%	DIY 23.0%	Specialist 30.7%	Installer 29.4%
	Residential					
	96.9%					
	New Build			Residential RMI		
	16.2%			80.7%		
	Project	Non-Project		Project	Non-Project	
	13.9%	2.3%		2.0%	78.7%	
	Non-Residential					
	3.1%					
	New Build			Non-Residential RMI		
	1.5%			1.6%		
	Project	Non-Project		Project	Non-Project	
	1.3%	0.2%		1.2%	0.5%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

4.6.3 Route to Market - Consolidated View : Shower Wall

NL - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2020

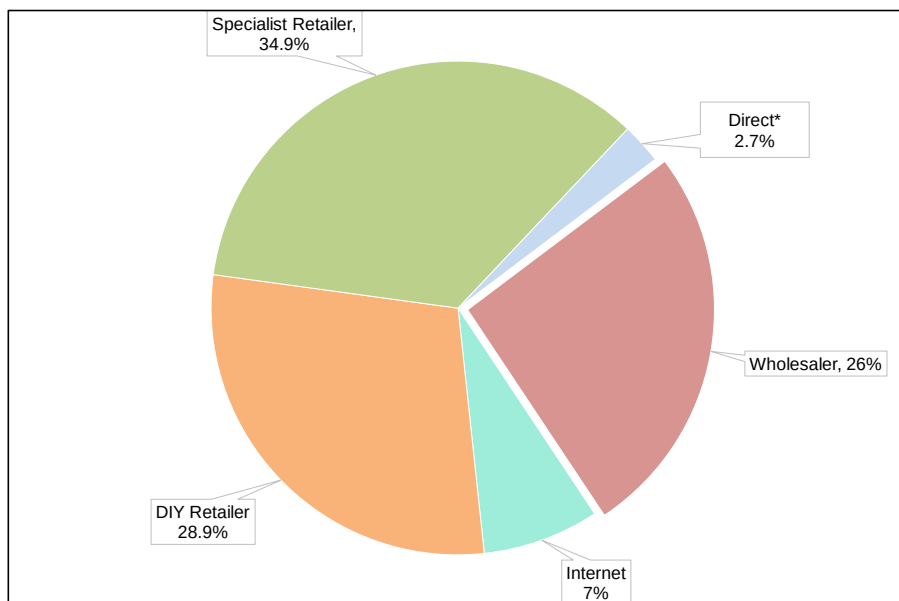
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
25.9%	7.6%	28.9%	34.9%	2.7%	14.8%	2.8%	81.7%	0.7%
100%					17.6%		82.4%	

4.6.4 Route to Market - Consolidated View : Shower Wall

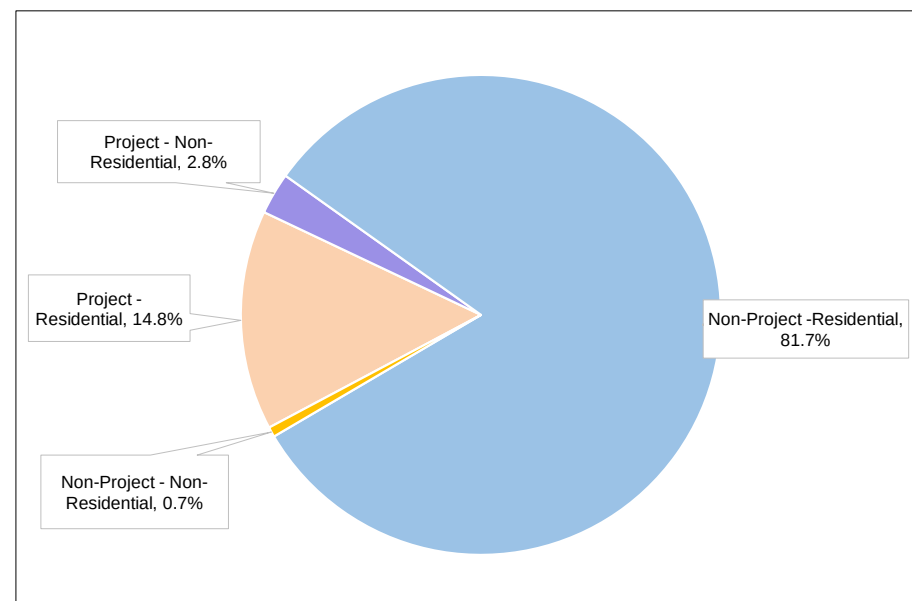
NL - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
27.2%	8.9%	27.1%	34.1%	2.7%	15.9%	2.5%	81.0%	0.6%
100%					18.4%		81.6%	

NL - SALES OF SHOWER WALL BY DISTRIBUTION CHANNEL: 2020



NL - SALES OF SHOWER WALL BY POINT OF DECISION AND END-USE SECTOR: 2020



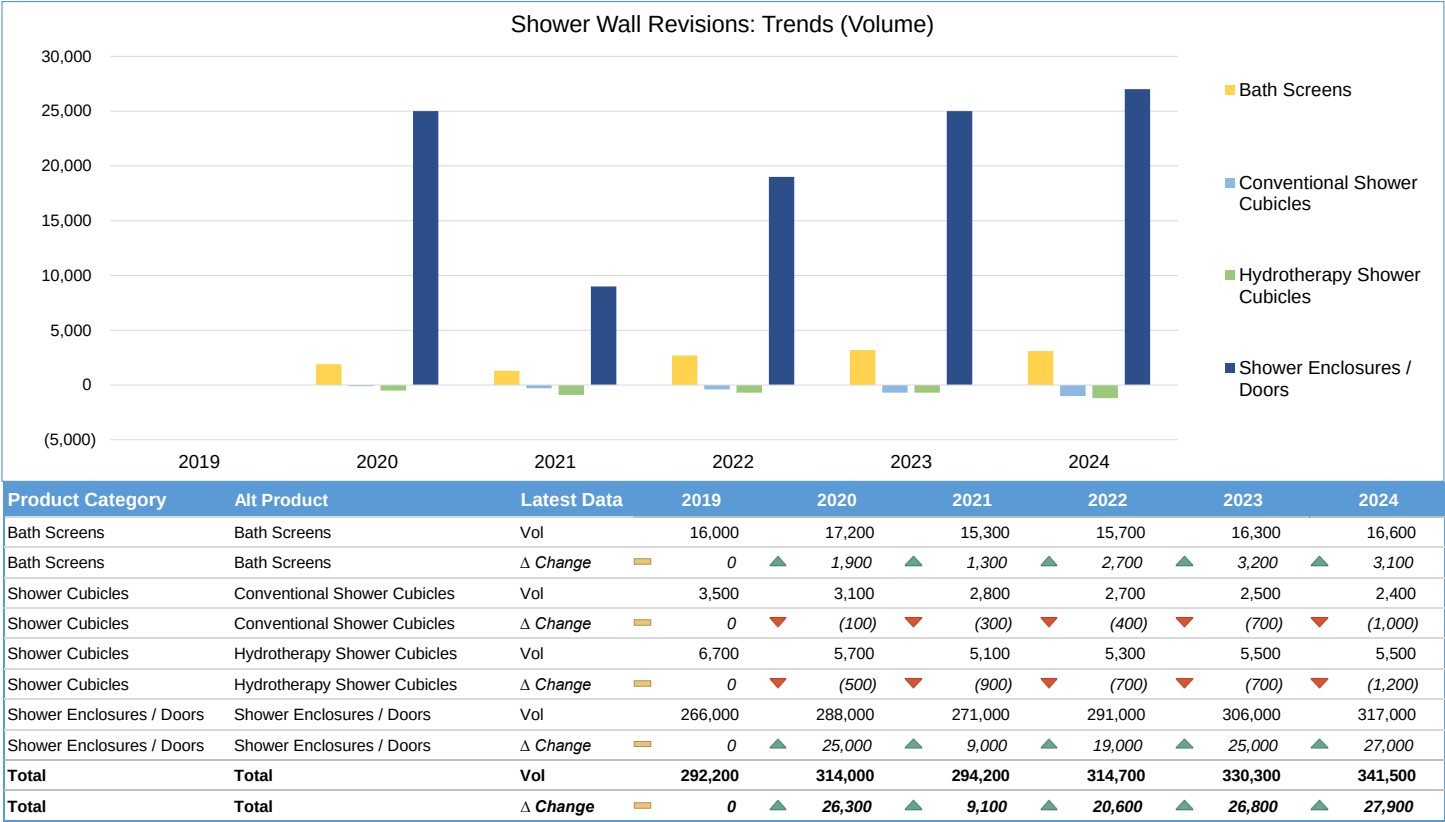
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

4.7 Revisions in the Dutch Shower Wall Market (April 2021)

NL - REVISIONS IN THE DUTCH SHOWER WALL MARKET

Data Comparison: October 2020



No revisions have been made to historical volumes for this market.

NETHERLANDS

BATHROOM FURNITURE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The market for bathroom furniture in the Netherlands dates back to the late 1960s and early 1970s. During that period, the bathroom changed from solely having a practical function and became somewhat more of a luxurious area of the house. Interior decoration gained importance and the bathroom became more prominent in the overall dwelling design.

Nevertheless, the bathroom furniture market has remained relatively small, which can also be attributed to the high number of rented dwellings in the Netherlands, in which bathroom furniture is rare. This trend is supported by the small average size of Dutch bathrooms, which reduces the possibilities for bathroom furniture.

Historically, bathroom furniture was not a product that received much attention. However, this trend is slowly changing as Dutch consumers are increasingly opting for bathroom furniture. This shift has been largely driven by an increased supply of affordable products, especially from online retailers. Moreover, key market players and CSW manufacturers have invested in marketing activities, which led to stronger sales of base units and mirrors/cabinets. Demand for separate cupboards has been lower, due to space constraints in Dutch bathrooms.

Historically, bathroom furniture was usually sold as a set. However, the increased popularity of bathroom furniture, in combination with small average-sized bathrooms, has slightly altered this trend. Nowadays, base units have a significantly larger market share than five years ago.

The Dutch market has a large share of ceramic countertops. However, synthetic countertops, which are mostly made of Corian and similar materials, account for the majority of sales in the market for both base units and separate cupboard units. MDF countertops have been losing market share due to the popularity of ceramic and synthetic countertops. The remaining sales are included within the 'Others' category, which includes wooden, concrete and composite countertops.

In the Netherlands, the base unit market is primarily made up of monobloc countertops or integrated countertops. Monobloc units account for around two thirds of base unit sales. The second highest selling type of basin sold in the Netherlands is the countertop basin. These basins are mainly inset countertop basins, sold in DIY stores.

The washbasin-only type is predominantly used for new social housing, and its share has been declining.

Recent Market Trends

Sales of bathroom furniture in the Netherlands have been on a long-run upward trend, characterised by sharp increases in sales volumes since 2013, but with

strong variations across the different end-use sectors, especially new and non-housing. In 2020, and beyond market expectations, given the COVID-19 health pandemic, the bathroom furniture market continued to witness extraordinary growth rates, with especially base units and separate cabinets showing double-digit growth. Initial estimates for 2020 indicated that the market developed only modestly, hampered by measures implemented by the government, but the market actually performed really well because of these measures. The COVID-19 measures, mostly benefiting renovation sales, positively affected by DIY sales which experienced a surge in sales since more homeowners were doing more DIY at home. Bathroom furniture, unlike some other more bulkier bathroom equipment, such as CSW, is more commonly sold in DIY stores, with DIY sales developing exceptionally well in 2020, up by +22% compared to 2019.

During the recent health crisis, consumers have spent more time indoors and opted for home renovations, with a clear trend towards investing in one's homes, e.g. by renovating a bathroom. Since more time was spent at home, with money becoming available that would normally have been spent on holidays, or even for travelling to work, homeowners increasingly invested more in their kitchens and bathrooms. Bathrooms, but also kitchens, are one of the most favourable rooms in the house to be refurbished according to a recent study, either for practical reasons or for aesthetic reasons. Consumers rather invest in bathrooms or kitchens than making the house, for example, more energy efficient because the result can be seen immediately, whereas for energy savings this comes at a much later stage.

When looking at the individual end-use segments, and as previously mentioned, sales to the housing RMI sector performed remarkably well in 2020 but sales to new and non-housing declined. This was ultimately linked to the impact of the nitrogen crisis on new building permits in 2019, negatively affecting construction output in 2020 and 2021. Due to the nitrogen ruling, many new building permit applications were not processed for around four months and even today, due to this ruling, new building application will take much longer than before. Separate cabinets experienced the highest growth rates, whereas mirrors and/or mirror cabinets the lowest. Separate sales may have grown more because these were added to existing (new) bathrooms.

Prices and Market Values

Average prices for bathroom furniture, including all different types, have almost consistently continued their downward trend over the last decade. This is partly because more players have entered the market, especially the ones sourcing furniture from abroad, such as from Belgium and Poland but also China, but more importantly because of changing distribution patterns, with a growing DIY market at the expense of the professional channel, referring to bathroom retailers. The long-term downward trend pre-dates the banking crisis of 2009, although prices were heavily reduced at that time to stimulate sales, beginning when the market was in its infancy and was characterised by many new market entries, including the leading traditional bathroom manufacturers. As the bathroom furniture market is becoming more and more saturated in terms of market players, the level of

competition is high and aggressive price strategies are typical.

Over the last decade the bathroom furniture market has continuously been characterised by fierce (price) competition between the different distribution channels. Consequently, this has caused an even stronger price competition between retailers, including specialist retailers, online retailers and (larger) DIY chains. Price developments over the years have also been affected by high(er) discounts, particularly in the DIY segment and via online retailers, which has affected the overall margins of manufacturers. Another influencer is the continuing importance of the internet channel, with it having an important, and disruptive, effect on current market structures and prices. The total market is increasing in terms of market volume; however, it is becoming more divided due to the increasing number of market players.

Average prices continued to drop further in 2020, accelerating in comparison to 2019, largely because the share of DIY increased further, negatively affecting price developments. The same trend has been witnessed on the markets for bathroom and kitchen mixers as well as accessories, both shower and bathroom, which all have seen a decline in average prices in 2020 despite raw material and labour costs increasing. Indeed, DIY sales developed remarkably well in 2020, with sales up by over 20%, which resulted in average prices decreasing since most products sold in DIY are significantly lower priced compared to the ones seen in bathroom retailers, or even in online stores.

New Housing

New housing remains an important segment for the Dutch bathroom furniture market, but it will most likely never reach its full potential. Even though bathroom furniture is well suited for installation in new residential buildings, since it can be included in the design of the bathroom, the share remains limited due to the fact that the Dutch new build market continued to be characterised by a relative share of properties by the government and housing associations, including social housing, which never have any type of furniture installed.

In social housing, the main focus is to providing housing at a low cost yet incorporating all necessary bathroom items. In reality this means that only wall hung basins are used, fitted with low cost two head mixers, and a basic floor standing WC. Most rental agreements would most likely also not allow the installation of bathroom furniture on moving in. In owner-occupied dwellings, the share of bathroom furniture is high, with most of these new build properties having some sort of bathroom furniture installed, especially a base unit and a mirror, but may be not separate cabinets. Dutch bathrooms remain relatively small, having not increased much in size over the years, hampering market growth for furniture, especially separate cabinets. As with RMI, in new housing the trend is towards slick and sleek design, incorporating sharp edges, soft-close drawers, user-friendly and practical. The latest is in favour of the use of more bold colours, including red, green and blue, but also towards industrial style, using black finishes, largely in line with trends seen in shower enclosures and mixers.

New build sales of bathroom furniture performed slightly better compared to the overall decline in new housing completions. This is, in turn, because of the penetration of bathroom furniture, continued to increase further, partly influenced by the fact that the share of houses, in contrast to flats, rose in 2020. Houses in the Netherlands are predominantly owner-occupied, hardly ever rented. Nevertheless, overall sales volumes declined, which was the result of the nitrogen crisis, not because of the COVID-19 pandemic. In May 2019, the Council of State announced a ruling (*'Programma Aanpak Stikstof'* (PAS)) affecting the Dutch construction market, both residential and non-residential. From 29 May 2019 until 10 October 2019, local authorities were not allowed to issue new building permits, and this had a strong impact on building activity during this time but also in the short term, affecting output in 2020.

Housing RMI

Sales of bathroom furniture has in more recent years developed mostly in favour of the housing RMI sector, less so in favour of new build demand. Unlike sanitary ware, the Dutch bathroom furniture market can still be considered somewhat underdeveloped, with less than half of all bathrooms having some sort of furniture installed. This may be linked to the characteristics of the new housing market during much of the 1980s and 1990s, when new construction developed well, and during this time, bathrooms were considered to be a necessity, mostly a functional room, characterised by white sanitary ware, with little attention to details and looks. This trend has only really changed since the start of the new millennium when bathrooms became more a place of comfort, luxury and wellness. However, given that most dwellings in the Netherlands have been built between the 1971 and 1999, accounting for nearly 42% of the total housing park, the penetration of furniture remains low but has nonetheless been gaining share since the 2000s. In the Netherlands, there remains to be a clear difference between the use of bathroom furniture in private dwellings compared to rented dwellings. Rented dwellings are often owned by housing corporations and only have bathroom furniture in less than 25 to 30% of all dwellings. In contrast, it is estimated that most private dwellings, over 60%, have bathroom furniture nowadays. The share of base units installed in new dwellings is significantly higher. This demand is not only fuelled by the choice to invest in a base unit, but also by the decreasing size of Dutch bathrooms, which encourages a more efficient use of space.

Demand for bathroom furniture has particularly gained importance due to growing incomes, mostly in medium- to high-income households, not so much in low-income households. There also seems to be a close link between sales of bathroom furniture and the number of home movers since many bathrooms are often renovated when consumers move into a new dwelling. According to a recent study by ZOOFY, around 32% of bathrooms are renovated after moving into a new property. The number of home movers has almost grown consistently over the last decade, with only 2009, 2018 and 2019 showing a decline, which most likely affected growth rates for sales of baths and showers. The bathroom furniture market, especially RMI, has also benefited from the fact that average prices have

decreased considerably in recent years, mostly due to changes in supply combined with changing distribution patterns, making bathroom furniture a lot more affordable. Prices in DIY stores, in particular, have dropped due strong competition between leading players but also due to the rising share of private label sales, such as GAMMA's ATLANTIC range.

As mentioned, sales to the housing RMI sector developed well in 2020, benefiting from the fact that a lot more time is spent indoors, due to social distancing and working from home, resulting in an increase in home renovation projects, a key segment for bathroom furniture. The Netherlands, unlike most neighbouring countries, never went into full lockdown in 2020 and only entered a so-called 'intelligent lockdown'. Whereas countries in the likes of the UK, France and Italy took drastic measures to prevent the spread of the virus by implementation of national lockdowns and limiting all non-essential travel, the Dutch government simply urged people to leave their homes as little as possible and work from home, with only bars and cafes, restaurants, gyms, schools and 'contact' professions forced to close. People were not forced to stay at home and could still move around freely as long as they kept 1.5 metres apart. This, in turn, benefited sales of most bathroom related products. Since employees did not need to commute to the office on a daily basis, more free time became available to spend on (home) decoration projects. Due to travel restrictions, international travel was often not allowed, or possible, and an increasing number of households used money that would normally be spent on (international) holidays to invest in bathrooms and/or kitchens. Travel expenses, to travel to and from work, with most people working from home full time, also largely disappeared in 2020, making it easier to free up money for home renovation projects, such as bathroom furniture.

Non-Housing

Bathroom furniture is hardly installed in the non-housing sector, with its importance having even weakened in more recent years. This is mostly due to the nature and main purpose of the product, including its main benefit, providing storage solutions to the user. In theory, hotels and healthcare buildings are well suited for bathroom furniture, especially base units, but in reality, more custom-made solutions are used. Hotel rooms may have countertop basins installed, but these are often mounted on top custom-made furniture, with a shelf under it for towels or toiletries, for additional support, but wall hung basins are still also common, not an actual base unit. Healthcare buildings, including hospitals, rehabilitation centres, clinics and homes for the elderly, may have bathroom furniture, but even in these types of buildings the share of furniture is also low. Base, or vanity, units as installed in the residential sector and are, therefore, not common in the non-residential sector. All-in-all, sales of base units and mirrors account for the greatest share of total non-housing space as additional storage space is not often required and, because of this, fewer separate cupboard units are sold to this segment.

Given the importance of the hospitality sector, sales of bathroom furniture to the non-residential buildings have developed very volatily, with strong variations in sales volumes per annum since the banking crisis of 2009. Sales depend on

investments of large hotel groups, in both new hotels but also in hotel room renovations, less so on like-for-like replacements, which are rather rare. Investments in hotel rooms peaked in 2018, when around 15,400 rooms, both new and refurbished, were added to the hotel stock, but activity has weakened strongly since then, including in 2020. In 2020, the number of new and refurbished hotel rooms dropped to around 7,900 hotel rooms, indicating a decline of over 31%, declining for the second consecutive year. Many of these new hotels were opened in the larger cities, including Amsterdam which included the 'Rosewood Hotel Prinsengracht' (140 rooms), the 'Hotel nhow Amsterdam RAI' (650 rooms), the 'Hard Rock Hotel Amsterdam American' (173 rooms), the 'Van Der Valk Hotel Amsterdam-Zuidas' (234 rooms) and the 'INTEL' (300 rooms).

Supply Structure

Supply of bathroom furniture to the Dutch market is considered to be quite fragmented, dynamic and having gone through some significant changes over the last two decades, especially following the onset of the banking crisis of 2009. The market is characterised by a high number of imports, especially from Belgium and Germany, but domestic manufacturers continue to play an important role on the market. Despite a high number of imports coming mainly from Germany, Dutch manufacturers, including PRIMABAD, THEBALUX, BRUYNZEEL and RIHO, still hold a relatively strong position on the market.

Given the importance of DIY, with more than 30% of sales per annum sold via this retail channel, manufacturers that mostly supply through DIY are in leading positions. Therefore, TIGER and BRUYNZEEL are in leading positions, both considered to be typical DIY players. Both brands are mostly sold by the INTERGAMMA stores since MAXEDA's PRAXIS stores sell a wide range of private label brands. TIGER's range of furniture is produced and imported from CORAM's production site in Poland, but BRUYNZEEL remains to be produced in the Netherlands, in a production site near Rotterdam. Another typical DIY player includes ALLIBERT, part of KETER, which produces the furniture in Châtellerault, France, whereas the washbasins are sourced from other manufacturers.

Belgium imports are accounted for by a number of relatively important players. This includes DETREMMERIE, ALKE and SLEURS but also domestic RIHO that produces its bathroom furniture range in Belgium. DETREMMERIE has been producing bathroom furniture for over 80 years and supplies the Dutch market from its production plant in Beveren-Leie in Belgium. Bathroom furniture is designed, developed and produced inhouse but all washbasins are sourced from abroad, both Germany and Italy. ALKE is also produced in Belgium and mostly targets the luxury renovation market. SLEURS mostly offers unbranded middle to upper range furniture, being highly price focused and mostly sold via wholesalers.

THEBALUX used to lead the market, but has lost share, and is active on the market with the THEBALUX and PRIMABAD brands. Both THEBALUX and PRIMABAD are primarily operating in the lower to middle price segments of the market, with THEBALUX being slightly higher priced compared to PRIMABAD.

PRIMABAD mostly sells simple and basic bathroom furniture, mostly in sets, which are small, cheap and compact. Both mostly supply bathroom retailers.

Specialist bathroom retailers are the most important channel for the distribution of bathroom furniture. Most German brands are sold via these dedicated bathroom showrooms, such as BADERIE, but also bathroom discounters. This includes, amongst others, BURGBAD, PELIPAL and ALAPE but also imports from Scandinavia and Southern Europe, both Italy and Spain. BURGBAD is the more important player on the market, mostly supplying the upper/luxury market segments, imported by BURG NEDERLAND.

IKEA is also active on the market but remains to be included in 'Others'. IKEA has increased its presence in the bathroom products market, although its presence is much stronger for sales of kitchens than bathrooms. IKEA's bathroom furniture is mostly manufactured in Europe (Poland), where IKEA has longstanding manufacturing relationships.

Despite low in share, there are several ceramics companies supplying the bathroom furniture market which include the former SPHINX (now sold under GEBERIT), DURAVIT, VILLEROY & BOCH, ROCA and IDEAL STANDARD.

The 'Others' category includes suppliers such as the German EMCO (ERWIN MÜLLER GRUPPE), the German PURIS, the Belgian ASSENTI, the Swedish MARLIN (NOBIA GROUP), the Spanish ROCA, the Dutch LOOOX (RM & CØ SANITAIR) and several private labels from Dutch suppliers. PLIEGER and GALVANO, in particular, play an important role in the DIY distribution channel.

Forecasts

As with taps and mixers and both types of accessories, bathroom and shower, in 2020 the bathroom furniture market showed sustained growth, now having grown consistently, but with different growth rates, since 2014, benefiting from a boost in home renovation projects throughout 2020, with DIY sales developing particularly well, the strongest performance in nearly two decades. Unlike the sales trend seen in 2020, a reversal is expected to shape market developments in 2021. This is in the end due to recent developments, following the spike in COVID-19 infections, with the closure of all non-essential stores, including DIY and bathroom showrooms, from 15 December. These retailers are now expected to re-open on 28 April 2021. Certain exceptions were announced with essential stores remaining open, including banks, supermarkets and government organisations, and DIY stores could remain open for 'click-and-collect' only.

Bathroom furniture sales, due to their reliance on DIY sales with nearly 30% of sales going through the DIY channel, should weaken considerably, especially given the decline seen in RMI sales since December 2020, for 2020 as whole. DIY sales, measured through the number of card transactions, have suffered enormously in 2021 so far, with sales down, each month, since late December. The turnover of DIY stores was already down by -45% and -36% in January and February and

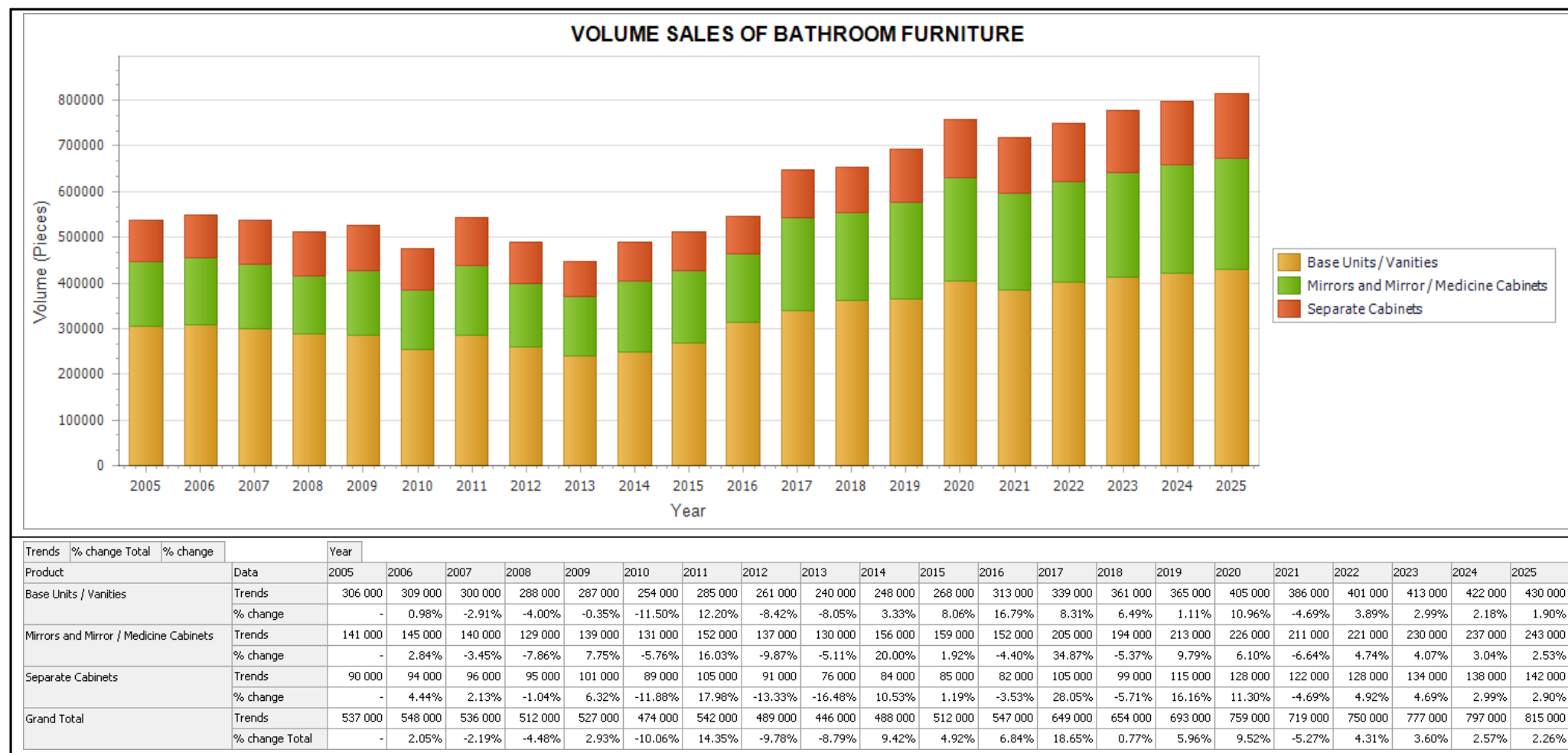
March and April are not expected to be any better. That being said, changing distribution patterns, especially growth in e-commerce sales, should avoid a steeper market decline in bathroom furniture sales. Like stated previously, e-commerce had already been on the rise well before the COVID-19 pandemic, but the pandemic boosted sales even further, with pure online up by +26% and multichannel online up by +68% in 2020, and should continue to outperform traditional sales channels, with total online sales set to grow by +15% for 2021.

RMI sales will suffer the most in 2021. Partly because of the strong upward sales seen on the market in 2020, probably having reached artificially high levels of sales, meaning a general decline was already anticipated for 2021, but also due to the closure of DIY stores and bathroom showrooms. At the same time, once lockdown measures have been lifted and things go back to 'normal', or as normal as possible, it is likely that consumers will increasingly spend their money on travel or leisure activities rather than home renovation projects, especially given that most of these activities were rather limited in 2020. All these factors combined will have a strong negative effect on sales. Overall RMI demand is expected to pick up again from 2023 onwards, but growth rates are set to weaken but continuing to be on an upwards sales trend. From a manufacturer's point of view, an acknowledgement of this consumer behaviour and demand should be considered. As most consumers are on the lookout to give their bathroom a luxurious image, a full assortment is in place to cover the growing demand for luxurious-looking furniture at decent prices. In the long term, this may cause the bathroom furniture market to become more polarised among the various product price segments.

The new housing sector remains an important segment for bathroom furniture, despite the high share of social housing, with the penetration of furniture continuing to grow but at low rates since the penetration is already high. New build demand should weaken further for 2021 but show strong recovery from 2022 onwards. The decline in new build output in both 2020 and 2021 was already anticipated, not relating to COVID-19, but affected due to the effects of the nitrogen crisis on the new building permit applications in 2019, also affecting non-residential construction output. Demand from the non-housing sector is set to continue to show a dramatic decline in sales volumes, in turn due to poor sales into hospitality buildings. Bathroom furniture is mostly sold into hotels and, but to a lesser extent, healthcare buildings. Therefore, the fluctuations in construction output for healthcare buildings will not affect sales much, which, in the short term, will be affected by the COVID-19 pandemic, resulting in lower investments. The strong decline in new hotel completions expected for 2021 will have a strong negative impact on sales of furniture. The pandemic has had a strong impact on the revenues of hotels, as well as all other types of hospitality buildings, with many investment plans now having been put on hold or cancelled, which will affect construction output in coming years, reaching historical low levels in 2021.

5.2 Historical Trends & Forecasts : Bathroom Furniture

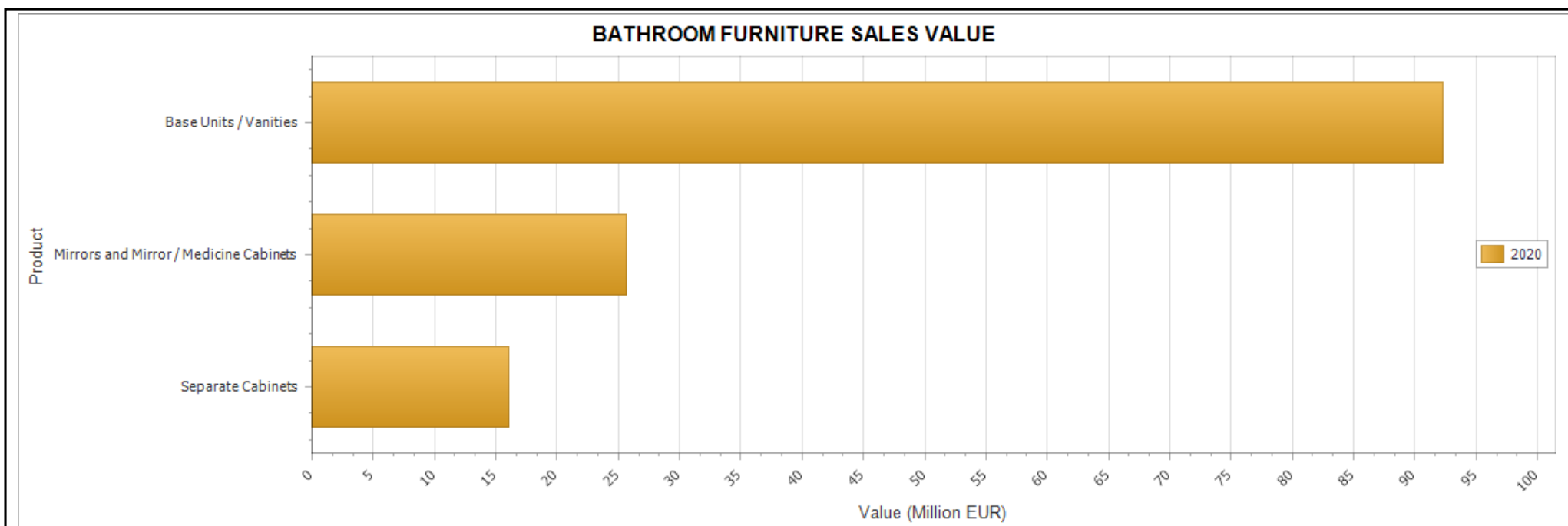
NL - SUMMARY OF TRENDS IN THE BATHROOM FURNITURE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

5.3.1 Prices and Market Values : Bathroom Furniture

NL - ESTIMATED VALUES OF THE BATHROOM FURNITURE MARKET

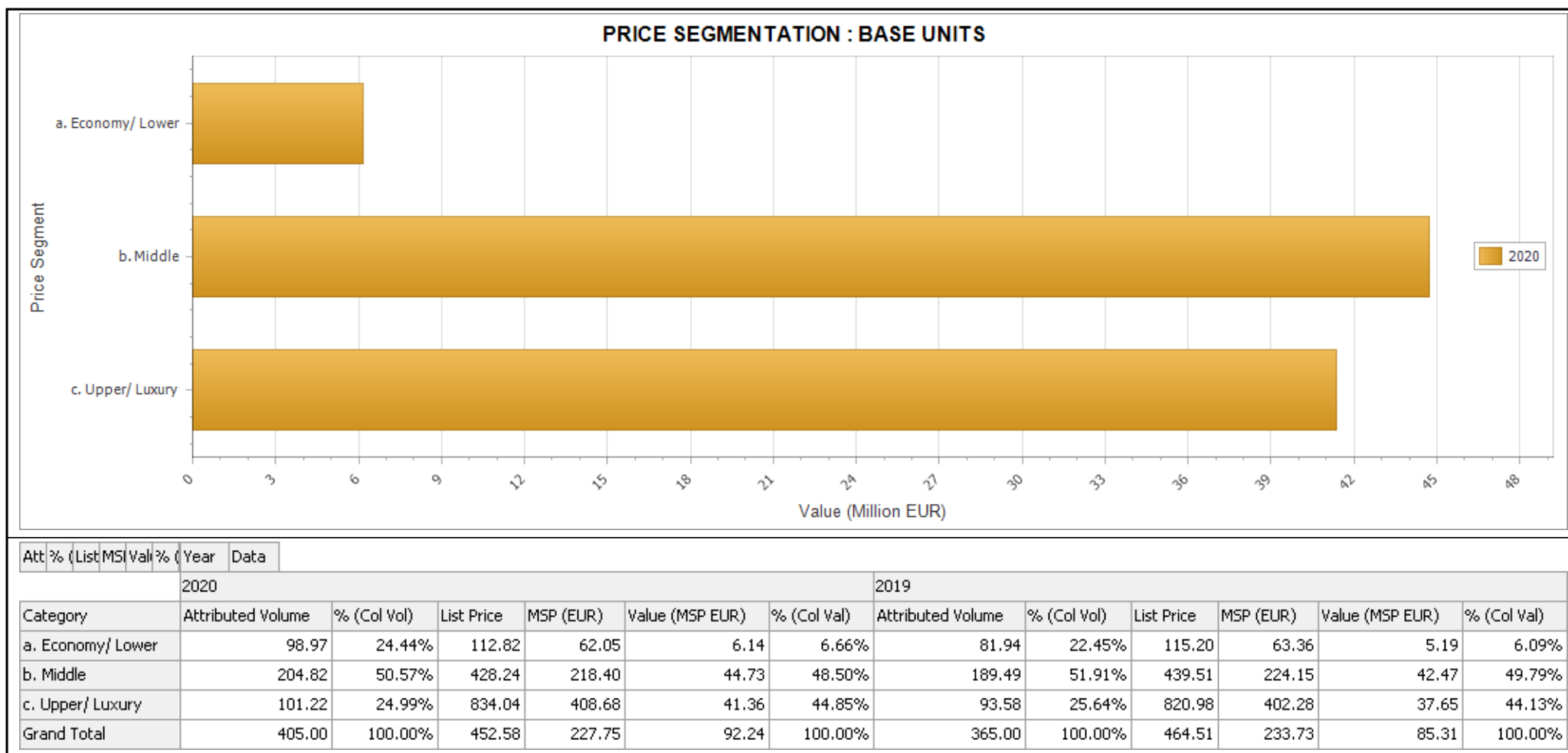


Volumes	MSP (EUR)	Value (MSP EUR)	Year	Data		
			2020	2019		
Product	Volumes	MSP (EUR)	Value (MSP EUR)	Volumes	MSP (EUR)	Value (MSP EUR)
Base Units / Vanities	405 000	227.75	92.24	365 000	233.73	85.31
Mirrors and Mirror / Medicine Cabinets	226 000	113.39	25.63	213 000	115.09	24.51
Separate Cabinets	128 000	125.73	16.09	115 000	129.36	14.88
Grand Total	759 000	176.49	133.96	693 000	179.95	124.70

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

5.3.2 Price Segmentation : Base Units

NL - ESTIMATED PRICE SEGMENTATION FOR BASE UNITS

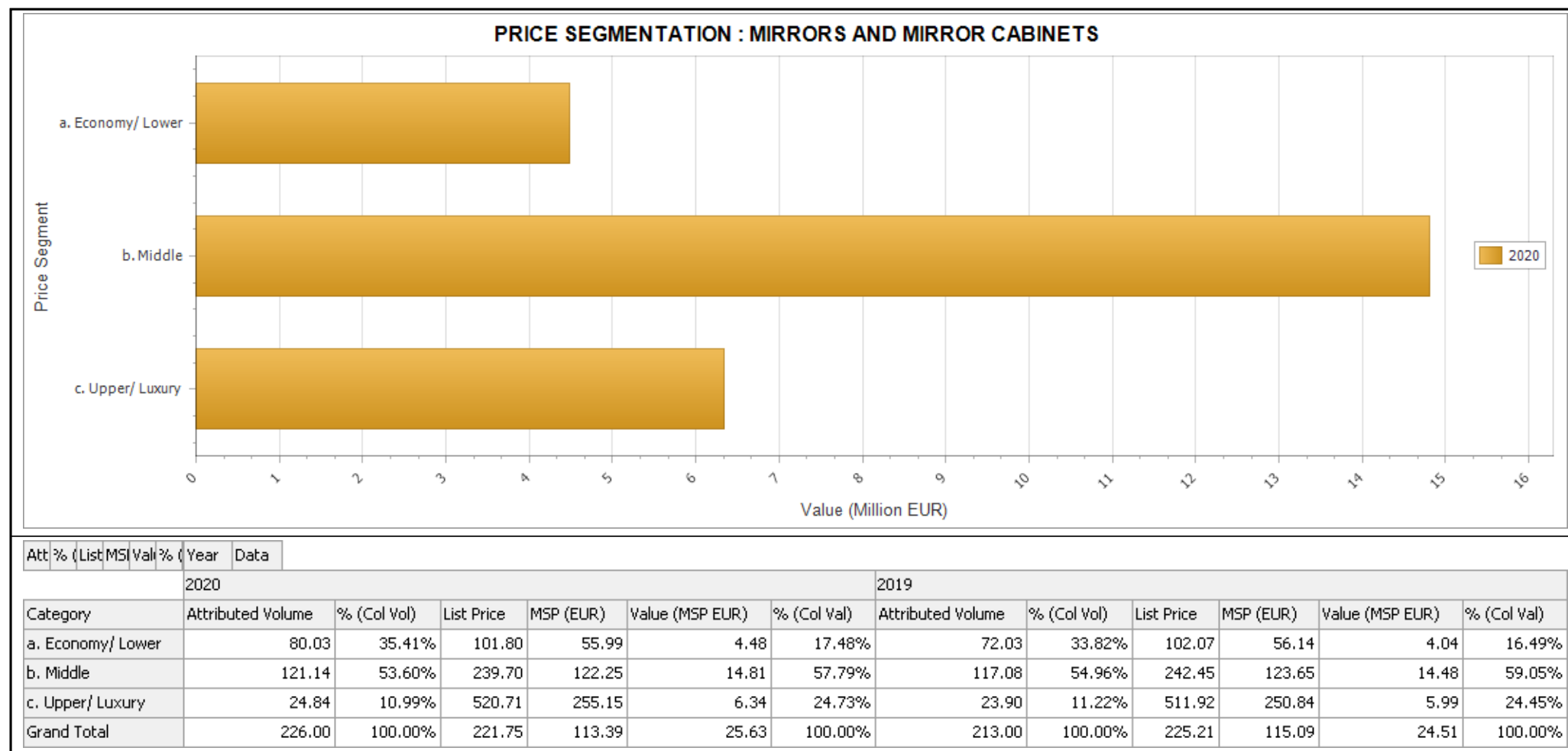


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€150, Middle €150-€300, Upper/ Luxury >€300

5.3.3 Price Segmentation : Mirrors and Mirror Cabinets

NL - ESTIMATED PRICE SEGMENTATION FOR MIRRORS AND MIRROR CABINETS

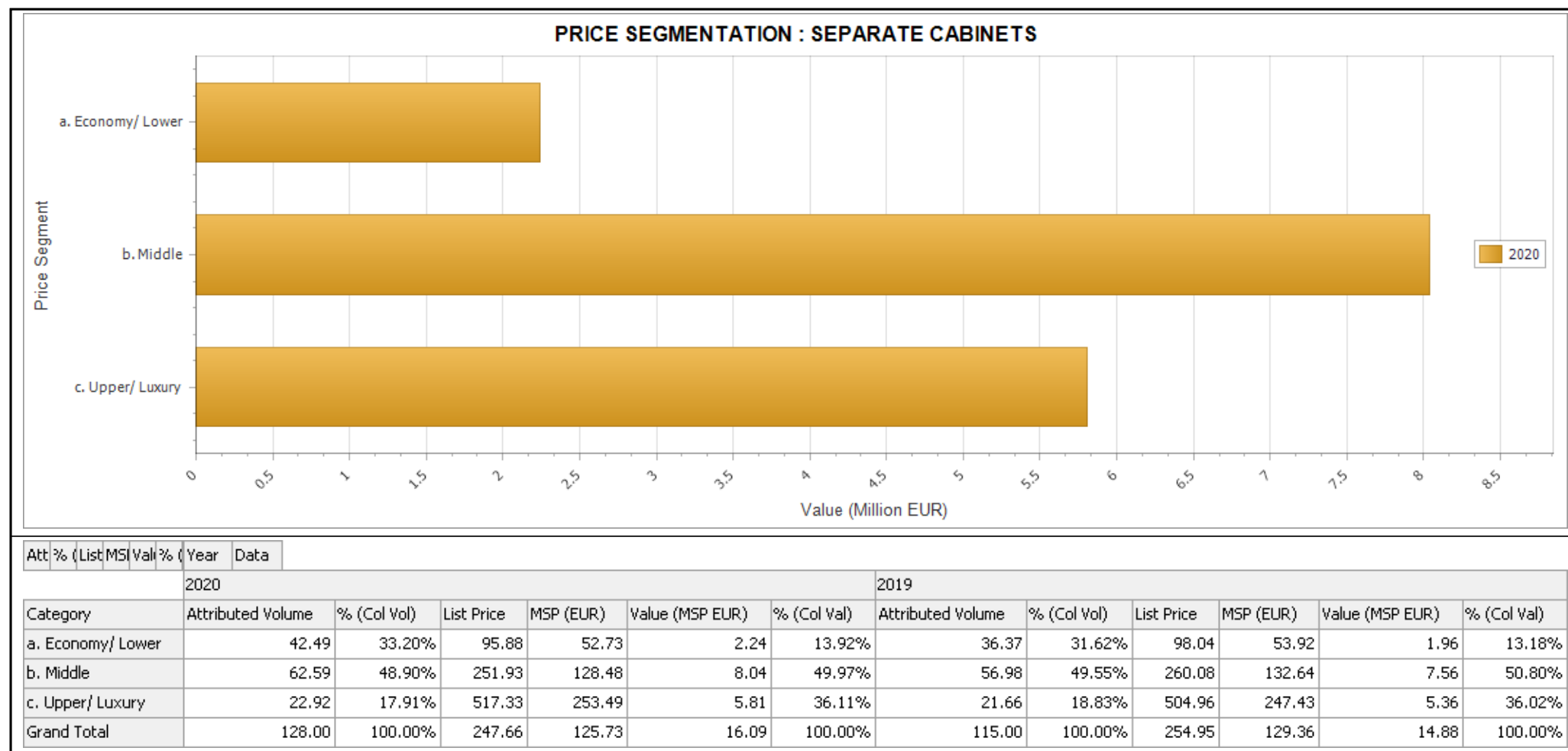


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

5.3.4 Price Segmentation : Separate Cabinets

NL - ESTIMATED PRICE SEGMENTATION FOR SEPARATE CABINETS

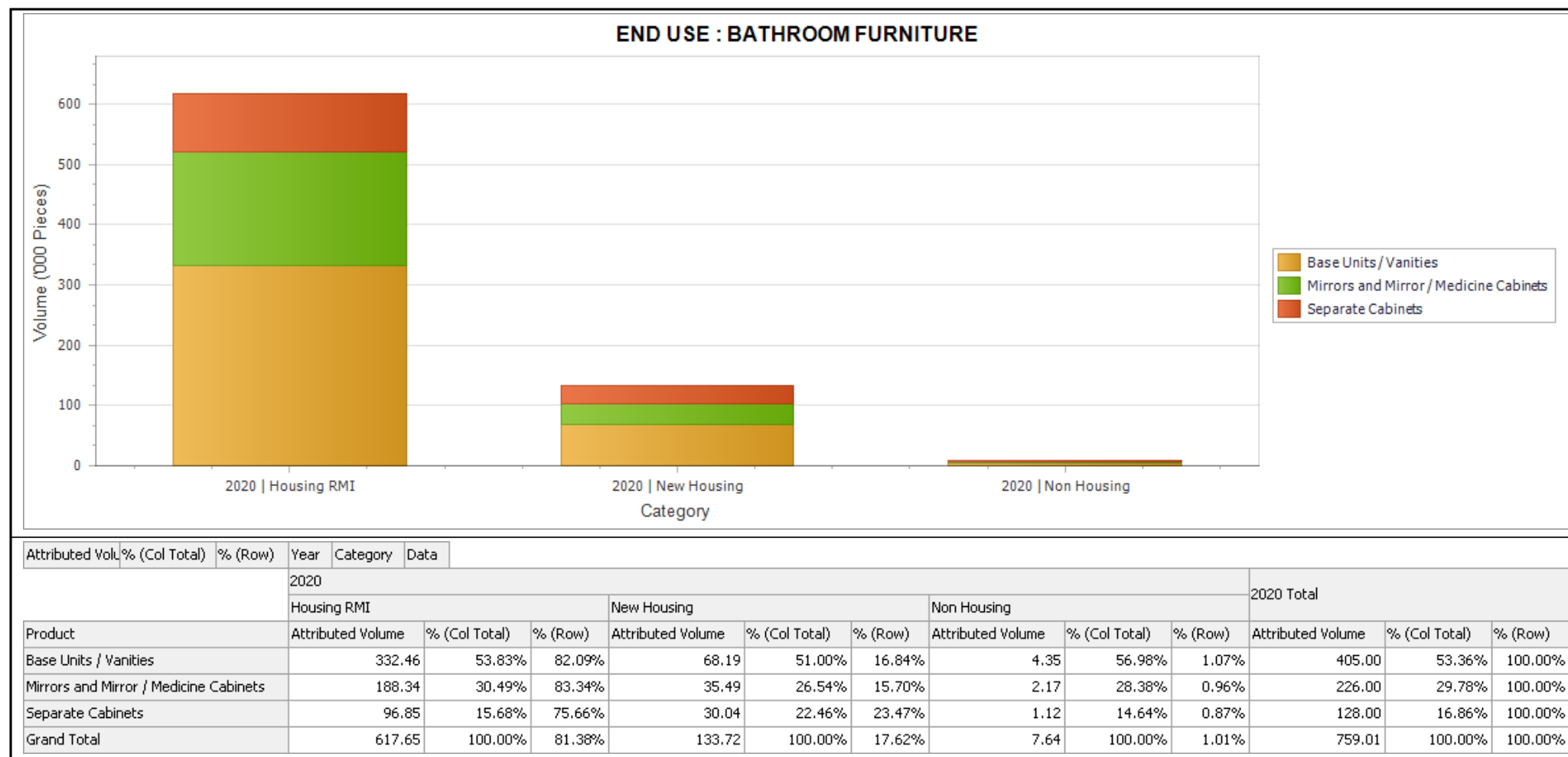


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

5.4.1 End Use : Base Year

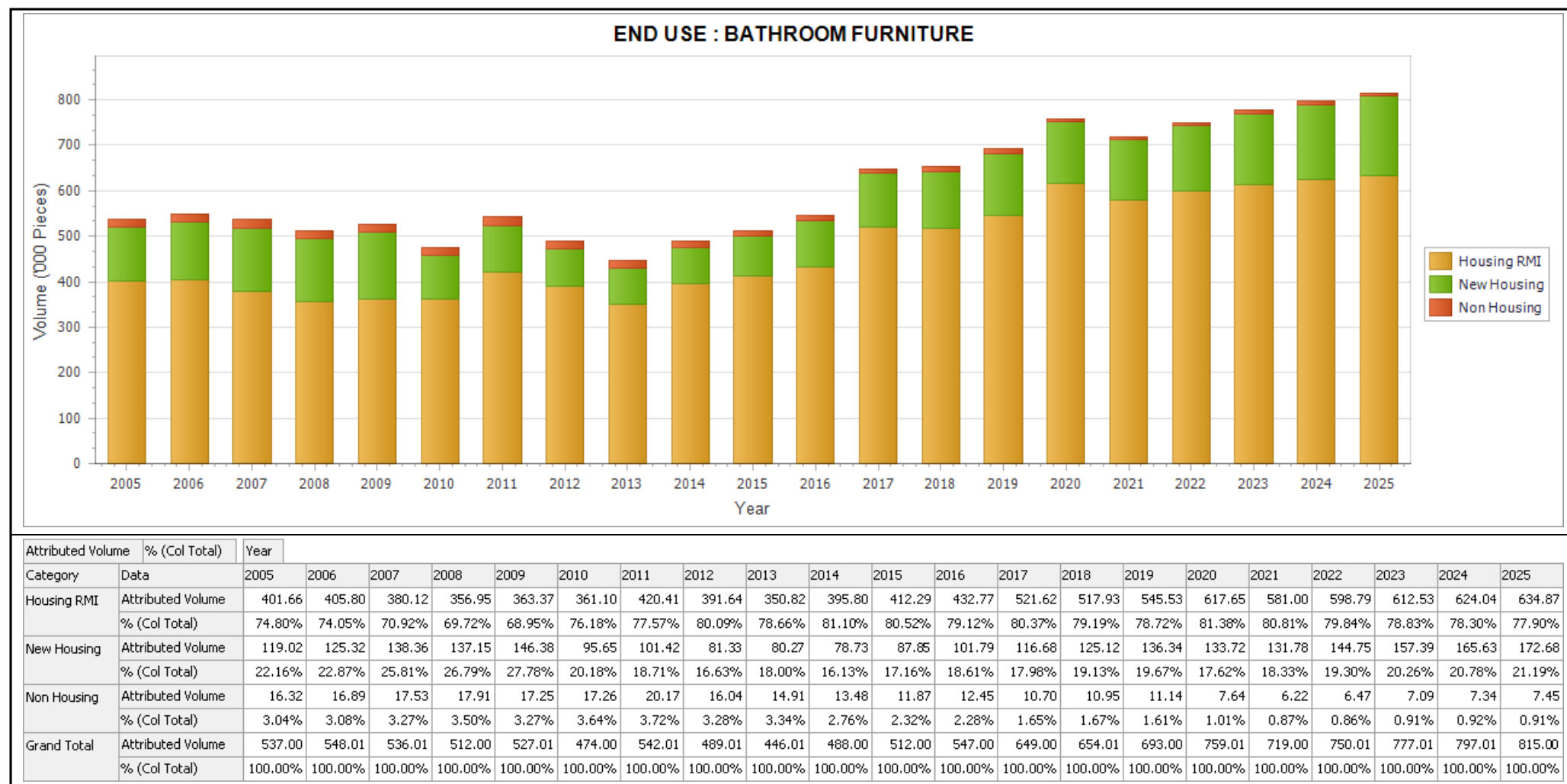
NL - SALES OF BATHROOM FURNITURE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.2 End Use : Historical and Forecasts

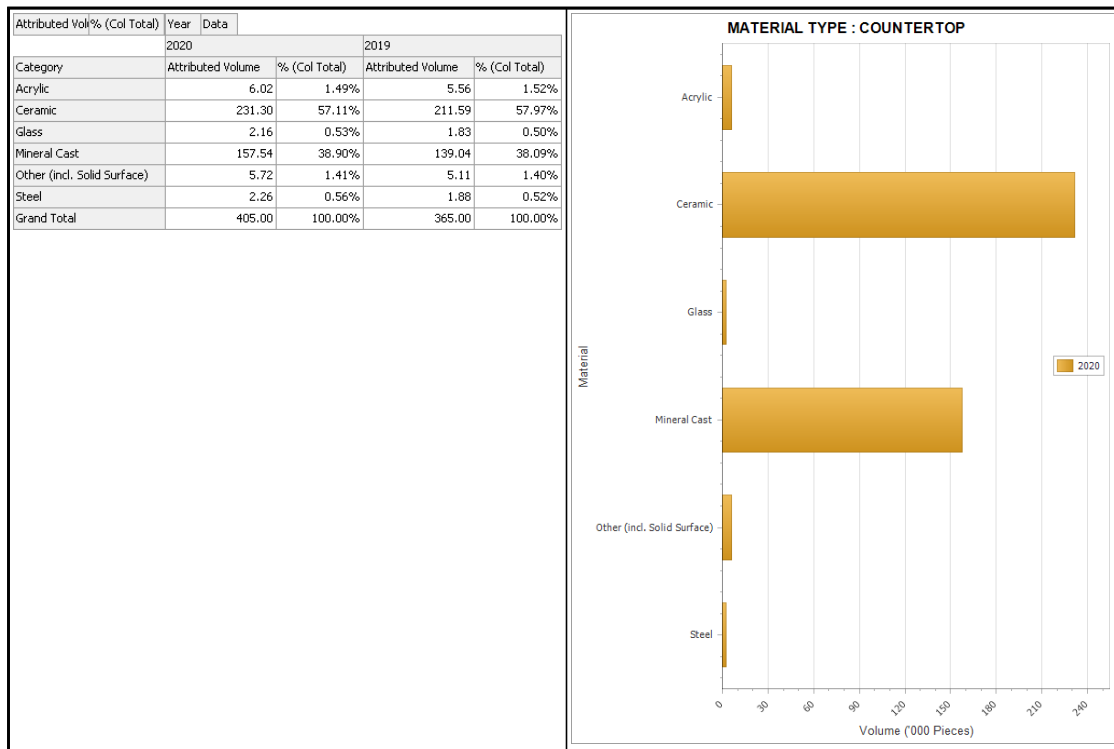
NL - SALES OF BATHROOM FURNITURE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.3 Sales by Type of Washbasin Material : Base Units

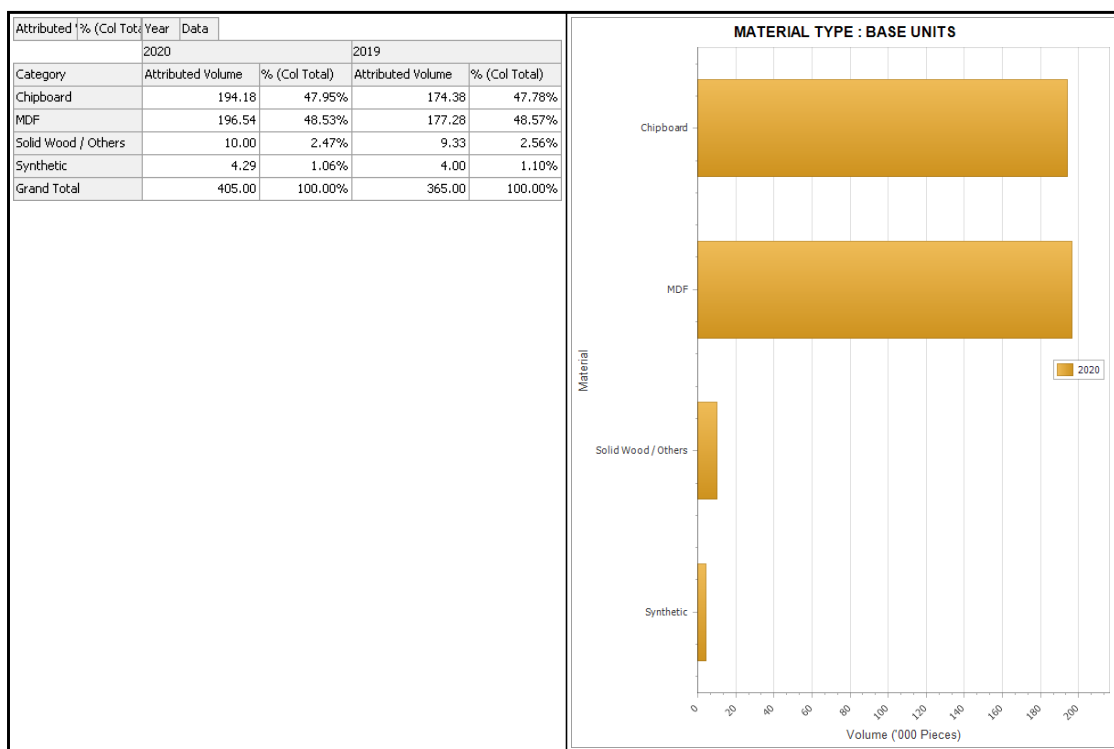
NL - BASE UNIT SALES BY WASHBASIN MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

5.4.4 Sales by Type of Material : Base Units

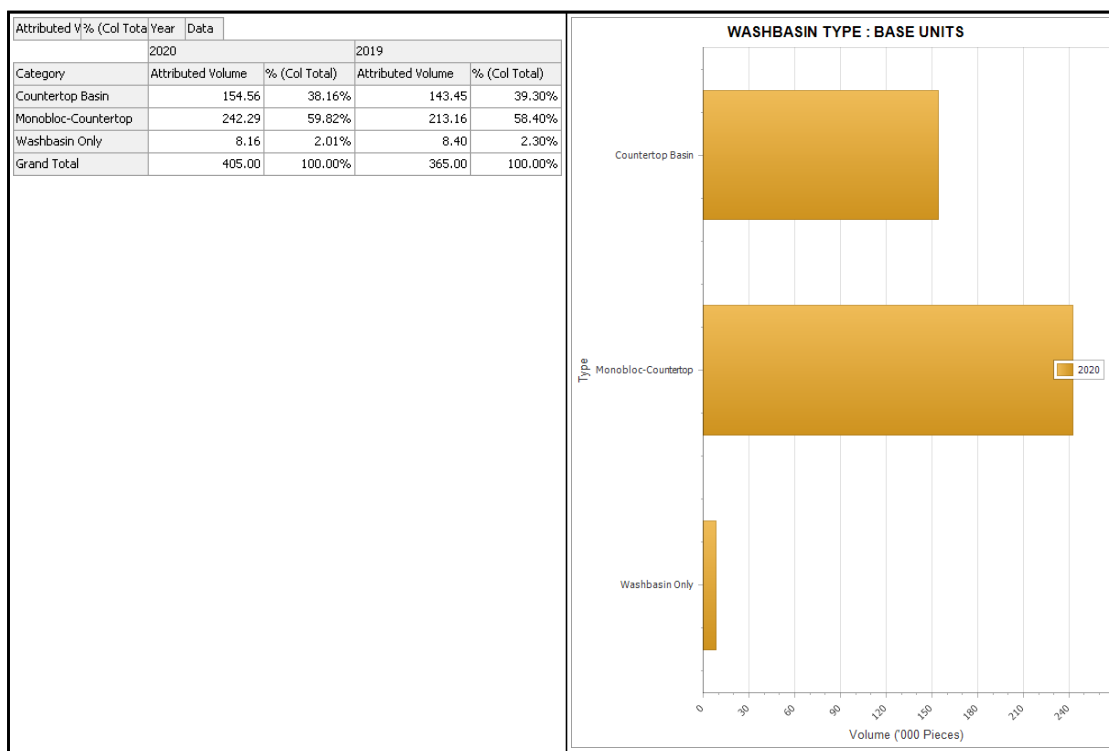
NL - BASE UNIT SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.5 Sales by Type of Washbasin : Base Units

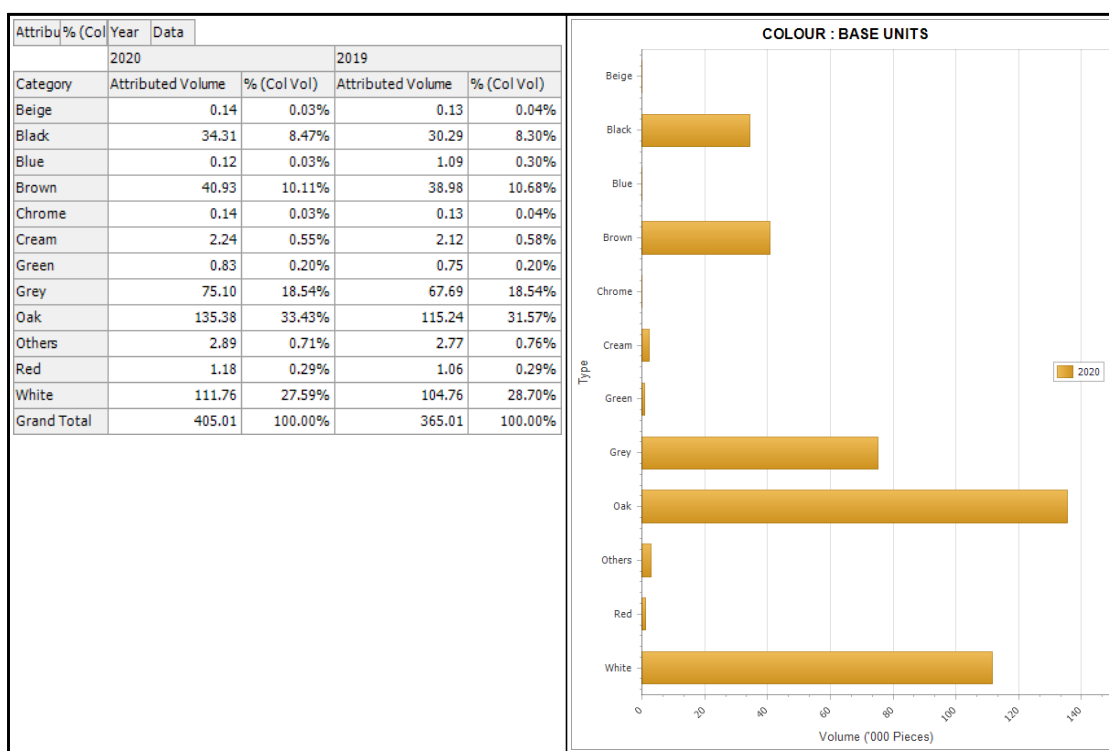
NL - BASE UNIT SALES BY WASHBASIN TYPE ('000 PIECES)



N.B. Washbasins only (non-countertop) are included in the above volumes for purposes of completeness.

5.4.6 Sales by Type of Colour : Base Units

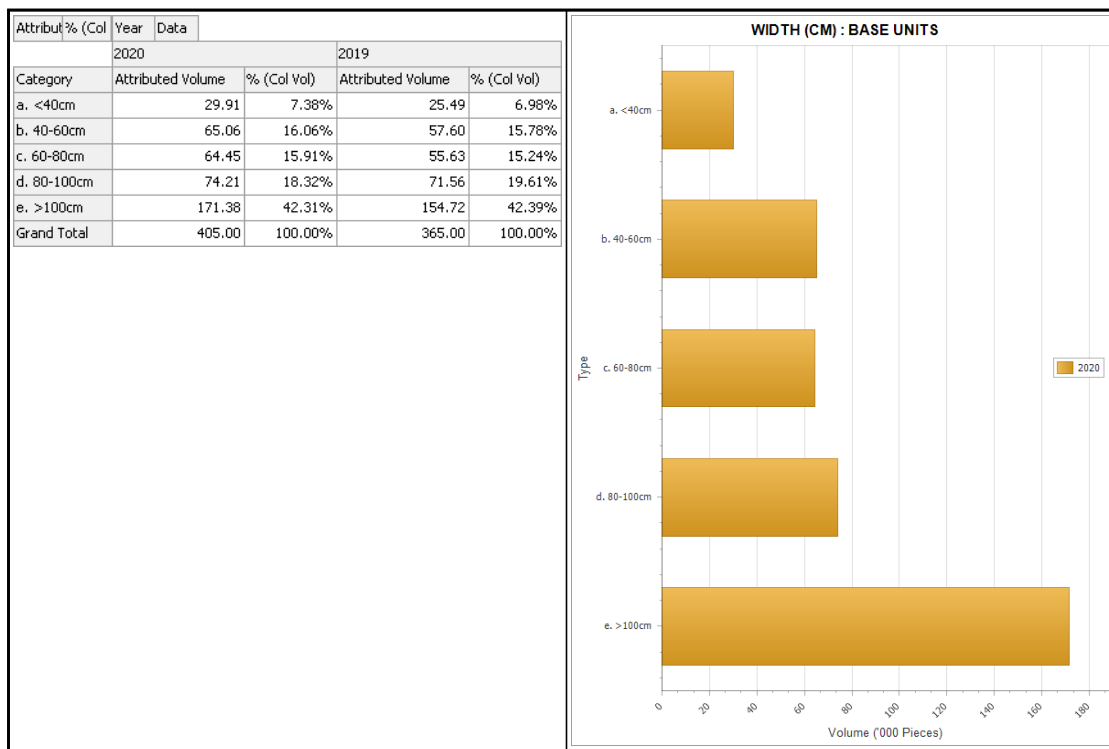
NL - BASE UNIT SALES BY COLOUR ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.7 Sales by Width : Base Units

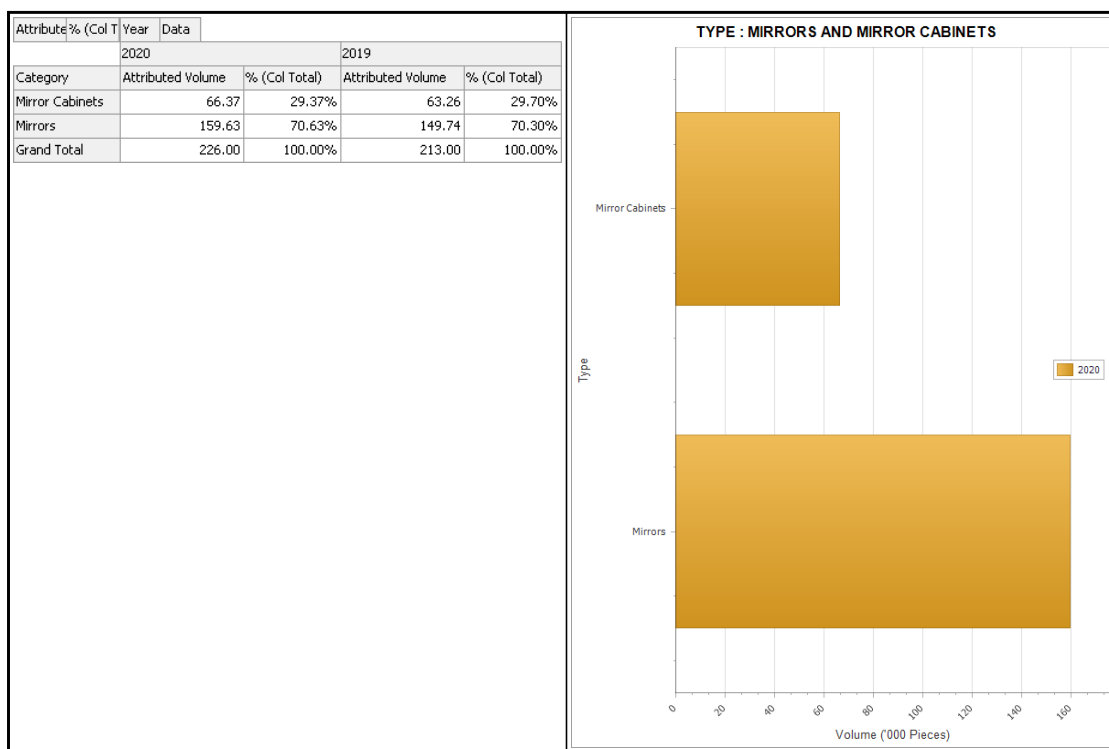
NL - BASE UNIT SALES BY WIDTH ('000 PIECES)



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5.4.8 Sales by Type : Mirror and Mirror Cabinets

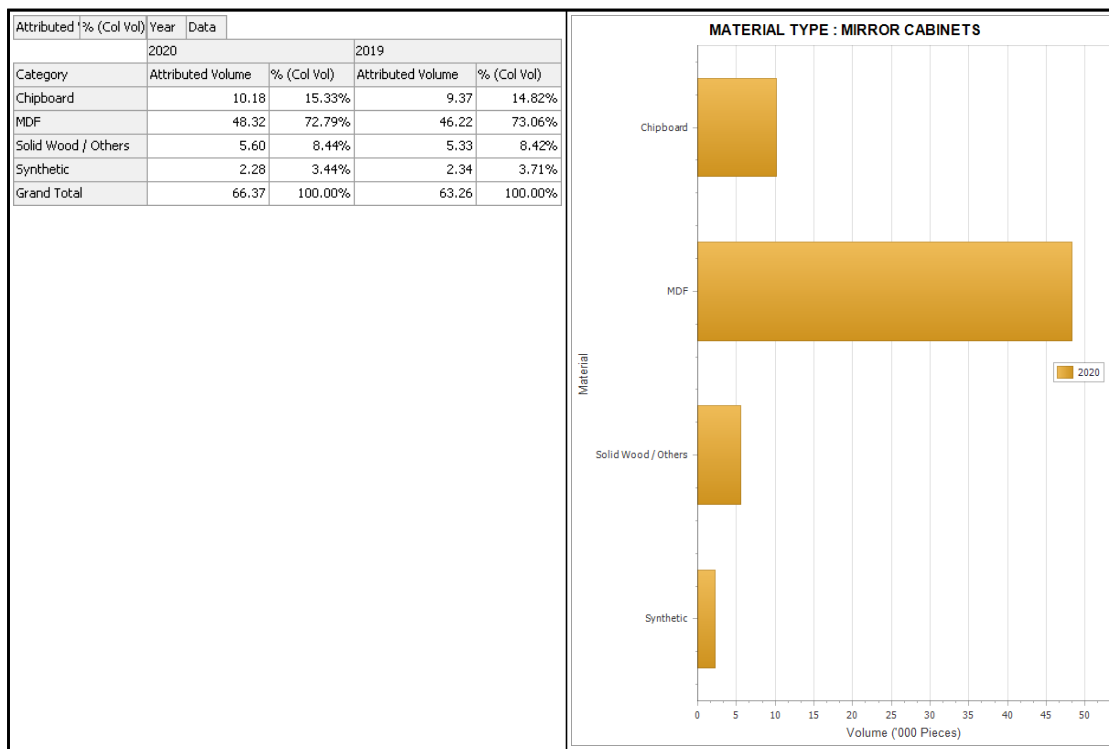
NL - MIRROR AND MIRROR CABINET SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.9 Sales by Type of Material : Mirror Cabinets

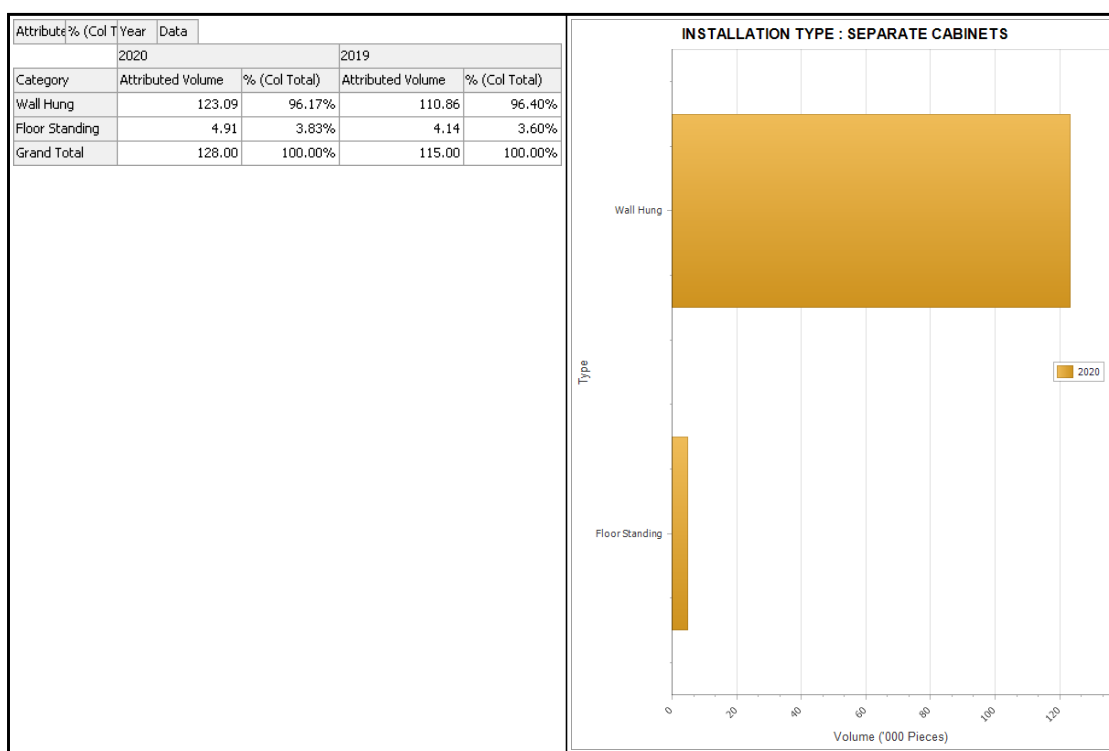
NL - MIRROR CABINET SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

5.4.10 Sales by Type of Installation : Separate Cabinets

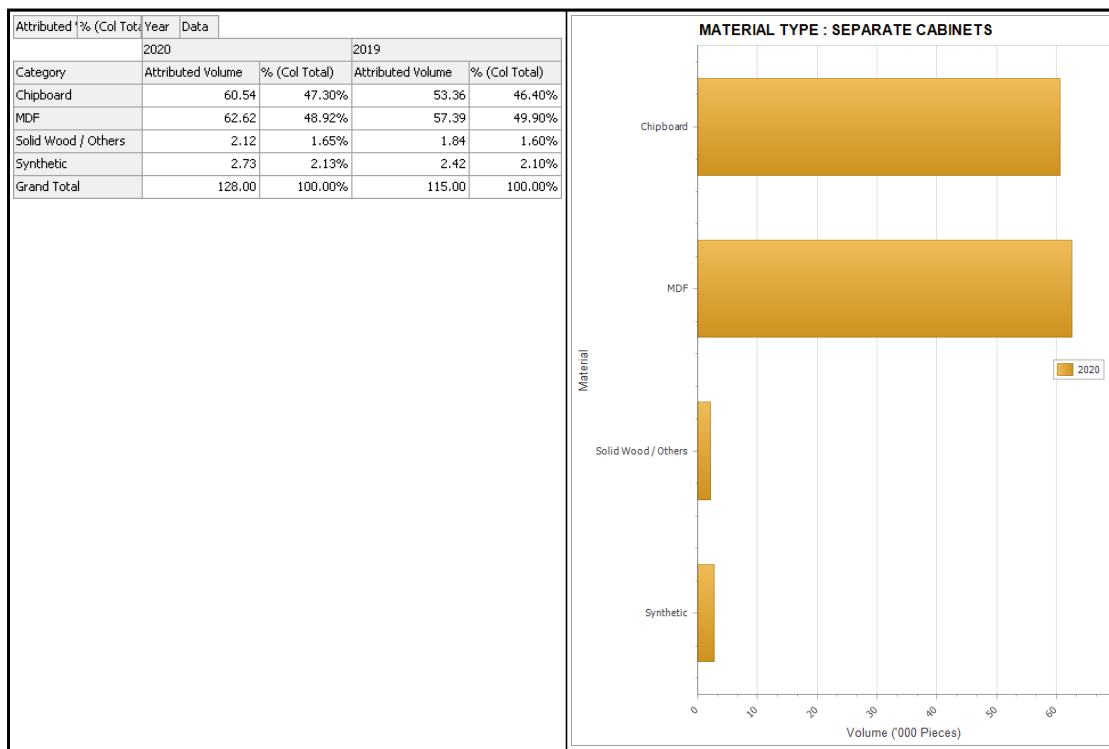
NL - SEPARATE CABINET SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.11 Sales by Type of Material : Separate Cabinets

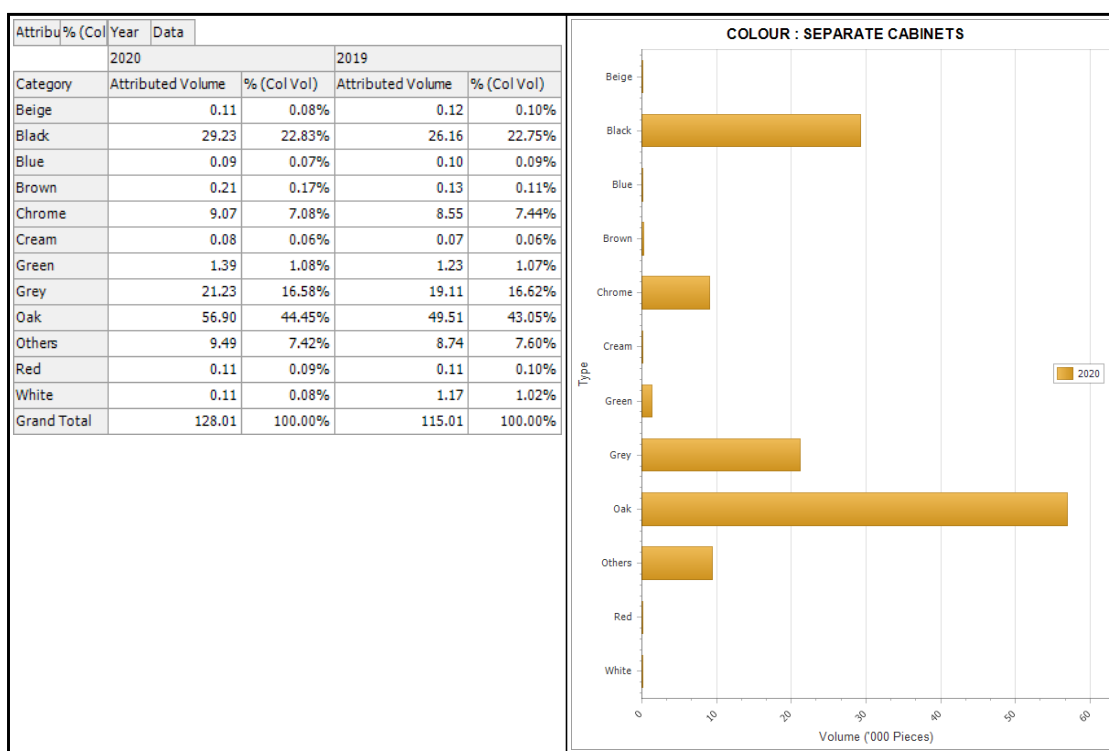
NL - SEPARATE CABINET SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

5.4.12 Sales by Type of Colour : Separate Cabinets

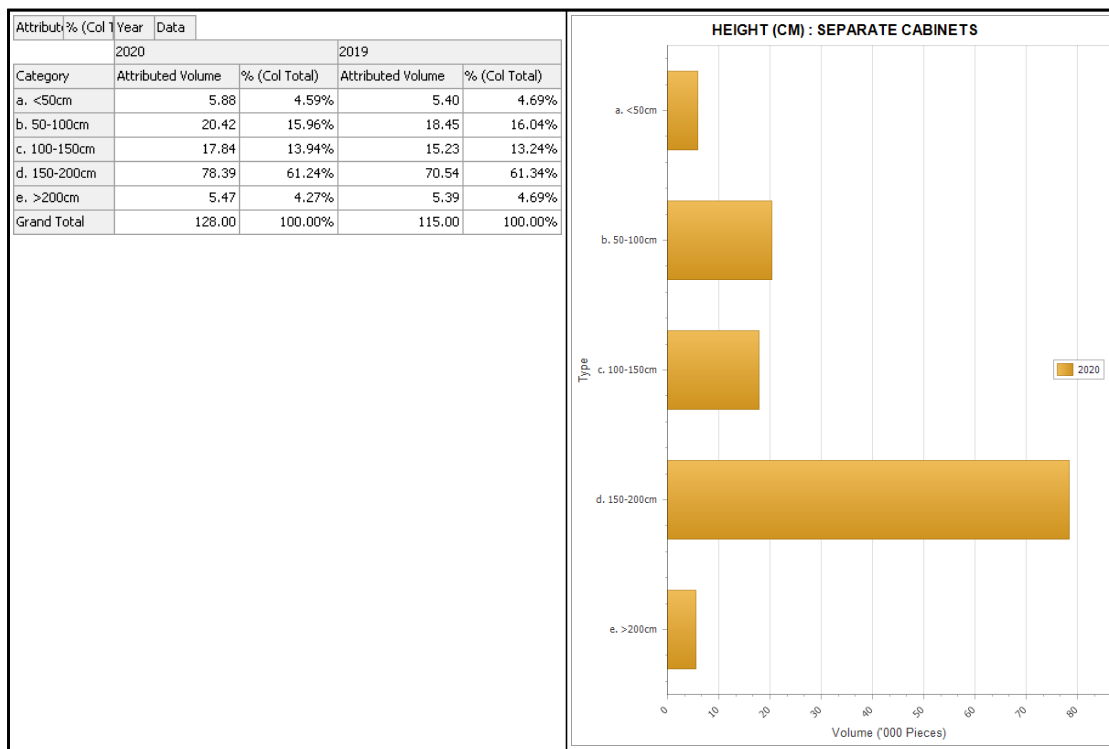
NL - SEPARATE CABINET SALES BY COLOUR ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.13 Sales by Height : Separate Cabinets

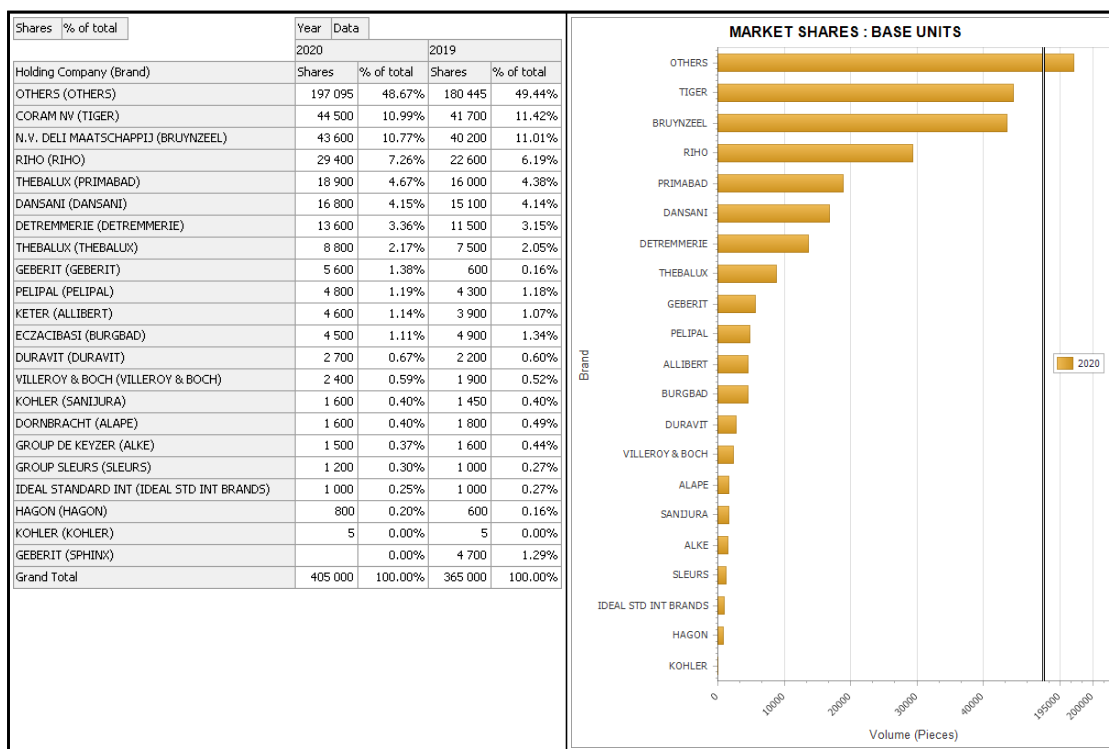
NL - SEPARATE CABINET SALES BY HEIGHT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.5.1 Market Shares : Base Units

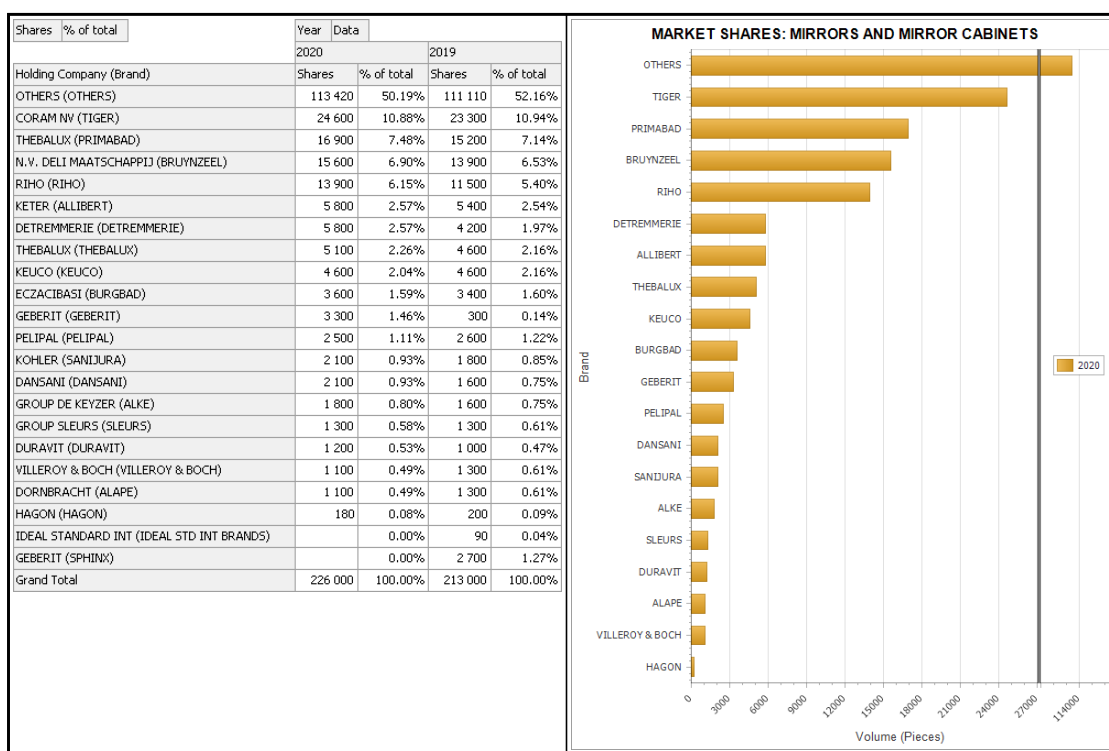
NL - ESTIMATED MARKET SHARES FOR BASE UNITS



Source: BRG based on industry interviews.

5.5.2 Market Shares : Mirror and Mirror Cabinets

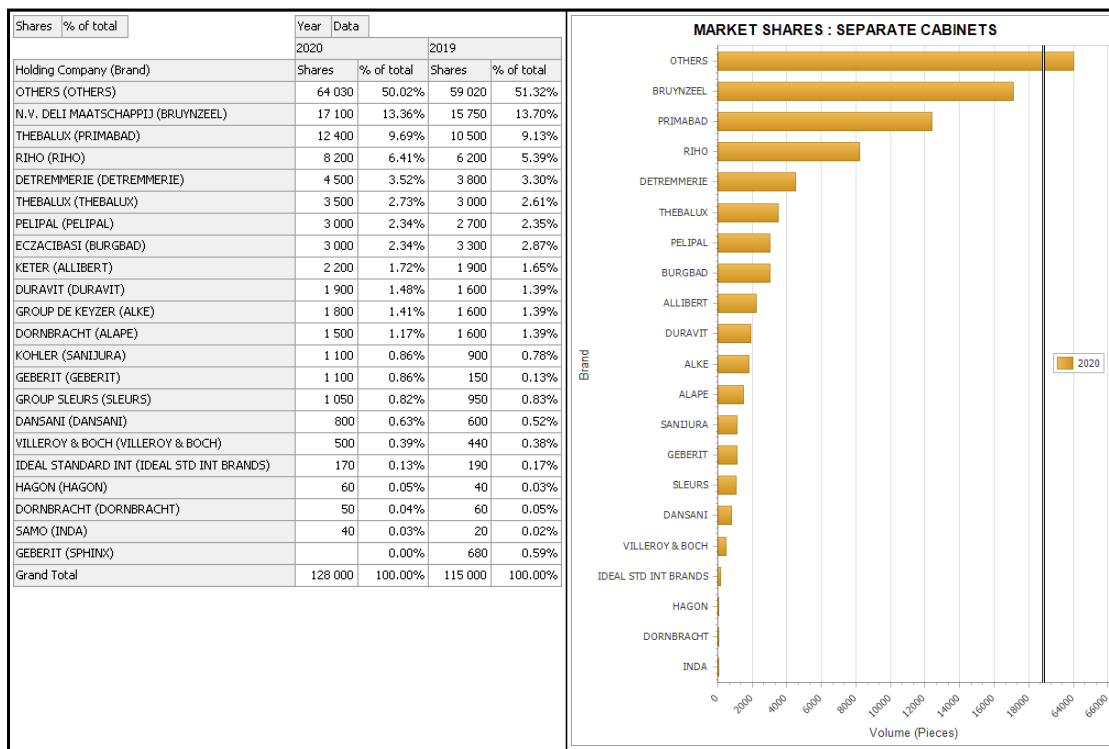
NL - ESTIMATED MARKET SHARES FOR MIRRORS AND MIRROR CABINETS



Source: BRG based on industry interviews.

5.5.3 Market Shares : Separate Cabinets

NL - ESTIMATED MARKET SHARES FOR SEPARATE CABINETS



Source: BRG based on industry interviews.

5.6.1

Route to Market: Bathroom Furniture
NL - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

36.0%
Wholesalers / Merchants
36.0%

Retail Level

Manufacturer	Wholesaler
4.6%	4.5%
Internet Retailers	
9.2%	

Manufacturer	Wholesaler
25.9%	4.6%
DIY Retailers	
30.5%	

Manufacturer	Wholesaler
28.1%	9.8%
Specialist Retailers	
37.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
5.3%	12.9%	0.8%	0.8%	3.0%
Installers				
22.9%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	4.0%	8.4%	29.7%	34.9%	22.0%
Residential					
99.0%					
New Build			Residential RMI		
17.6%			81.4%		
Project	Non-Project	Project		Non-Project	
15.5%	2.1%	1.4%		80.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.2%	0.0%	0.0%	0.0%	0.8%
Non-Residential					
1.0%					
New Build			Non-Residential RMI		
0.5%			0.5%		
Project	Non-Project	Project		Non-Project	
0.4%	0.1%	0.4%		0.1%	

5.6.2

Route to Market: Bathroom Furniture
NL - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

38.5%
Wholesalers / Merchants
38.5%

Retail Level

Manufacturer	Wholesaler
6.2%	6.5%
Internet Retailers	
12.7%	

Manufacturer	Wholesaler
23.4%	4.2%
DIY Retailers	
27.6%	

Manufacturer	Wholesaler
27.0%	10.1%
Specialist Retailers	
37.1%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
4.9%	15.1%	1.3%	1.4%	3.7%
Installers				
26.4%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	2.5%	11.4%	26.2%	33.4%	25.6%
Residential					
99.1%					
New Build			Residential RMI		
21.2%			77.9%		
Project	Non-Project	Project		Non-Project	
18.0%	3.2%	10.1%		67.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.2%	0.0%	0.0%	0.0%	0.8%
Non-Residential					
0.9%					
New Build			Non-Residential RMI		
0.5%			0.5%		
Project	Non-Project	Project		Non-Project	
0.4%	0.1%	0.2%		0.3%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

5.6.3 Route to Market - Consolidated View : Bathroom Furniture

NL - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE : 2020

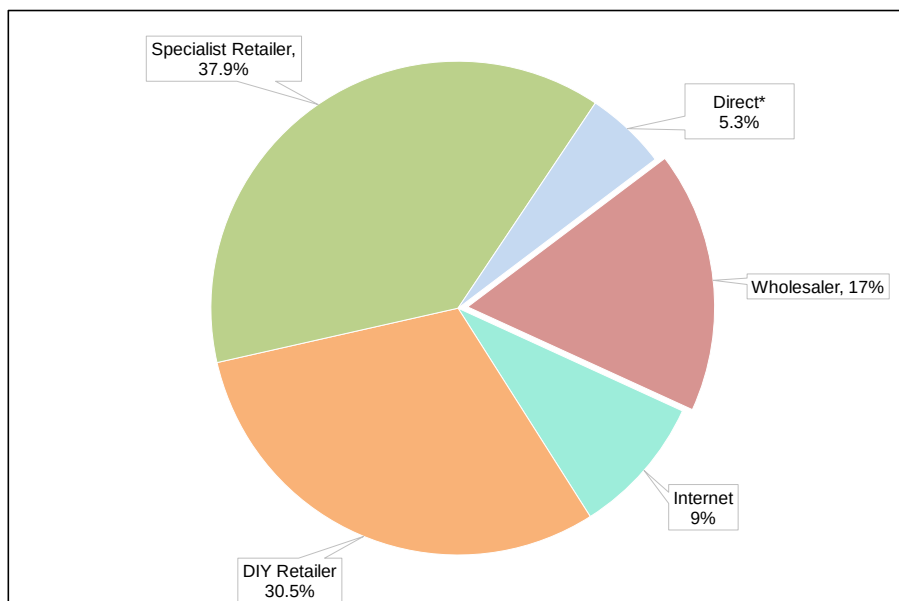
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
17.1%	9.2%	30.5%	37.9%	5.3%	16.9%	0.8%	82.1%	0.2%
100%					17.7%		82.3%	

5.6.4 Route to Market - Consolidated View : Bathroom Furniture

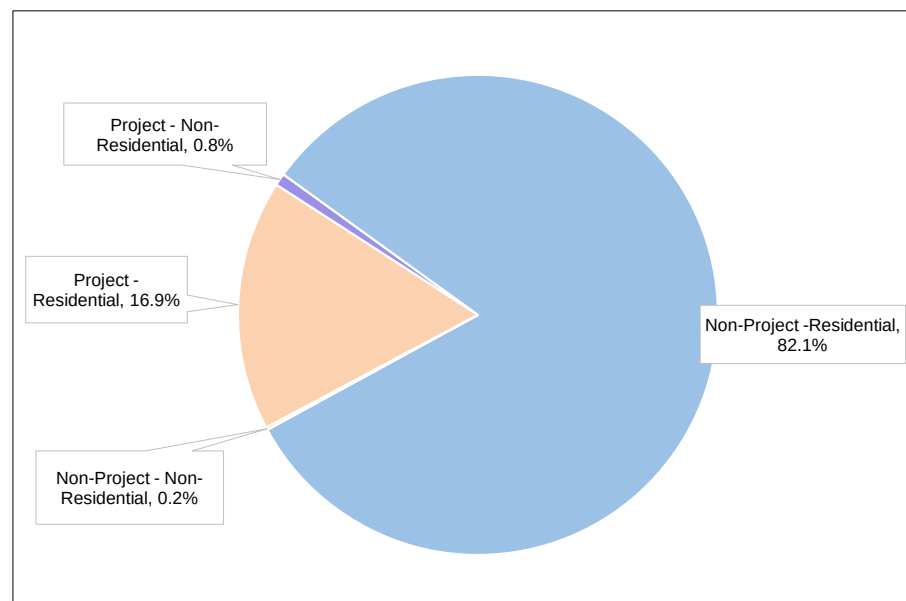
NL - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
17.7%	12.7%	27.6%	37.1%	4.9%	28.1%	0.5%	71.0%	0.4%
100%					28.7%		71.3%	

NL - SALES OF BATHROOM FURNITURE BY DISTRIBUTION CHANNEL: 2020



NL - SALES OF BATHROOM FURNITURE BY POINT OF DECISION AND END-USE SECTOR: 2020



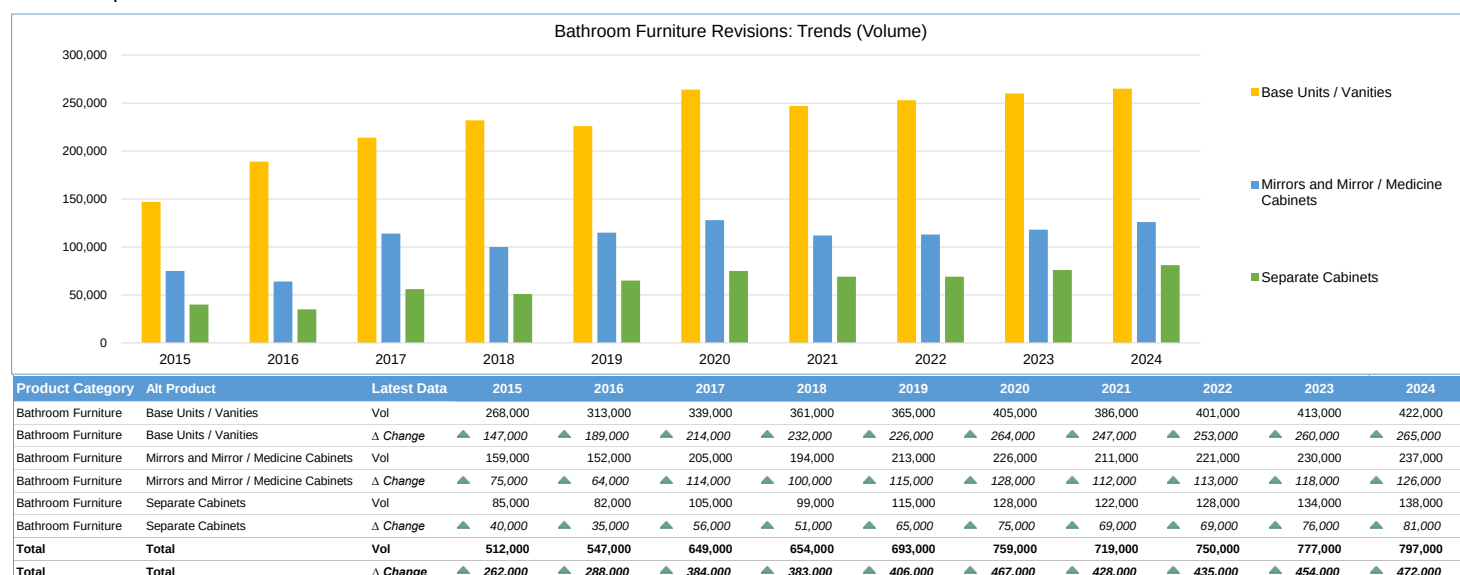
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

5.7 Revisions in the Dutch Bathroom Furniture Market (April 2021)

NL - REVISIONS IN THE DUTCH BATHROOM FURNITURE MARKET

Data Comparison: October 2020



Downward revisions were made to the MSPs for all types of bathroom furniture which is due to an upward revision in sales to the economy/ lower price segments. A number of DIY players were previously omitted from the data or their presence was underestimated, and these have now been amended/ added; private label sales remain to be included in the 'Others' category in the market share data.

Strong upward revisions were made to the market size for bathroom furniture, which was because sales via DIY stores were underestimated. In the Netherlands DIY stores are quite important in terms of distribution of bathroom furniture, with nearly 30% of sales going through DIY stores. Sales of several players that mostly sell through DIY stores, such as TIGER and BRUYNZEEL were previously underestimated and private label sales were also underestimated; both MAXEDA and INTERGAMMA offer a wide range of private label brands. At the same time, the penetration of bathroom furniture has increased, especially in the new housing sector, with most bathrooms, especially in the private sector, now having at least a base unit installed. The penetration of bathroom furniture in the RMI sector is lower than new build but also gaining importance, especially since bathroom furniture has become increasingly more affordable, with retail prices starting from €300.

NETHERLANDS

BATHROOM ACCESSORIES

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The development of the Dutch bathroom accessories market corresponds to the overall bathroom trends; however, demand for bathroom accessories tends to be somewhat more volatile in nature. This is mainly due to the large market share that is sold through the DIY segment and other discount stores such as ACTION, HEMA and BLOKKER. In general, the market fluctuates in line with the other traditional bathroom markets. At the same time, the market can benefit from periods of slow growth in demand for larger bathroom items, as bathroom accessories can be used to upgrade a bathroom in a less costly way when a full renovation is postponed to a later date.

The effects of the recent uncertain economic situation on bathroom accessory sales have been less pronounced when compared to other market segments, such as sanitary ware and bathroom furniture. The required investment for accessories is rather small, and demand is less reliant on new housing or RMI activities when compared to other market segments. Nonetheless, the bathroom accessories market segment continues to feel the impact of the economic downturn. The increasing share of Chinese imports and economy-priced products is putting further strain on average prices and market values.

The main items within the bathroom accessories market are towel holders, toilet paper holders and toilet brushes. These products are used in almost every bathroom in the Netherlands. Tissue holders are rarely found in private houses and, therefore, are regarded as an expensive luxury feature. Most tissue holders are sold to hotels, restaurants and public buildings. Towel and bathrobe hooks are used in both residential and commercial establishments. The 'Other' category includes various products, such as razor holders and spare toilet paper holders.

Recent Market Trends

Sales of bathroom accessories performed remarkably well during 2020, with developments similar to those seen for taps and mixers and shower accessories, predominantly benefiting from individual home renovation projects. That being said, trends on the bathroom accessories market, as with shower accessories, have always been somewhat different compared to those of ceramic sanitary ware, since it relies less on full bathroom renovation projects but more on household willingness to upgrade and/or replace accessories.

The COVID-19 measures, as enforced by the Dutch government, particularly had a positive effect on sales of bathroom accessories since more time was spent indoors at home, benefiting the bathroom accessories' market. The 'intelligent lockdown' resulted in homeowners becoming more involved in smaller home improvement projects, by, for example, replacing accessories in a way to 'redecorate' the bathroom, since employees did not need to commute to the office and could (for most of the year) not travel abroad, meaning more time and money

became available to spend on their bathrooms.

Bathroom accessories are most likely the perfect way, and probably also most affordable way, to make a bathroom look 'new and refreshed' by simply replacing old accessories or by adding new accessories, that being a new tumbler, soap or toothbrush holders, jars, bath mats or by adding plants or flowers. Indeed, in many cases, bathroom accessories are used as a more economical way of renewing the overall look of the bathroom. The health pandemic particularly helped the DIY sector in the Netherlands, but also other types of retailers specialised in home improvement products, which experienced strong growth rates throughout the year, with growth, compared to the same period in 2019, varying from +14.9% to +36.3%, with the Q2 being the best performer (+30.6%) and Q4 being the poorest performer (+10.3%). These growth rates refer to total DIY sales, including paints, hardware and gardening materials, since sales of bathroom related equipment increased by around 12% in total, including all bathroom products, such as CSW, baths and showers but also (ceramic) tiles.

Prices and Market Values

Bathroom accessories are available in a wide range of products and available in many different price segments. The trend over the last decade has been that the bathroom accessories' market is increasing in volume terms, on one hand, but decreasing in terms of prices on the other hand. Sales are quite evenly divided by sales into the economy, lower and middle price, with the vast majority sold into the lower price segment.

Bathroom accessories in the economy price segment are mostly sold in department stores such as BLOKKER, XENOX and even IKEA. Manufacturers that can be found in this segment are ALLIBERT, TIGER and METAFORM. Many rebranded imports from the Far East and Eastern Europe can be found in this segment, mainly sold in DIY stores. The lower price segment includes bathroom accessories sold for new housing and cheaper non-housing projects to installers and contractors. Installers mainly source these products from wholesalers. The main players in this category are TIGER and HACEKA and the largest part of this segment is sold through the DIY market.

Almost all the brands have series that fit the middle segment. The main reasons for such a strong proportion in the middle markets is the trend towards luxury on the one hand and the expanded product ranges of well-known brands on the other. Nowadays, most of these series can also be found in DIY stores as the price difference between DIY and the professional market has diminished. In the professional market, the most important players are GEESA and HACEKA in this segment. Other brands that are present include EMCO, INDA and DAMIXA, and are mostly found in the traditional distribution channels.

The upper segment is the segment where design and brand have become important criteria. In these markets, consumers are willing to pay a higher price to have their accessories match taps and other sanitary ware. Taps and mixers

manufacturers, therefore, have line extensions for accessories. Accessories from GROHE, HANSGROHE and the manufacturers that fall under the 'Others' category, such as KLUDI, can be found in this segment. The most eminent standalone brands (no taps) in this segment are KEUCO, HEWI and CLOU. The luxury segment starts with the exclusive lines of the upper segment brands and the products can be seen as more design oriented than functional. Rare materials such as bronze, silver and gold can also be found in this category. These products are being purchased more and more within the economy price segment. Demand for luxury products comes from consumers with a high available budget along with higher expectations for exclusivity and quality. While a low-budget spending habit prevails as a result of the economic crisis, manufacturers are trying to win customers with more expensive products. However, while the market is improving in terms of volume, most consumers purchase lower-priced products. It is believed that the market is responding to the abundance of bathroom accessory suppliers selling through various retailers, and prices are expected to decline further.

New Housing

The overall market for bathroom accessories in the Netherlands is not overly dependent on new housing output, although this does have a slight impact on overall sales per annum, since most sales are aimed at the housing RMI sector. The majority of sales going into dwellings are toilet roll holders, toilet brushes, towel holders, and towel and bathrobe hooks as virtually all bathrooms use these accessories, with even higher shares in one- and two-family dwellings as they often have one bathroom and one additional toilet room. Unlike 'fixed' bathroom equipment, such as CSW but also taps and mixers, bathroom accessories are normally not fitted during the installation of the bathroom but are often added by homeowners after moving into a new home. In social housing projects bathroom accessories are never fitted, since both the bathroom and toilet facilities only have the basic and essential items, such as the WC, basin(s) and mixers, but can nonetheless be added by the tenants upon moving in.

Sales of bathroom accessories sold to the new housing segment declined in 2020 which was mostly the result of the nitrogen crisis, and less so because of the COVID-19 pandemic since construction was never halted throughout 2020. In May 2019, the Council of State announced a ruling ('*Programma Aanpak Stikstof* (PAS)) affecting the Dutch construction market, both residential and non-residential. From 29 May 2019 until 10 October 2019, local authorities were not allowed to issue new building permits, and this had a strong impact on building activity during this time but also in the short term, affecting output in 2020. New residential completions, therefore, were already expected to decline in 2020, as well as 2021, due to decrease in new building permits issued in 2019, even before the nitrogen ruling, as well the effects of the nitrogen ruling over the summer of 2019. Due to the nitrogen ruling, many new building permit applications were not processed for around four months and, even today, due to this ruling, new building application will take much longer than before.

Housing RMI

The largest share of bathroom accessories is sold into the housing RMI sector and this is no surprise given the relatively low lifespan of these products, which can be replaced as often as every three years. Also, when the macroeconomic climate is relatively good, homeowners are willing to renovate or upgrade their houses and this segment develops better than the construction market does. Replacement sales, including accessories used during full bathroom renovations, in general, falls and rises in line with the other traditional bathroom markets. That being said, the market can benefit from longer periods of slow growth as accessories are used to cheaply update a bathroom look and postpone a full renovation to a later date. This is a relatively low cost or cheap way to change or update a bathroom.

In 2020, growth on the Dutch bathroom accessories market was entirely the result of strong demand coming from the housing RMI sector, since sales to the other two end-use segments declined in 2020. Like sales of taps and mixers, sales of bathroom accessories to housing RMI sector rose exponentially in 2020, driven by an increase in the number of home improvement projects, particularly benefiting DIY sales, as well higher like-for-like replacement demand due to the measures implemented to tackle the COVID-19 pandemic. The Netherlands, unlike most neighbouring countries, never went into full lockdown in 2020 and only entered a so-called 'intelligent lockdown', with the Dutch government simply urging people to leave their homes as little as possible and work from home. This has thus benefited bathroom accessories sales throughout 2020 since homeowners spend a lot more time indoors, with more free time becoming available due to not having to commute to the work and not going on (international) holidays, and money that would normally be spent on (international) holidays being used on home renovations projects.

Non-Housing

The non-housing market for bathroom accessories, as with taps and mixers and CSW, has been under pressure for several years, largely due to strong fluctuations in new non-residential construction output over the years. That being said, and as with taps and mixers, demand relies slightly more on like-for-like replacement demand, and less so on new construction, since the lifespan of the latter is significantly less, meaning it is more often replaced. Most of the accessories counted in this segment are 'toilet accessories', as they are installed principally in offices, public buildings and in the '*horeca*' sector (hotels, restaurants and cafés). Average prices in non-housing are higher when compared to the residential market, since businesses opt for quality products that represent a certain standard. Bathroom accessories' sales are predominantly aimed at commercial, retail and office buildings and less so at healthcare and educational buildings.

Bathroom accessories' sales to this end-use sector continued to decline further in 2020, for the second consecutive year, largely due to a decline in construction output of commercial buildings, combined with the impact of COVID-19 on like-for-like replacement sales. Like the impact on sales of taps and mixers in 2020, with

many people working from home, sanitary facilities in offices and public places, were less often used, combined with the fact that during a long-extended period many hospitality buildings were forced to close, affecting like-for-like replacement sales in 2020, and most likely also in 2021. The number of new and refurbished hotel rooms particularly dropped, to around 7,900 hotel rooms, indicating a decline of over 31%, declining for the second consecutive year. Sales to healthcare and educational buildings, when compared to hospitality buildings, performed better in 2020, largely driven by an increase in sales to healthcare buildings (+5.7%), although sales to educational buildings (-4.8%) declined. New commercial building declined only marginally, largely affected by the drop in new building permits in 2019, affecting the construction of shops.

Due to the COVID-19 pandemic, the outlook for commercial buildings remains bleak, especially in comparison to office, healthcare and educational buildings, since it relies on revenues from the tourism sector. The construction of office buildings should benefit from the fact that a number of businesses and organisations have moved their offices from London to Amsterdam due to 'Brexit'.

Supply Structure

Even though there is a strong presence of foreign supply within the Dutch bathroom accessories market, it is still being led by domestic suppliers TIGER, HACEKA and GEESA. Nevertheless, the largest part of the volume of bathroom accessories is imported. Traditionally, German manufacturers (GROHE, HANSGROHE, KEUCO, EMCO, DORNBRACHT and HEWI) hold strong positions in the sanitary market. German products are known for solid quality, although in comparison to French or Italian products, German products are sometimes thought to lack design or style.

The market continued to be led by TIGER, part of CORAM. TIGER is a Dutch based company that does not actually manufacture any goods or accessories itself but imports them from a variety of sources from all over the world. TIGER mainly focuses on the economy to middle price segments and TIGER's products can mainly be found in leading DIY chains, such as GAMMA and PRAXIS but also bathroom retailers, including BADERIE and SANIDRÖME.

Most of IKEA's bathroom accessories are manufactured in the Far East, where IKEA has long-term manufacturing relationships. IKEA products are known to be very colourful, often made out of synthetics, and thus the prices of the different accessory series are estimated to be below average.

HACEKA is one of the oldest Dutch metal manufacturers and the second largest player on the Dutch bathroom accessories market. HACEKA, mainly sold through the DIY stores and professional retailers, no longer produces all of its own products, as part is sourced from OEM suppliers, although the best-selling categories are still produced or assembled domestically.

GEESA B.V. is the second strongest domestic manufacturer and produces all its goods entirely in the Netherlands. GEESA is the market leader in the professional segment and is a contractor favourite as it is often prescribed for building projects.

PLIEGER is one of the leading sanitary wholesalers in the Netherlands and is well known for labelling and packing imported products. The brand PLIEGER (normally sold under the "EXCLUSIF" label) has a good reputation for quality and value. PLIEGER also sells German and Italian brands, among others.

The Dutch department stores HEMA and BLOKKER have large sales of accessories, too, but these are included in 'Others' as their products are often unbranded and mostly imported from the Far East. Their products can be considered partly OEM and partly "Own Label".

Other suppliers include, amongst others, the German ZACK, the Swiss PETRELLI and the DIYs' private labels, including PRAXIS' AQUAVIVE and BASELINE range of bathroom accessories.

Forecasts

The year 2021 should bring a moderately negative market development for the Dutch bathroom accessories market, a reversed trend compared to developments seen on the market in 2020, with astonishing growth recorded, across all segments. Market drivers for bathroom accessories, including the negative ones, should be similar to those affecting the market for shower accessories, both having similar distribution patterns, relying on DIY and online sales.

The overall market is set to decline, in both volume and value, largely the result of the closure of non-essential stores, especially DIY stores on which shower accessories' sales rely heavily, as with most other segments of the Dutch bathroom market. Given that over 30% of bathroom accessories, slightly lower compared to shower accessories, are sold via the DIY channels in the Netherlands. DIY sales have suffered immensely in 2021 so far, with sales down, each month, since late December, down by -14%, -45% and -36% between December 2020 and February 2021, and March and April are not expected to be any better. Changing distribution patterns, especially growth in e-commerce sales, should avoid a steeper market decline. Like stated previously, e-commerce had already been on the rise well before the COVID-19 pandemic, but the pandemic boosted sales even further, with pure online up by +26% and multichannel online up by +68% in 2020, and it should continue to outperform traditional sales channels, with total online sales set to grow by +15% for 2021. Bathroom accessories, as are shower accessories, are better suited to be purchased online, especially in a market characterised by downtrading with consumers looking for lower priced products, predominantly in online stores.

The declining RMI market is predominantly to be blamed for the expected poor market climate in 2021. The reason behind this expected development is threefold. Firstly, the strong performance in 2020, benefiting from measures implemented to contain the spread of COVID-19, resulting in a strong upsurge in DIY related jobs,

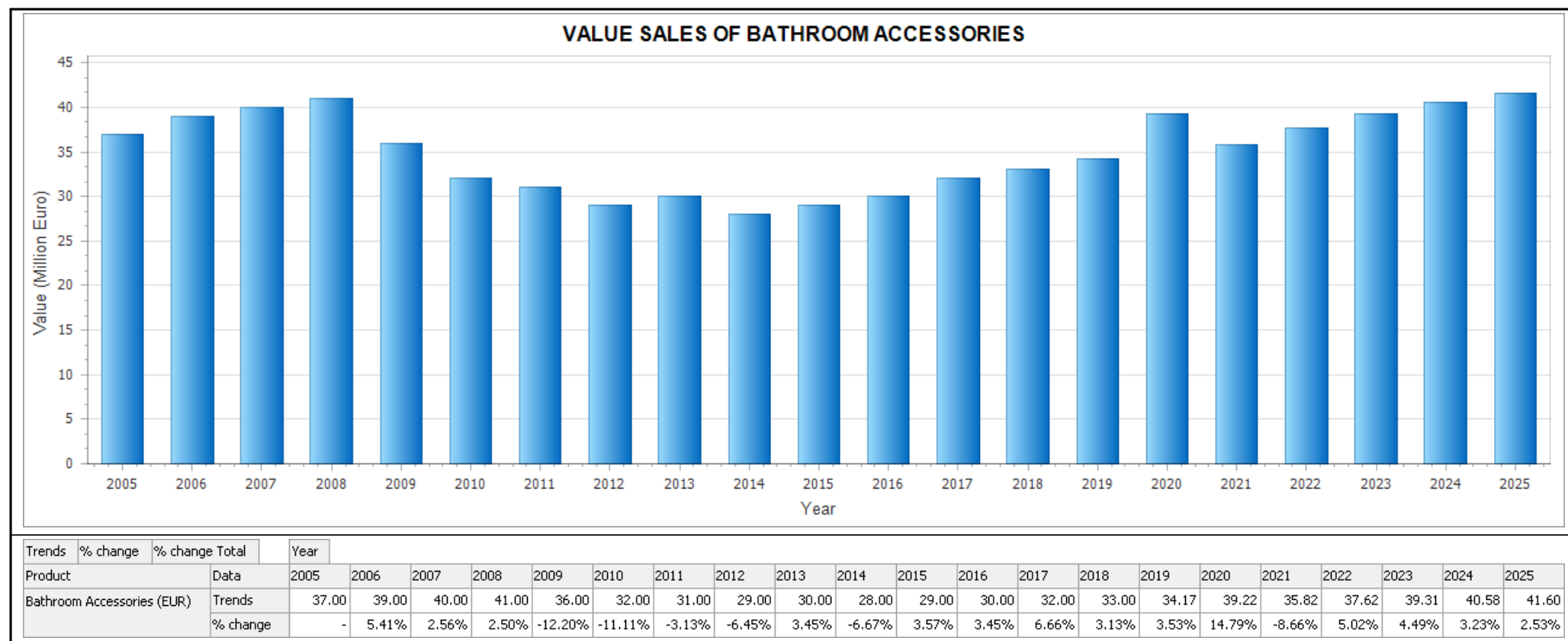
which probably reached artificially high levels of sales, meaning a general decline was already anticipated for 2021. Secondly, the closure of DIY stores for nearly months, from December 2020 to the end of April 2021, affecting RMI sales more than new build sales, despite having a very low share, since construction will continue to take place. Thirdly, once lockdown measures have been lifted and things go back to 'normal', or as normal as possible, it is likely that consumers will increasingly spend their money on travel or leisure activities rather than home renovation projects, especially given that most of these activities were rather limited in 2020.

The Dutch construction market is likely to have a marginal effect on the bathroom accessories market, from the short to long term. New build demand should weaken further for 2021 but show strong recovery from 2022 onwards. The decline in new build output in both 2020 and 2021 was already anticipated, not relating to COVID-19, but affected due to the effects of the nitrogen crisis on the new building permit applications in 2019, also affecting non-residential construction output. Non-residential sales demand, especially when expressed in value, is not expected to develop well, especially due to its reliance on the hospitality sector. The strong decline in new hotel completions expected for 2021 will have a strong negative impact on sales. The pandemic has had a strong impact on the revenues of hotels, as well as all other types of hospitality buildings, with many investment plans now having been put on hold or cancelled, which will affect construction output in coming years, reaching historical low levels in 2021. Sales to healthcare buildings, mostly in the short term, will be affected by the COVID-19 pandemic, resulting in lower investments in 2021, but should see more strong growth from 2022 onwards, but educational should suffer across the entire forecast period.

The replacement of bathroom accessories in existing dwellings is expected to have a stronger impact on sales developments in coming years than sales to the other two end-use segments. This can be explained by the nature of these products, which have relatively short lifespans and are more frequently replaced than ceramic sanitary ware, for example. The expectations for the market as a whole are much more positive in the long term, as it will benefit from the improving housing market and delayed RMI demand from. Bathroom accessories are often replaced, particularly toilet brushes, soap holders, toilet paper holders and bars/hooks, when consumers move into a new dwelling. *Beyond 2021*, while further value growth is expected, when looking at the total market value a decrease is noticeable, due to international players disrupting domestic market prices. With more Asian market players continuing to enter the Netherlands, further price drops are inevitable. As such, the market is certainly increasing in volume, but values are dropping as most consumers are enticed by cheaper bathroom accessory options.

6.2 Historical Trends and Forecasts

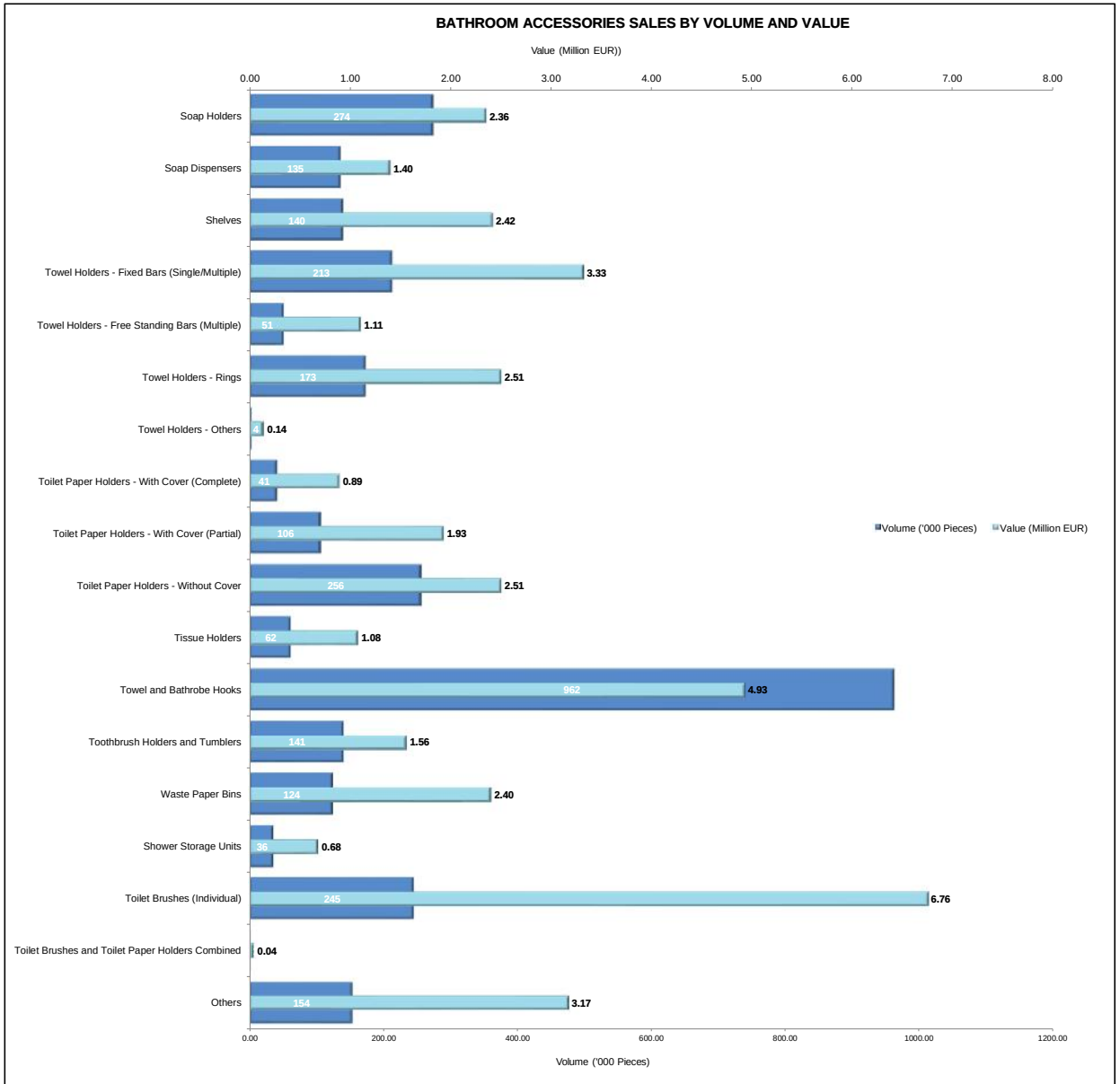
NL - SUMMARY OF TRENDS IN THE BATHROOM ACCESSORIES MARKET : HISTORICAL AND FORECASTS (MILLION EURO)



Source: BRG based on industry interviews.

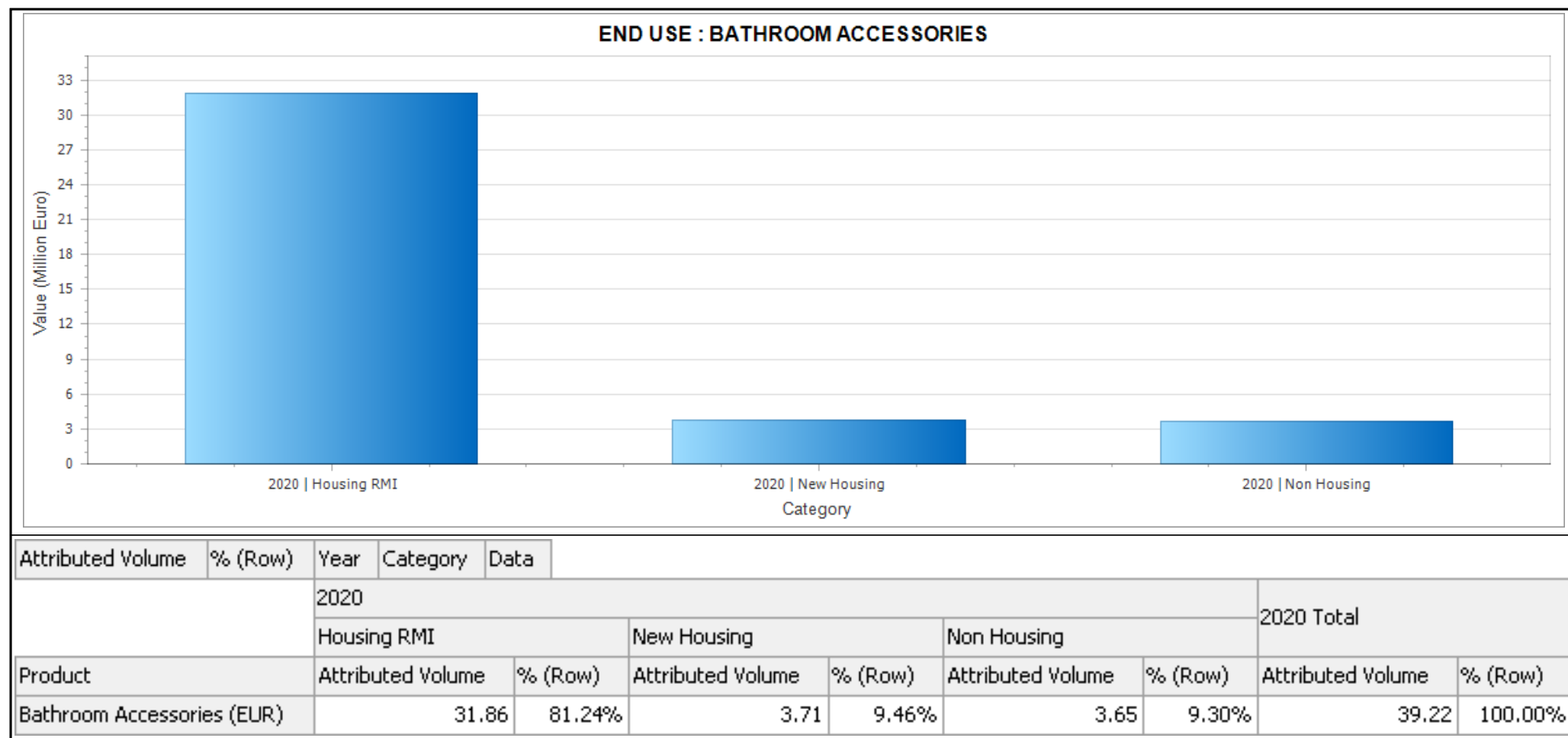
Market Value		2020	
		Volume ('000 Pieces)	Value (Million Euro)
Soap Holders	Volume / Value	274.1	2.4
	Share	8.8%	6.0%
	Average Price (EUR)		8.6
Soap Dispensers	Volume / Value	135.4	1.4
	Share	4.3%	3.6%
	Average Price (EUR)		10.3
Shelves	Volume / Value	139.6	2.4
	Share	4.5%	6.2%
	Average Price (EUR)		17.3
Towel Holders: Fixed Bars (Single/Multiple)	Volume / Value	213.1	3.3
	Share	6.8%	8.5%
	Average Price (EUR)		15.6
Towel Holders: Free Standing Bars (Multiple)	Volume / Value	51.4	1.1
	Share	1.6%	2.8%
	Average Price (EUR)		21.5
Towel Holders: Rings	Volume / Value	173.0	2.5
	Share	5.5%	6.4%
	Average Price (EUR)		14.5
Towel Holders: Others	Volume / Value	3.8	0.1
	Share	0.1%	0.4%
	Average Price (EUR)		37.2
Toilet Paper Holders: With Cover (Complete)	Volume / Value	41.4	0.9
	Share	1.3%	2.3%
	Average Price (EUR)		21.6
Toilet Paper Holders: With Cover (Partial)	Volume / Value	106.4	1.9
	Share	3.4%	4.9%
	Average Price (EUR)		18.2
Toilet Paper Holders: Without Cover	Volume / Value	256.5	2.5
	Share	8.2%	6.4%
	Average Price (EUR)		9.8
Tissue Holders	Volume / Value	62.0	1.1
	Share	2.0%	2.7%
	Average Price (EUR)		17.4
Towel and Bathrobe Hooks	Volume / Value	962.3	4.9
	Share	30.8%	12.6%
	Average Price (EUR)		5.1
Toothbrush Holders and Tumblers	Volume / Value	140.6	1.6
	Share	4.5%	4.0%
	Average Price (EUR)		11.1
Waste Paper Bins	Volume / Value	124.4	2.4
	Share	4.0%	6.1%
	Average Price (EUR)		19.3
Shower Storage Units	Volume / Value	35.9	0.7
	Share	1.2%	1.7%
	Average Price (EUR)		19.0
Toilet Brushes (Individual)	Volume / Value	245.4	6.8
	Share	7.9%	17.2%
	Average Price (EUR)		27.5
Toilet Brushes and Toilet Paper Holders Combined	Volume / Value	.9	0.0
	Share	0.0%	0.1%
	Average Price (EUR)		46.5
Others	Volume / Value	153.6	3.2
	Share	4.9%	8.1%
	Average Price (EUR)		20.7
TOTAL	Volume in '000/Value in Million	3 119.9	39.2
	Share	100.0%	100.0%
	Average Price (EUR)		12.6

Source: BRG based on industry interviews
N.B. Prices Shown at MSP (= Manufacturers' Selling Price).



6.4.1 End Use : Base Year

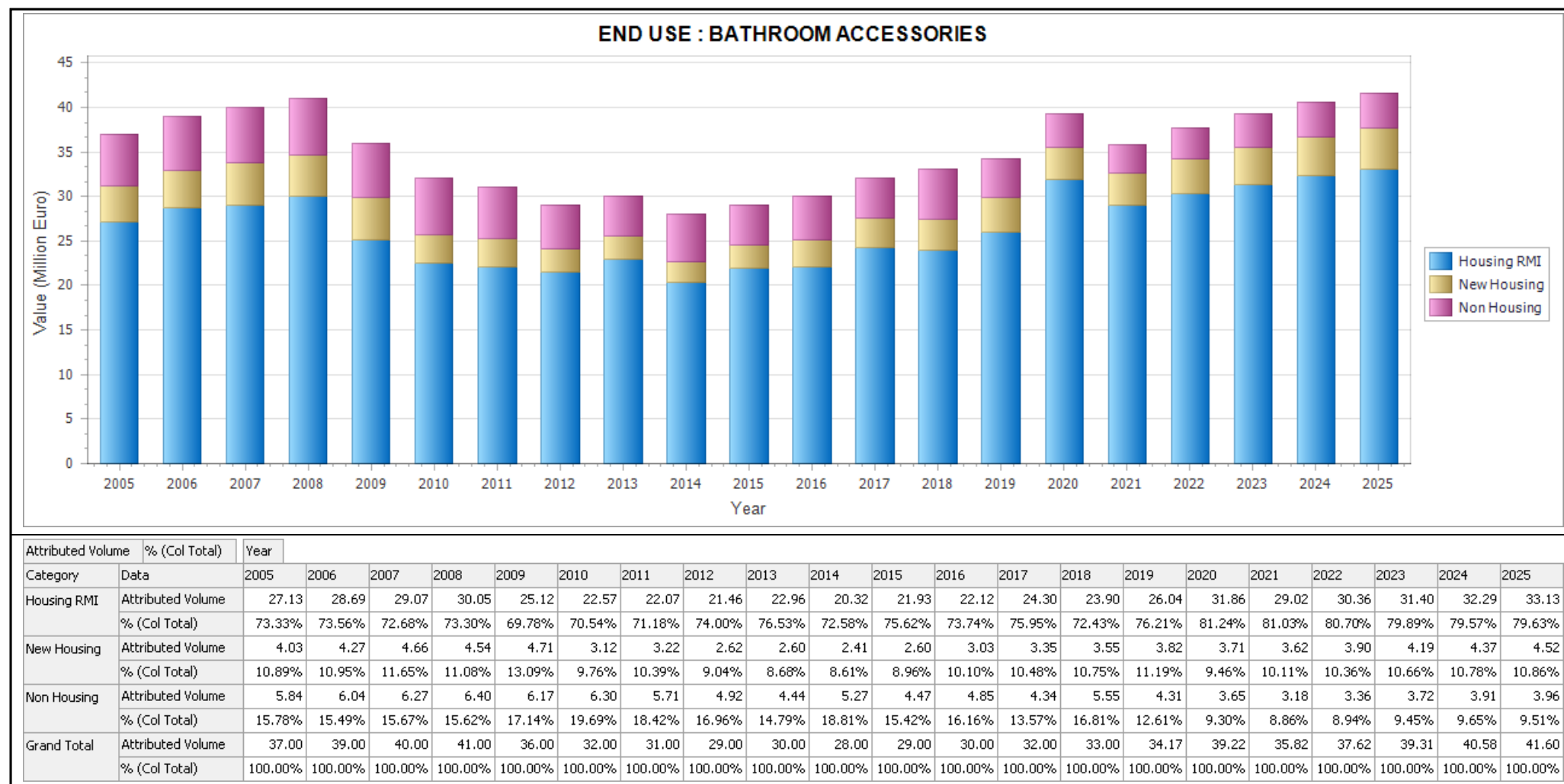
NL - SALES OF BATHROOM ACCESSORIES BY END USE SEGMENT (MILLION EURO)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.2 End Use : Historical and Forecasts

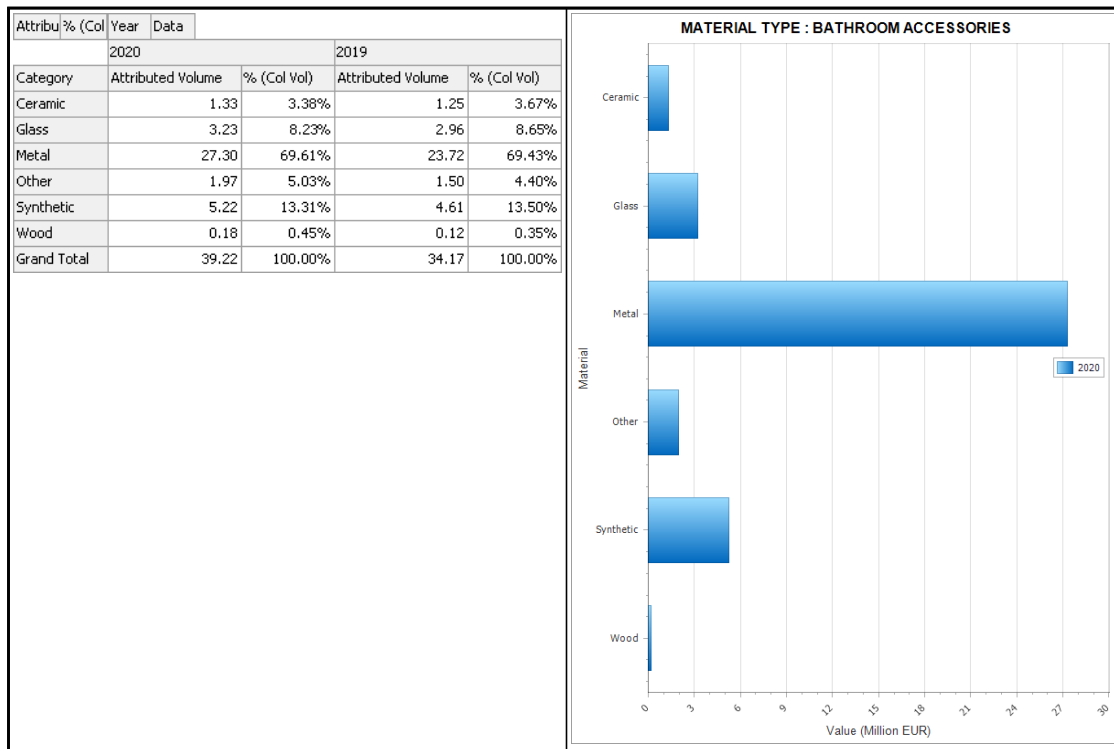
NL - SALES OF BATHROOM ACCESSORIES BY END USE SEGMENT (MILLION EURO)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.3 Sales by Type of Material : Bathroom Accessories

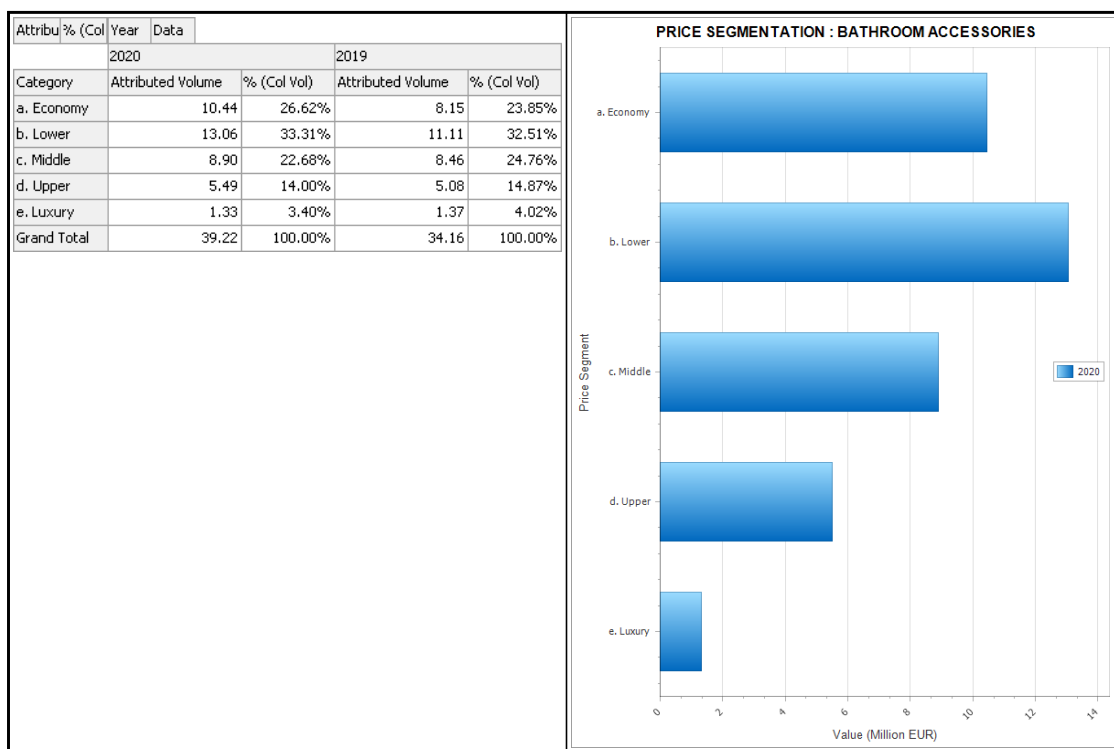
NL - BATHROOM ACCESSORY SALES BY MAIN MATERIAL TYPE (MILLION EUR)



Source: BRG based on industry interviews

6.4.4 Sales by Price Segment : Bathroom Accessories

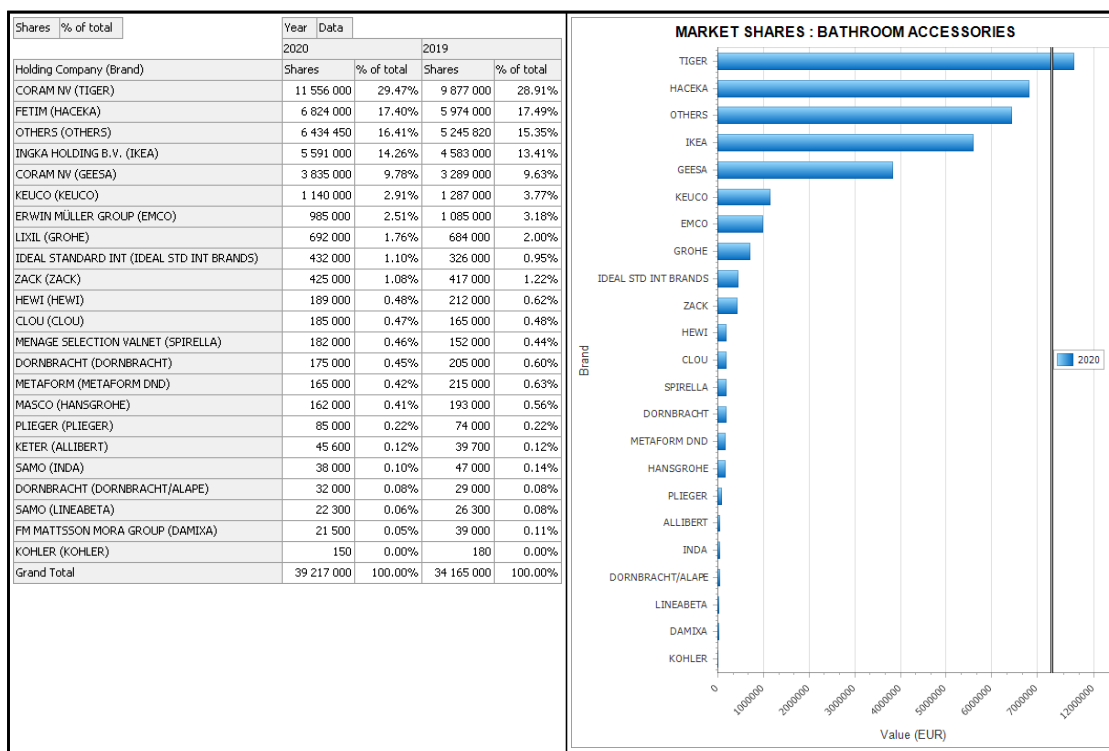
NL - BATHROOM ACCESSORY SALES BY PRICE SEGMENT (MILLION EUR)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.5 Market Shares : Bathroom Accessories

NL - ESTIMATED MARKET SHARES FOR BATHROOM ACCESSORIES (EUR)



Source: BRG based on industry interviews.

6.6.1 Route to Market: Bathroom Accessories (EUR)
NL - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES (EUR): 2020

Manufacturer / Importer

Manufacturers / Importers

100.0%

Wholesale Level

30.6%

Wholesalers / Merchants

30.6%

Retail Level

Manufacturer

Wholesaler

9.8%

8.6%

Internet Retailers

18.4%

Manufacturer

Wholesaler

28.8%

4.5%

DIY Retailers

33.3%

Manufacturer

Wholesaler

29.9%

12.7%

Specialist Retailers

42.6%

Manufacturer

Wholesaler

Internet

DIY

Specialist

0.8%

2.4%

2.2%

1.7%

3.2%

Installers

10.3%

End Use Level

Manufacturer

Wholesaler

Internet

DIY

Specialist

Installer

0.0%

1.8%

15.0%

30.8%

38.8%

4.2%

Residential

90.7%

New Build

9.5%

Project

Non-Project

1.8%

7.7%

Residential RMI

81.2%

Project

Non-Project

3.6%

77.6%

Manufacturer

Wholesaler

Internet

DIY

Specialist

Installer

0.0%

0.6%

1.2%

0.8%

0.6%

6.1%

Non-Residential

9.3%

New Build

3.5%

Project

Non-Project

2.8%

0.8%

Non-Residential RMI

5.8%

Project

Non-Project

2.4%

3.3%

6.6.2 Route to Market: Bathroom Accessories (EUR)
NL - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES (EUR): 2025

Manufacturer / Importer	<table><tr><td colspan="5">Manufacturers / Importers</td></tr><tr><td colspan="5">100.0%</td></tr></table>					Manufacturers / Importers					100.0%																																																																																																											
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Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

6.6.3 Route to Market - Consolidated View : Bathroom Accessories

NL - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES : 2020

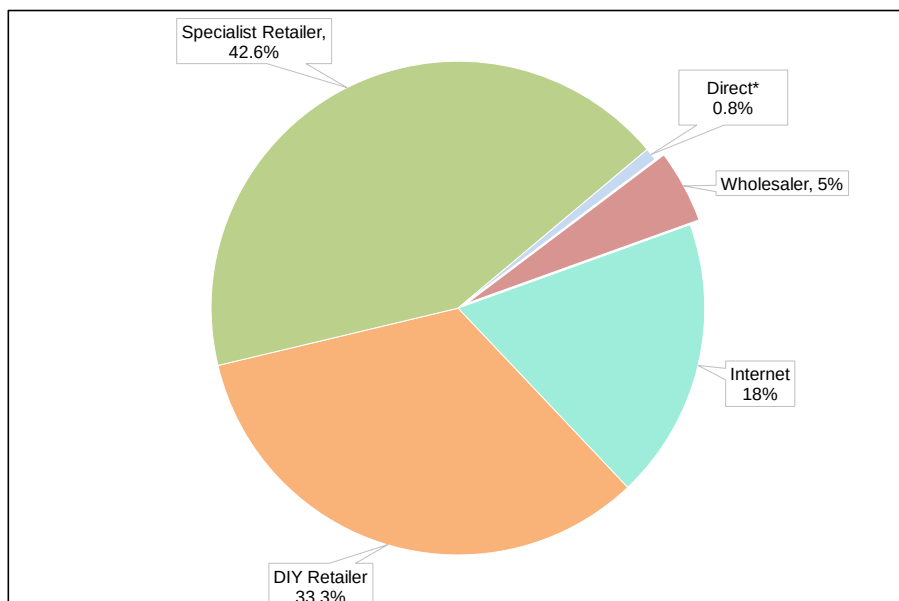
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
4.8%	18.4%	33.3%	42.6%	0.8%	5.4%	5.2%	85.3%	4.1%
100%					10.6%		89.4%	

6.6.4 Route to Market - Consolidated View : Bathroom Accessories

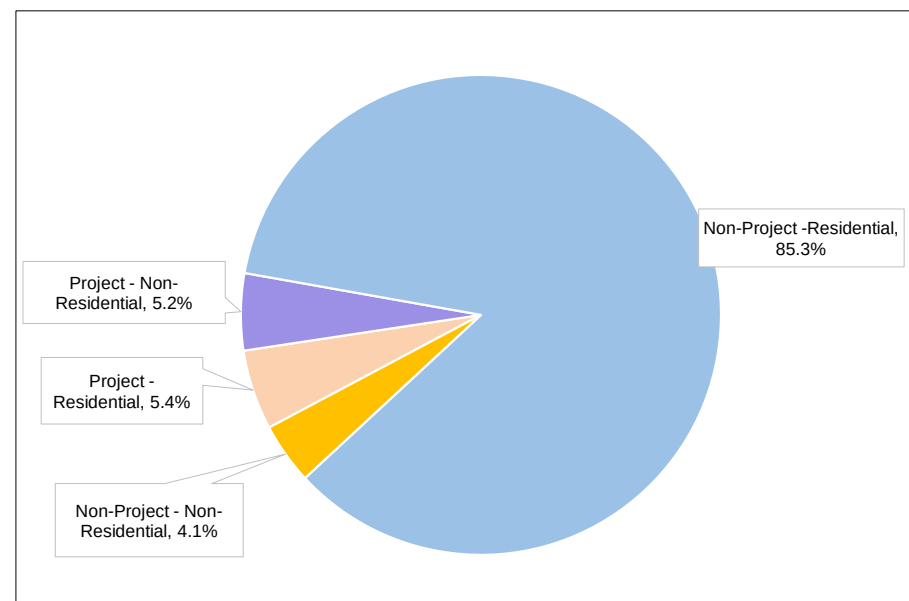
NL - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
4.6%	25.5%	30.9%	38.1%	1.0%	6.0%	5.3%	84.5%	4.2%
100%					11.3%		88.7%	

NL - SALES OF BATHROOM ACCESSORIES BY DISTRIBUTION CHANNEL: 2020



NL - SALES OF BATHROOM ACCESSORIES BY POINT OF DECISION AND END-USE SECTOR: 2020



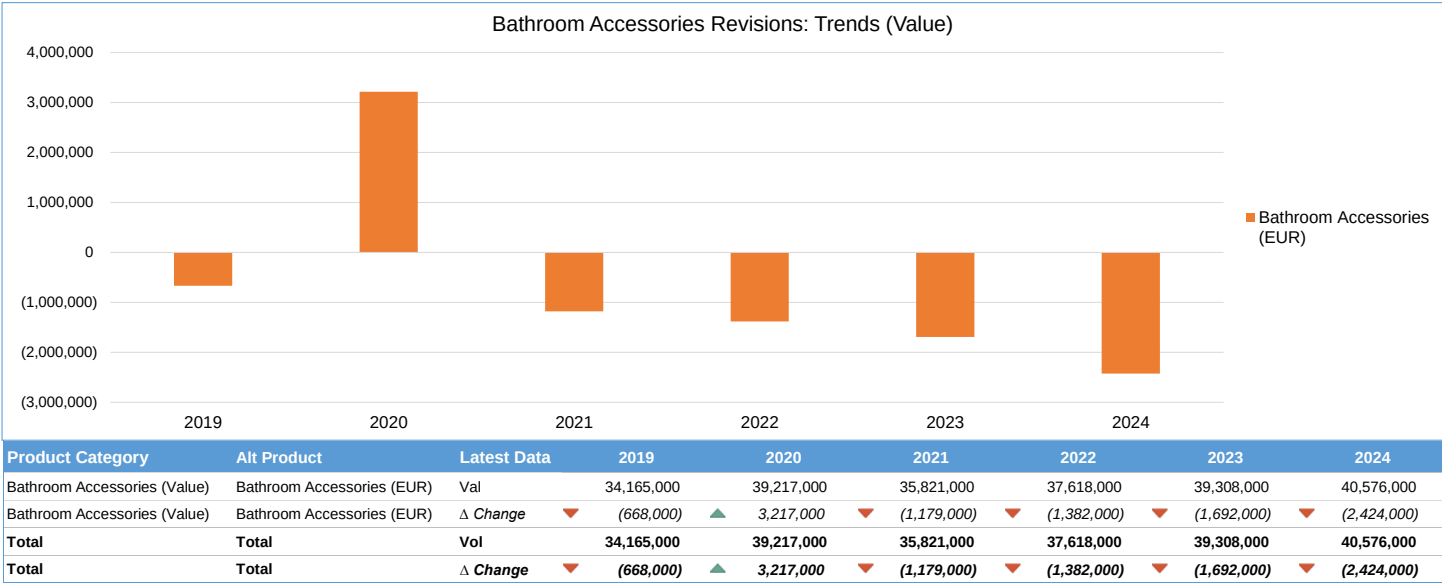
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

6.7 Revisions in the Dutch Bathroom Accessories Market (April 2021)

NL - REVISIONS IN THE DUTCH BATHROOM ACCESSORIES MARKET

Data Comparison: October 2020



A minor downward revision was made to the market size for bathroom accessories, in turn due to the fact there was a decline in Chinese imports in 2019, affecting the overall market size.

NETHERLANDS

SHOWER ACCESSORIES

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

In the Netherlands, shower accessories are often sold in sets, consisting of a shower head, flexible hose and support. Such sets are predominantly sold through DIY stores and, to a lesser extent, online retailers. The overall market for shower accessories is influenced by fluctuations in sales of most other shower products, such as shower trays and wet shower rooms, as well as hydrotherapy to a certain extent.

The most popular type of shower head on the Dutch market is the adjustable shower head, accounting for almost three quarters of the market. Another common type is the single function shower head; these are generally cheaper than the adjustable types, which is the main advantage for consumers with a limited budget. Fixed shower heads are mainly used for non-residential applications; these are often installed in swimming pools, gyms and other sports centres, but also find their way into budget hotels. Fixed side jets are only sporadically sold. Shower pipes, as first introduced by HANSGROHE, have been gaining a significant market share in recent years. BRG defines a shower pipe as a shower consisting of two shower heads (an overhead shower and a hand shower), a shower support and a (thermostatic) mixer. When there is no mixer, or a one head mixer, included in the set, this is not considered to be a shower pipe set. This product is especially prevalent in the DIY segment.

It is rather difficult to estimate the type of material used for flexible hoses, as many hoses are made of a combination of plastic and metal; however, the share of plastic has been growing steadily over the past few years. Nonetheless, most sales still consist of metal hoses, and all leading players offer these types. The flexible hoses come in different colours, such as chrome and white, and different lengths, of which the most popular ones are either 125 cm, 150 cm or 200 cm.

In terms of shower supports, there are two products found in the market: holders and bars. Generally, bars have become increasingly popular in the Netherlands over the last few years. Most bars are equal to or shorter than 90 cm. Nevertheless, a trend can be seen towards shower bars longer than 90 cm, which can be attributed to the increasing number of luxury showers installed in recent years.

Shower panels are a relatively new market and have existed in the Netherlands since 1995. They were introduced by the German manufacturer HANSGROHE. The shower panel market grew steadily over the first decade after its introduction, as these products are a relatively cheap way to upgrade a shower and can be installed easily. In recent years sales have fallen drastically, and the market is only a fraction of what it was in 2006.

Recent Market Trends

Shower accessories' sales surged in 2020, witnessing extraordinary growth rates, on the back of challenging trading conditions due to the COVID-19 health crisis. As with all other small bathroom related items, such as accessories and furniture, the market for shower accessories in the Netherlands actually reaped the benefits from the lockdown measures, an 'intelligent lockdown' as referred to by the Dutch government, since this resulted in more time spent indoors, leading to an uptake in small to large home renovation projects. Shower, but also bathroom, accessories are less influenced by uncertain times, either for economic or any reason such as a health pandemic, since these products are considerably more affordable and not overly dependent on full bathroom renovations and/or upgrades.

The sales trends for shower accessories in 2020 were similar to those seen on the market for bathroom accessories and mixers, all showing amazing strong growth rates. Measures to tackle the COVID-19 crisis, as enforced by the Dutch government as of March 2020, particularly had a positive effect since a lot more time was spent indoors, benefiting the market for shower accessories as it did for furniture and fittings. Predominantly affecting DIY sales positively, which prospered in 2020, with DIY sales up by +22%, it actually resulted in homeowners becoming more involved in smaller home improvement projects, by, for example, replacing accessories in a way to 'redecorate' the bathroom, since employees did not need to commute to the office and could (for most of the year) not travel abroad, meaning more time and money became available to spend on their bathrooms.

Sales of shower accessories, especially shower heads, are benefiting from the fact that many investments are made in showers, as opposed to baths, also reaping the rewards from the 'bath-out, shower-in' sales trend. Larger shower areas, larger shower heads, including rain showers, the more extensive use of colours and shapes, whilst thriving for the ultimate shower experience, are just a few examples that are currently shaping the shower market in the Netherlands. Additional money that became available because holiday plans were cancelled, due to limitations on international travel, and money was also saved since employees did not need to travel to work, was increasingly spent on bathroom related items, including accessories. As with bathroom accessories, shower accessories are most likely the perfect way, and probably also most affordable way, to make a bathroom look 'new and refreshed' by simply replacing old accessories, a new paint job or by adding new accessories. Indeed, in many cases, both shower and bathroom accessories are used as a more economical way of renewing the overall look of the bathroom.

When looking at the individual product segment, conventional shower accessories, including shower heads and hoses, outperformed the other segments, by showing more significant growth. Shower panels were the only segment that declined, continuing the trend from previous years, and this segment will mostly disappear over the next decade or so. Shower pipe sales developed favourably, in line with growing demand for these shower systems. Prices, in general, have been declining since more players have entered the market, including DIY players.

Prices and Market Values

Shower accessories, especially shower heads, are available in many different prices and price ranges and sold across a wide range of different types of retailers, from your typical DIY store, like PRAXIS and GAMMA, to luxury bathroom retailers to your local supermarket, which are all selling shower accessories in a wide price range, from economy to luxury.

Changing distribution patterns, as seen in 2020 for example, have been affecting price developments in recent times and average prices have been increasingly subject to changes over the past few years. As the competition for shower accessories becomes fiercer, prices have been dropping. This is not only caused by German manufacturers that put more pressure on prices but also by international players that enter the Dutch market. Most products are sold into the economy/lower priced segment, although a shift has been seen towards the middle price range. This is because demand is increasing for more luxurious and ergonomic solutions, such as the rain shower, which come at more expensive prices. The market is expected to become more saturated in terms of market players but distribution patterns may still change further, such as online sales, causing prices to drop slightly due to several reasons. Greater competition leads to aggressive pricing strategies, especially for sales in the DIY sector. Moreover, shower accessories can easily be purchased online, and installed by the average consumer.

Discounting shower pipes and panels, the MSPs for all conventional shower accessories declined in 2020. Given that average prices for most products continued to increase, due to rising raw material and labour costs, price developments were affected by changing distribution patterns, away from the professional channel in favour of RMI sales. Indeed, DIY sales developed remarkably well in 2020, with DIY sales up by over 20%, which resulted in average prices decreasing since most products sold in DIY are significantly lower priced compared to the ones seen in bathroom retailers, or even in online stores.

New Housing

The overall market for shower accessories is not overly dependent on new dwelling construction and its importance has even weakened more in recent years, mostly because the market developed in favour of RMI sales. In the Netherlands, many dwellings consist of a separate bath and shower area and, therefore, the share of shower heads is higher than the average number of dwelling completions as both the bath and shower areas have a separate shower head. Full shower sets are probably the most common products to be installed, with a shower head, hose and support, sometimes with an additional rain shower, which is the reason that sales of shower heads are higher in this segment. Shower pipes, in particular, have rapidly been gaining share, mostly in owner-occupied dwellings, not in social housing. The growing share of shower pipes in the new build segment, since these sets have two shower heads, leads to a faster growth rate of sales of shower heads

than overall new build activity.

New housing sales declined slightly in 2020, following the decline in new construction output, although the overall decline was rather marginal. This decline was mostly the result of the nitrogen crisis, and less so because of the COVID-19 pandemic. From 29 May 2019 until 10 October 2019, local authorities were not allowed to issue new building permits, and this had a strong impact on building activity during this time but also in the short term, affecting output in 2020. New residential completions, therefore, were already expected to decline in 2020, as well as 2021, due to a decrease in new building permits issued in 2019, even before nitrogen ruling, as well the effects of the nitrogen ruling over the summer of 2019.

Within the product mix, the share of shower heads has been rising almost consistently, which is mostly due to the relatively fast uptake of shower pipes, consisting of two shower heads, negatively affecting the share of the other three segments. As with the overall market, the new build market for shower accessories is developing in favour of larger and more luxurious showers, including more spacious shower areas but also larger shower heads and rain showers. The convenience of a fixed shower head, like the ones in a shower pipe system, since it breaks less frequently, combined with a separate hand shower is particularly preferred, especially when having younger kids and pets.

Housing RMI

Over the years, activity in the renovation market often plays somewhat of a cushioning role on shower accessories' sales in the Netherlands, as seen after the banking crisis of 2009, with average fluctuation in sales volumes being fairly modest compared to other segments of the market, including mixers and furniture. All-in-all, the housing RMI segment continues to be the dominating segment for sales of shower accessories in the Netherlands. Shower accessories are typical replacement products and, therefore, demand from housing RMI has a significantly higher share when compared to the other two end-use segments. Growth rates, however, have been erratic over the last decade, developing quite differently from other mature markets, including taps and mixers, largely being affected by developments on the housing market, consumer confidence and housing transactions. The latter, in particular, benefits demand for shower accessories since sales of existing dwellings trigger the number of home movers and combined with the move of home, refurbishment or renovation might take place.

Flexible hoses have the highest share, due to the lifespan of these products being significantly shorter compared to shower heads, and shower supports and shower pipes having the lowest share. That being said, the gap between shower heads and flexible is closing since shower heads have been gaining share, in turn due to rising penetration of shower pipes but also because fixed shower heads are increasingly preferred, including rain shower heads installed in ceilings, but also concealed shower installations. Shower accessories have, to a certain extent, benefited by the 'bath-out, shower-in' trend, which are increasingly fitted with a

hand and overhead shower, but also since many homes have seen an uptake in a separate baths and showers.

Trends seen on the market over the last decade, also noticeable in new build sales, are in favour of larger shower heads, combined with larger showering areas, as well a general uptake in the use of colours and shapes, hydromassage jets, side and back jets, infrared and chrome/light therapy. The Dutch shower head market is no longer purely dominated by low-priced products, sold in large quantities in DIY, but has evolved in favour of more sophisticated products.

Housing RMI sales, including both full bathroom renovations and like-for-like replacement sales, developed exceptionally well in 2020, especially in Q3 of 2020. The 'intelligent lockdown' measures resulted in a strong increase in smaller to larger home renovation projects throughout 2020, although a decline was recorded in December 2020 following the closure of non-essential stores. Since more time was spent at home, because of social distancing but also due to the closure of hospitality buildings, including bars and restaurants, for a limited time and not needing to travel to work meant people had more time at hand to work on any type of (home) renovation project.

Non-Housing

Sales to non-residential buildings, both new build and RMI, have been under pressure for a long time now, characterised by erratic developments, with strong fluctuations in sales across most years. Shower accessories, especially new build sales, are dependent on large construction projects in healthcare and educational buildings but also in the hotels and similar establishments. Educational buildings, in particular, rely on large construction projects, especially the ones carried out by universities and research institutes, which can have a fair number of showers installed, whereas hotels rely much on hotel room renovations. Most shower accessories are installed in hospitality buildings but also in public sports facilities, including schools, universities, leisure centres and gyms, with the latter subsectors using mostly fixed shower heads.

Demand for shower accessories for non-residential application suffered strongly in 2020, for the second year in a row, with total new non-residential construction output in 2020 some 40% below its 2007/2008 peak. Sales to the non-residential sector should continue to struggle in the short term. Due to the COVID-19 pandemic, the outlook for commercial buildings remains bleak, especially in comparison to healthcare and educational buildings, since it relies on revenues from the tourism sector.

In 2020, the number of new and refurbished hotel rooms dropped to around 7,900 hotel rooms, indicating a decline of over 31%, declining for the second consecutive year. Many of these new hotels were opened in the larger cities, including Amsterdam which included the 'Rosewood Hotel Prinsengracht' (140 rooms), the 'Hotel nhow Amsterdam RAI' (650 rooms), the 'Hard Rock Hotel Amsterdam American' (173 rooms), the 'Van Der Valk Hotel Amsterdam Zuidas' (234 rooms)

and the 'INTEL' (300 rooms). Sales to healthcare and educational buildings, when compared to hospitality buildings, performed much better in 2020 largely driven by an increase in sales to healthcare buildings (+5.7%), although sales to educational buildings (-4.8%) declined, but was not enough to counterbalance the decline in sales to hotels.

Supply Structure

Supply of shower accessories, especially shower heads, is very similar to the overall supply of taps and mixers, most notably bath and shower mixers, with the most notable difference being that DIY players have a much higher share. Many manufacturers offer their shower accessories in sets, which contain a shower head, flexible hose and support (often a bar). This means that most manufacturers are active in all three market segments; however, the sales ratio of shower head to flexible hose varies widely per manufacturer.

As with bathroom taps and mixers, GROHE also dominates the market for shower accessories, including shower pipes (commonly referred to as 'shower systems'). Like with taps and mixers, GROHE is well-known for providing shower accessories at a very good price-quality ratio, benefiting from its strong brand image, and wide distribution network. GROHE is strong in both the professional and DIY market sectors, for which it has developed a separate product range, but its market share in the professional sector is significantly higher compared to DIY. GROHE has recently launched the GROHE X, a digital platform for both professional and private consumers.

The share of private label, as well as unbranded items, is high in the Netherlands, having gained share rapidly over the last 15 years. This is evident in the DIY sector but also in the specialist retail segment, which for shower accessories include a wide variety of stores, from bathroom showrooms to discount stores, from supermarket to department stores. Dutch department stores, such as HEMA and BLOKKER, but also discount stores, including ACTION, XENOS and QUANTUM, sell large quantities of accessories. However, their sales are included in 'Others', as their products are often unbranded and mostly imported from the Far East.

DIY stores mostly sell their own 'house' brands, including both INTERGAMMA and MAXEDA, and DIY remains very important for shower accessories, especially for like-for-like replacement sales. More recently, from 2010 onwards, supply has shifted in favour of private label sales, away from leading brands, and supply to DIY stores have therefore changed. MAXEDA replaced most leading brands, most notably PLIEGER, in 2010 and replaced it with its own range of products, sold under the AQUAVIVE, AQUAZURO and BASELINE ranges. GAMMA also sells a lot of models under several private label ranges, including ATLANTIC, OK, ABSOLUT, AQUALINO and HANDSON. More than half of all brands offered are today accounted for by lower priced house brands, available in many different price ranges. Apart from INTERGAMMA and MAXEDA's private label range, which account for the great majority of total DIY sales per annum, HORNBACH and BAUHAUS are also active with their own private label ranges, namely AVITAL and

CAMARGUE. BAUHAUS, since its opening in 2015, has been gaining share in the Dutch taps and mixers market quite rapidly. Smaller format stores, such as HUBO, continue to sell only branded products.

TIGER, part of CORAM, has established itself strongly in the Dutch DIY market. TIGER sells both branded (including its own brand) and unbranded accessories through both the wholesale and DIY markets. The company is estimated to supply the market through many different channels, predominantly in the lower and middle price segments.

The 'Others' category is large in the Netherlands and includes suppliers such as ORAS, HANSA, KLUDI and other key players from the tap and mixer market. The market shares for flexible hoses include many unbranded items that are included in 'Others', as they are usually imported from the Far East or Eastern Europe. The 'Others' category also includes a high share of products sold through web-shops, most notably www.bol.com and www.sanitairwinkel.nl.

Supply of shower panels has been more dynamic compared to the other types of shower accessories. Generally speaking, shower panels are more commonly supplied by shower mixer manufacturers, with German manufacturers being particularly strong, which has seen many new market entries in recent years. This includes branded players but also typical DIY players, including TIGER and HACEKA, as well brands typically only sold online. GROHE, unsurprisingly, dominates this market segment.

Forecasts

Demand for shower accessories, as with bathroom accessories, grew exponentially, with 2020 being labelled as the performing year of the decade. That being said, developments for 2021 are expected to be somewhat different, with a strong contraction in sales volumes and value expected, meaning the market will experience a downturn for the first time since 2016. These negative market developments are largely the result of the closure of non-essential stores, especially DIY stores on which shower accessories' sales rely heavily, as with most other segments of the Dutch bathroom market. All segments of the Dutch bathroom and kitchen market are set to decline in 2021.

Shower accessories, unlike the markets for larger equipment, are set to suffer the most because of the closure of DIY stores, given that between 35 to 40% of shower accessories are sold via the DIY channels in the Netherlands. DIY sales, measured through the number of card transactions, have suffered enormously in 2021 so far, with sales down, each month, since late December. The turnover of DIY stores was already down by -45% and -36% in January and February and March and April are not expected to be any better. That being said, changing distribution patterns, especially growth in e-commerce sales, should avoid a steeper market decline. Like stated previously, e-commerce had already been on the rise well before the COVID-19 pandemic, but the pandemic boosted sales even further, with pure online up by +26% and multichannel online up by +68% in 2020, and it should

continue to outperform traditional sales channels, with total online sales set to grow by +15% for 2021. Shower accessories, as with bathroom accessories, are well suited to be purchased online, especially in markets characterised by downtrading with consumers looking for lower priced products, predominantly in online stores.

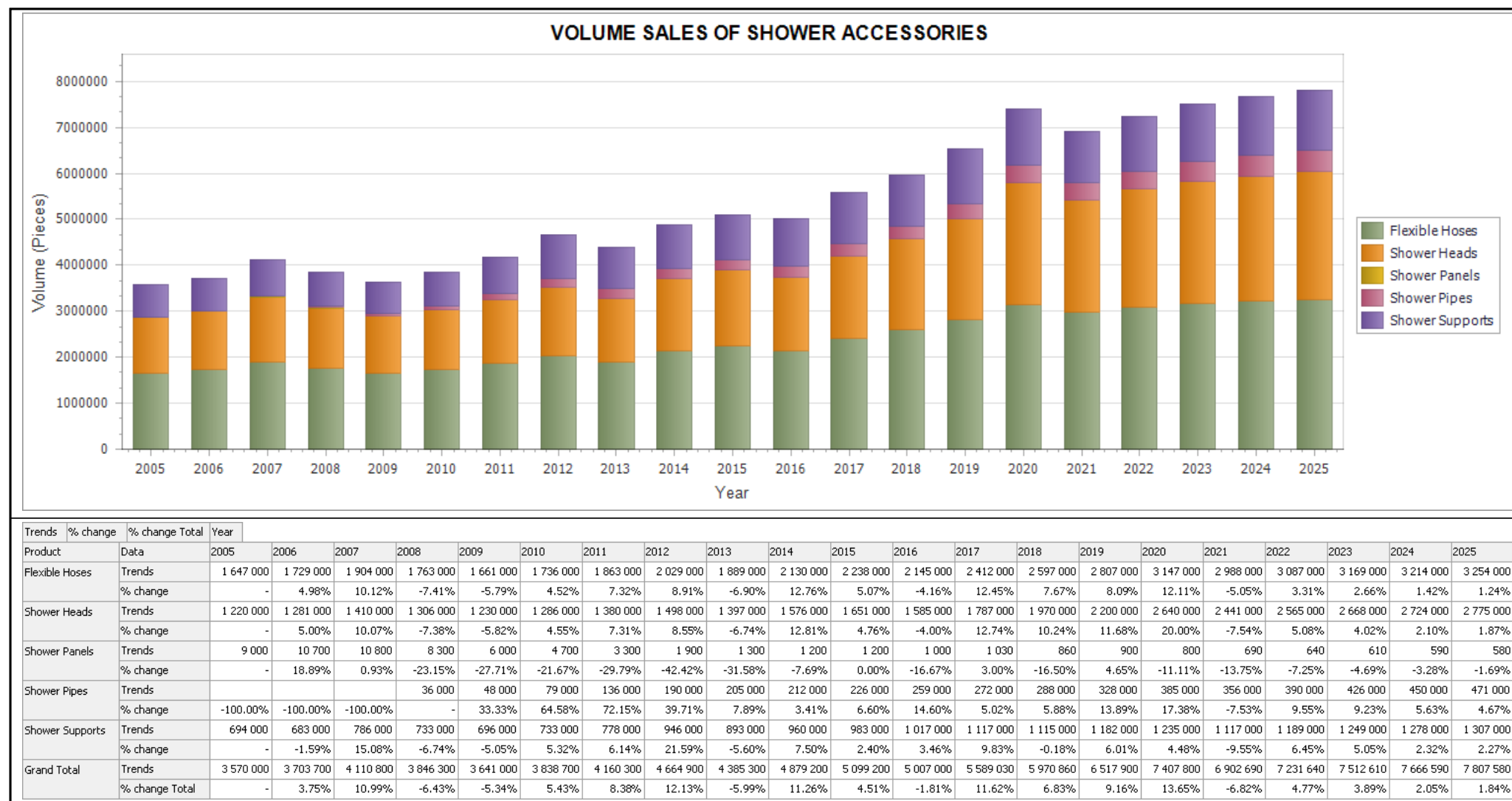
As with the kitchen market in the Netherlands, also having shown extraordinary growth rates in 2020, a declining RMI market is predominantly to be blamed for the expected poor market development for the whole of 2021. The reason behind this expected development is threefold. Firstly, the strong performance in 2020, benefiting from measures implemented to contain the spread of COVID-19, resulting in a strong upsurge in DIY related jobs, such as replacing shower heads and hoses, which probably reached artificially high levels of sales, meaning a general decline was already anticipated for 2021. Secondly, the closure of DIY stores from December 2020 to the end of April 2021, affected RMI sales more than new build sales, despite having a very low share, since construction will continue to take place. Thirdly, once lockdown measures have been lifted and things go back to 'normal', or as normal as possible, it is likely that consumers will increasingly spend their money on travel or leisure activities rather than home renovation projects, especially given that most of these activities were rather limited in 2020. All these factors combined will have a strong negative effect on sales. Despite the previous, the overall decline in market volumes are set to be relatively mild, due to the nature of the product, which relies a lot on like-for-like replacement sales, including breakage, instead of full bathroom renovations. However, the poor outlook will most likely result in a minor change in the product mix for 2021, more towards replacing adjustable shower heads, including hand showers, instead of fixed shower heads and shower pipes, and the replacement of hoses.

When looking at the other two end-use segments, new build sales is only set to exhibit a minor decline, whereas non-residential sales should show a more dramatic decline, largely due to the effects of COVID-19 on the revenues of non-residential buildings, most notably hotels. Sales to the new housing segment should, as mentioned, continue to show a decline for 2021, which is largely the effect of the nitrogen crisis on the new building permit applications in 2019, but should return to growth from 2022 onwards. In the long term, sales may grow faster if the gap between housing demand and supply is reduced, currently estimated at more than 300,000, which has worsened since the onset of the banking crisis of 2009. Sales to the non-housing sector are mostly affected by reduced demand from hotels and educational buildings for 2021. Sales to healthcare buildings, mostly in the short term, will be affected by the COVID-19 pandemic, resulting in lower investments in 2021, but should see more strong growth from 2022 onwards, but educational should suffer across the entire forecast period. The strong decline in new hotel completions expected for 2021 will have a strong negative impact on sales of both baths and showers and, therefore, shower accessories. The pandemic has had a strong impact on the revenues of hotels, as well as all other types of hospitality buildings, with many investment plans now being put on hold or cancelled, which will affect construction output in coming years, reaching historical low levels in 2021.

Within the product mix, no major changes are set to occur over the forecast period, apart from trends that have already affected the market in recent years. The current trend is towards improving and making a bathroom more luxurious by installing shower areas, larger shower heads, including rain showers, the more extensive use of colours and shapes, whilst thriving for the ultimate shower experience, are just a few examples that are currently shaping the shower market in the Netherlands.

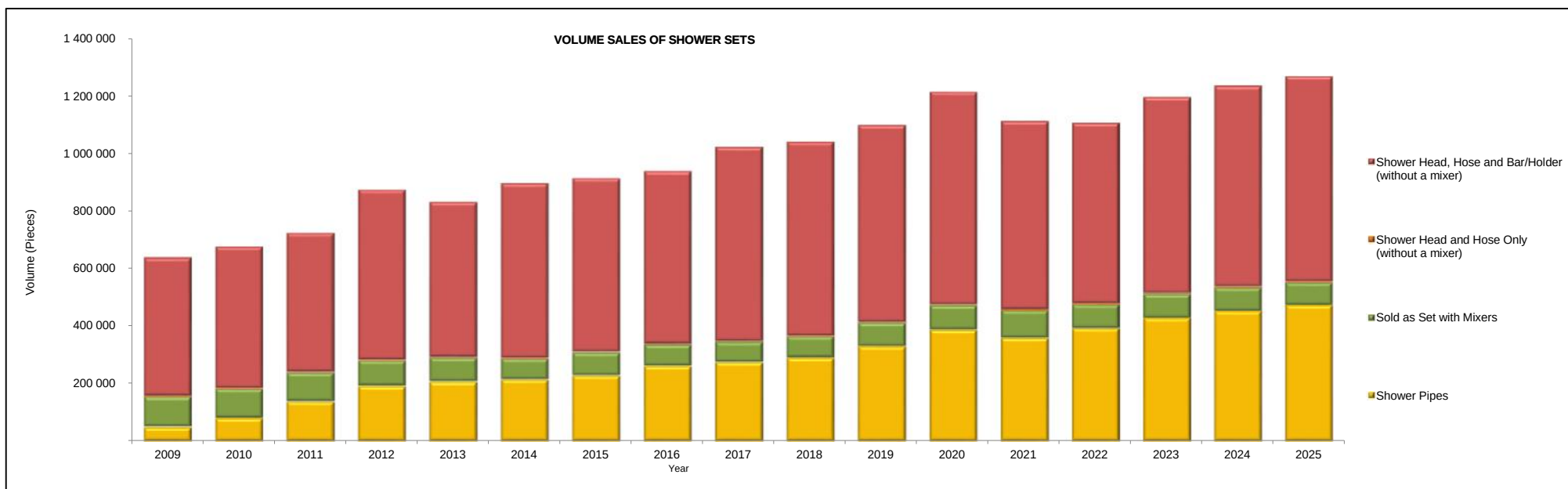
7.2.1 Historical Trends & Forecasts : Shower Accessories

NL - SUMMARY OF TRENDS IN THE SHOWER ACCESSORIES MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

7.2.2 Historical Trends and Forecasts : Shower Sets
NL - SUMMARY OF TRENDS IN THE SHOWER SETS MARKET : HISTORICAL AND FORECASTS

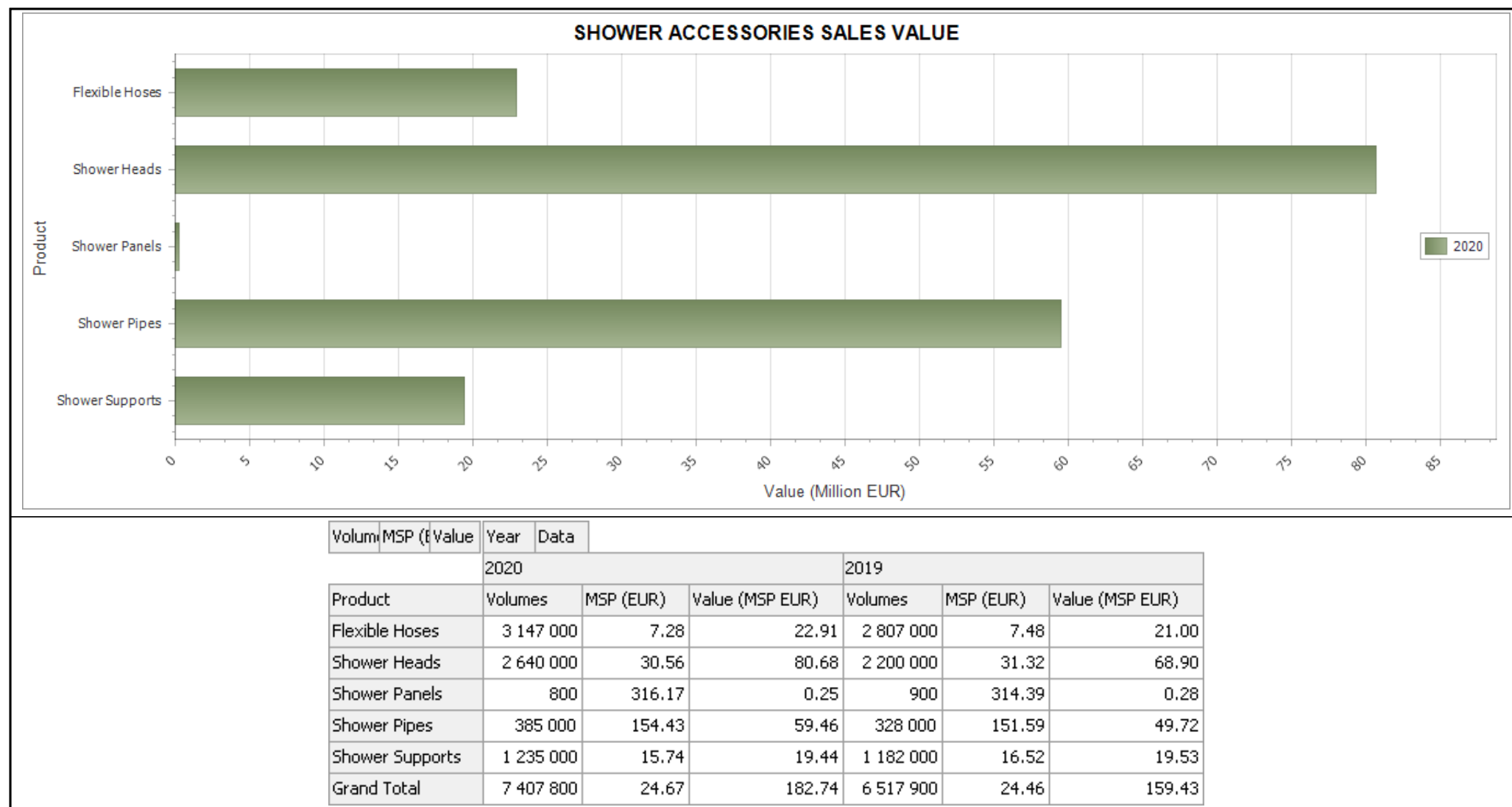


Product Type	Product	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Shower Sets	Shower Head, Hose and Bar/Holder (without a mixer)	480 000	492 000	483 000	591 000	538 000	606 000	602 000	600 000	675 000	674 000	684 000	739 000	654 000	627 000	680 000	697 000	714 000
	% Change	-	2.50%	-1.83%	22.36%	-8.97%	12.64%	-0.66%	-0.33%	12.50%	-0.15%	1.48%	8.04%	-11.50%	-4.13%	8.45%	2.50%	2.44%
	Shower Head and Hose Only (without a mixer)	3 000	2 700	2 900	3 100	3 200	3 000	3 200	3 000	2 700	3 200	3 300	3 800	4 800	4 100	4 100	3 900	3 900
	% Change	-	-10.00%	7.41%	6.90%	3.23%	-6.25%	6.67%	-6.25%	-10.00%	18.52%	3.13%	15.15%	26.32%	-14.58%	0.00%	-4.88%	0.00%
	Sold as Set with Mixers	104 800	101 000	100 100	87 800	82 900	72 600	79 900	74 300	71 000	73 200	80 800	84 600	95 300	82 700	82 700	81 800	77 500
	% Change	-	-3.63%	-0.89%	-12.29%	-5.58%	-12.42%	10.06%	-7.01%	-4.44%	3.10%	10.38%	4.70%	12.65%	-13.22%	0.00%	-1.09%	-5.26%
	Shower Pipes	48 000	79 000	136 000	190 000	205 000	212 000	226 000	259 000	272 000	288 000	328 000	385 000	356 000	390 000	426 000	450 000	471 000
	% Change	-	64.58%	72.15%	39.71%	7.89%	3.41%	6.60%	14.60%	5.02%	5.88%	13.89%	17.38%	-7.53%	9.55%	9.23%	5.63%	4.67%
Grand Total		635 800	674 700	722 000	871 900	829 100	893 600	911 100	936 300	1 020 700	1 038 400	1 096 100	1 212 400	1 110 100	1 103 800	1 192 800	1 232 700	1 266 400
% Change Total		-	6.12%	7.01%	20.76%	-4.91%	7.78%	1.96%	2.77%	9.01%	1.73%	5.56%	10.61%	-8.44%	-0.57%	8.06%	3.35%	2.73%

Source: BRG based on Industry Interviews.

7.3.1 Prices and Market Values : Shower Accessories

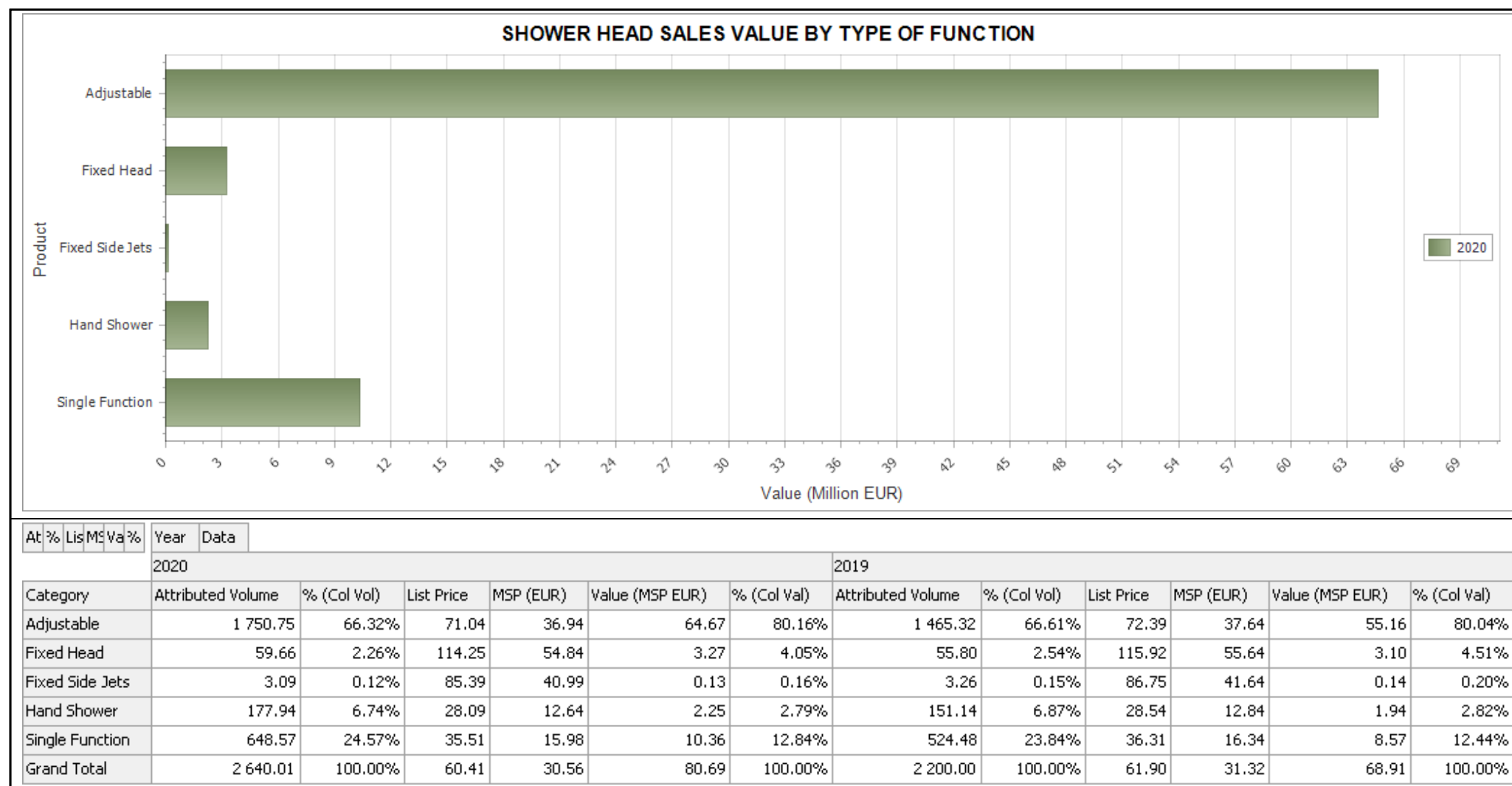
NL - ESTIMATED VALUES OF THE SHOWER ACCESSORIES MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

7.3.2 Prices and Market Values by Type : Shower Heads

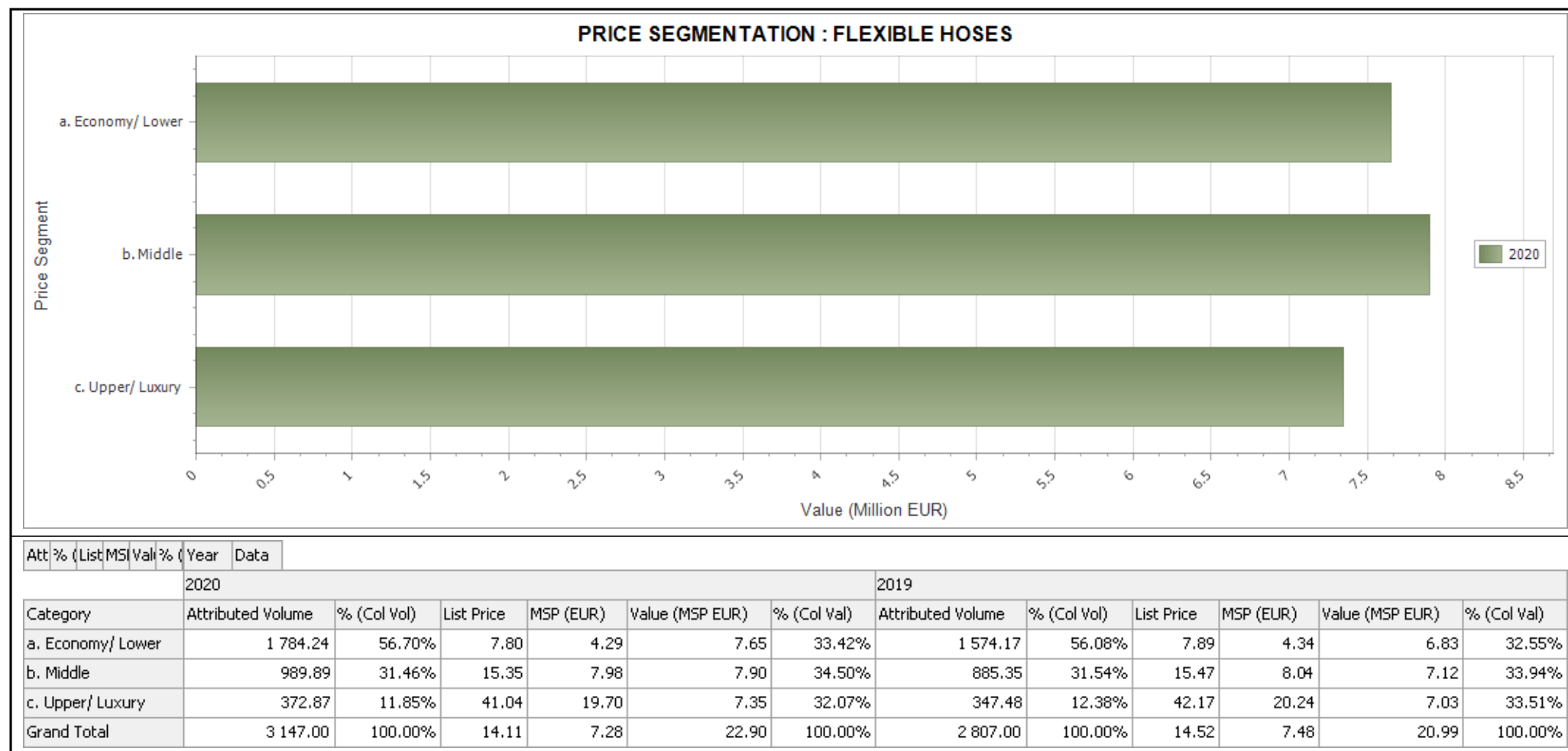
NL - ESTIMATED VALUES OF THE SHOWER HEAD MARKET BY TYPE OF FUNCTION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

7.3.3 Price Segmentation : Flexible Hoses

NL - ESTIMATED PRICE SEGMENTATION FOR FLEXIBLE HOSES

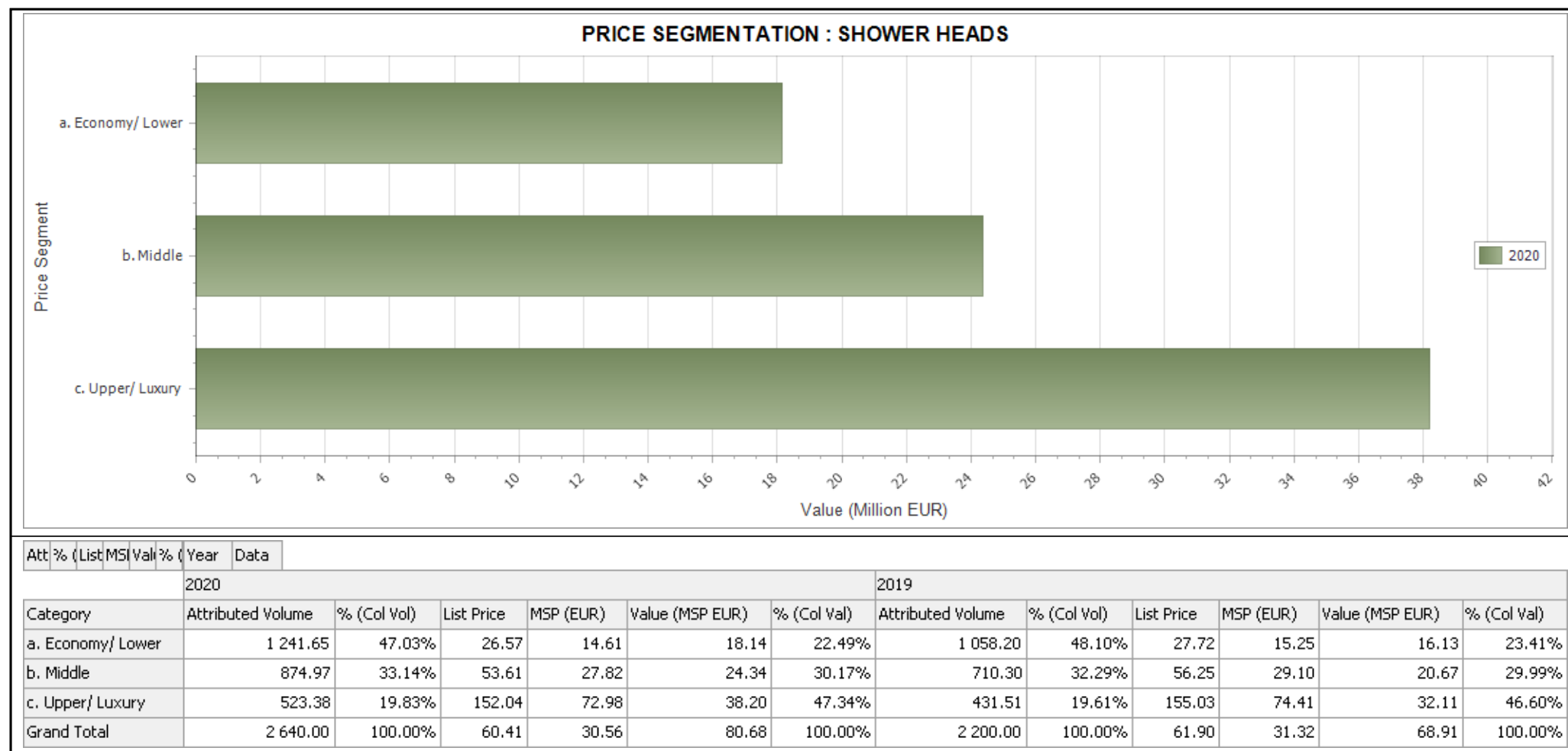


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€5, Middle €5-€15, Upper/ Luxury >€15

7.3.4 Price Segmentation : Shower Heads

NL - ESTIMATED PRICE SEGMENTATION FOR SHOWER HEADS

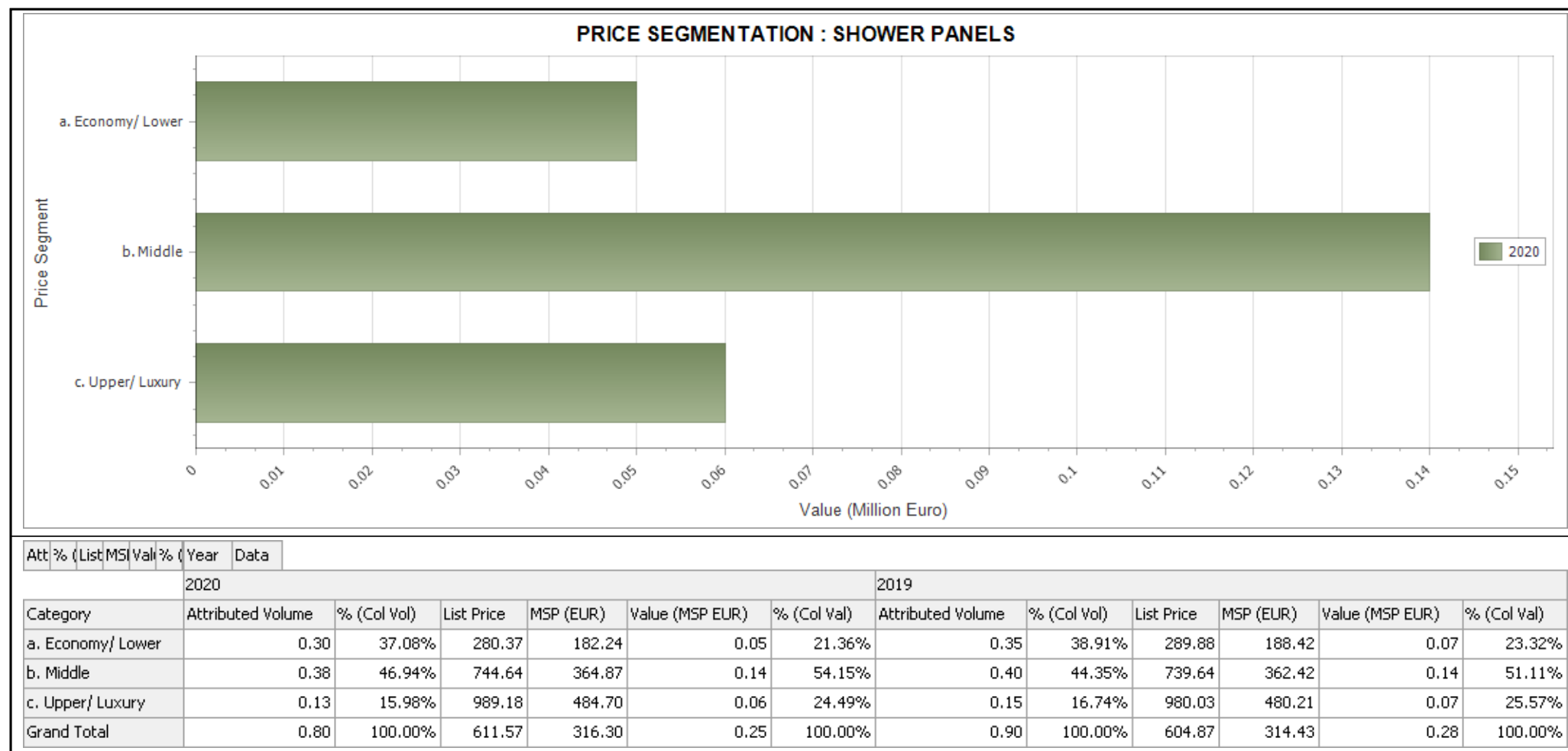


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€20, Middle €20-€40, Upper/ Luxury >€40

7.3.5 Price Segmentation : Shower Panels

NL - ESTIMATED PRICE SEGMENTATION FOR SHOWER PANELS

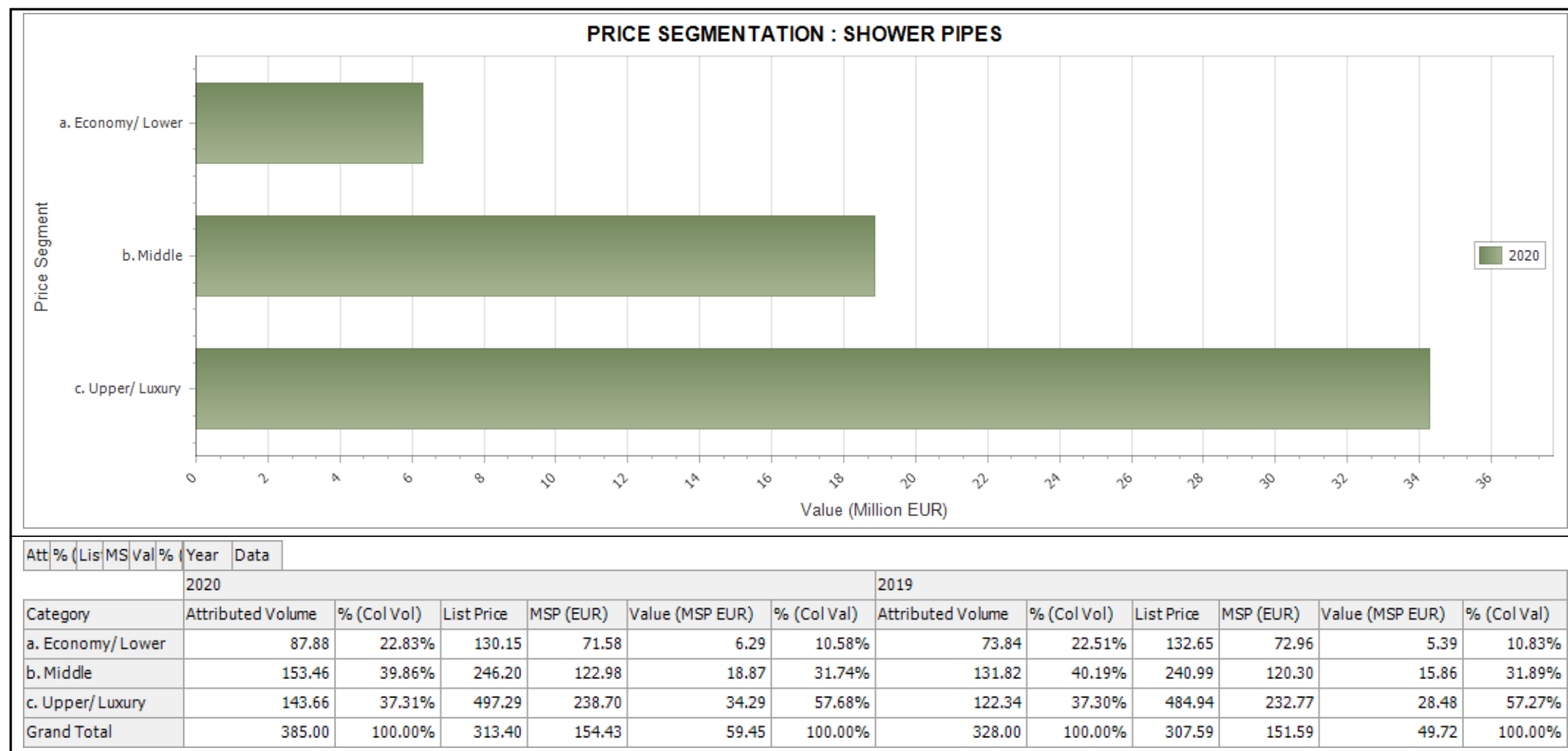


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€400, Upper/ Luxury >€400

7.3.6 Price Segmentation : Shower Pipes

NL - ESTIMATED PRICE SEGMENTATION FOR SHOWER PIPES

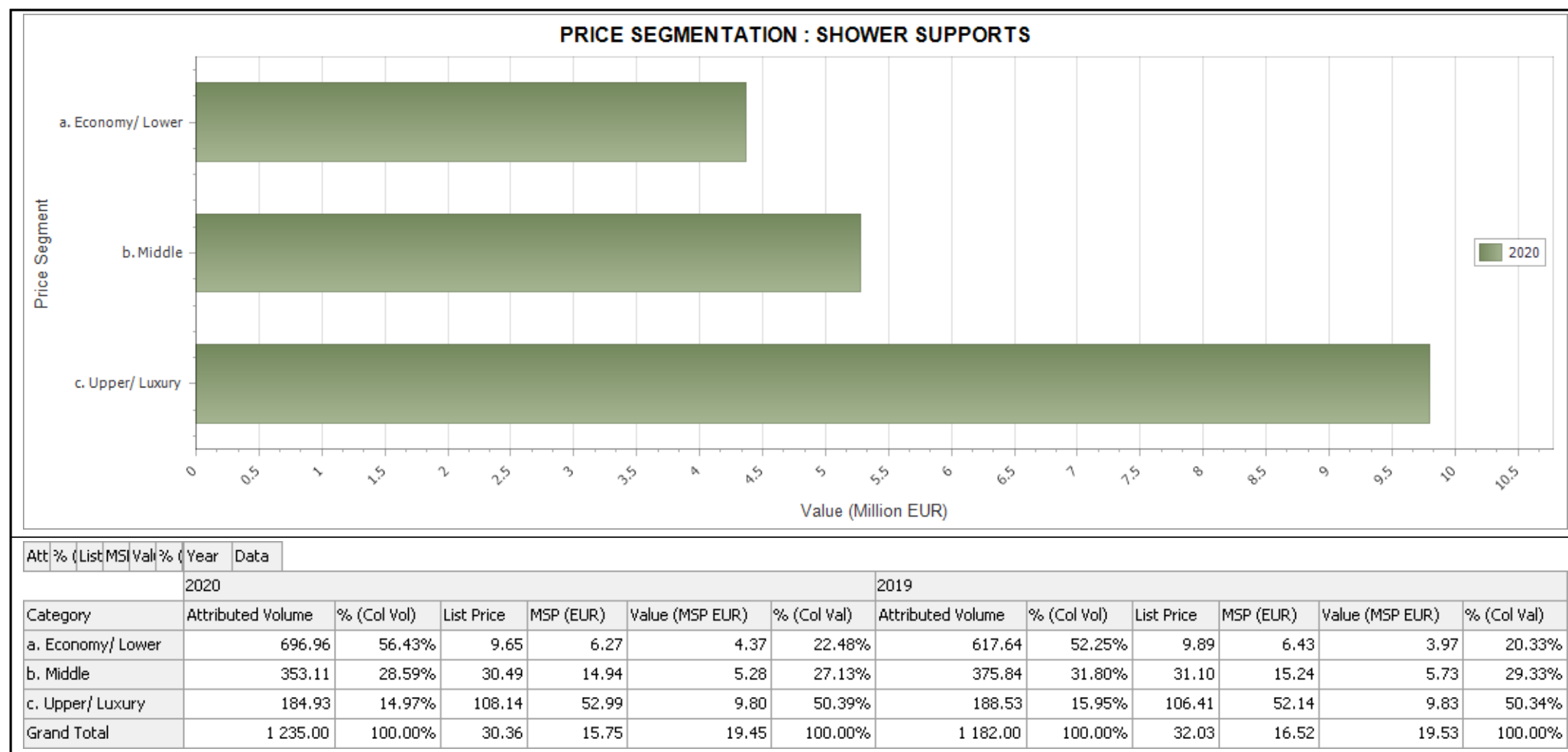


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€150, Upper/ Luxury >€150

7.3.7 Price Segmentation : Shower Supports

NL - ESTIMATED PRICE SEGMENTATION FOR SHOWER SUPPORTS

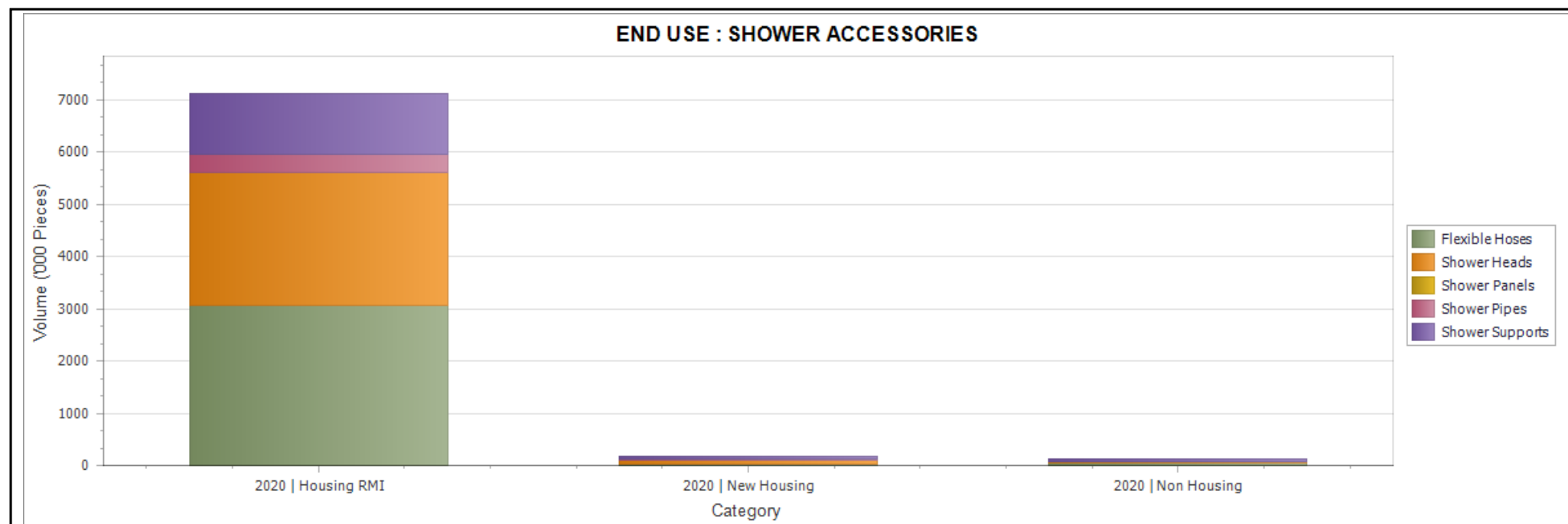


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€10, Middle €10-€20, Upper/ Luxury >€20

7.4.1 End Use : Base Year

NL - SALES OF SHOWER ACCESSORIES BY TYPE AND END USE SEGMENT ('000 PIECES)

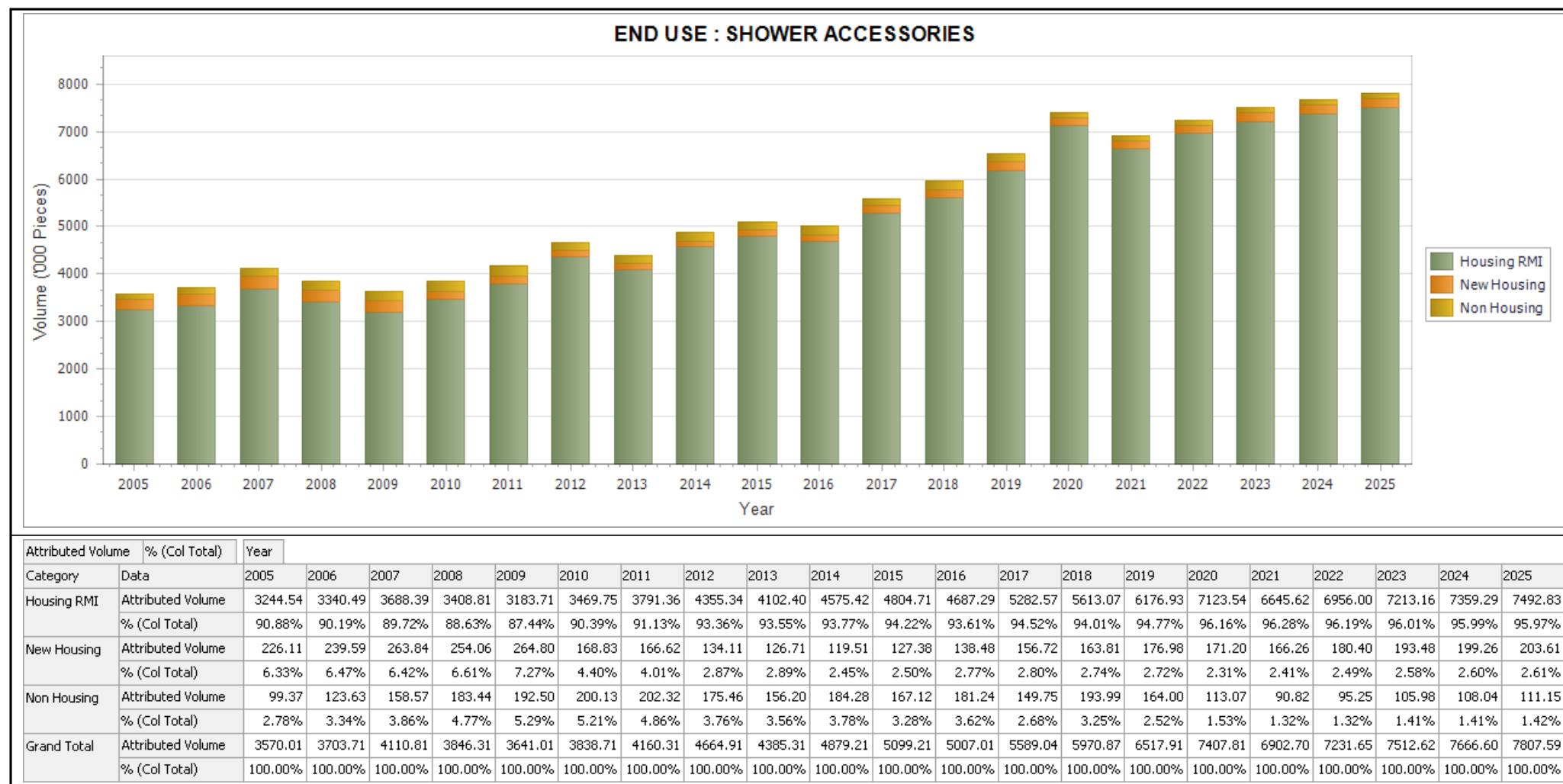


Attribu	% (Co	% (Ro	Year	Category	Data								
2020										2020 Total			
Housing RMI				New Housing			Non Housing						
Product	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	
Flexible Hoses	3063.15	43.00%	97.34%	34.51	20.16%	1.10%	49.34	43.64%	1.57%	3147.00	42.48%	100.00%	
Shower Heads	2547.17	35.76%	96.48%	61.48	35.91%	2.33%	31.35	27.72%	1.19%	2640.00	35.64%	100.00%	
Shower Panels	0.57	0.01%	71.20%	0.13	0.08%	16.46%	0.10	0.09%	12.34%	0.80	0.01%	100.00%	
Shower Pipes	351.88	4.94%	91.40%	28.61	16.71%	7.43%	4.51	3.99%	1.17%	385.00	5.20%	100.00%	
Shower Supports	1160.76	16.29%	93.99%	46.47	27.14%	3.76%	27.77	24.56%	2.25%	1235.00	16.67%	100.00%	
Grand Total	7123.54	100.00%	96.16%	171.20	100.00%	2.31%	113.07	100.00%	1.53%	7407.81	100.00%	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.2 End Use : Historical and Forecasts

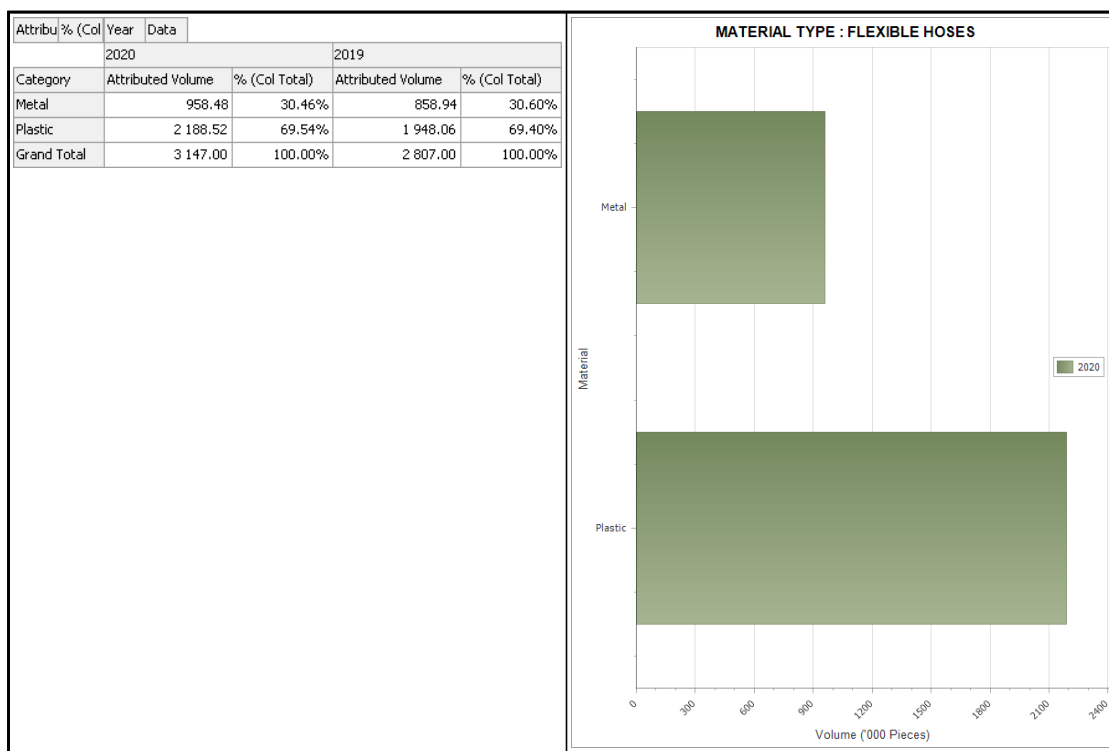
NL - SALES OF SHOWER ACCESSORIES BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.3 Sales By Type of Material : Flexible Hoses

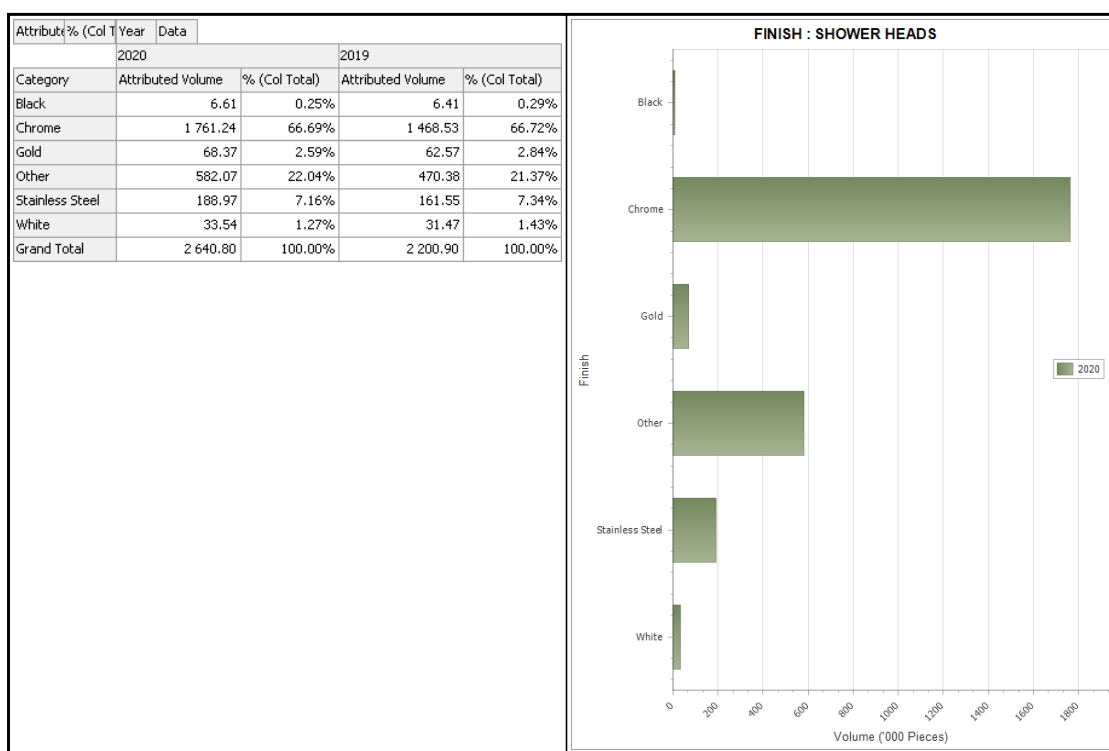
NL - FLEXIBLE HOSE SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.4 Sales by Type of Finish : Shower Heads

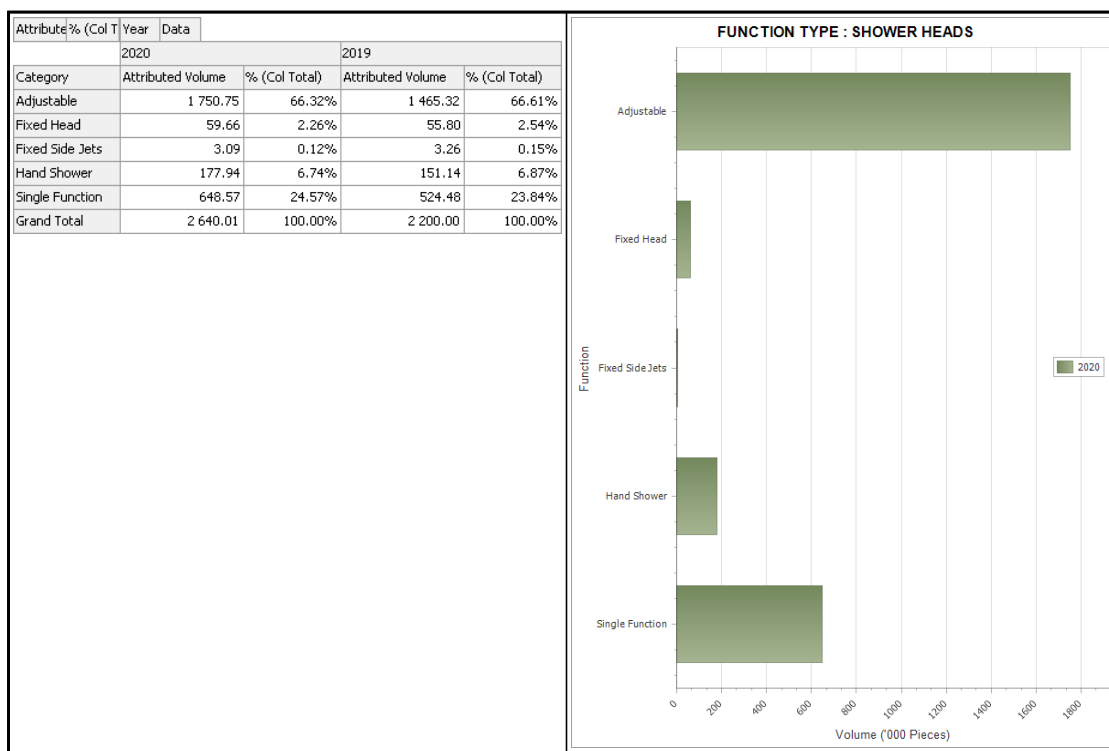
NL - SHOWER HEAD SALES BY FINISH TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.5 Sales By Type of Function : Shower Heads

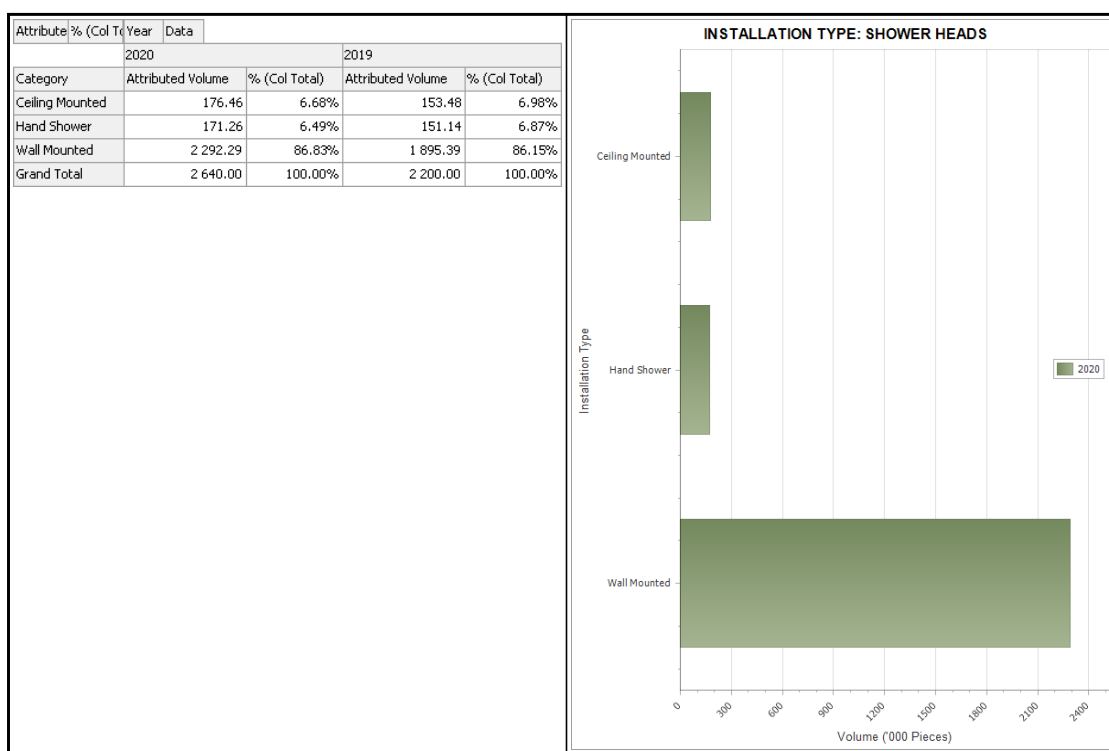
NL - SHOWER HEAD SALES BY FUNCTION TYPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.6 Sales by Type of Installation : Shower Heads

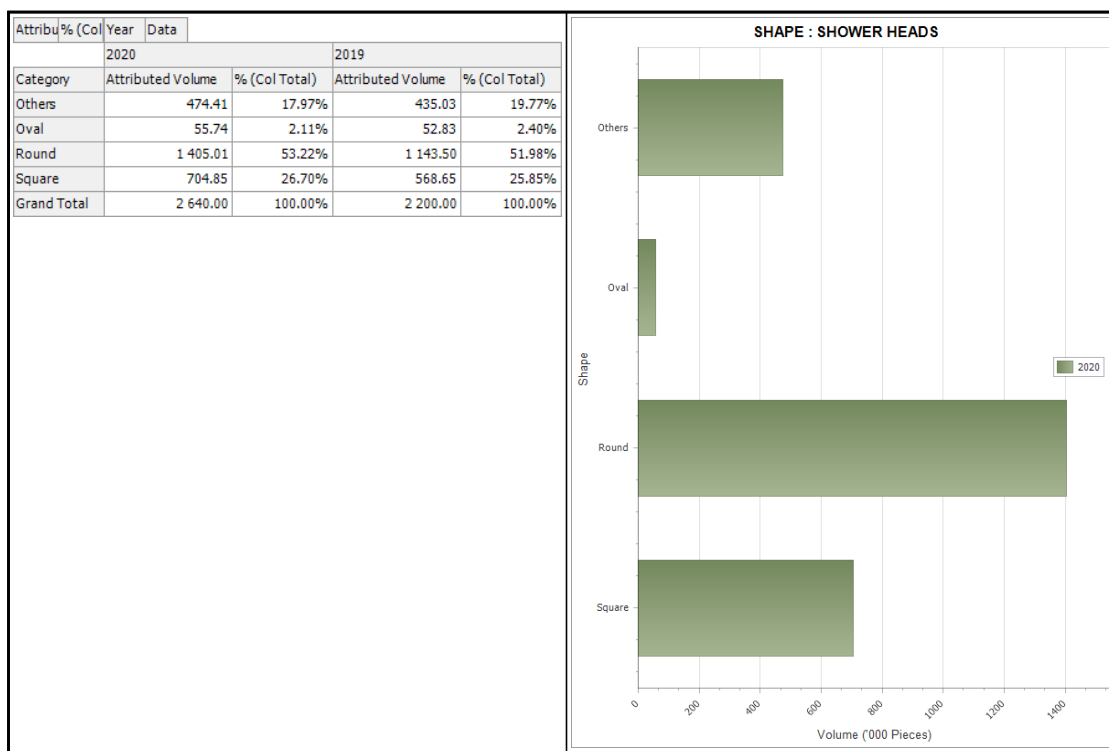
NL - SHOWER HEAD SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.7 Sales By Type of Shape : Shower Heads

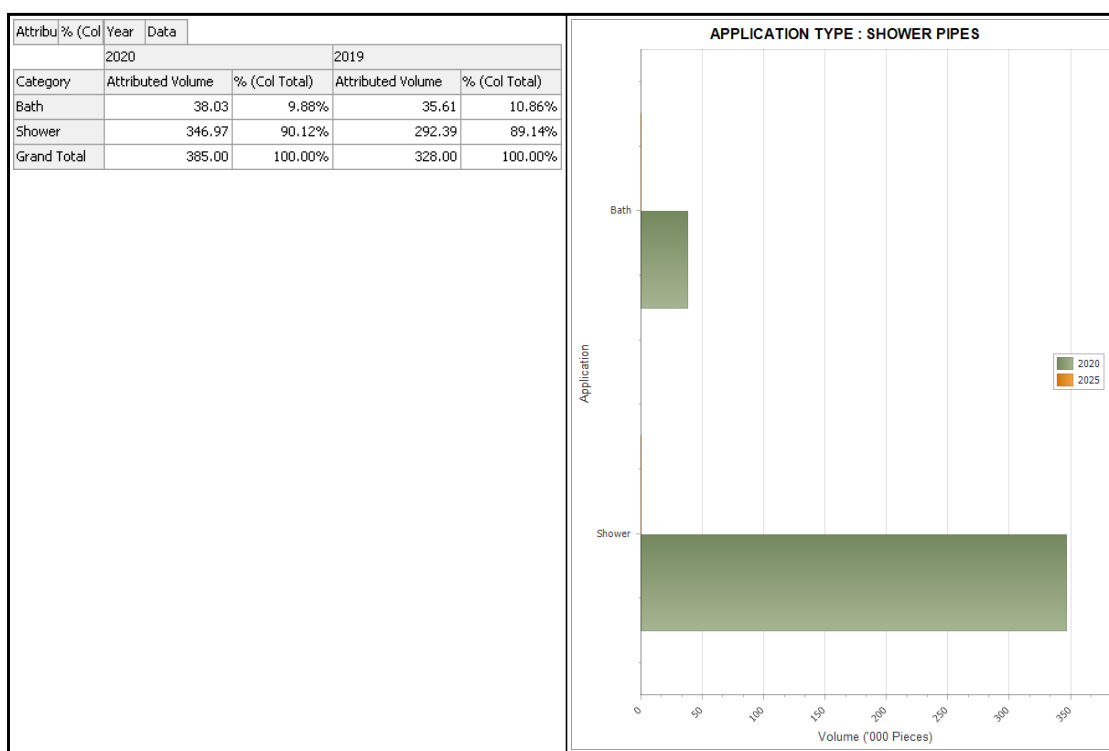
NL - SHOWER HEAD SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.8 Sales by Type of Application : Shower Pipes

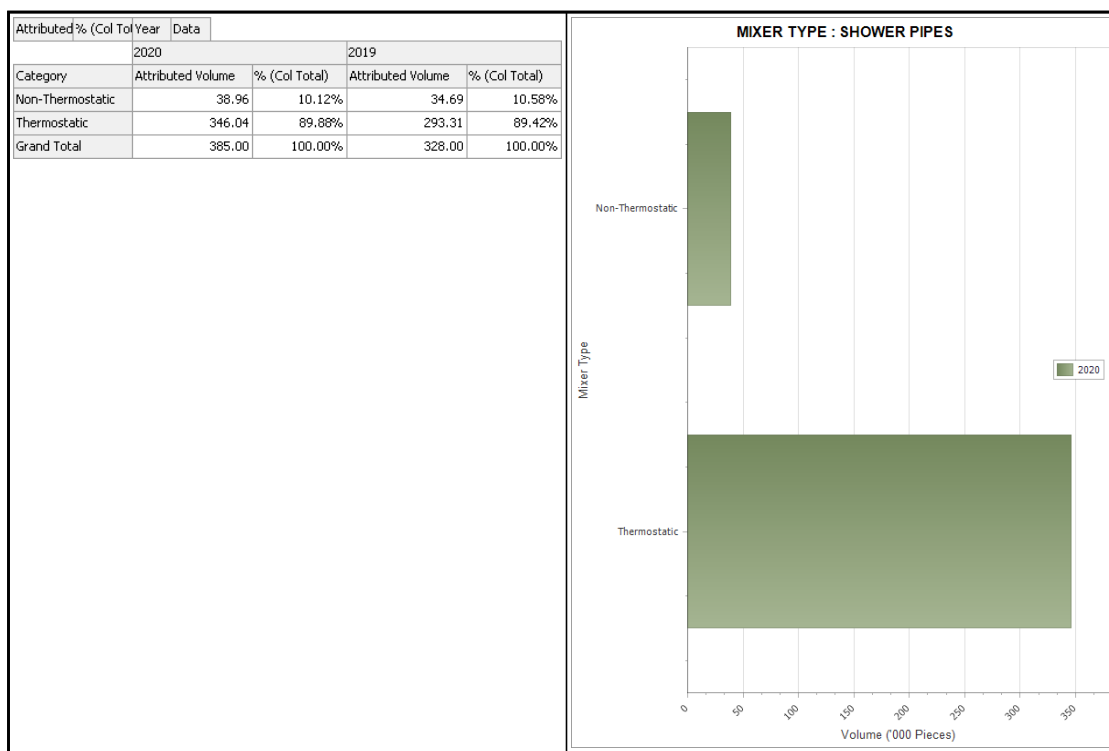
NL - SHOWER PIPE SALES BY APPLICATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.9 Sales by Type of Mixer : Shower Pipes

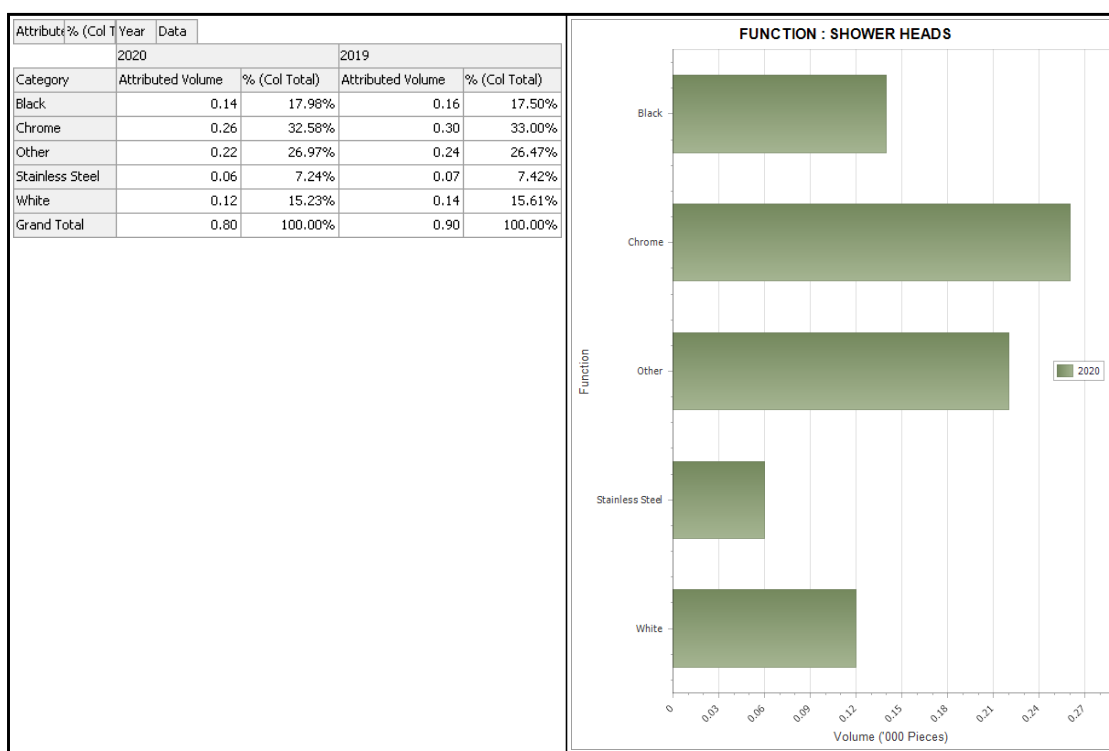
NL - SHOWER PIPE SALES BY MIXER TYPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.10 Sales by Type of Finish: Shower Panels

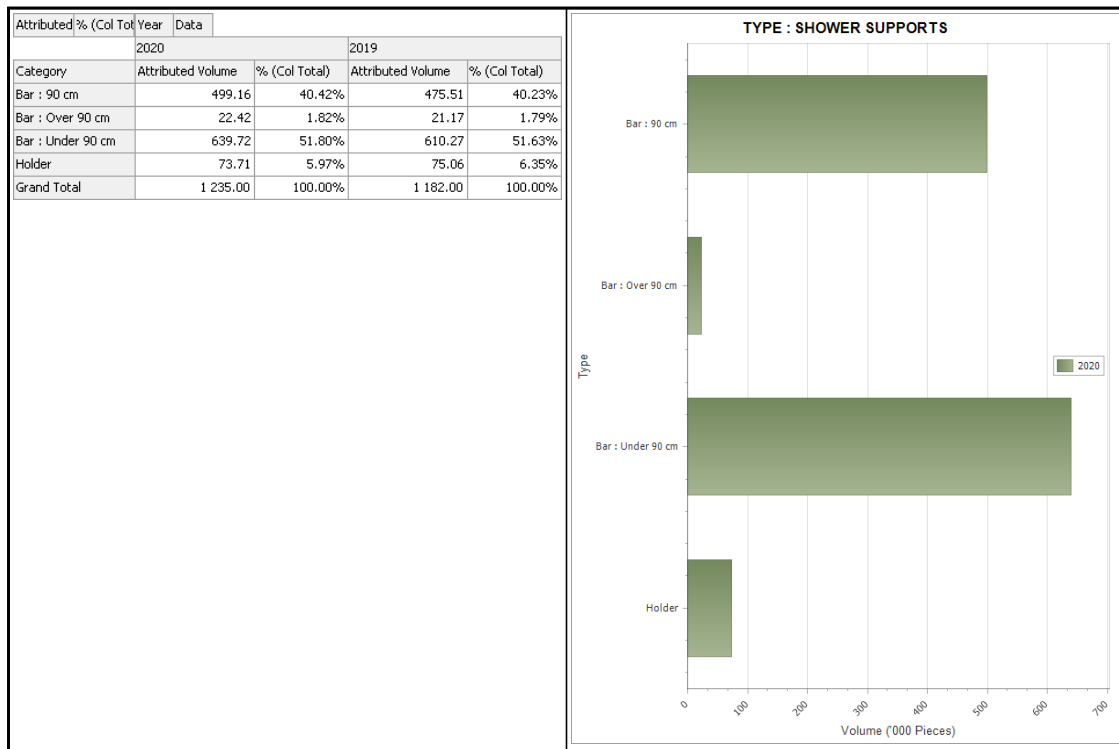
NL - SHOWER PANEL SALES BY FINISH TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.11 Sales By Type : Shower Supports

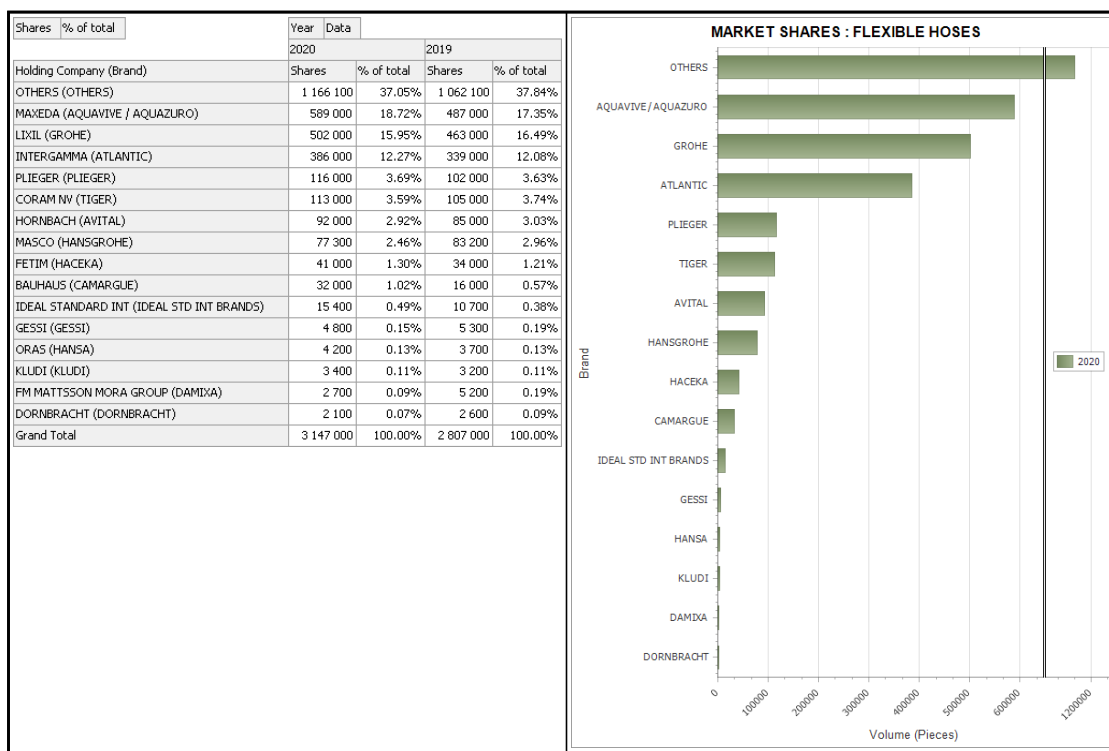
NL - SHOWER SUPPORT SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.5.1 Market Shares : Flexible Hoses

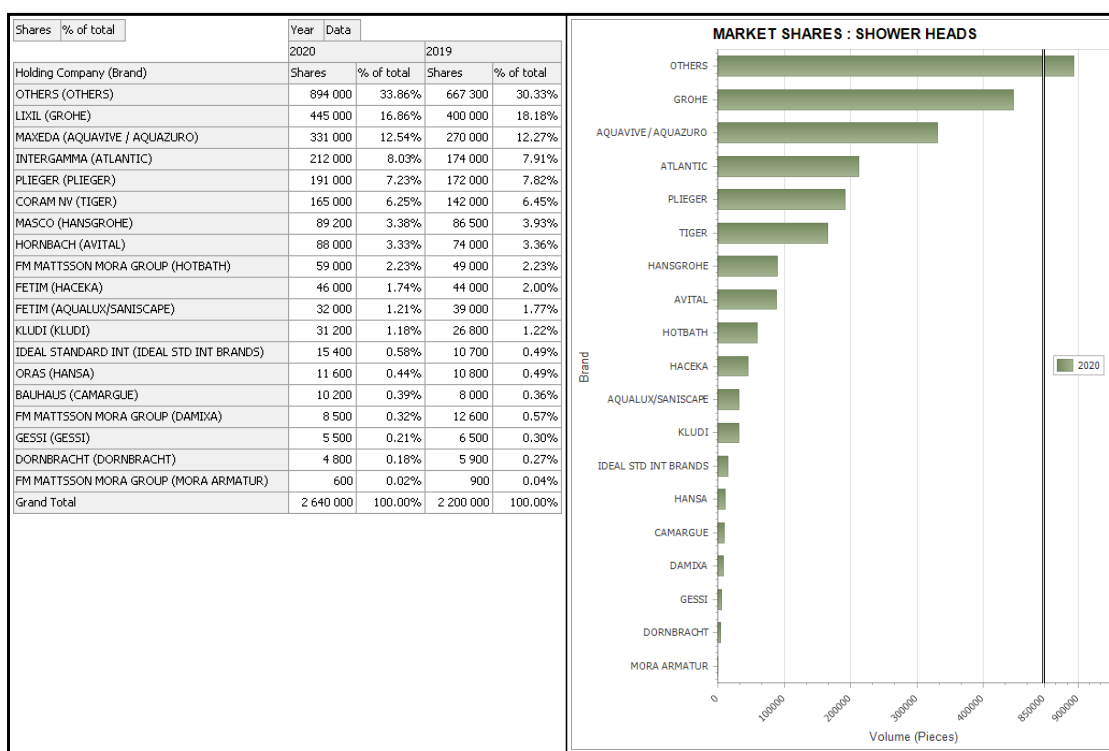
NL - ESTIMATED MARKET SHARES FOR FLEXIBLE HOSES



Source: BRG based on industry interviews.

7.5.2 Market Shares : Shower Heads

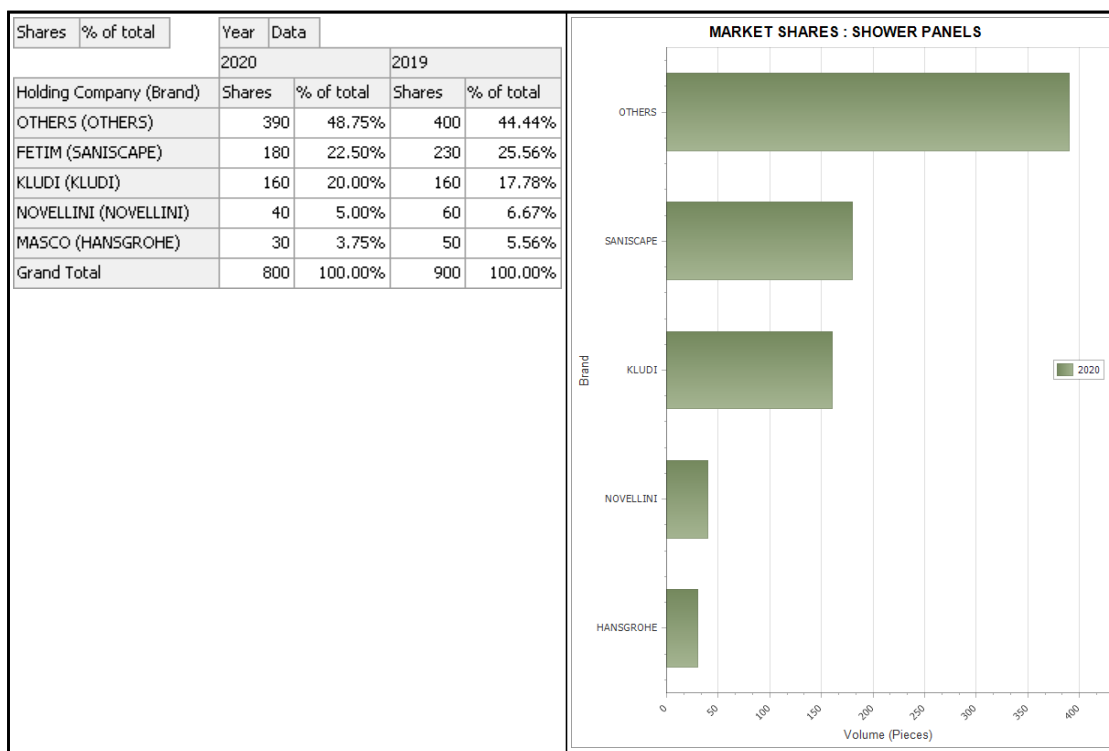
NL - ESTIMATED MARKET SHARES FOR SHOWER HEADS



Source: BRG based on industry interviews.

7.5.3 Market Shares : Shower Panels

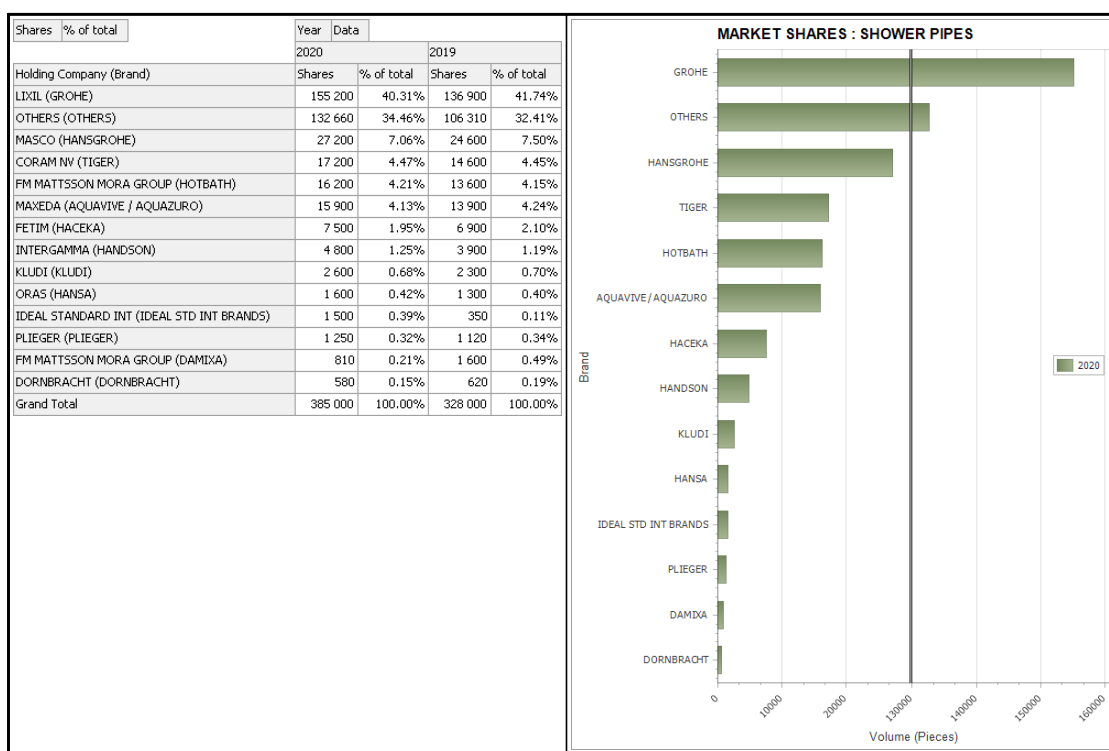
NL - ESTIMATED MARKET SHARES FOR SHOWER PANELS



Source: BRG based on industry interviews.

7.5.4 Market Shares : Shower Pipes

NL - ESTIMATED MARKET SHARES FOR SHOWER PIPES



Source: BRG based on industry interviews.

7.6.1

Route to Market: Shower Accessories
NL - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

53.1%
Wholesalers / Merchants
53.1%

Retail Level

Manufacturer	Wholesaler
3.0%	9.5%
Internet Retailers	
12.5%	

Manufacturer	Wholesaler
32.7%	4.0%
DIY Retailers	
36.7%	

Manufacturer	Wholesaler
9.5%	33.1%
Specialist Retailers	
42.6%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.9%	5.8%	2.3%	5.1%	6.4%
Installers				
20.6%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.5%	0.5%	10.2%	30.9%	36.2%	20.1%
Residential					
98.5%					
New Build			Residential RMI		
2.3%			96.2%		
Project	Non-Project		Project	Non-Project	
2.1%	0.3%		4.2%	92.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.2%	0.2%	0.0%	0.6%	0.0%	0.5%
Non-Residential					
1.5%					
New Build			Non-Residential RMI		
0.5%			1.0%		
Project	Non-Project		Project	Non-Project	
0.4%	0.1%		0.1%	0.9%	

7.6.2

Route to Market: Shower Accessories
NL - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

53.8%
Wholesalers / Merchants
53.8%

Retail Level

Manufacturer	Wholesaler
4.1%	13.6%
Internet Retailers	
17.7%	

Manufacturer	Wholesaler
31.4%	3.5%
DIY Retailers	
34.9%	

Manufacturer	Wholesaler
9.3%	30.2%
Specialist Retailers	
39.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.8%	6.1%	3.1%	4.7%	5.9%
Installers				
20.6%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.3%	0.2%	14.6%	29.6%	33.6%	20.1%
Residential					
98.6%					
New Build			Residential RMI		
2.6%			96.0%		
Project	Non-Project		Project	Non-Project	
2.2%	0.4%		4.2%	91.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.2%	0.2%	0.0%	0.6%	0.0%	0.5%
Non-Residential					
1.4%					
New Build			Non-Residential RMI		
0.5%			1.0%		
Project	Non-Project		Project	Non-Project	
0.4%	0.1%		0.1%	0.9%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

7.6.3 Route to Market - Consolidated View : Shower Accessories

NL - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2020

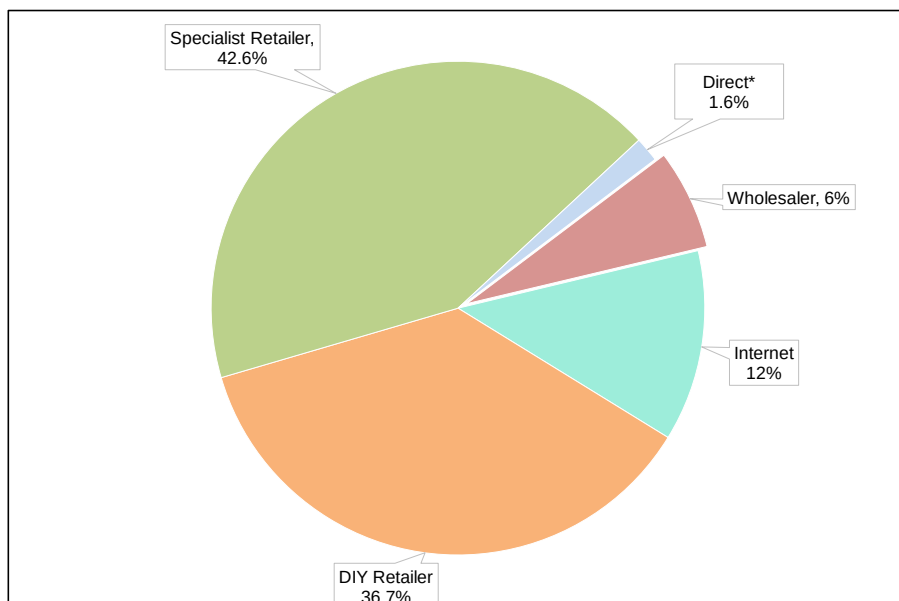
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
6.5%	12.5%	36.7%	42.6%	1.6%	6.3%	0.5%	92.2%	1.0%
100%					6.8%		93.2%	

7.6.4 Route to Market - Consolidated View : Shower Accessories

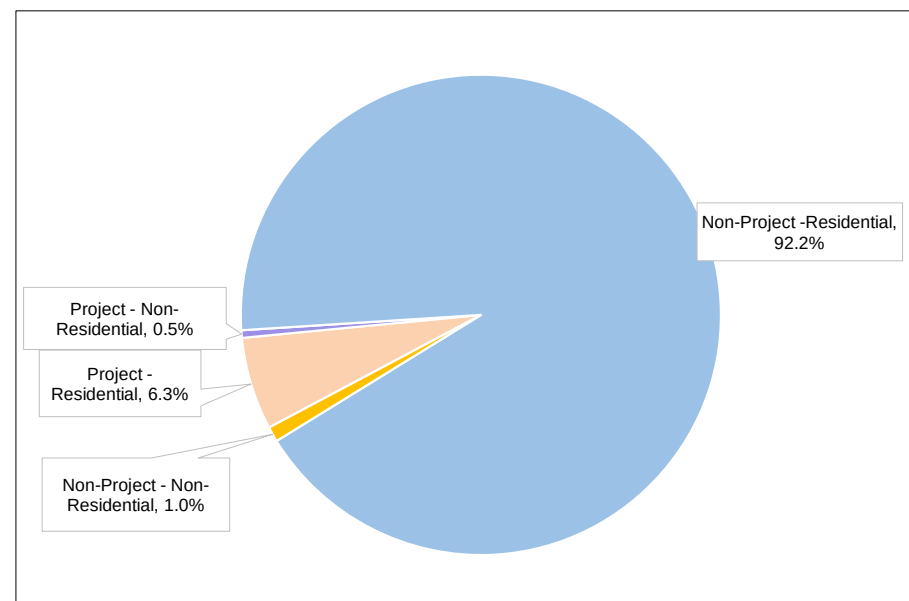
NL - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
6.5%	17.7%	34.9%	39.5%	1.4%	6.4%	0.5%	92.1%	0.9%
100%					6.9%		93.1%	

NL - SALES OF SHOWER ACCESSORIES BY DISTRIBUTION CHANNEL: 2020



NL - SALES OF SHOWER ACCESSORIES BY POINT OF DECISION AND END-USE SECTOR: 2020



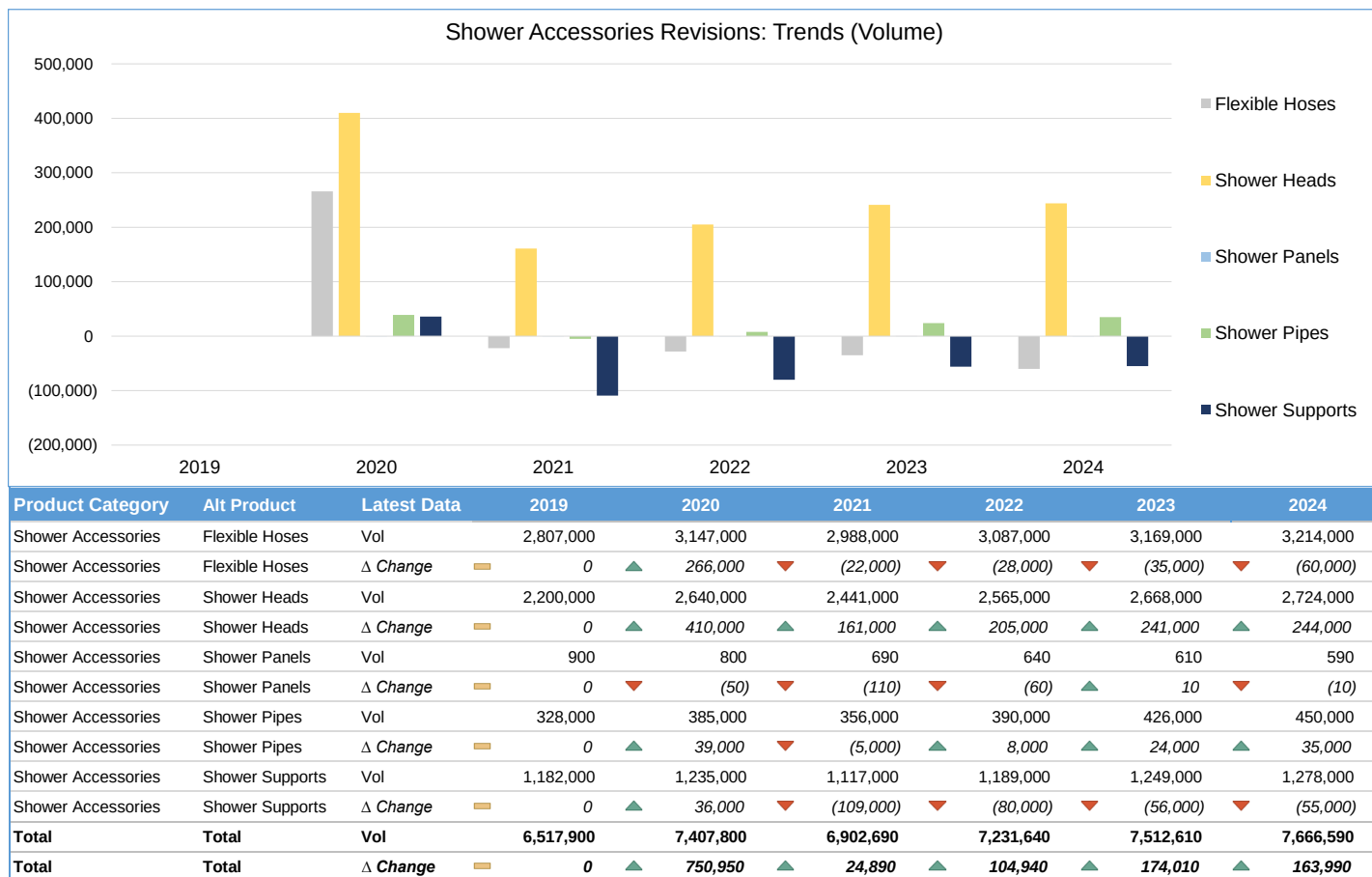
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

7.7 Revisions in the Dutch Shower Accessories Market (April 2021)

NL - REVISIONS IN THE DUTCH SHOWER ACCESSORIES MARKET

Data Comparison: October 2020



Based on industry feedback, the MSP for shower pipes were revised down for all years. Average prices for shower pipes have decreased in recent years since more players have entered the market, including typical DIY players, and changing distribution patterns have also affected prices. At the same time, shower pipes are not overly expensive since most parts of a shower pipe set are quite affordable, with the thermostatic mixer being the most expensive part. The average MSP for a thermostatic mixer in the Netherlands is in the low €60.

No revisions have been made to historical volumes for this market.

NETHERLANDS

KITCHEN SINKS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Sales of kitchen sinks in the Netherlands have always been linked directly to the overall performance of the kitchen market, even more so than sales of kitchen taps and mixers. The main reason for this is the fact that sinks have a much lower replacement rate compared to taps and mixers, as it is significantly easier to replace a kitchen tap than a whole kitchen sink.

Within the overall kitchen sink market in the Netherlands, steel kitchen sinks are clearly leading the market. Stainless steel products have always been the most dominant. One reason for the popularity of stainless steel kitchen sinks is the wide price range, as a variety of stainless steel sinks can be found at the lower, middle and higher ends of the market. Moreover, stainless steel sinks can deal with extremely high temperatures, as opposed to their synthetic or ceramic counterparts. Stainless steel kitchen sinks come in three different finishes: brushed steel, polished, and textured surfaces. In the Netherlands, the largest part of the market is made up of the polished steel variant, followed by brushed steel sinks. In general, the lower end of the market has more brushed steel sinks, while the middle and high ends of the market have a greater variety of products.

Sales of ceramic kitchen sinks are relatively negligible, especially in comparison to stainless steel kitchen sinks. The market for ceramic sinks grew throughout the 1990s and into the new millennium, until it started to decline in 2003 and sales have been fluctuating since then. Ceramic kitchen sinks generally serve only one target group within the kitchen segment, the so-called 'cottage' style sink segment. Within this style, traditional large sinks are most common and are typically with two basins sold in one unit.

The market for synthetic kitchen sinks had previously been in long-term decline, mostly because these were considered to be outdated and not as durable as their stainless steel counterpart, since these can scratch easily, but has more recently made a strong comeback, largely due to the fact that BLANCO and FRANKE have actively been promoting these types of kitchen sinks. Synthetic kitchen sinks were previously mostly accounted for by low quality, low priced sinks, but are today significantly higher priced, aimed at the higher price segments, and considered to be more trendy than stainless steel sinks. Synthetic kitchen sinks have particularly been gaining share due to the increased use of colours in the kitchen, away from traditional stainless steel and more towards black, gold, grey and copper, combined with kitchen mixers with a different type of finish than the typical chrome. In general, most synthetic sinks are made of a granite composite material, or a similar quartz composite.

Inset sinks account for the majority of kitchen sinks in the Netherlands, of which most are made from stainless steel, and some from ceramic. When it comes to installation costs, countertop sinks are usually cheaper to install than inset sinks. Countertop sinks can be mostly found in two segments: ceramic cottage-style

products and stainless steel products for non-housing purposes. The main reason these products are often sold in the non-housing sector is the fact that they are relatively cheap, durable and also easy to clean.

Recent Market Trends

The Dutch kitchen sink market developed beyond expectations in 2020, one of the best performing years on record, predominantly driven by remarkable growth in sales to the renovation sector, with sales to the new housing sector declining slightly. The kitchen market, even more so than the bathroom market, actually benefited strongly from measures introduced by the government to tackle the COVID-19 crisis. Due to lockdown measures, referred to as an 'intelligent lockdown', most people were spending a lot more time indoors, with limitation on the movement of people, as people were asked to work from home, and international travel was more difficult. Since more time was spent at home, with money becoming available that would normally have been spent on holidays, or even for travelling to work, homeowners increasingly invested more in their kitchens and bathrooms.

Kitchens, as well as bathrooms to a lesser extent, are one of the most favourable rooms in the house to be refurbished according to a recent study, either for practical reasons, to replace an older kitchen, or for aesthetic reasons. Consumers rather replace the kitchen than making the house, for example, more energy efficient because the result can be seen immediately, whereas for energy savings this comes at a much later stage. Since kitchens are, generally speaking, cheaper to replace than bathrooms, despite the costs of all the electric appliances installed in a kitchen, this might indicate why the kitchen market performed better than the Dutch bathroom market. Also, kitchens are not necessarily immediately replaced on moving into a new property, meaning that funds becoming available in 2020 may have triggered kitchen renovations, effectively benefiting sales of kitchen sinks, especially given that more than 32% of kitchens and bathrooms are renovated after moving into a new property. The number of home movers has almost grown consistently over the last decade, with only 2009, 2018 and 2019, showing a decline, which most likely affected growth rates for baths and showers.

Product related trends continued to develop in favour of synthetic kitchen sinks, which experienced higher growth rates compared to stainless steel sinks, whereas ceramic kitchen sinks declined, most likely due to it facing competition from the other segments. Kitchens, similar to bathrooms, are currently characterised by the increased use of different colours, or the combination of colours, relating to the kitchen sinks as well as mixers and accessories. The more intensive use of colours in the kitchen is almost automatically resulting in higher demand for granite kitchen sinks, included in the synthetic kitchen sink data, which hampered market growth of stainless steel kitchen sinks. All leading market players, especially REGINOX, the market leader, have invested a lot in the production, and supply, of coloured kitchen sinks but also in different shapes and sizes. REGINOX, for example, more recently introduced the 'Texel Pure Black' granite kitchen sinks and is even offering solid surface kitchen sinks, sourced from one of its partners. Interestingly, all

granite sinks offered by REGINOX are named after Dutch cities, whereas its stainless steel sinks often have American names, which goes in line with growing demand for kitchen products produced locally, often getting the 'Made in Holland' trade name, largely the result of concerns about delivery times, especially from abroad, during the COVID-19 pandemic, with many production sites abroad forced to close. The Dutch kitchen market, including furniture and fittings, continues to be characterised by a number of typical Dutch producers, including REGINOX, BRUYNZEEL, BEDA, BOUWTOE, QUOOKER and JETSTONE.

Prices and Market Values

Average prices for kitchen sinks vary greatly in the Netherlands, largely based on the material type involved. Stainless steel kitchen sinks are the most affordable ones, whereas ceramic kitchen sinks are the highest priced. Stainless steel, for example, are mostly sold in the economy/lower and middle price ranges but the other two material types are predominantly sold in the middle and upper/luxury price segments. All-in-all, the Netherlands can be considered a medium-priced market, with average prices, slightly below prices seen in Germany, but well above those seen in France, Italy and Spain.

Prices for all types of material have remained relatively stable over the last five years, largely because the kitchen sink market is subject to significant price competition among manufacturers but especially among retailers. During the height of the crisis, after the banking crisis of 2008, many retailers tried to push overall kitchen sales by offering incredibly high discounts, which consequently had a negative effect on the average prices and these remain low. At the same time, the Dutch kitchen sink market, especially for stainless steel sinks, has been characterised by a strong rise in Chinese imports, from 29% in 2012 to 70% by 2020, mostly affecting imports from Germany and a lesser extent Italy, and this trend is keeping prices low.

Last year, in 2020, average prices across all products developed similar to 2019, with stainless steel and synthetic sinks experiencing a considerable decline in average prices. This was largely the result of an increase in lower priced products, the direct result of a strong increase in Chinese imports, whereas sales to the higher price segment declined, especially since German supply weakened dramatically in 2020, but also due to changes in the distribution, with DIY gaining share at the expense of kitchen retailers. The MSP for ceramic kitchen sinks increased due to the fact that sales to the upper/luxury price segment decreased at a slightly lesser rate than the overall market, pushing up prices, since the most sales go into this price segment.

New Housing

Sales to the new housing sector remains an important end-use segment for kitchen sinks, particularly for stainless steel kitchen sinks, even though its importance has weakened in recent years since RMI demand has gained share. Overall sales in the new housing sector are slightly higher than the number of new housing

completions, which is due to the fact that some houses will have a separate utility room supplied with sink and mixer.

Although sales to the new housing sector remains to be dominated by stainless steel kitchen sinks, the product mix has changed substantially over the last decade, characterised by the rising share of synthetic sinks, mostly granite sinks, whereas ceramic sinks have remained relatively stable. Granite sinks are considered to be more trendy, available in different colours, sizes and shapes, and have because of this gained importance year-by-year. Social housing continues to exclusively use stainless steel sinks, most single bowls, often supplied by BRUYNZEEL.

In 2020, sales to the new housing sector declined slightly. This decline is mostly the result of the nitrogen crisis, and less so because of the COVID-19 pandemic. In May 2019, the Council of State announced a ruling (*'Programma Aanpak Stikstof (PAS)*) affecting the Dutch construction market, both residential and non-residential. From 29 May 2019 until 10 October 2019, local authorities were not allowed to issue new building permits, and this had a strong impact on building activity during this time but also in the short term, affecting output in 2020. New residential completions, therefore, were already expected to decline in 2020, as well as 2021, due to a decrease in new building permits issued in 2019, even before the nitrogen ruling, as well the effects of the nitrogen ruling over the summer of 2019. Due to the nitrogen ruling, many new building permit applications were not processed for around four months and even today, due to this ruling, new building application will take much longer than before.

Housing RMI

The Dutch kitchen sinks market has developed relatively quickly in favour of housing RMI, away from new build sales, which particularly gained strength from 2011 onwards when new build output still suffered heavy losses. Demand for kitchen sinks recovered strongly following the banking crisis of 2009, largely due to the VAT reduction on renovation works, which came to an end in 2015, resulting in a slowdown in RMI sales in 2016. Since 2016 sales to the RMI sector have fluctuated, but generally speaking they are no longer affected by low levels of activity, with homeowners avoiding investment in their dwellings. Renovation activity mostly depends on consumer confidence, which fluctuates in the Netherlands, the availability of sufficient funds and, most importantly, the actual willingness to invest in kitchens. However, when a decision is made to invest, homeowners tend to start renovating their kitchens first, since these are the areas that most visitors see. This is different for Dutch bathrooms, as most dwellings have separate toilet rooms, and the main bathroom is hardly ever used by visitors.

As stated before, demand for kitchen sinks grew exponentially in 2020, with this strong upward sales trend being almost exclusively the result of favourable developments seen on the housing RMI market in the Netherlands, mostly through kitchen renovation activities, less so like-for-like replacements since kitchen sinks are very durable. The sudden availability of funds, with holiday funds being used on kitchen renovations instead of (international) holidays, and spare time, since more

time was spent at home due to the working from home policy, particularly benefited sales of kitchens and kitchen sinks. For example, the turnover of kitchen retailers rose by nearly 19% in 2020 and DIY also developed well in 2020.

Non-Housing

Sales of kitchen sinks to the non-residential sector, as seen on the bathroom market, has been under pressure, characterised by relatively strong fluctuations in sales demand. Kitchen sink sales to this end-use sector consist of a variety of subsectors, such as educational and healthcare buildings but also commercial and office buildings, which are all relatively important. In general, these institutions choose only stainless steel sinks due to hygiene reasons but also because of their cheap prices and more durable qualities compared to ceramic and synthetic. In addition, there is a marginal demand for synthetic sinks in offices and holiday homes in this segment. Many of these products are countertop sinks, especially within catering establishments.

In 2020, unlike the bathroom market, which experienced a strong decline in sales, sales to the non-residential sector continued to grow slightly. This is due to the fact that kitchen sinks are more reliant on the construction of new non-residential buildings, less so on the average floor area. The total completions of new buildings increased in 2020, up by + 3.8% due to an increase in healthcare, industrial and office buildings, whereas in floor areas this decreased (-10.7%). Sales to the commercial sectors, including retail and hospitality buildings, did not perform well and declined in 2020, negatively affecting sales demand for kitchen sinks.

Supply Structure

Unlike most other segments of the Dutch bathroom and kitchen market, the kitchen sink market in the Netherlands is slightly less fragmented, with fewer players active. Apart from REGINOX, which still manufactures its kitchen sinks in the Netherlands, all kitchen sinks are imported, from both other European countries and Asia. Domestic supply has weakened in more recent years since imports have developed more favourably, especially from China.

REGINOX develops, manufactures and sells kitchen sinks for both the domestic and international markets. All production activities take place at the company's headquarters in Rijssen, the Netherlands, and sales are predominantly aimed at the middle and lower price segments of the market. Given the trend towards synthetic kitchen sinks, REGINOX now also offers synthetic ('granite') kitchens. As mentioned before, REGINOX has invested a lot in the production of synthetic kitchen sinks, in different shapes and sizes. All granite sinks offered by REGINOX are named after Dutch cities, whereas its stainless steel sinks often have American names, which goes in line with growing demand for kitchen products produced locally. REGINOX also offers kitchen mixers which are imported from Italy, but sales are at a low level, aimed to complete their product offering.

The second largest player on the market is IKEA, which has developed favourably over the last decade. Sinks are most likely imported from China. IKEA kitchens are often chosen because of their favourable prices, especially the price-to-quality ratio, but also because of their fast(er) delivery times, good quality and ease of installation. The reason why consumers may also increasingly opt for IKEA kitchen is because IKEA offers a 25-year warranty on all woodwork, e.g., the kitchen cabinets, which most kitchen retailers do not offer.

Imports from Germany are accounted for by both BLANCO and FRANKE, with the latter also importing sinks from Switzerland and the UK. Both BLANCO and FRANKE, unlike REGINOX, mostly sell into the middle and upper price segments. BLANCO is higher priced compared to FRANKE and BLANCO's kitchen sinks are sold through BLANCO BENELUX. FRANKE's sinks are today mostly imported from Germany, but the company also has a dedicated 'Swiss made' kitchen sinks range, and either sold or fitted into work surfaces in the Netherlands. FRANKE supplies an entire range of products, from standard single kitchen sinks to made-to-measure pieces. FRANKE more recently announced that it would centralise the production of synthetic kitchen sinks and ceased production of these synthetic sinks in Amersfoort, the Netherlands and Scotland, with a new production facility opening in Strečno, Slovakia, in 2019.

All leading kitchen sink manufacturers, mostly REGINOX, BLANCO and FRANKE, also all have a small range of ceramic kitchen sinks, which are most likely sourced under OEM agreements from ceramic manufacturers. REGINOX leads this market, due to its strong position on the overall kitchen market, whereas the rest of the market is quite evenly divided between VILLEROY & BOCH, FRANKE and BLANCO. Most of these sinks are used for 'cottage' style kitchens.

VILLEROY & BOCH recently announced, in September 2020, that it had entered a partnership with the German STÖRMER KÜCHEN for the production of kitchens, complementing its bathroom range. Under licence, STÖRMER will produce kitchens in its own German production sites in Rödinghausen and Enger. VILLEROY & BOCH, which will consequently be supplied to kitchen retailers in the Netherlands.

DEKKER ZEVENHUIZEN is a small domestic player but sources all its products from abroad, both Europe and outside Europe. DEKKER ZEVENHUIZEN imports synthetic kitchen sinks from the German SCHOCK.

Other small players active on the market include the Greek PYRAMIS, a low-priced player, ALVEUS, from Slovenia, and STALA. The holding company of ALVEUS, KOVINOPLASTIKA, has more recently acquired the Finnish STALA. STALA's market presence is small in the Netherlands, but used to be more significant, and no longer has local subsidiaries and sales and marketing activities are done from the Finnish head office in Lahti.

The share of 'Others' continues to include a number of non-identified imports, especially from China but also Italy, Spain and Portugal. This includes LORREINE,

a Dutch importer of kitchen sinks, both synthetic and stainless steel kitchen sinks, founded in 2020, but the country of origin remains currently unknown. Others also includes CARESSI, another Dutch manufacturer of kitchen sinks, which are also very likely imported from abroad. Furthermore, all leading DIY stores, including GAMMA and PRAXIS, offer kitchen sinks. GAMMA offers these under VAN MARCKE, GAMMA and KLASSIK brands, all of which are mostly likely indirectly sourced from China, and PRAXIS sells kitchen sinks from the French DIADEM and ESSEBAGNO as well as under its own AQUAVIVE brand but also from the VAN MARCKE brand.

Forecasts

Whereas the Dutch kitchen market performed remarkably well, with 2020 being described as one of the best performing years since the start of the new millennium, the short-term outlook for 2021 remains uncertain, with market developments severely affected by lockdown measures. While for the most of 2020, in response to the global COVID-19 pandemic, no strict measures were implemented, with people only urged to stay indoors as much as possible, more drastic measures were implemented from December 2020 onwards, which will continue to shape market developments for kitchen sinks for the whole of 2021. Since 15 December 2020, most non-essential retail stores, including kitchen (furniture) retailers, across the country were forced to close when Mark Rutte, the Dutch Prime Minister, implemented a strict lockdown. This drastic move will undoubtedly have a strong negative effect on sales of kitchen sinks, but also furniture and appliances, largely due to the fact that kitchens are predominantly sold via kitchen retailers, substantially higher compared to that of most bathroom related market segments.

Although sales to all end-use segments should witness negative growth for the whole of 2020, a declining renovation market will ultimately be the main contributor for a strong declining kitchen market. This can be attributed to several factors. Firstly, the strong performance in 2020, benefiting from measures implemented to contain the spread of COVID-19, resulting in a strong upsurge in kitchen renovations, which probably reached artificially high levels of sales, meaning a general decline was already anticipated. Secondly, the closure of kitchen retailers for five months, from December 2020 to the end of April, affected RMI sales more than new build sales since construction will continue to take place. Thirdly, once lockdown measures have been lifted and things go back to 'normal', or as normal as possible, it is likely that consumers will increasingly spend their money on travel or leisure activities rather than home renovation projects, especially given that most of these activities were rather limited in 2020. All these factors combined will have a strong negative effect on kitchen sinks sales.

The decline in new build sales is set to decelerate for 2021. Sales to the new housing sector is set to recover from 2022 onwards, largely because the impact of the nitrogen crisis will have disappeared by then. The new housing market, in the medium to long term, should benefit, and therefore kitchen sinks sales, from incentives introduced by the government, such as the 'Residential Construction

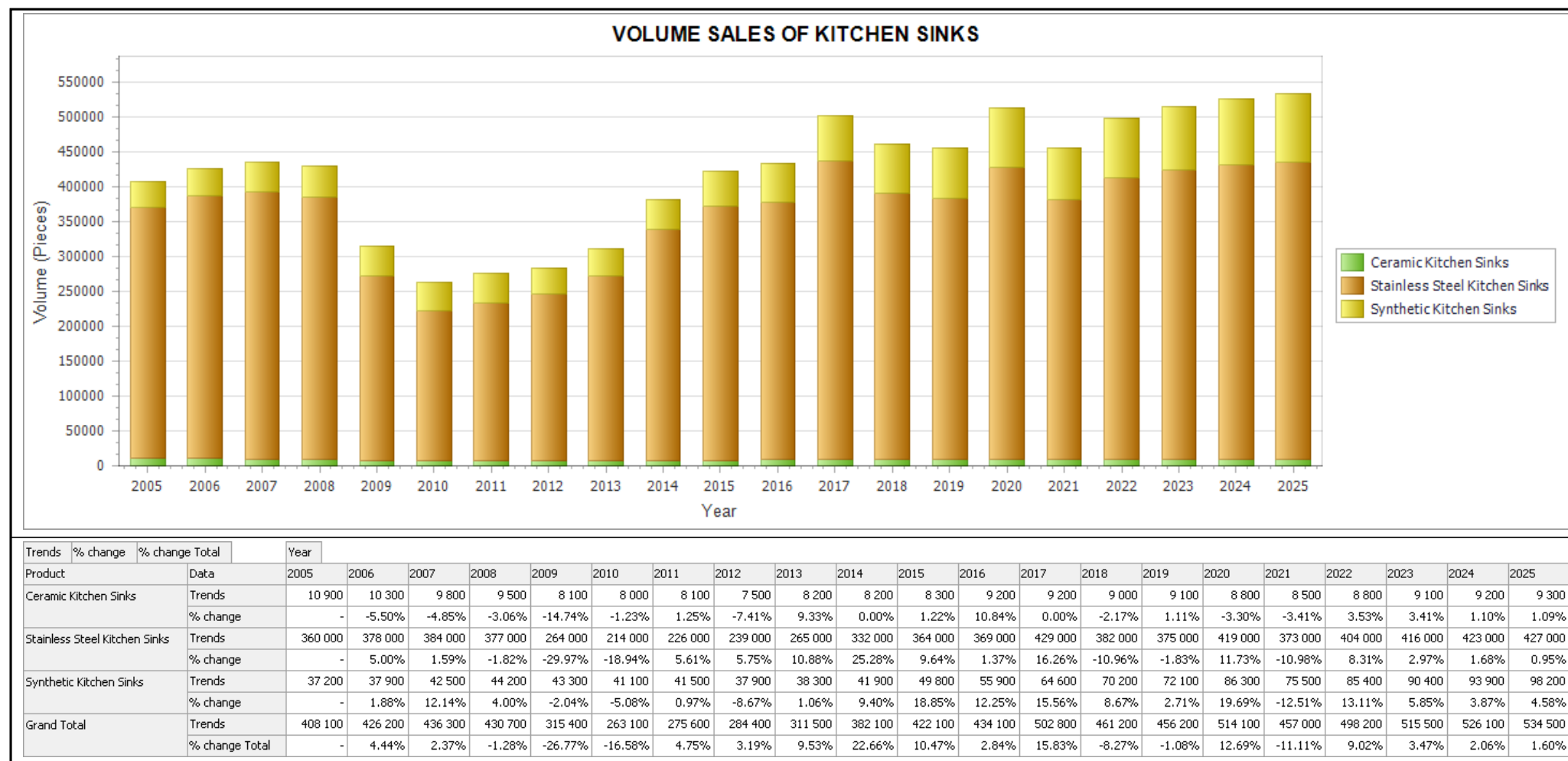
Stimulus Programme' aimed at the construction of affordable homes, but also due to a general housing deficit in the Netherlands, which has worsened since the onset of the banking crisis of 2009. Any stronger recovery should benefit inevitably sales of kitchen sinks, both private and public housing, especially if the gap between housing demand and supply is reduced. The housing deficit remains high, estimated at over 300,000 dwellings in the Netherlands, has worsened considerably due to the effects of the banking crisis, resulting in the bankruptcy of around 5,000 construction companies and 500,000 construction workers, combined with the lack of construction workers, high material costs and the implementation of a landlord levy in 2013 (as enforced by the government). Due to the landlord levy, housing associations have consequently built significantly fewer homes, from around 30,000 to 35,000 before this implementation to around 15,000 after it.

The importance of the non-residential sector remained weak in 2020 and will remain so in 2021. Unlike in 2020, kitchen sink sales to this end-use segment will weaken in 2021, largely due to the expected decline in construction output, including renovations and refurbishments, due to office, commercial and educational buildings all set to exhibit negative growth for 2021. With the changes seen in 2020, the anticipated slowing-down of the national and international economic development due to the COVID-19 crisis is likely to decrease non-housing construction for 2021. The outlook beyond 2021 is more positive, although with different growth rates expected across the different subsectors. Demand from the non-housing sector is expected to see a slowdown since it relies more on the economic performance of the country. The construction of new buildings and infrastructure projects are likely to be affected during the coming year, but in the medium term could benefit from the fact that a number of businesses and organisations have moved their offices from London to Amsterdam due to 'Brexit'.

Consumer trends on the overall kitchen market are set to further favour the use of colours, especially the colour combination of the kitchen sink and kitchen mixer, such as black kitchen sink with a mixer with a copper finish. Like previously stated, the more intensive use of colours in the kitchen is almost automatically resulting in higher demand for granite kitchen sinks, included in the synthetic kitchen sink data, which may hamper market growth of stainless steel models. Therefore, the market is expected to further build on the success story of synthetic kitchen sinks, most granite sinks, which have shown relatively impressive growth rates over the last decade, particularly between 2013 and 2017. REGINOX particularly has invested a lot in the production facilities of these granite sinks.

8.2 Historical Trends and Forecasts : Kitchen Sinks

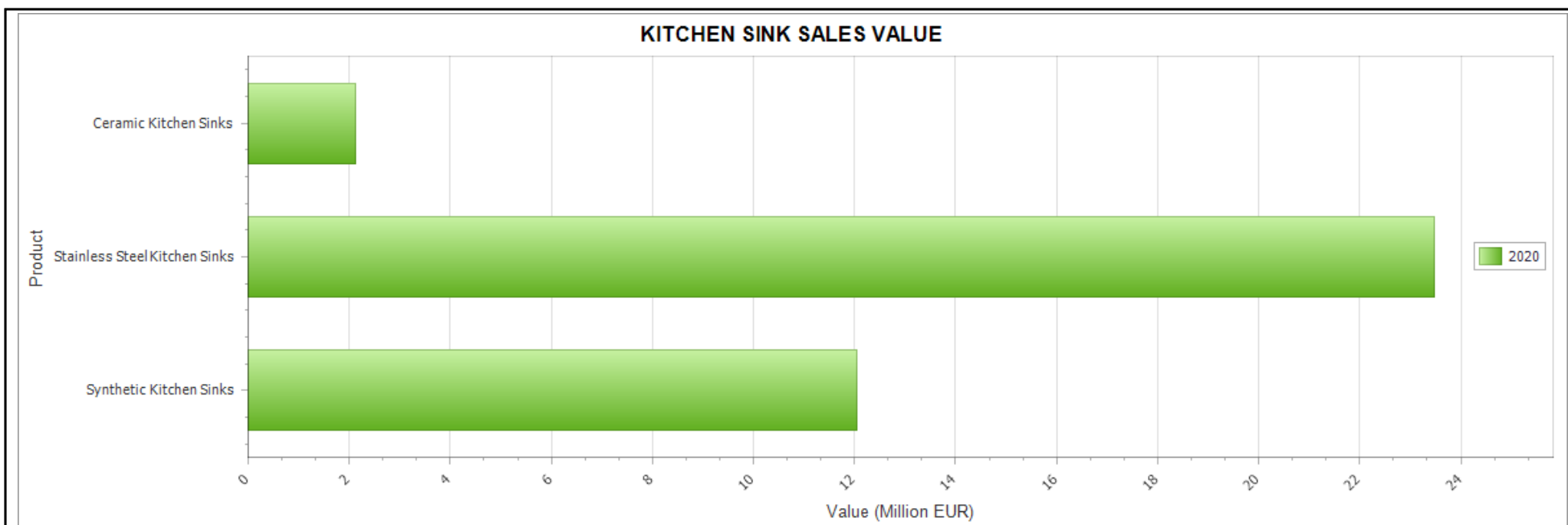
NL - SUMMARY OF TRENDS IN THE KITCHEN SINK MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

8.3.1 Prices and Market Values : Kitchen Sinks

NL - ESTIMATED VALUES OF THE KITCHEN SINK MARKET

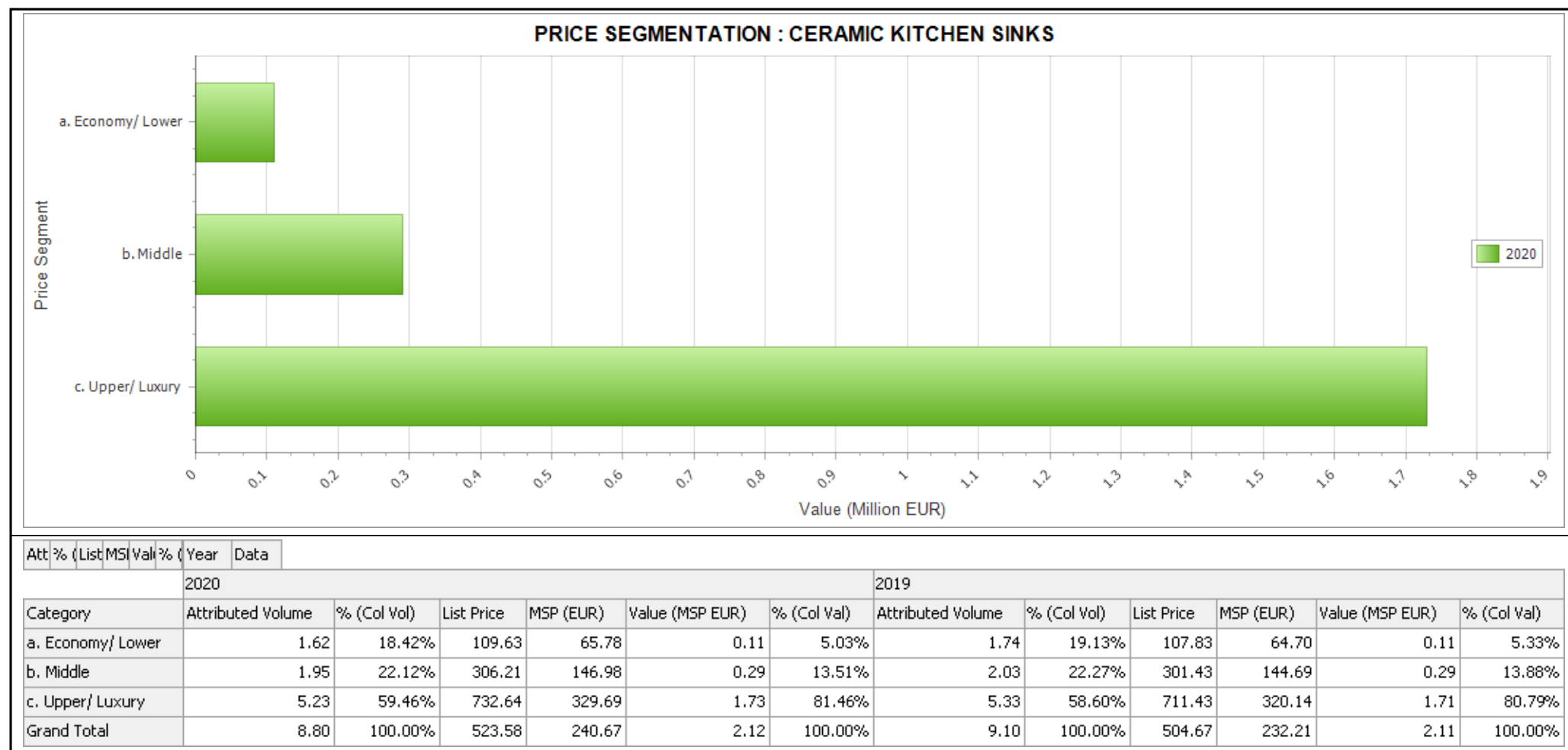


Volumes	MSP (EUR)	Value (MSP EUR)	Year	Data			
				2020	2019		
Product	Volumes	MSP (EUR)	Value (MSP EUR)		Volumes	MSP (EUR)	Value (MSP EUR)
Ceramic Kitchen Sinks	8 800	240.69	2.12		9 100	232.22	2.11
Stainless Steel Kitchen Sinks	419 000	56.04	23.48		375 000	57.29	21.48
Synthetic Kitchen Sinks	86 300	139.56	12.04		72 100	142.03	10.24
Grand Total	514 100	73.22	37.64		456 200	74.17	33.84

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

8.3.2 Price Segmentation : Ceramic Kitchen Sinks

NL - ESTIMATED PRICE SEGMENTATION FOR CERAMIC KITCHEN SINKS

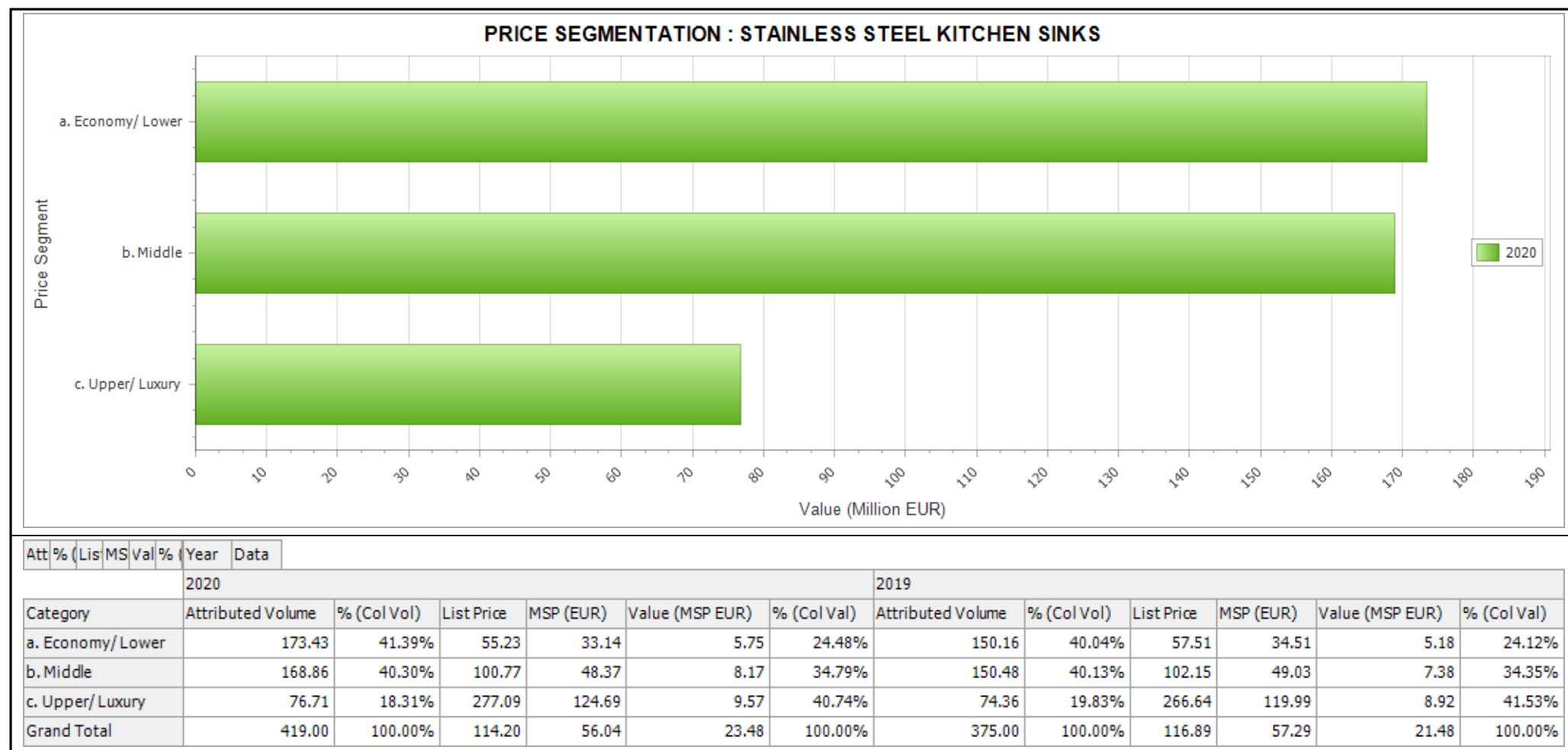


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

8.3.3 Price Segmentation : Stainless Steel Kitchen Sinks

NL - ESTIMATED PRICE SEGMENTATION FOR STAINLESS STEEL KITCHEN SINKS

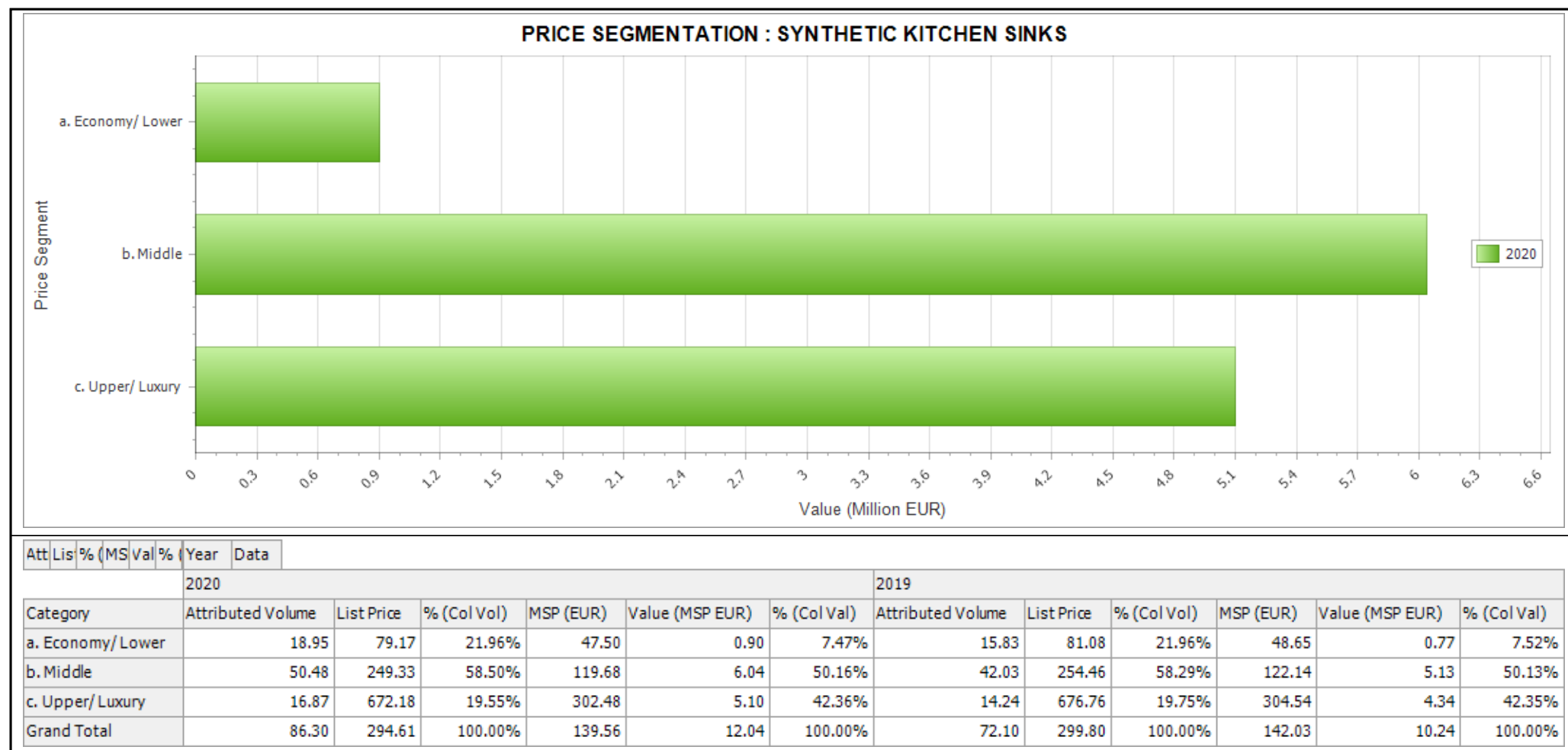


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€40, Middle €40-€60, Upper/ Luxury >€60

8.3.4 Price Segmentation : Synthetic Kitchen Sinks

NL - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC KITCHEN SINKS

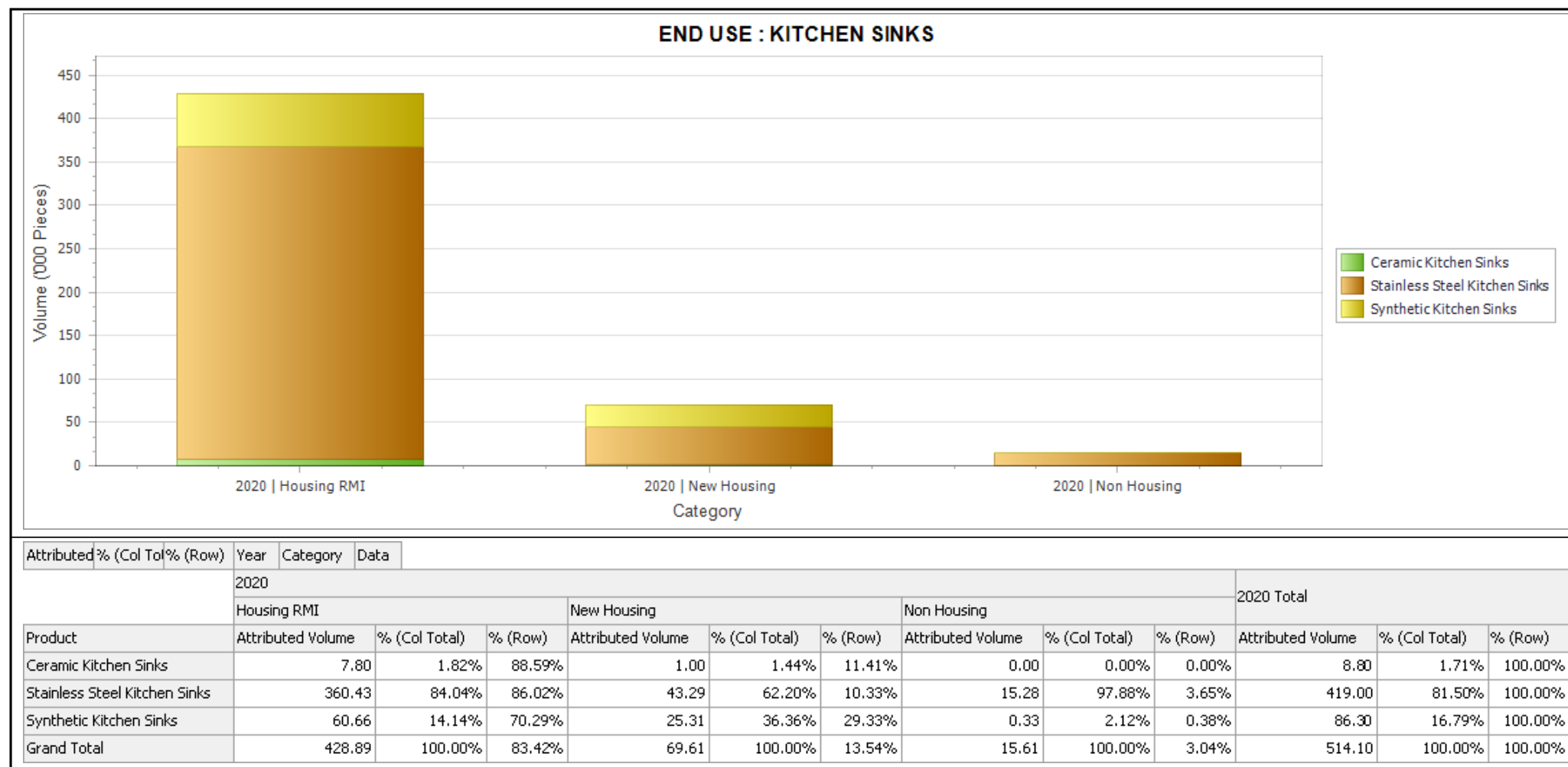


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

8.4.1 End Use : Base Year

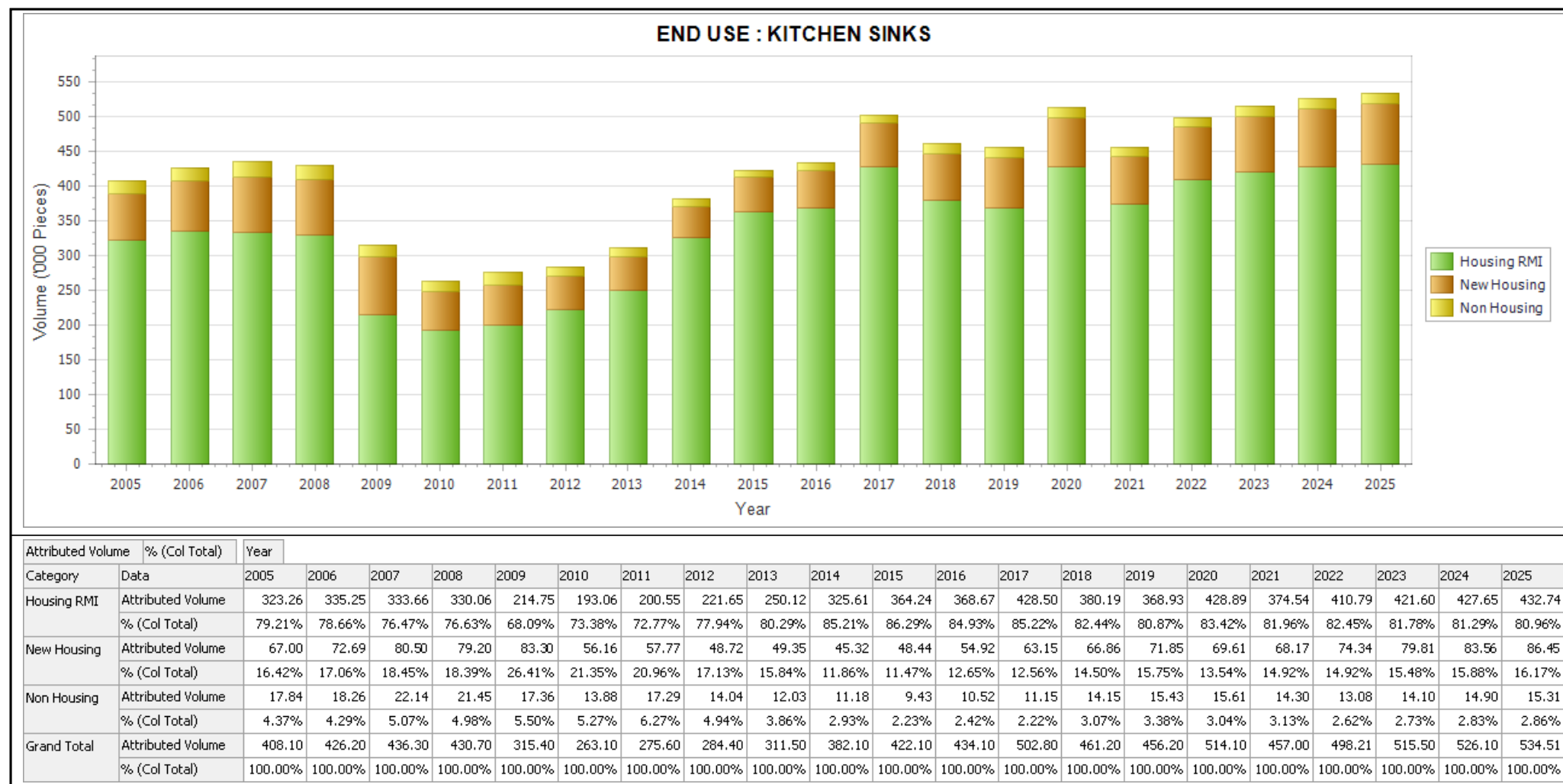
NL - SALES OF KITCHEN SINKS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.4.2 End Use : Historical and Forecasts

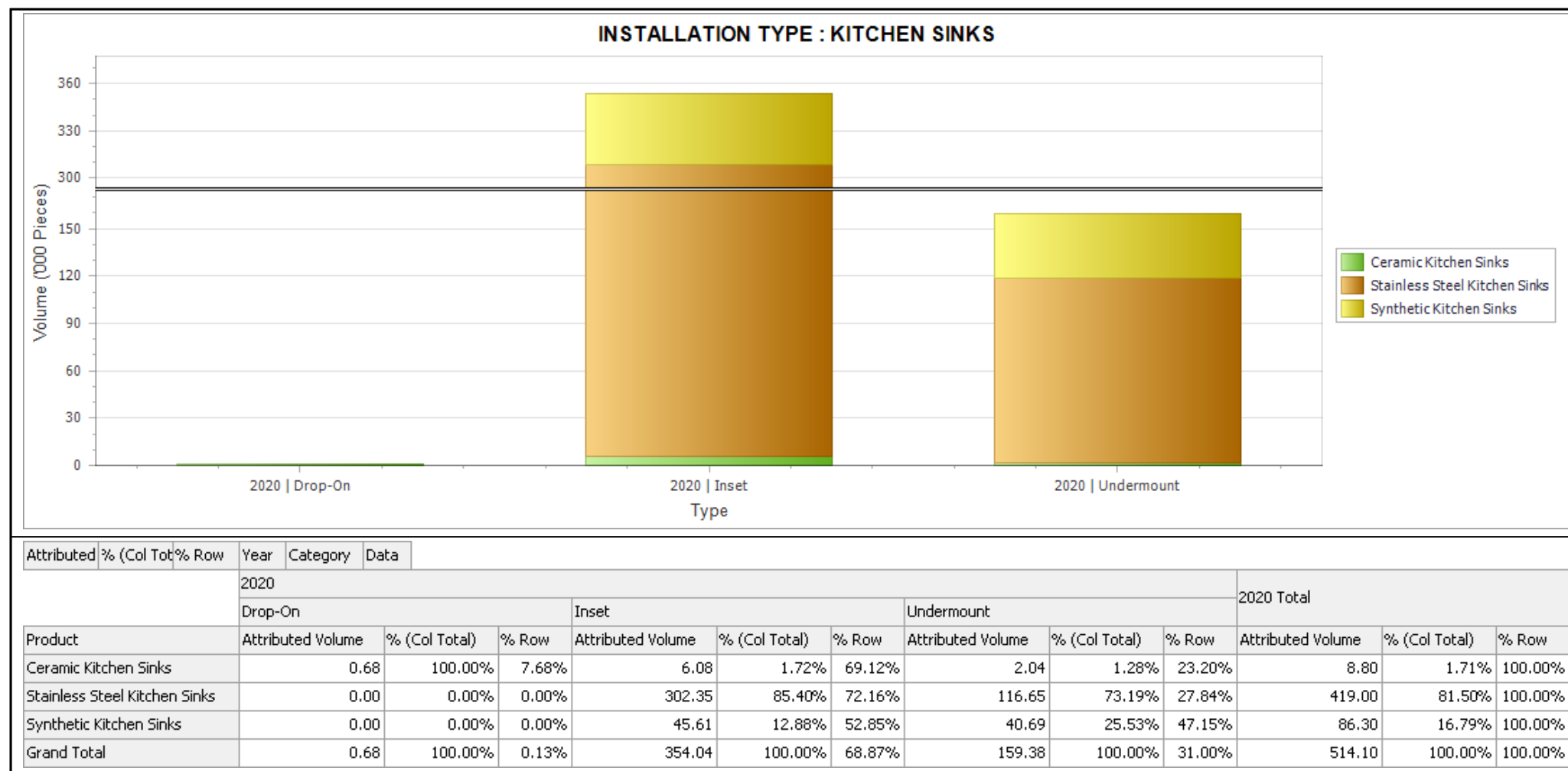
NL - SALES OF KITCHEN SINKS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

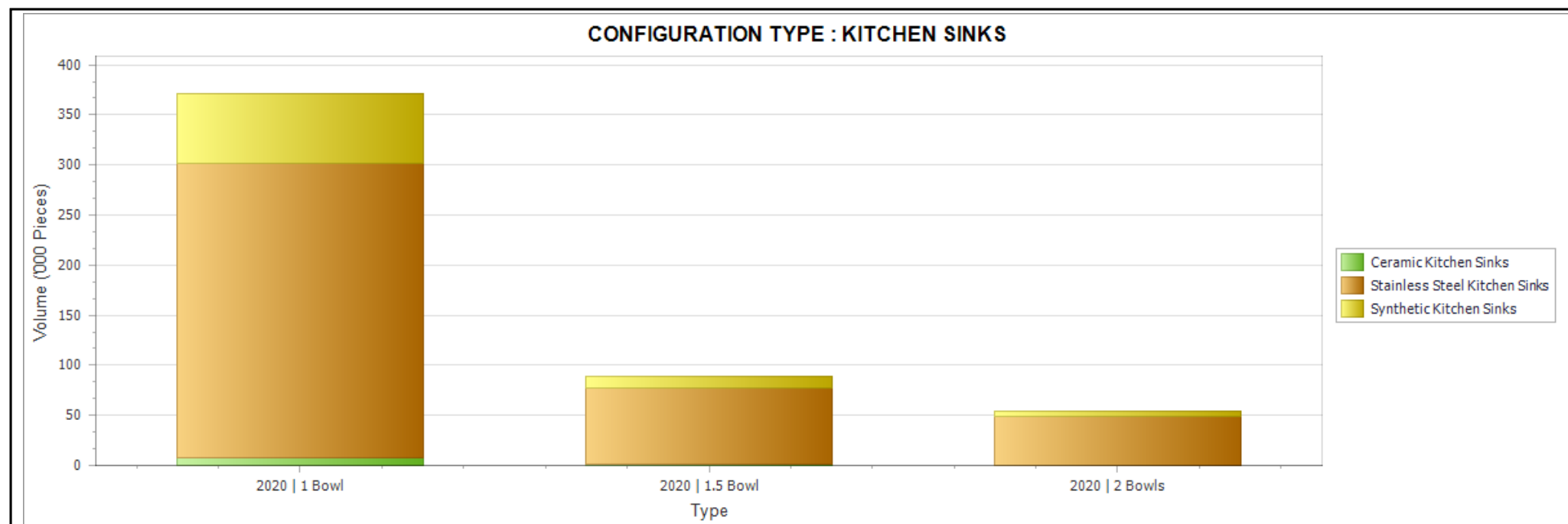
8.4.3 Sales by Type of Installation : Kitchen Sinks

NL - KITCHEN SINK SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

NL - KITCHEN SINK SALES BY CONFIGURATION TYPE ('000 PIECES)

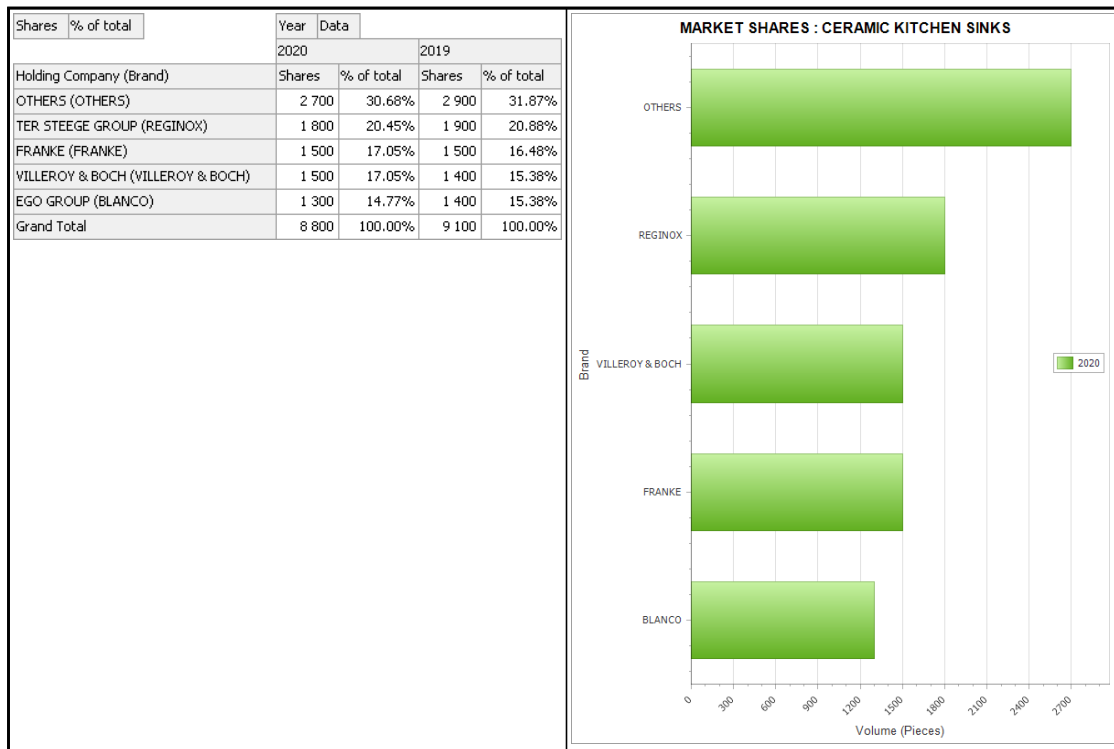


Attributed	% (Col Tot)	% Row	Year	Category	Data							
			2020							2020 Total		
			1 Bowl			1.5 Bowl			2 Bowls			
Product	Attributed Volume		% (Col Total)	% Row	Attributed Volume		% (Col Total)	% Row	Attributed Volume		% (Col Total)	% Row
Ceramic Kitchen Sinks	7.40		1.99%	84.08%	0.83		0.93%	9.37%	0.58		1.06%	6.54%
Stainless Steel Kitchen Sinks	293.50		79.04%	70.05%	76.92		87.08%	18.36%	48.58		89.26%	11.59%
Synthetic Kitchen Sinks	70.44		18.97%	81.62%	10.59		11.99%	12.27%	5.27		9.68%	6.11%
Grand Total	371.34		100.00%	72.23%	88.33		100.00%	17.18%	54.43		100.00%	10.59%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.5.1 Market Shares : Ceramic Kitchen Sinks

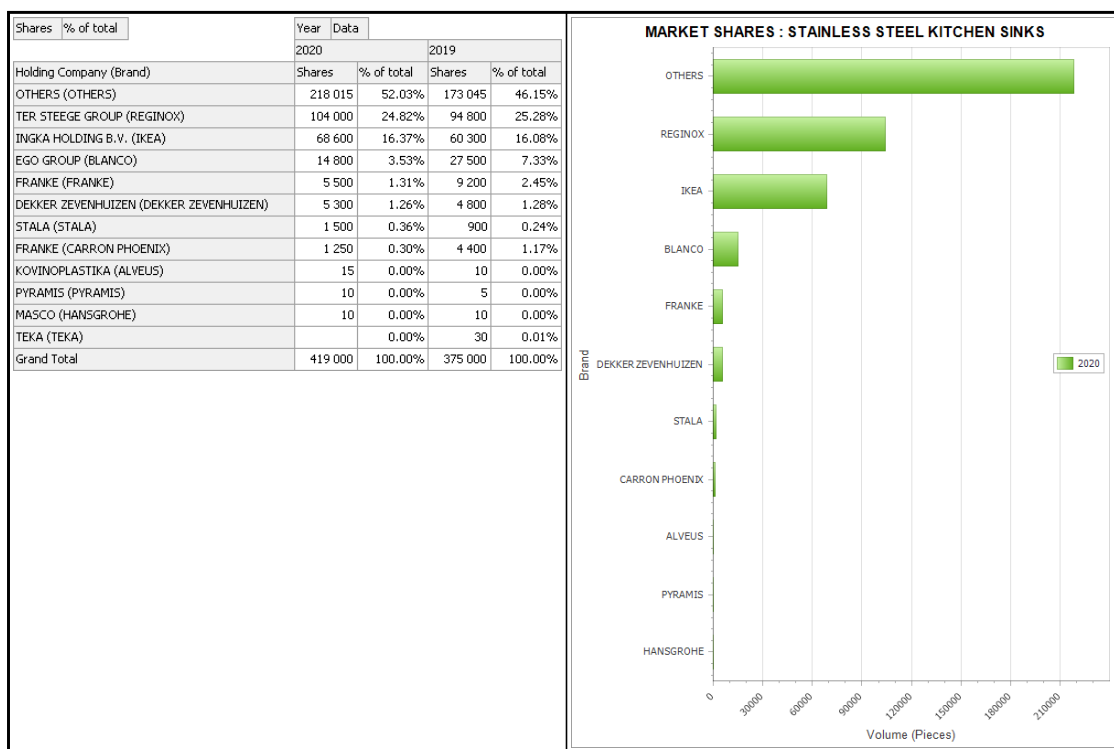
NL - ESTIMATED MARKET SHARES FOR CERAMIC KITCHEN SINKS



Source: BRG based on industry interviews

8.5.2 Market Shares : Stainless Steel Kitchen Sinks

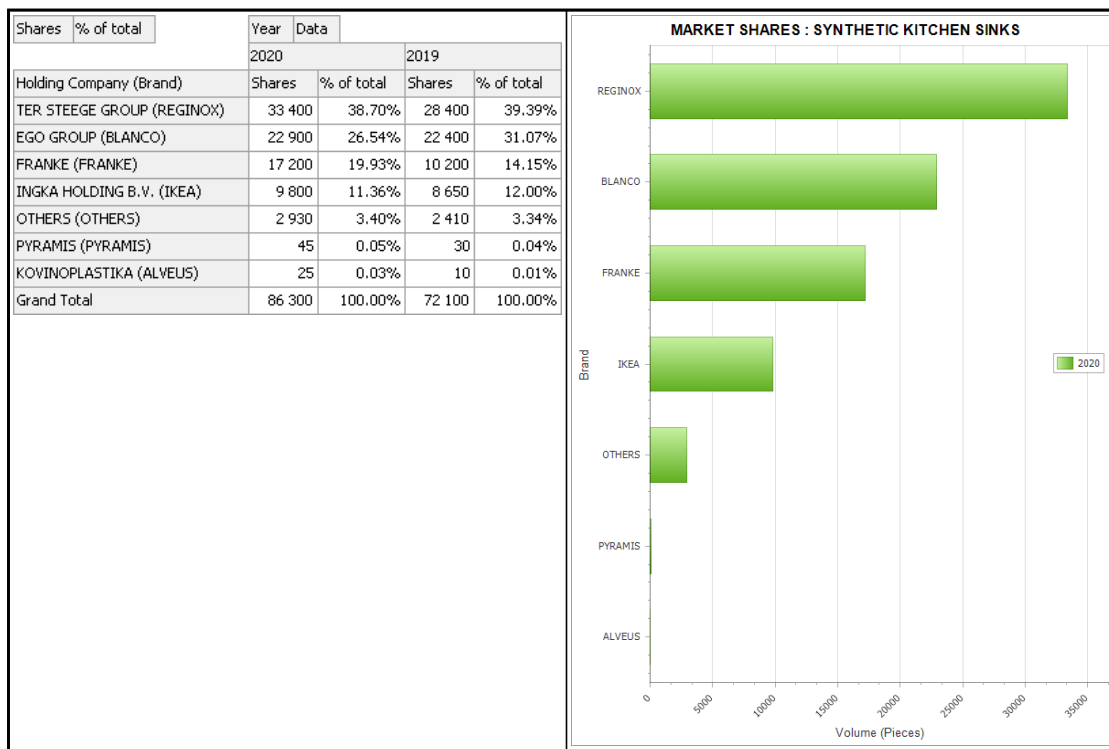
NL - ESTIMATED MARKET SHARES FOR STAINLESS STEEL KITCHEN SINKS



Source: BRG based on industry interviews.

8.5.3 Market Shares : Synthetic Sinks

NL - ESTIMATED MARKET SHARES FOR SYNTHETIC KITCHEN SINKS



Source: BRG based on industry interviews.

8.6.1

Route to Market: Kitchen Sinks
NL - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

49.3%
Worktop Manufacturers
49.3%

Wholesale Level

Manufacturers	Worktop Manufacturer
16.8%	18.5%
Wholesalers / Merchants	
35.4%	

Retail Level

Manufacturer	Worktop Manufacturer	Wholesaler
0.6%	0.0%	2.9%
Internet Retailers		
3.5%		

Manufacturer	Worktop Manufacturer	Wholesaler
3.5%	0.0%	6.5%
DIY Retailers		
10.0%		

Manufacturer	Worktop Manufacturer	Wholesaler
25.2%	26.4%	3.3%
Specialist Retailers		
54.9%		

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist
1.1%	4.3%	22.2%	0.1%	1.5%	5.5%
Installers					
34.7%					

End Use Level

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
3.5%	0.0%	0.2%	3.4%	8.5%	49.4%	31.9%
Residential						
97.0%						
New Build			Residential RMI			
13.5%			83.4%			
Project	Non-Project		Project	Non-Project		
12.0%	1.5%		5.6%	77.8%		

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.0%	0.3%	0.0%	0.0%	0.0%	2.8%
Non-Residential						
3.0%						
New Build			Non-Residential RMI			
1.5%			1.6%			
Project	Non-Project		Project	Non-Project		
0.9%	0.6%		1.2%	0.4%		

8.6.2

Route to Market: Kitchen Sinks
NL - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

50.6%
Worktop Manufacturers
50.6%

Wholesale Level

Manufacturers	Worktop Manufacturer
16.2%	18.6%
Wholesalers / Merchants	
34.8%	

Manufacturer	Worktop Manufacturer	Wholesaler
0.2%	0.0%	2.6%
Internet Retailers		
2.8%		

Manufacturer	Worktop Manufacturer	Wholesaler
3.9%	0.0%	5.9%
DIY Retailers		
9.8%		

Manufacturer	Worktop Manufacturer	Wholesaler
24.4%	26.9%	3.5%
Specialist Retailers		
54.8%		

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist
1.2%	5.1%	22.4%	0.1%	1.5%	5.5%
Installers					
35.8%					

End Use Level

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	
3.5%	0.0%	0.2%	2.7%	8.3%	49.3%	33.2%	
Residential							
97.1%							
New Build			Residential RMI				
16.2%			81.0%				
Project		Non-Project		Project		Non-Project	
13.9%		2.3%		5.4%		75.5%	

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	
0.0%	0.0%	0.2%	0.0%	0.0%	0.0%	2.6%	
Non-Residential							
2.9%							
New Build			Non-Residential RMI				
1.4%			1.5%				
Project		Non-Project		Project		Non-Project	
0.8%		0.5%		1.1%		0.4%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

8.6.3 Route to Market - Consolidated View : Kitchen Sinks

NL - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS : 2020

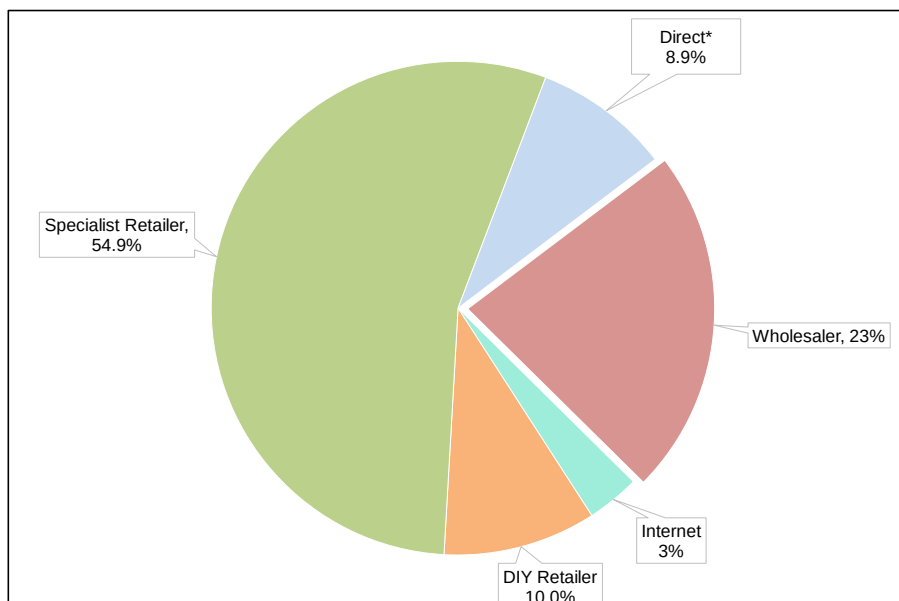
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
22.7%	3.5%	10.0%	54.9%	8.9%	17.6%	2.1%	79.3%	0.9%
100%					19.7%		80.3%	

8.6.4 Route to Market - Consolidated View : Kitchen Sinks

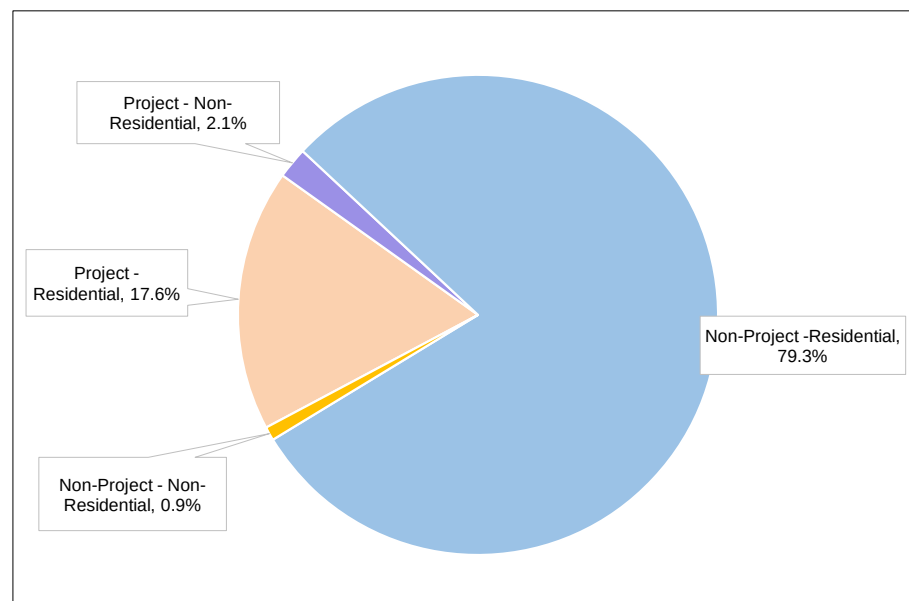
NL - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
22.8%	2.8%	9.8%	54.8%	9.8%	19.3%	2.0%	77.8%	0.9%
100%					21.3%		78.7%	

NL - SALES OF KITCHEN SINKS BY DISTRIBUTION CHANNEL: 2020



NL - SALES OF KITCHEN SINKS BY POINT OF DECISION AND END-USE SECTOR: 2020



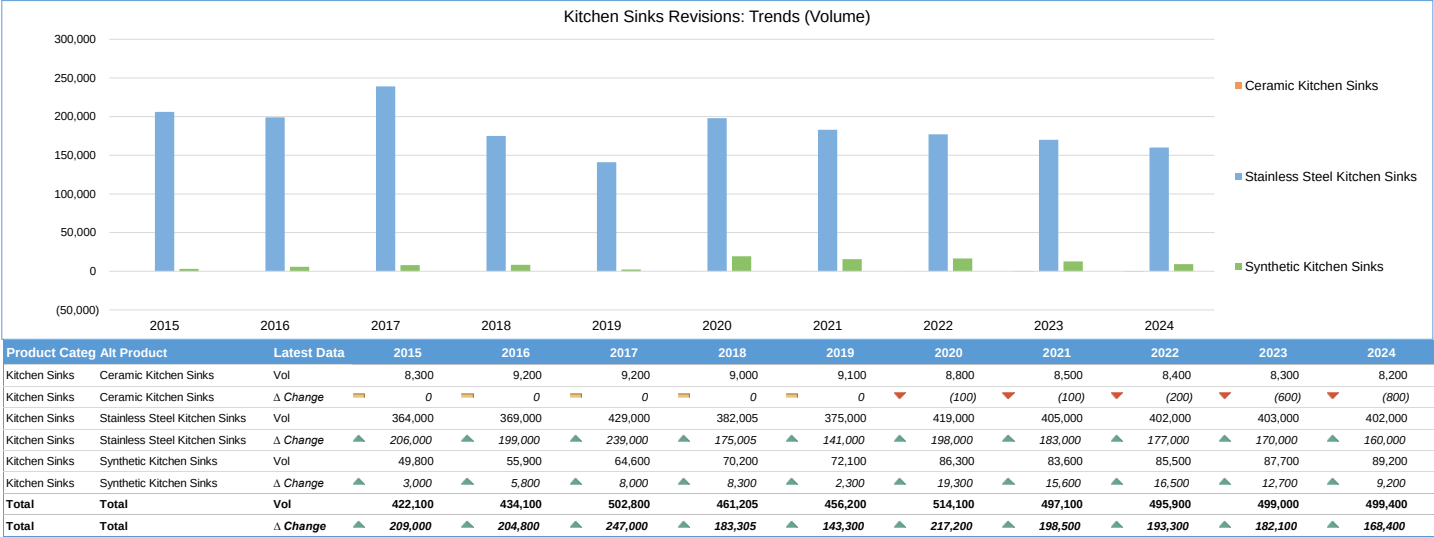
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

8.7 Revisions in the Dutch Kitchen Sinks Market (April 2021)

NL - REVISIONS IN THE DUTCH KITCHEN SINKS MARKET

Data Comparison: October 2020



The MSP for stainless steel kitchen sinks were revised down. Stainless steel sinks, which remain to be the most common type of kitchen sink sold on the Dutch market, are often very basic, available in different price ranges, but the vast majority of the market is sold in the middle price range. The average MSP of kitchen sinks imported vary from €50 to €75, with Chinese imported sink being some 30% cheaper compared to German imported sinks.

Due to a misclassification in import statistics, combined with a revision in received manufacturer sales data, upward revisions have been made to the market size for stainless steel sinks. The Netherlands has seen an influx in kitchen sinks imported from China, which were largely absent from the market in the early 2000s, but today account for around 60% of total imports. Imports from China include, amongst others, IKEA and private label sales of GAMMA, PRAXIS and KAREWEI, but also importers such as CARESSI and LORREINE.

The synthetic kitchen sinks market was also revised up, from 2012 onwards, as synthetic kitchen sinks are increasingly becoming more popular, with a strong increase seen in imports from Germany, Slovakia and to a lesser extent, China. Synthetic kitchen sinks are considered to be more fashionable and trendier compared to stainless steel sinks, available in different colours, sizes and shapes.

NETHERLANDS

KITCHEN TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The Dutch kitchen taps and mixers market has, like kitchen sinks, experienced heavy fluctuations in sales volumes over the last few decades, mostly linked to developments in the Dutch housing market, for both existing and new build, generally affected by the state of the economy. Sanitary taps and mixers tend to perform slightly better than the market for kitchen taps and mixers since the former are replaced more often and the number of installed sanitary taps and mixers is greater.

In contrast to Germany for example, the Netherlands have a relatively strong two head mixers market, mainly because of a large social housing sector in which two head mixers are frequently used. Nevertheless, the Dutch market is moving away from two head towards one head mixers. The use of pillar taps for kitchen applications has almost completely disappeared, with sales being negligible. The price for one head mixers has reached a level, which lies close to two headed mixers. This small gap accelerated the shift in consumer preference from two head mixers towards one head mixers in terms of price and usability. The majority of the Dutch kitchen taps and mixers market is made of deck-mounted applications, with just a small share of the market being of wall-mounted units. In terms of finish, chrome and stainless steel account for the large majority of sales per annum but other finish types are gaining importance, especially gold, copper and black.

In recent years, so called 'boiling hot water taps' have increased in popularity. This product is a combination of a small water heater located underneath a kitchen sink that is connected to a tap providing instant boiling water. QUOOKER is believed to be the largest player in this segment, with around 80% of market share, although many other (kitchen) taps and mixers manufacturers have entered this segment. Around 45 years ago, QUOOKER introduced the boiling tap to the market and sales have started growing rapidly during the last decade.

Recent Market Trends

As with bathroom mixers, demand for kitchen taps and mixers surged in 2020, experiencing the highest growth rates across all types of taps and mixers, especially over the summer months, with growth attributed to an increasing number of households investing in kitchen taps and mixers for renovation purposes. Growth was seen across all segments of the market, from one head to two head mixers and from basic models to more elegant, more sophisticated models.

The reason behind this strong upward development on the overall kitchen market, including kitchen sinks, is clear; the lockdown measures, the so-called 'intelligent lockdown', resulted in a strong increase in smaller to larger home renovation projects, including full kitchen renovations, throughout the year 2020. Dutch consumers spend a lot more time at home since people were asked to work from home, whenever possible, and this was the ideal time to undertake home

renovation and replacement activities. Additional funds to cover investments in these 'projects' also became available since travel costs, to and from the office, disappeared and holiday funds could not be used since international travel was limited. At the same time, since more time was spent at home, because of social distancing but also due to the closure of hospitality buildings, including bars and restaurants, for a limited time and not needing to travel to work meant people had more time at hand to work on any type of (home) renovation project.

The urge to invest in kitchens and bathrooms had a clear impact on DIY sales in the Netherlands, which grew exponentially across all product categories in 2020. Indeed, the health pandemic particularly helped the DIY sector in the Netherlands, experiencing strong growth rates throughout 2020, with growth rates varying from +14.9% to +36.3%, with the Q2 being the best performer (+30.6%) and Q4 being the poorest performer (+10.3%). These growth rates refer to total DIY sales, including paints, hardware and gardening materials, since sales of bathroom and kitchen related equipment increased by around 12%, including all bathroom products such as CSW, baths and showers but also (ceramic) tiles.

Product trends were largely in line with previous years. The main trend on the market remains to be toward more use of colours, in both mixers and sinks, as well the further uptake of boiling hot water models. As with kitchen sinks, which has seen a strong rise in the use of black, gold, grey and copper sinks, the share of chrome is declining with developing in favour of a stainless steel, copper, black, white and even gold finish. At the same time, trends on the overall kitchen market are also shifting in favour of convenience, innovations and elegance. QUOOKER continued to perform particularly well, benefiting from its strong name, brand image and 'Made in Holland' trade mark, and has now become one of the leading players, especially when expressed in value. QUOOKER has expanded its product offering, integrating models using different types of finishes, in response to consumer demand, as well as models with pull-out hoses, the QUOOKER FLEX, and the QUOOKER PRO3, providing hot, cold and sparkling water.

The COVID-19 pandemic seems to have also affected demand for 'touch-free' kitchen models, although not to the same extent as for bathroom fittings, with most players actively promoting kitchen models that either use 'touch-free' or 'hands-free' features. Even in a residential setting, in one's own home, consumers have become much more aware of touching surface areas, including fittings. KLUDI's E-GO hybrid kitchen model, for example, can be operated using the handle or sensor, either with wet, dry, or even dirty hands.

Prices and Market Values

Average prices for kitchen taps and mixers have developed slightly differently compared to those of bathroom mixers, with prices being affected by changes in the product mix, such as a declining share of two head mixers but the growing share of boiling hot water models, as well as changes in supply and distribution patterns. Unlike bathroom mixers, the price fluctuations for kitchen mixers have been slightly more modest, with average price changes being less pronounced.

This is most likely due to the facts that average prices are less affected by a change in the product mix, which has been more stable compared to bathroom mixers. The most prominent change has been away from two head, although these continue to hold a strong foothold on the overall market due their use in social housing, developing in favour of one head mixers, including boiling hot water mixers.

Sales per price segment for kitchen mixers is similar to that of bathroom mixers, characterised by high sales in the economy to middle price segments. That being said, the most prominent difference between bathroom and kitchen mixers is that sales in the luxury segment have gained importance for kitchen mixers, in turn due to a rising share of boiling hot water models which are all exclusively sold into the luxury price segment.

All-in-all, as with bathroom mixers, prices for kitchen mixers have remained relatively stable over the last decade, mostly affected by the impact of rising imports from low cost countries in Asia, on top of rising raw material and labour costs. German and Chinese imports also dominate the kitchen market but targeting different price segments. The growing share of private label, especially the ones sold through DIY stores, have in particular hampered price increases in recent years. Whereas the growing share of one head mixers, including boiling hot water taps, at the expense of two head mixers, has resulted in average prices going up, the growing share of cheaper imports, from China but also Eastern Europe, including Poland and Bulgaria, has prevented average prices from increasing too much.

In 2020, average price developments for kitchen mixers were largely defined by changing distribution channels, most notably DIY, with sales up by +23%, but also online sales, and were less affected by manufacturers' price increases. Indeed, sales to the economy and lower price segments, with a large share of these sold through DIY stores, increased at a significantly faster rate than sales to the middle and higher price segments, affecting price development between 2020 and 2019. As a result, and despite increasing sales to the luxury price segment, the overall MSP declined in 2020.

New Housing

Similar to overall taps and mixers, the importance of the new housing sector is small for kitchen taps and mixers, even below that of bathroom taps and mixers, since the market relies more on RMI demand, with less than 10% of sales, per annum, installed in new dwellings. Following strong fluctuations in sales between 2010 and 2014, due to strong variations in residential construction output, the market has been on an upward trend since 2015, positively affecting sales of kitchen mixers in the Netherlands. Kitchen tap and mixer sales to new housing tend to be slightly higher than the total number of new dwelling completions since some houses may have a utility room fitted with a kitchen sink and mixer.

Generally speaking, the market has developed in favour of one head mixers, similar to housing RMI, but two head mixers continue hold a significant foothold on the market for the following reason. New build sales of kitchen taps and mixers can largely be divided into three main sectors, owner-occupied, project and social housing sales. Whereas kitchen fittings, both sinks and mixers, going into owner-occupied dwellings are characterised by a high share of one head models, often higher priced and more luxurious, which also have seen a relatively fast uptake of boiling hot water taps; whereas in both projects and social housing more economy priced products can be found, mostly accounted for by low cost two head models. Indeed, in social housing projects the main focus is on keeping construction costs low, characterised by the inclusion of very cheap products, including, for example, GROHE's COSTA L and BRUYNZEEL's SOLID AQUA two head mixers, both being very low priced.

Boiling hot water mixers, like the models offered by QUOOKER, have gained share rapidly in the new housing sector, but are still only limited to owner-occupied dwellings. Most of these are chosen for convenience purposes since these mixers save space, with no kettle required, water and money. Growth rates are expected to slow down in the new housing sector, but should continue to gain share in renovation sector, with nearly 40 to 50% of new dwellings being fitted with a boiling hot water mixer. Many players have entered this market segment over the last decade, which now include players in the likes of GROHE, FRANKE and BRUYNZEEL, as well players from the heating industry such as ITHO DAALDEROP and INVENTUM, but QUOOKER remains to dominate the market.

In 2020, sales to the new housing sector declined slightly. This decline is mostly the result of the nitrogen crisis, and less so because of the COVID-19 pandemic. In May 2019, the Council of State announced a ruling (*'Programma Aanpak Stikstof (PAS)*) affecting the Dutch construction market, both residential and non-residential. From 29 May 2019 until 10 October 2019, local authorities were not allowed to issue new building permits, and this had a strong impact on building activity during this time but also in the short term, affecting output in 2020. New residential completions were therefore already expected to decline in 2020, as well as 2021, due to a decrease in new building permits issued in 2019, even before the nitrogen ruling, as well the effects of the nitrogen ruling over the summer of 2019. Due to the nitrogen ruling, many new building permit applications were not processed for around four months and even today, due to this ruling, new building application will take much longer than before.

Housing RMI

As with all other segments of the Dutch bathroom and kitchen market, most kitchen mixers sold are aimed at the housing RMI sector, which is no surprise given the ageing domestic building park, meaning that there is a significant like-for-like replacement market. Compared to bathroom taps and mixers, RMI demand for kitchen taps and mixers, but also kitchens in general, tends to be relatively high in the Netherlands, even at times when the overall housing market performs poorly. The kitchen is often one of the first areas that homeowners renovate when they

start investing in their dwellings. This positive development can be further linked to the improved economic climate, with its corresponding positive effects on the housing market and, particularly, improved consumer confidence, which positively affected household spending.

As mentioned, sales of taps and mixers to the housing RMI sector rose exponentially in 2020, driven by an increase in the number of home improvement projects, particularly benefiting DIY sales, as well higher like-for-like replacement demand due to the measures implemented to tackle the COVID-19 pandemic. The Netherlands, unlike most neighbouring countries, never went into full lockdown in 2020 and only entered a so-called 'intelligent lockdown', with the Dutch government simply urging people to leave their homes as little as possible and work from home. This has thus benefited sales of taps and mixers since homeowners spend a lot more time indoors, with more free time becoming available due to not having to commute to work and not going on (international) holidays, and money that would normally be spent on (international) holidays was used on home renovations projects.

Unlike the market for bathroom taps and mixers, the overall product mix has remained relatively stable, with two head mixers only declining marginally over the last 15 years, from 28 to 22%, mostly due to their intensive use in the social housing sector, and one head mixers gaining share. Two head mixers are often still used in social housing projects, in which most of these products are from the lower quality segment and chosen specifically because of their price advantage. Both electronic and thermostatic kitchen mixers have gained importance, albeit from a very small base, but overall volumes for these remain low. Sales growth for boiling hot water models has, on the other, seen more impressive growth rates, varying between 10 to 30% per year, but the penetration is still well below that seen in the new housing sector.

Non-Housing

Kitchen taps and mixers sold into the non-housing sector has developed quite volatily over the last 15 years since this end-use segment is characterised by strong fluctuations, both upwards and downwards, in new non-residential construction output, especially for educational, healthcare and commercial buildings. The sales trend for kitchen taps and mixers has been slightly different from that for bathroom mixers since the market drivers are different, with kitchen models depending more on the number of new buildings than the average floor area, combined with that it relies more on like-for-like replacement sales. Indeed, sales of taps and mixers to this end-use segment rely more on like-for-like replacement sales rather than renovation projects since the lifespan of the latter is significantly less, meaning it is significantly less reliant on new build demand.

Most sales, as with sanitary models, are aimed at commercial, including retail and hospitality buildings, healthcare, educational and office buildings. The product mix for non-housing is different compared that for the residential sector, with two head mixers holding a higher share since these are often perceived as being stronger

than their one head mixer counterpart but also due to the fact that within these kitchens, the need for either hot or cold water is greater than for lukewarm water. Boiling hot water mixers are used, but in small volumes, installed in offices.

Unlike sanitary taps and mixers, kitchen mixer sales to the non-residential sector continued to rise further in 2020, with sales now on an upward trend since 2016. As with kitchen sinks, sales of kitchen mixers are less dependent on the average surface areas but more on the number of new build buildings, combined with like-for-like replacement sales. That being said, growth rates slowed down considerably, in turn due to a decline in the new build average surface area, in square metres, combined with the impact of COVID-19 on market developments. With many people working more from home, kitchen facilities in offices and commercial buildings were less often used, combined with the fact that during a long-extended period many hospitality buildings, most notably bars, restaurants and cafes, were forced to close. This, in turn, has affected like-for-like replacement sales of negatively affected sales demand in 2020 and most likely also in 2021. At the same time, the number of new and refurbished hotel rooms particularly dropped, to around 7,900 hotel rooms, indicating a decline of over 31%, declining for the second consecutive year. Sales to healthcare and educational buildings, when compared to hospitality buildings, performed much better in 2020 largely driven by an increase in sales to healthcare buildings (+5.7%), although sales to educational buildings (-4.8%) declined.

Due to the COVID-19 pandemic, the outlook for commercial buildings remains bleak, especially in comparison to office, healthcare and educational buildings, since it relies on revenues from the tourism sector. The construction of office buildings should benefit from the fact that a number of businesses and organisations have moved their offices from London to Amsterdam due to 'Brexit'.

Supply Structure

Kitchen mixers' supply largely mirrors that of bathroom mixers, with the only major difference that the supply of kitchen mixers includes a higher share of dedicated kitchen (sink) manufacturers. Such players, for example, include kitchen sink manufacturers like FRANKE and BLANCO but also IKEA and QUOOKER.

Apart from kitchen manufacturers holding a larger share, the supply structure does not differ much from sanitary taps and mixers. GROHE evidently remains the clear market leader, although in market share it has lost importance over the last decade. GROHE, as the market leader, is particularly affected by rising competition, from other domestic and European players but most notably from rising imports from the Far East. Nonetheless, the company has developed favourably, increasing in both volume and value terms, since 2013, and benefits from its strong brand position across all distribution channels, both professional and private.

Domestic QUOOKER, based in Ridderkerk, has been one of the better performers on the Dutch market in recent years, albeit from a very low base, with sales

benefiting from the general and fast uptake of boiling hot water mixers. Although boiling hot water models have been around for quite some time, invented by Henri Peteri in the 1970s, it only more recently gained share, in line with the general shift in favour of convenience, innovations and elegance. QUOOKER benefits from its strong brand name for this type of product, but also due to strong marketing activities, online and across leading TV channels. QUOOKER has expanded its product offering, integrating models using different types of finishes, in response to consumer demand, as well as models with pull-out hoses, the QUOOKER FLEX, and the QUOOKER PRO3, providing hot, cold and sparkling water.

Due to the importance of the DIY channels, the second and third largest players on the market consist of typical DIY brand, GAMMA's HANDSON and MAXEDA AQUAVIVE and the AQUAZURO brand. All are exclusively sold through their DIY stores across the nation. Both retail brands source these taps and mixers from factories in Asia, most likely China. All-in-all, supply on the DIY sector has undergone quite some drastic changes over the last decade, characterised by a shift away from leading brands, discounting GROHE, in favour of private label brands, the so-called 'house brands', of these DIY stores. Most stores used to exclusively sell leading European brands, but most of these have been replaced with private label brands. MAXEDA replaced most leading brands, most notably PLIEGER, in 2010 and replaced it with its own range of products, sold under the AQUAVIVE, AQUAZURO and BASELINE ranges. GAMMA also sells a lot of models under several private label ranges, including ATLANTIC, OK, ABSOLUT, AQUALINO and HANDSON. More than half of all brands offered are today accounted for by lower priced house brands, available in many different price ranges. HORNBACH and BAUHAUS are also active with their own private label ranges, namely AVITAL and CAMARGUE, but their market share remains small, but growing, especially BAUHAUS since its market entry in 2015 in Groningen. Smaller format stores, such as HUBO, continue to sell only branded products.

IKEA, the Swedish furniture retailer, has particularly done well on the Dutch kitchen mixer market, benefiting from growing sales of full kitchens. All IKEA mixers are sourced under OEM agreement from the Italian PAINI, which built a new factory dedicated to the production of IKEA fittings in Pogno in 2012. IKEA kitchens are often chosen because of their favourable prices, especially the price-to-quality ratio, but also because of their fast(er) delivery times, good quality and ease of installation. The reason why consumers may also increasingly opt for an IKEA kitchen is because IKEA offers a 25-year warranty on all woodwork, e.g., the kitchen cabinets, which most kitchen retailers do not offer.

IDEAL STANDARD's VENLO, although less strong as for bathroom models, also remains to be a key brand on the market, still having a strong position in the social housing and contract (CII) market. However, production no longer takes place in the Netherlands, only assembly. Sales under the IDEAL STANDARD brand are only marginal, and so are under the VIDIMA, PORCHER and BØRMA brands, often imported on an ad-hoc basis. The JADO brand has been completely phased out.

HOTBATH is also active on the kitchen segment, but with a lower share compared to bathroom models. The company, recently acquired by the FM MATTSSON MORA GROUP, has nonetheless developed well, characterised by solid growth rates since 2009. HOTBATH does not manufacture taps and mixers, but these are sourced under OEM agreement from an Italian manufacturer near Lake Orta.

Apart from GROHE, most other German manufacturers, including HANSGROHE, KLUDI, HANSA and DORNBRACHT, are significantly weaker compared to those for sanitary models and their main focus remains to be on the latter.

The share of 'Others' includes a large number of unidentified players, including the ones sold exclusively online through www.bol.com and www.sanitairwinkel.nl, but also companies active on the kitchen market, including BRUYNZEEL and CARESSI, and imports from the Iberian Peninsula, including ROCA and SANINDUSA, Italy, including PAINI, PAFFONI and GESSI, and Eastern Europe, including Poland, the Czech Republic, Slovakia and Romania.

Forecasts

Kitchen mixer sales developed extraordinarily well in 2020, witnessing the highest growth across all taps and mixers types, but market developments for 2020 are set to be very different, in line with developments expected across the total kitchen market, including furniture, in the Netherlands. The closure of essential stores particularly affected demand, especially since a large share of kitchen mixers are sold together with kitchen sinks, predominantly through kitchen retailers. Since late 2020, the Netherlands has seen a spike in the number of COVID-19 infections and deaths, especially in the larger cities in North- and South-Holland, resulting in a full lockdown as of 15 December 2020.

Similar to other segments of the market, kitchen taps and mixers will partly be affected by the closure of non-essential retail stores, combined with the market development seen in 2020, affecting sales demand for 2021. As with bathroom mixers, rising online sales may to a certain extent prevent a steeper market decline. E-commerce had already been on the rise well before the COVID-19 pandemic, but the pandemic boosted sales even further, with pure online up by +26% and multichannel online up by +68% in 2020, and should continue to outperform traditional sales channels, with total online sales set to grow by +15% for 2021.

It remains to be seen how sales to the housing RMI sector might develop over the course of 2020, given the strong market contraction seen in Q1 2020. Sales of all types of taps and mixers reached artificially high levels of sales in 2020 because measures implemented by the government, urging people to stay indoors, boosted home renovations and DIY jobs, particularly mixers, accessories and furniture. Based on recent study, around 30 to 35% of home renovations carried out in 2020 involved the installation of bathroom and/or kitchen taps and mixers. As with bathroom models, RMI sales for this year will partly be affected by reduced sales in

Q1 2021, combined with the strong upswing in sales in 2020 and sales might most probably also be affected when things go back to 'normal'. Once most COVID-19 measures have been lifted consumers may increasingly spend more money on travel, or any other leisure activities rather than home renovation projects, affecting sales demand in 2021.

Sales to the new and non-housing end-use sectors are also set to decline, with especially sales to non-residential developing more unfavourably compared new housing demand. Total output in new housing completions for both 2020 and 2021 was already anticipated to decline, not relating to COVID-19 but due to the effects of the nitrogen crisis on the new building permit applications in 2019. Expectations beyond 2022 are now more favourable, with growth expected year-by-year. The new housing market should also benefit from incentives introduced by the government, such as the 'Residential Construction Stimulus Programme' aimed at the construction of affordable homes, but also due to a general housing deficit in the Netherlands, which has worsened since the onset of the banking crisis of 2009. As with CSW, sales of taps and mixers should benefit from any attempt made to reduce the gap in housing supply and housing demand. The housing deficit, estimated at over 300,000 dwellings, in the Netherlands has worsened considerably due to the effects of the banking crisis, as mentioned above, resulting in the bankruptcy of around 5,000 construction companies and 500,000 construction workers, combined with the lack of construction workers, high material costs and the implementation of a landlord levy in 2013 (as enforced by the government). Due to the landlord levy, housing associations have consequently built significantly fewer homes, from around 30,000 to 35,000 before this implementation to around 15,000 after it.

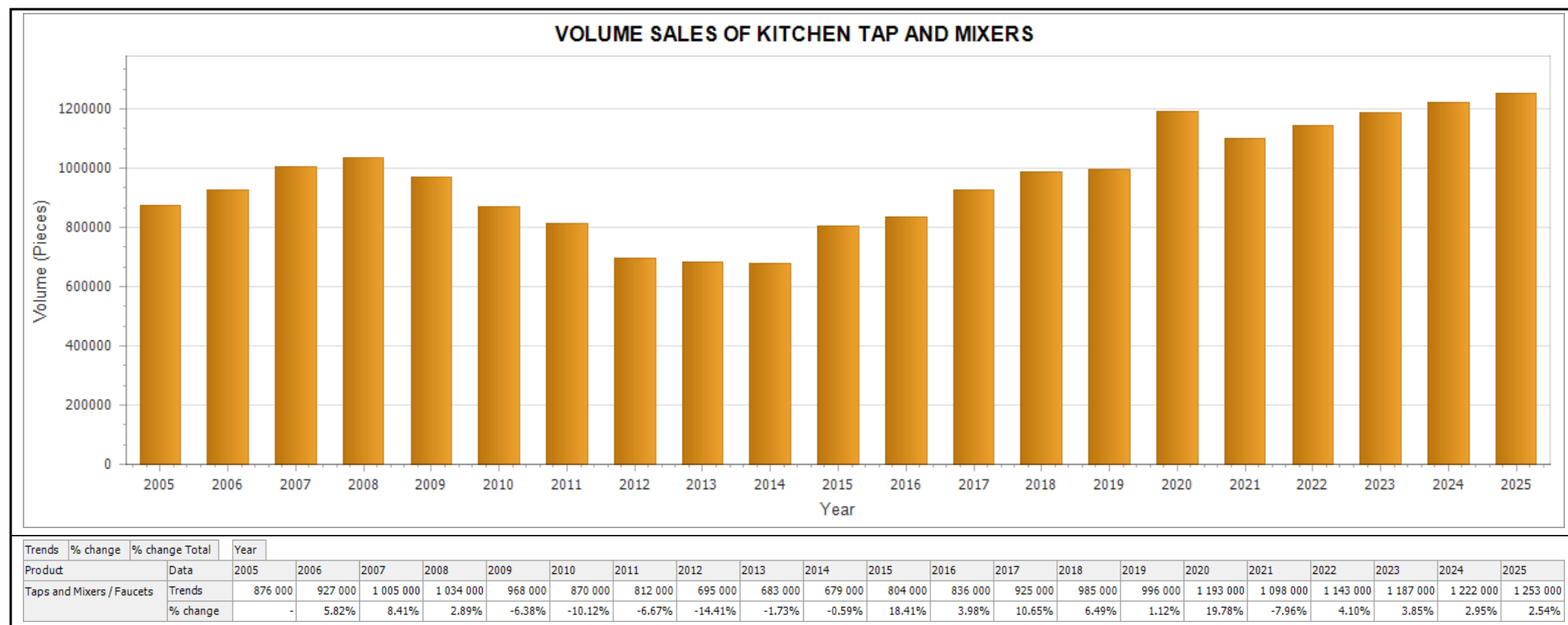
Kitchen mixers' sales sold into non-residential buildings should hold up considerably better compared to their bathroom equivalent, although a considerable decline is nonetheless expected. The pandemic has had a strong impact on the revenues of businesses, especially hotels and leisure buildings, with many investment plans now having been put on hold or cancelled, which will affect construction output in coming years, reaching historical low levels in 2021. Like-for-like replacement, mostly of broken models, should be more limited in 2020 since most kitchen facilities were less often used in 2020. Sales to non-housing, both new build and renovations, to this end-use sector is only set to recover from 2022 onwards. Office completions, one of the key segments for most bathroom related products, have recently suffered, reaching an all-time low in 2018, and are not set to recover before 2022. This segment, in the medium to long term, should benefit from the fact that a number of businesses and organisations have moved their offices, due to 'Brexit', from London to Amsterdam. Sales to healthcare buildings, mostly in the short term, will be affected by the COVID-19 pandemic, resulting in lower investments in 2021, but should see more strong growth from 2022 onwards, but educational should suffer across the entire forecast period. The strong decline in new hotel completions expected for 2021 will have a strong negative impact on sales of both baths and showers. The pandemic has had a strong impact on the revenues of hotels, as well as all other types of hospitality buildings, with many investment plans now been put on hold or cancelled, which will affect construction

output in coming years, reaching historical low levels in 2021.

Consumer trends, similar to of bathroom mixers, are not expected to exhibit different developments compared to the previous year. One head mixers should continue to increase in kitchen applications, but this will depend on the investment of housing associations, which still favour these mixers for price related reasons, but sales demand will most likely be negatively affected by further growth in boiling hot water mixers, like the ones QUOOKER and GROHE are offering. Mixers may also develop in favour of different finish types, especially black, copper and gold, with chrome continuing its downward trend.

9.2 Historical Trends and Forecasts : Kitchen TM

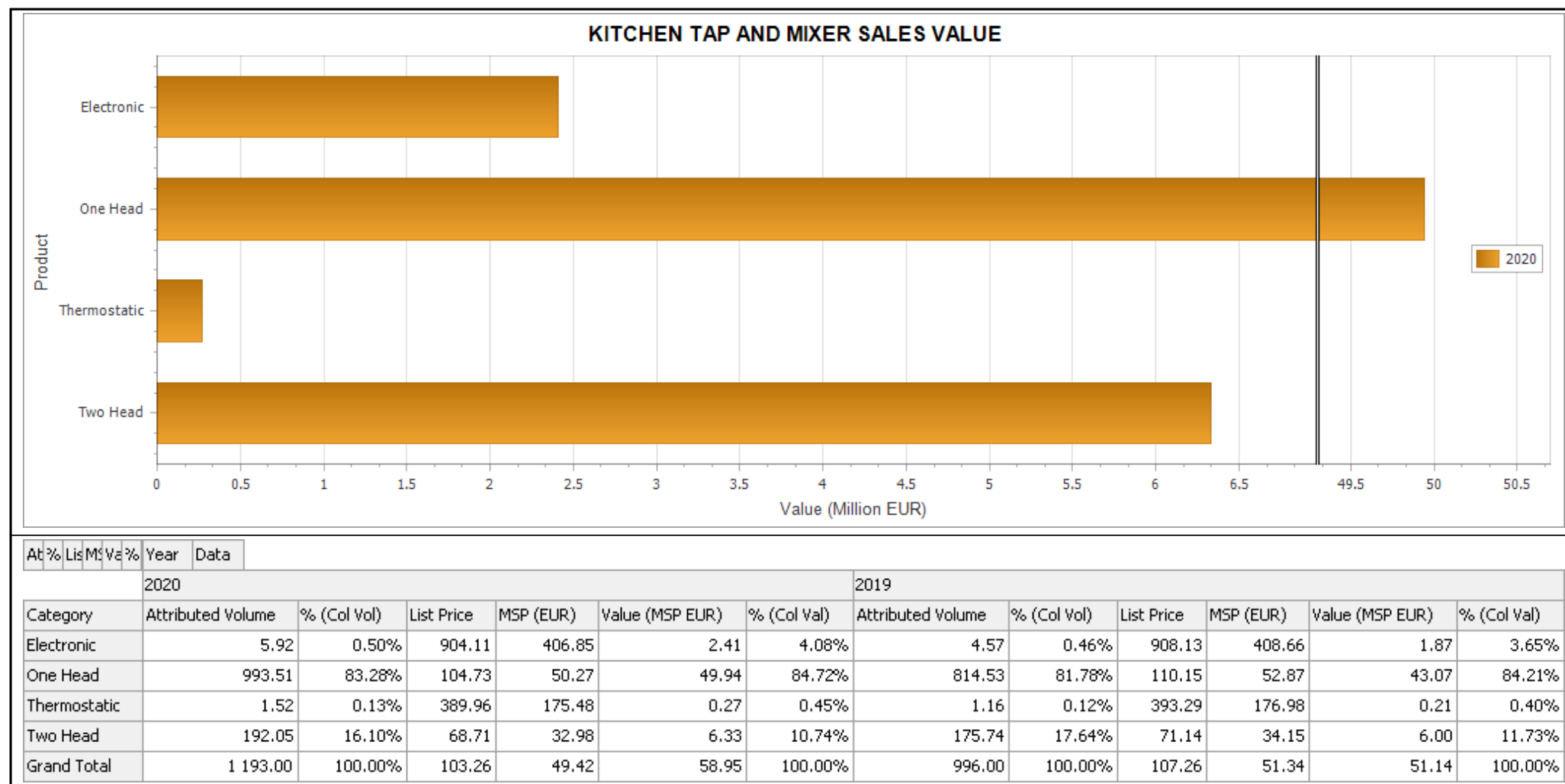
NL - SUMMARY OF TRENDS IN THE KITCHEN TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

9.3.1 Prices and Market Values : Kitchen Taps & Mixers

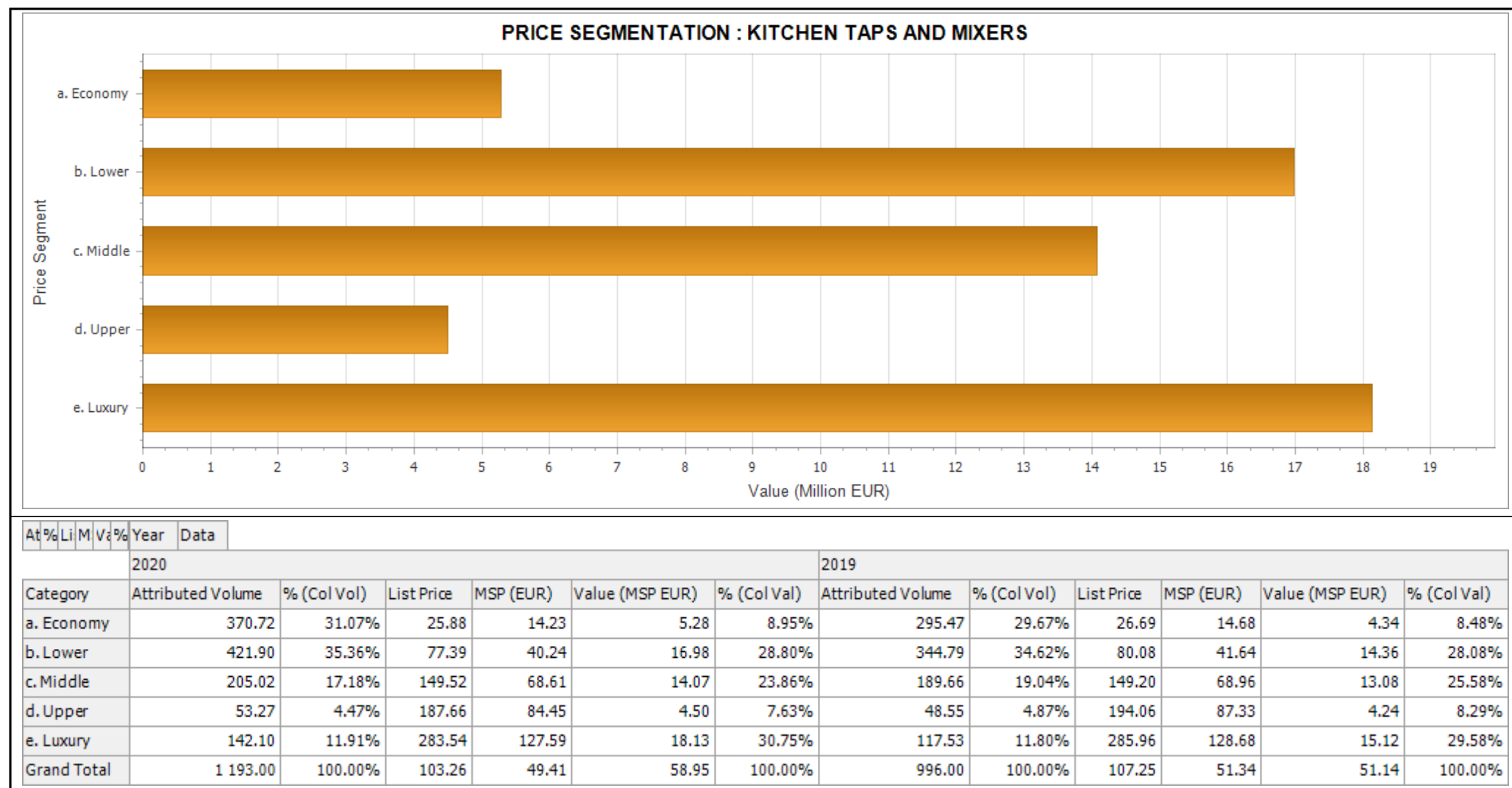
NL - ESTIMATED VALUES OF THE KITCHEN TAP AND MIXER MARKET



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price)

9.3.2 Price Segmentation : Kitchen Taps & Mixers

NL - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS

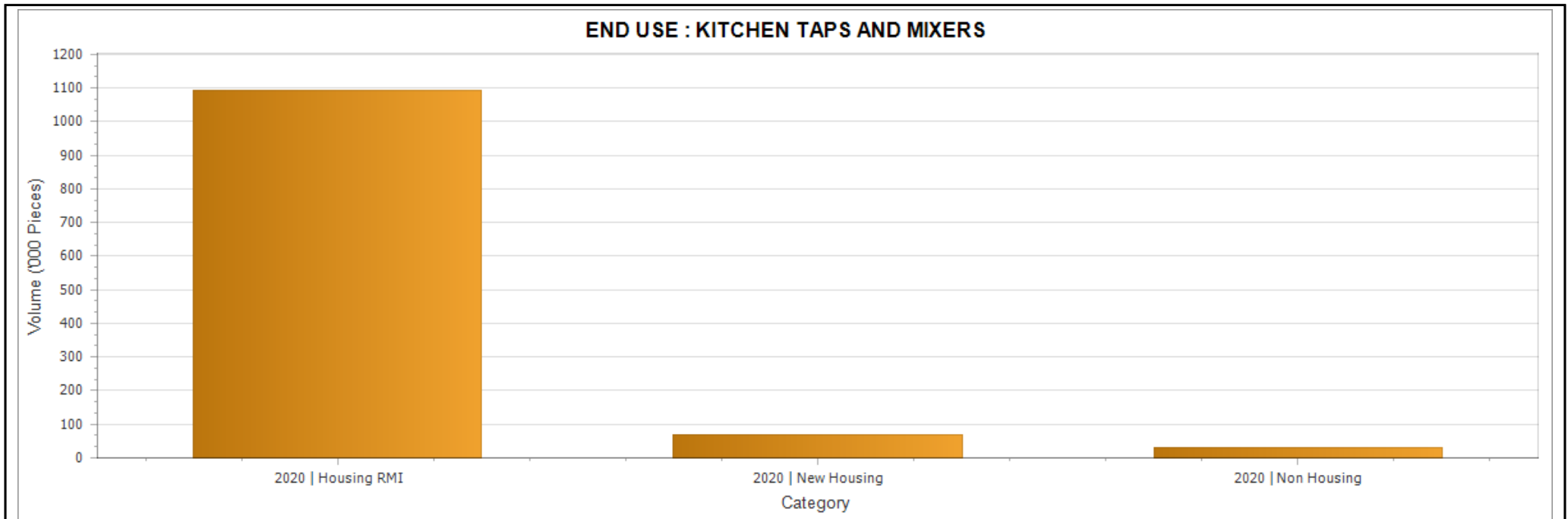


Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€35, Lower €35-€50, Middle €50-€70, Upper €70-€110 and Luxury >€110

End Use : Base Year

NL - SALES OF KITCHEN TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)

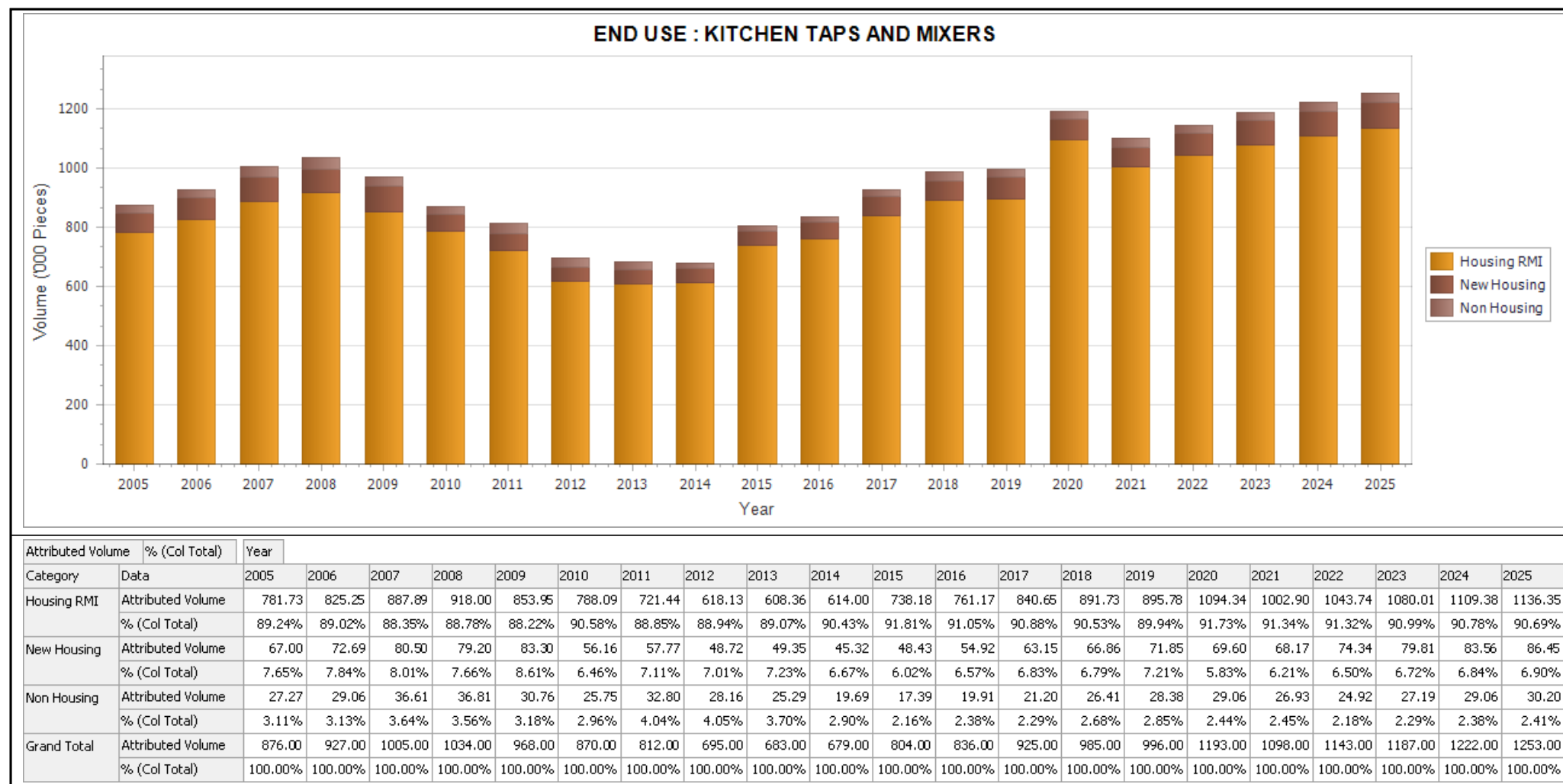


Attributed Volume	% (Row)	Year	Category	Data					
		2020						2020 Total	
			Housing RMI		New Housing		Non Housing		
Alt Product			Attributed Volume	% (Row)	Attributed Volume	% (Row)	Attributed Volume	% (Row)	Attributed Volume % (Row)
Kitchen Taps and Mixers / Faucets			1094.34	91.73%	69.60	5.83%	29.06	2.44%	1193.00 100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

9.4.2 End Use : Historical and Forecasts

NL - SALES OF KITCHEN TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)

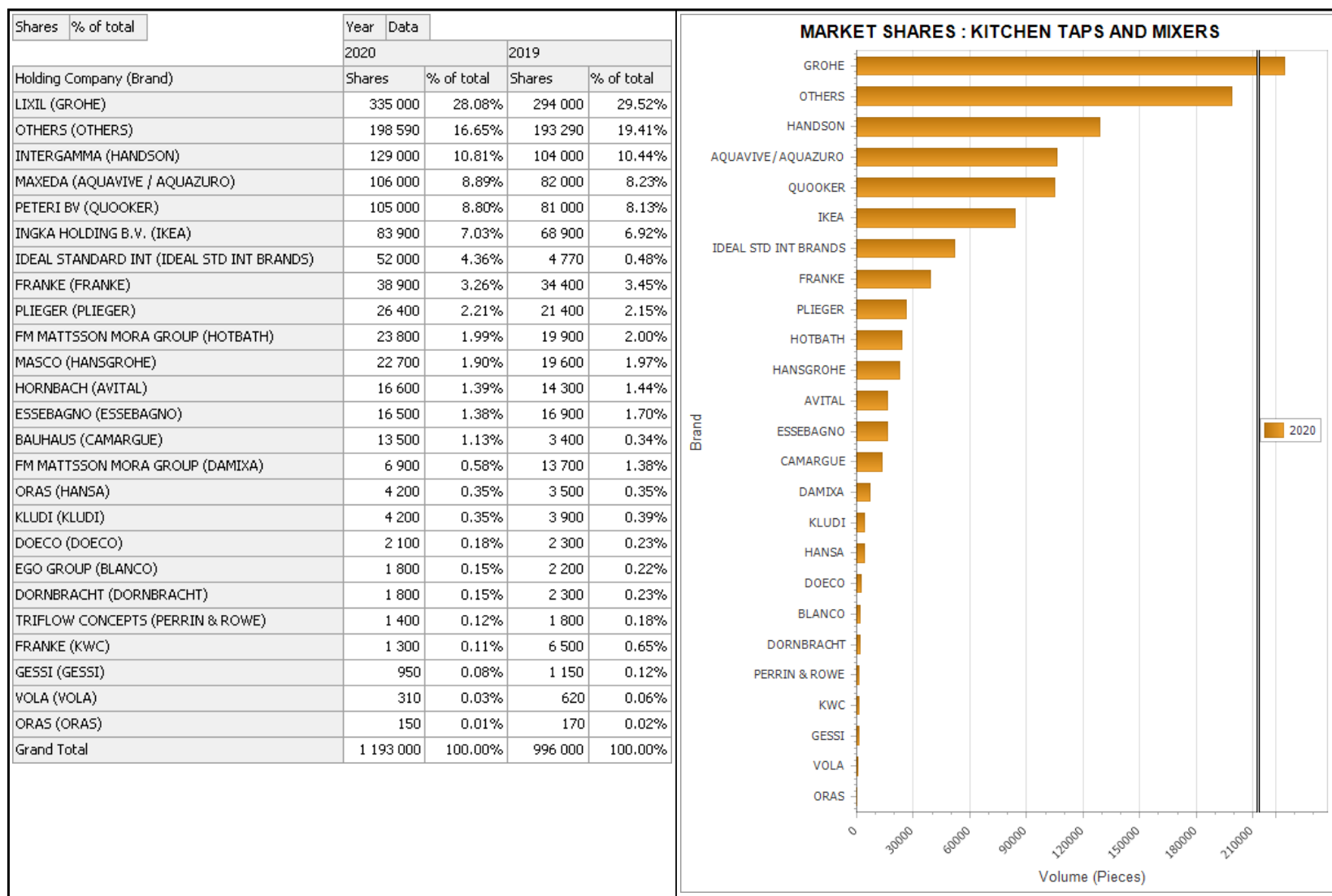


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

9.5

Market Shares : Kitchen Taps & Mixers

NL - ESTIMATED MARKET SHARES FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews.

9.6.1 Route to Market: Kitchen Taps & Mixers / Faucets
NL - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2020

Manufacturer / Importer	<table><tr><td colspan="5">Manufacturers / Importers</td></tr><tr><td colspan="5">100.0%</td></tr></table>					Manufacturers / Importers					100.0%																																																																																															
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9.6.2 Route to Market: Kitchen Taps & Mixers / Faucets
NL - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2025

Manufacturer / Importer	Manufacturers / Importers							
	100.0%							
Wholesale Level	62.4%							
	Wholesalers / Merchants							
	62.4%							
Retail Level	Manufacturer		Wholesaler					
	1.6%		11.4%					
	Internet Retailers							
	13.0%							
	Manufacturer		Wholesaler					
	26.4%		9.2%					
	DIY Retailers							
	35.6%							
	Manufacturer		Wholesaler					
	9.1%		32.1%					
Specialist Retailers								
41.2%								
		Manufacturer	Wholesaler	Internet	DIY	Specialist		
		0.3%	7.6%	3.0%	5.3%	3.5%		
		Installers						
		19.7%						
End Use Level	Manufacturer		Wholesaler		Internet	DIY	Specialist	Installer
	0.1%		1.8%		10.0%	29.9%	37.5%	18.2%
	Residential							
	97.6%							
	New Build				Residential RMI			
	6.9%				90.7%			
	Project		Non-Project		Project		Non-Project	
	5.9%		1.0%		10.3%		80.4%	
	Manufacturer		Wholesaler		Internet	DIY	Specialist	Installer
	0.1%		0.2%		0.0%	0.4%	0.2%	1.5%
	Non-Residential							
	2.4%							
	New Build				Non-Residential RMI			
1.3%				1.1%				
Project		Non-Project		Project		Non-Project		
1.2%		0.1%		0.3%		0.8%		

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

9.6.3 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

NL - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2020

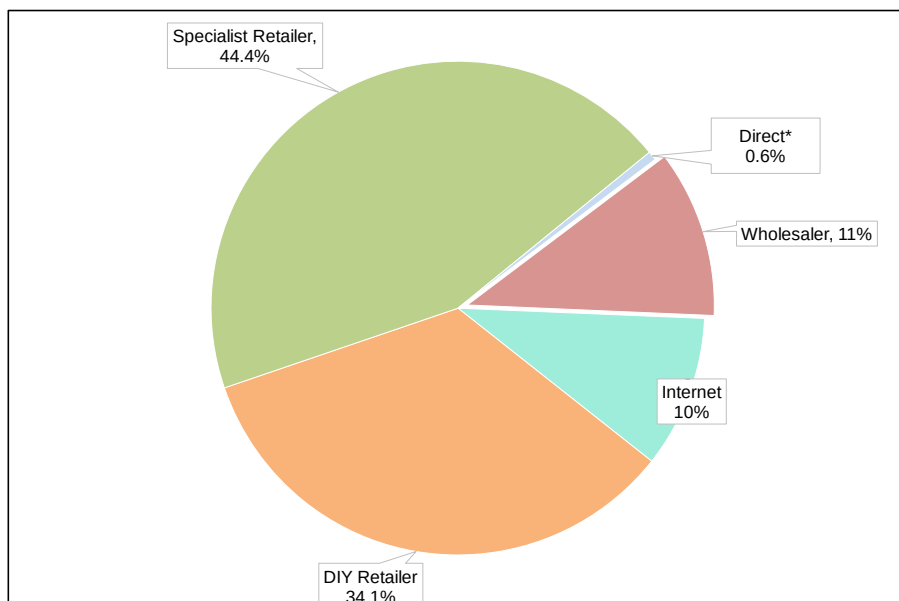
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
11.0%	10.0%	34.1%	44.4%	0.6%	15.5%	1.5%	82.1%	0.9%
100%					17.0%		83.0%	

9.6.4 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

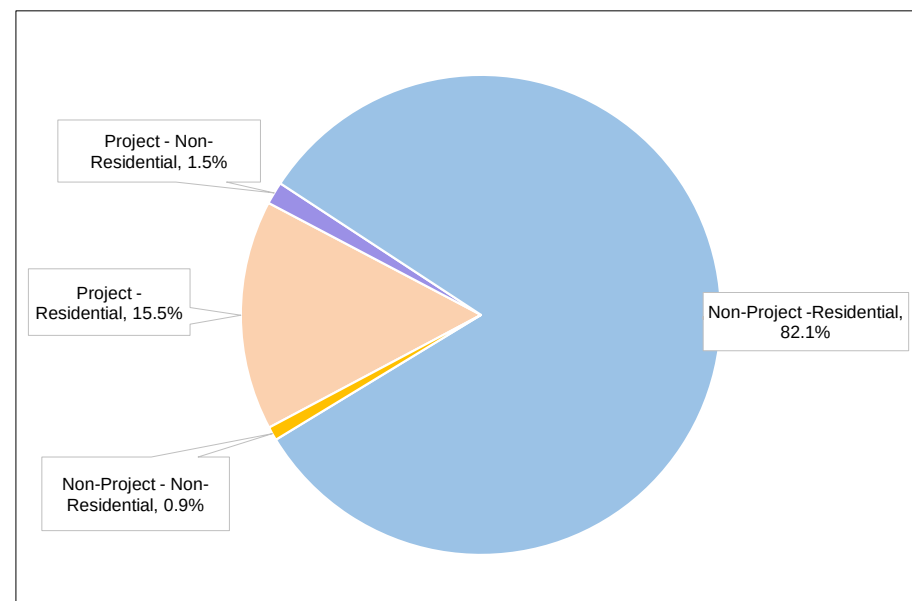
NL - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
9.7%	13.0%	35.6%	41.2%	0.5%	16.2%	1.5%	81.4%	0.9%
100%					17.7%		82.3%	

NL - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2020



NL - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2020



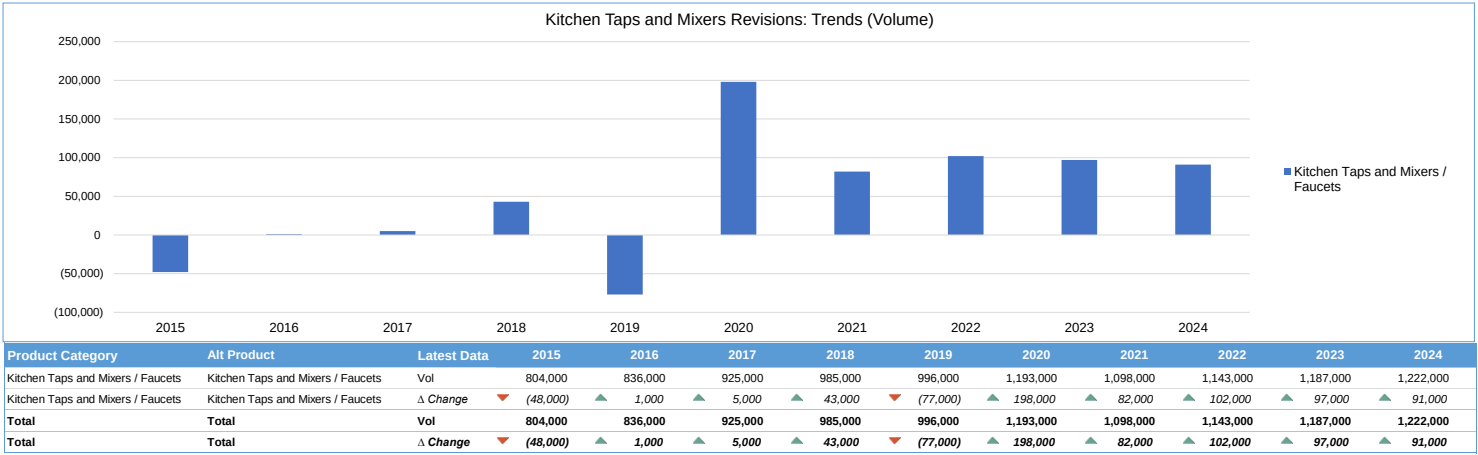
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

9.7 Revisions in the Dutch Kitchen Taps and Mixers Market (April 2021)

NL - REVISIONS IN THE DUTCH KITCHEN TAPS AND MIXERS MARKET

Data Comparison: October 2020



The MSP for kitchen mixers has been revised down as according to industry feedback the previous MSP was overstated. Kitchen mixers are available in many different price ranges, but the majority are sold in the middle price range. Prices differ greatly based on the country of origin, with German imported models being 50% more expensive compared to models sourced from China and/ or Eastern Europe.

As with sanitary mixers, minor corrections were made to the historical market size for kitchen mixers, upwards for the 2005 to 2011 and 2016 to 2017 period, whereas down for the other years. This is largely because of a discrepancy between imports recorded by the Dutch Statistical Office compared to Eurostat, which is mostly affecting imports coming from the Far East, mostly China. This might be due to an error in re-exports ('transits'). A lot of European imports, especially for taps and mixers, enter the European market through the ports of Rotterdam and/ or Antwerp, which in most cases should not be counted as imports since products are simply transiting through the national territories of Belgium and the Netherlands. For example, the CBS indicated that €157.7 million worth of mixers were imported in 2019, Eurostat indicated that €178.5 million were imported, a difference of €20.8 million. Domestic sales of Chinese imports declined in 2019 according to the CBS, whereas Eurostat showed an increase. This has now been corrected, resulting in a slightly smaller market for taps and mixers, including both kitchen and sanitary taps and mixers.